

Godawari Power (GPIL)

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Call: Aug 2022

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To,

1. The Listing Department, 2. The Corporate Relation Department,
The National Stock Exchange of India Ltd, The BSE Limited, Mumbai,
Exchange Plaza, Bandra Kurla Complex, 1st Floor, Rotunda Building,
Bandra (E), MUMBAI – 400051 Dalal Street, MUMBAI – 400 001
NSE Symbol: GPIL BSE Security Code: 532734

Dear Sirs,

Sub: Submission of Transcript of Conference Call held on 1st August, 2022.

This has reference to conference call held on 1st August, 2022 for Analyst/Institutional Investors/Fund House/Investors etc., please find attached herewith the Transcript of Conference Call.

The aforesaid information is also being hosted on the website of the company viz., www.godawaripowerispat.com.

Thanking you,

Yours faithfully,
For GODAWARI POWER AND ISPAT LIMITED

Y.C. RAO
COMPANY SECRETARY

Encl: As Above

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Q1 FY2023 Earnings Conference Call"
August 01, 2022

ANALYST: MS. SANA KAPOOR – GO INDIA ADVISORS

MANAGEMENT : MR. ABHISHEK AGRAWAL – EXECUTIVE DIRECTOR –
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MR. SIDDHARTH AGARWAL - EXECUTIVE DIRECTOR –
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MR. DINESH GANDHI – EXECUTIVE DIRECTOR –
GODAWARI POWER & ISPAT LIMITED
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Page 2 of 23 Moderator : Ladies and gentlemen, good day and welcome to Godawari Power and Ispat Limited Q1 FY2022 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to

ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Sana Kapoor from GO India Advisors. Thank you and over to you miss Kapoor.

Sana Kapoor : Thank you Nirav. Good morning everybody and welcome to Godawari Power and Ispat Limited Earnings Call to discuss the Q1 FY2023 results. We have on the call, Mr. Abhishek Agrawal, Executive Director, Mr. Siddharth Agarwal, Executive Director, Mr. Sanjay Bothra CFO and Mr. Dinesh Gandhi, Executive Director. We must remind you that the discussion on today's call may include certain forward looking statements and must be therefore viewed in conjunction with the risks that the company faces. May I now request Mr. Dinesh Gandhi to takes us through the company's business outlook and financial highlights subsequent to which we will open the floor for Q&A. Thank you and over to you Sir.

Dinesh Gandhi: Thank you Sana and good morning everyone. I welcome you all to this conference call of Godawari Power and Ispat Limited to discuss the Q1 FY2023 results and the way forward. I am sure that you must have looked at the result and presentation uploaded on the exchanges and the company website. I will briefly discuss the results and then we can have the Q&A and some of the developments taken place during the quarter. We had a good start of the financial year 2023. Then I will discuss the quarterly performance in detail and before that there are few recent developments and strategic initiatives, which the company has taken. I am just updating about that.

Just commented in last call GPIL is constantly working towards simplification of goodwill structure and we have

already increased our stake in HFAL on 75.64% to 91.82%. We have also acquired 78.96 in Hira Ferro Alloys. We have acquired the Jagdamba power plant through a slump sale route during the quarter and the Jagdamba 25 megawatt power plant asset has become the asset of the Godawari Power and Ispat and Godawari is running that unit from the date of acquisition that is June 07, 2022.

This entire power of 25 megawatt will be consumed captively in house. Simultaneously with acquisition of 25 megawatt power in the subsidiary route we have tendered the 26% share GPIL was holding in Jagdamba for the purpose of qualifying for the captive user Godawari Power and Ispat Limited
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Page 3 of 23 which is no more required so we have surrendered under the buyback scheme launched by the company.

As regards to the capex, we have already announced that capex which are ongoing and close to 500 Crores of capex is planned in the current financial year out of which we have done 150 Crores in the first quarter. Despite imposition of duty and other development in the marketplace, we are committed to commission this capex of 500 Crores during the current financial year which mainly includes setting up of 155 megawatt of solar power out of that 70 megawatt power plant has already been almost commissioned it is just awaiting synchronization of the grid and remaining capacities for small part of the land acquisition is still pending and once that is done we will start the construction process and we are quite hopeful that within FY2023 we will be able to complete the entire 155 megawatt solar capex and the entire power will be for the captive requirement which will be mainly reflecting the grid power.

Due to some static reasons we have are changed certain business plans and therefore we have kept expansion steel billets project from 0.4 million to 6 million tonne on hold. We are working on a revised scheme and as and when that is finalized that time this expansion of capacity will be taken on due course and will be updated to the investors accordingly. As you are all aware we are also focusing on reducing the carbon footprint that I have already discussed three projects with a total capacity of 155 megawatt. This 155 megawatt capacity plus 42 megawatt of waste heat recovery plus 8.5 megawatt of biomass power plant in Hira Ferro and 1.5 megawatt of windmill with all this commission our existing capacity we will have achieved the carbon neutrality so far as the existing plant is concerned.

As regards to the update of the Greenfield power project, we had announced certain plan for expansion of the capacity in the Greenfield project. We are still in the evolution process and finalized the design, size, capacity technology etc. This investment will be taken up in due course of time once all these processes are completed including environmental approval and land acquisition and the exact investment will be announced that will be purely based on the evolving market conditions and the future cash flow of the company. We will further keep you updated on this.

I would like to mention that to with the export duty on pellet we have increased the sale of sponge iron, steel billets, ferroalloys the company has a competitive advantage as it

Page 4 of 23 produces high grade pellet, and we are confident of achieving the targeted volume for the current year.

Coming to the operational performance, I am happy to share that GPIL has achieved record high quarterly term of iron ore mining, iron ore pellet production, sponge iron production all of them are 36%, 11% and 12% respectively on Y-o-Y basis, 13%, 9%, 100% respectively on Q-o-Q basis. The sale of iron ore pellet, sponge iron, and steel billets emissions were up during the quarter by 6%, 835%, 29% and 22% whereas sale of H.B. Wire has reduced to 51%.

As regards to H.B. Wire, H.B. Wire

as you may be aware during the last financial year we were not making substantial quantity of H.B. Wire because we were mainly exporting wire in the international market. With the imposition of export duty now logical process is to convert the wire rod into wire partially to the extent of capacity available and then sell it in the market and regularly the H.B. Wire utilization will increase going forward.

Similar volumes in all three plants that is GPIL, HFAL, Alok Ferro have shown increasing trend during the quarter on quarter basis. This new acquisitions has definitely added to the conformability as well as the phase turnover of the company. On a quarter on quarter basis you might have noticed that drop of 19% in sale of iron ore pellet this drop is because of increased captive use of pellet for sponge iron.

Last quarter the sponge iron production was very low and therefore pellet sale was higher. Now we have converted pellet into sponge iron and sold and therefore the drop in 19% in the sale of iron ore pellet. Realization of sponge iron has dropped slightly by 3 and 1% quarter on quarter basis this is actually because of fall in the market rate after imposition of export duty. Realization of other products like steel billets, MS rounds, H.B. Wire and other increased sequentially by 12, 13, and 17% respectively.

In-house the current prices of the long product and the current prices for the same product, is now coming closer. The gain was substantially higher during the last financial year. Now gradually the prices are coming in line with low product price, of course some amount of gap will continue to be there in the market. The total expenses increased during the quarter which is mainly attributable to the increase in coal cost. We are required to import the coal for sponge iron plant at a substantially higher price and to some extent on the inflationary pressure on the procurement on the other raw material consumption item.

The consolidated EBITDA is 465 Crores which is 16% quarter on quarter and down 20% year on year. The reason for drop on Y-o-Y basis is increase in the cost of fuel

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Page 5 of 23 transportation, the increase in royalty as well as both these items have resulted into higher cost of production.

The consolidated pay adjusted for expositional item is up 5% sequentially and 327 Crores.

As we already know GPIL balance sheet is fully repaid and debt has been fully repaid, long term debt. We continue to have some working capital limit barring the utilization of certain limit we have a net cash position of 560 Crores as of now.

Coming on the market position starting with international market outlook first. The iron ore prices from 150 dollars tonne on April 1, the iron ore prices have fallen to 100 dollars has recession we need to take hold of demand and consumption of steel and other commodity is reduced to China due to COVID and real estate crisis in China and in the rest of the world interest rates are hike. Expectation is that as to FY2023 things will improve due to China stimulus and import from the globe; however, uncertainty may be due to zero COVID policy by China.

As regards to the iron ore pellet already announced cut down in the production guidance Russia and Ukraine iron ore supplies are already reduced. With this the iron prices in our opinion is likely to range between 100 and 120 dollar during the current financial year.

Coming to the domestic market as you are all aware government levied export duty on iron ore fine from 0% to 30% and iron ore lump 30% to 50%. In pellets there was from 0 to 45% and in steel the export duties levied to 15% in May 2002. This has led to sharp drop in the domestic iron ore prices, NFDK has also cut the iron ore prices by approximately Rs.2000 a tonne. Pellet prices decreased from an average of Rs. 12,000 to 14,000 a tonne in April to 7775. Presently the

pellet prices are ruling about 8800.

The domestic iron ores prices are likely to bottom out at much higher levels in the historical level. The support has come from the cost services moved up by 1000 to Rs.1500 for

auction of iron ore mine. The current iron ore prices mainly domestic iron ore mines have become unviable. Some support has also come from the improvement in the domestic demand of steel due to which increased take of intra project going forward improvement in the iron ore and the pellet prices will depend on the export duty however downside is largely projected at the current volume level at the selling prices. With this I will open floor for question and answers. Thank you very much.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Kunal from Reliance Securities. Please go ahead.

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Page 6 of 23 Kunal: Good morning Sir. Congratulations on good set of numbers considering the current environment. Sir just some questions firstly what will be the quantum of export of pellet in 1Q FY2023?

Dinesh Gandhi: Bothra Ji you know of how many consignments have gone in Q1 FY2023?

Sanjay Bothra: I will give an update on that. On the exports side in Q1 it is about three shipments, 150,000.

Kunal: Who is bearing the export duty?

Sanjay Bothra: The seller. If we happen to export now then we have to bear the export duty.

Kunal: How much export duty would have been borne in 1Q FY2020?

Sanjay Bothra: Nothing. So by the time the duty was imposed we only had shipment which is pending and with the long term realization we had with the buyer so that contract was amicably cancelled so we did not export after the duty was imposed.

Kunal: Going forward what is your guidance on exports for FY2023 overall?

Sanjay Bothra: Till the time the duty is not revoked we do not think so we will be able to export a single tonne also so we will focus totally on domestic market till the duty is not evoked. In these prices it is totally unviable to export up to 45% duty.

Kunal: My second question is what your pellet size guidance for the current year?

Sanjay Bothra: We are operating the plant at almost 100 capacity, so with a DRI consumption of about say 0.75 million tonnes rest will be totally for domestic sale. The sale guidance will be round about 1.75 million tonnes in this financial year.

Kunal: Sorry one point.

Sanjay Bothra: Seven five.

Kunal: Sir then one more question I had. Our captive iron ore cost has been increasing actually. I mean it has increased substantially from say 2800 in FY2022 to 3150 in the current quarter and if you see the trend overall it has been on a rising trend so could you throw some light on this?

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Page 7 of 23 Sanjay Bothra: Primarily there are two reasons for the costs of iron ore to gone up, one is on account of diesel. As you were aware the diesel prices because of crude has been hovering at all time highest level which is about Rs.100 so that has increased the cost on account of mining operations as well on account of transportation from mines to plant and secondly substantial is royalty, so as you are aware we are supposed to pay royalty the IBM published rate and the IBM rates are lagging by three months. For example right now we are paying royalty basis the IBM price of May and we are sitting in August so as the prices will start coming down the royalty portion will start going down so in account of royalty and diesel the cost has gone up almost Rs.450 compared to previous quarter.

Kunal: Understood. Just one more question if I could squeeze in what would be the current realization of pellet and sponge iron?

Sanjay Bothra: At the moment pellets are hovering about Rs.9000 domestic level and sponge prices are about 34,500.

Kunal: Sponge iron prices have not corrected that muc

h, is that a right understanding?

Sanjay Bothra: Just to give you a graph so before duty was imposed these prices were about 35,000. It came down Rs. 30,000 and then again because of extreme coal shortage at India level and global domestic prices being on very high side, the sponge prices have again come back 30,000 to around 34,000. While the thermal coal cost is not going down. The index scale is about 300 dollars.

Kunal: Actually my next question was on that only. The prime quality coal prices of which are continued to remain very, very high so how do we plan to tackle that?

Dinesh Gandhi: We do realize that in these markets it is difficult to procure prime quality thermal coal so we have changed our strategy and now we are trying to import good quality cheap cargo so from RB1 we have shifted to RB3 levels so going forward we should be buying RB3 coal which is basically core MCV coal.

Kunal: But I thought that our Bemetara unit could not anything other than RB3?

Sanjay Bothra: Bemetara plant are designed such that can absorb any coal depending on the quality of the coal your production keep varying so with usage of RB3 there might be certain drop in production about 2 to 5% but technically there is no issue with RB3. Now RB1 is totally unviable to procure with the current prices globally.

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Page 8 of 23 Dinesh Gandhi: I want to add one more point on the coal. We have been waiting coal mine as whole so in order to protect the long term requirement of the company and regarding price fluctuation we are bidding for the coal mine as and when we are successful in the generation of fuel cost after that the dependency on the other market will reduce.

Kunal: Sir could you please throw some more light on this because this is quite an interesting point that we are planing to acquire captive coal mines?

Dinesh Gandhi: Under the auction by the Government of India.

Kunal: Okay so what stage are we?

Dinesh Gandhi: We have been waiting. Sometimes we have not been successful so we try in the next round so that is how it is happening so far. We have been unsuccessful because of the cost structure and we will continue to monitor the situation and as and when we are able to get the coal cost within our range then I think we should be able to acquire a coal mine which will meet all the requirement of GPL and Hira Ferro and Alok Ferro because they are also dependent from the linkages of Coal India.

Kunal: Thank you Sir. Thank you.

Moderator: Thank you. The next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer : Congratulations on good set of numbers in spite of tough situation. In case of your iron ore pellet since our product is high grade pellet do we have a better realization that what the domestic prices I just wanted to know?

Sanjay Bothra : Just to give you a certain base, see definitely we do get a premium over and above the domestic market but at the moment what is happening is since we got totally in to exports and we were doing little bit of domestic as well. Now I am scouting for new buyers who can realize, the actually value of the product so at the moment we are getting about Rs.1000 more compared to the domestic market and going forward once we are able to establish our quality at different plants I am confident we will get better premium going forward.

Vignesh Iyer : You have given guidance as per your investor presentation around 2.4 million tonne for iron ore pellet and we have managed around 6 lakh tonne if I am not wrong in current quarter so the guidance continues?

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Page 9 of 23 Sanjay Bothra : 100% definitely.

Vignesh Iyer : Just one last question, the 17 megawatt plant in Rajnandgaon will be commissioning in this quarter only, the 17 megawatt plant?

Dinesh Gandhi: The project has been completely. We are just w

aiting for the permission to be given by the

state government for connection to the grid once that is ready we will commission the plant so I am hoping this should happen in this quarter that is it should happen this monthly only.

Vignesh Iyer : Okay and that 17 megawatt is going to replace your grid power right immediately?

Dinesh Gandhi: So whatever volume we are importing from the grid on account of power that will be replaced to solar power.

Vignesh Iyer : Okay thank you. I will get back in the queue.

Moderator: Thank you. The next question is from the line of Sagar individual investor. Please go ahead.

Sagar: The question is if I could see we have increased our realization in almost all of the products from Q4 if you say in this quarter so going ahead how do you think we will be managing regarding the commodity price etc. Where will be? Will we be able to stay above the current realization levels and margin levels or will we see a softening in that and if I consider a two or three year period where do we see Godawari growing back some light if you can throw on it?

Sanjay Bothra : On a fair side, in terms of evaluation it is difficult to ascertain we are sitting in a commodity market and at the moment everything said is demand and supply so it is difficult to ascertain how prices will unfold going forward so at least on the revenue side we do not have control but in terms of cost margins we are working very minutely on each and every cost and we are hopeful that we should be able to maintain the current margins.

Dinesh Gandhi: Demand is going up in domestic market. Sorry to interrupt and we are seeing despite imposition of export duty at least the impact of export duty is much higher on the short product but so far as long product is concerned you are seeing that after imposition of the export duty the long product prices has been slightly better than Q4 FY2022 versus Q1

FY2023, so we are higher prices on sponge iron, steel billets even for that market H.B. Wire we have started production. You have to see in two parts one the iron ore will definitely we will not be able to export it although it could get dumped. Unless the government gives some relief on the export duty and long product requirement will continue to be there in the Godawari Power and Ispat Limited
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Page 10 of 23 domestic market. Whatever fines we are exporting to that extent there is an impact. Pellet we were exporting because the realization were much better or at par with the domestic market and we wanted to balance the domestic market. Now despite the export duty we are still able to sell the pellet at about Rs.8000 to 9000 a tonne and that is handsome price. As I said in my opening remarks the international iron ores are likely to hover between 100 to 125 dollars and if that remains then the pellet prices in my opinion will not go down below Rs.1000 a tonne temporarily it can go but only on average realization on medium to longer term basis I think Rs.8000 to 9000 is a base mark where the prices should thread in the market in normal circumstances and we will see a major impact of this after the monsoon.

Sagar: Sir regarding your view where do we see in next two or three years?

Dinesh Gandhi: In terms of what?

Sagar: In terms you could say a growth by how many percentage we could basically grow?

Dinesh Gandhi: Growth in volume we have been trying and that is there. Whatever capex which we have done on recently 500 Crores it is more aimed towards the cost reduction rather than increase in the volumes except the steel billets everywhere it is cost reduction like solar power plant we are reducing our cost rather than adding on volume of the sale beneficiation plant in the mine. Earlier we were aiming at 1.8 million tonne now we are aiming at 1.2 million tonne. The turnover may not increase substantially it will depend on the selling price of the product but on the cost side there will be

a substantial reduction in the cost going forward

which is iron ore mine and the solar power plant will aid to the bottomline of the company so that is how you have to look at it for the next one to two years and so far as Greenfield is concerned we are still working on the Greenfield project. I am not able to do any guidance at this point of time because number one we have to freeze the technology. We have not been able to get government land despite possible and with the revised scenario now, imposition of the export duty so my cash flow is definitely going to be lower than what we have done in FY2022 so all these factors will depend and based on that we are going to announce the final capex at the Greenfield and Greenfield capex it is going to take two to three years time some top line growth may be there for next two to three years I am not expecting any substantial top line growth in Godawari Power expect whatever acquisition we have done Hira Ferro and Alok to that extent it will end.

Sagar: Got it. Sir just to add on what you said when we are looking at cost reduction let us say from the power plant the 150 megawatt that we may commission say 70 now and 70 by the end of year, let us say in FY2024 what is the cost reduction that will be getting so we Godawari Power and Ispat Limited
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Page 11 of 23 invested 500 Crores odd for the 150 megawatt power plant so what are we going to save every year based on this investment.

Dinesh Gandhi: Grid power cost including interest and depreciation may not go beyond 2.25 where as the grid prices are Rs.6 plus at our mines where we plan to utilize 25 megawatt of solar power. There the rate is Rs.14 per unit so you are replacing Rs.6 to 7 per unit in the steel plant and at mines you will be replacing the solar power and that is we are buying at about Rs.14 per unit so definitely it is going to be operating EBITDA of the company going forward and by reduction in the cost. Then we are doing investing. Out of this whole 500 Crores we are investing about 70 to 80 Crores for replacement of old turbine so that we can have generation without setting up the other facilities, only changing latest turbine will increase our power generation by 10 megawatt, so my thermal power cost will also go down and for growth we are working because at existing location of our plant whatever we could have done I think with this 500 Crores of investment we have achieved what we wanted to achieve so far and growth will come from the Greenfield project or increasing the selling price.

Sagar: We increased our stake in the subsidiaries currently so any plan to make it wholly owned to increasing it to 100% buying the residual any plans for doing it in current year FY2023?

Dinesh Gandhi: Whether it will happen in next year at some point of time it will happen.

Sagar: That will be all. Thank you Sir.

Moderator: Thank you. The next question is from the line of Ashish Kumar from Infinity Alternatives. Please go ahead.

Ashish Kumar : Congratulations on a good set of numbers. The question which I had was in relation to the

capex allocation. After a long time we are seeing a net cash balance sheet and we continue to generate cash more than the capex obviously there is room to leverage up a little bit more as and when capex programs are finalized so are you thinking of a large distribution back to the shoulders given the bonanza of the last couple of years?

Dinesh Gandhi: So far as I understand we have rewarded investors in last year's substantially by way of distribution of dividend and dividend again we will be distributing about 115 Crores once the year is over so distribution will continue to be there but then we have to look at the growth as well. The cost reduction improving profitability whatever this capex money we are using is primarily coming from my divestment of stake in the solar thermal power plant which we divested in the last quarter. Depen

ding upon the cash flow of the company and the near term

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Page 12 of 23 plan or obviously medium term plan will drive our dividend distribution or making reason for rewarding the investor through IPO or any other arrangement. In fact I will tell you when we were planning for the buyback but with the imposition of export duty. Now we want to very conservative and keep the cash in hand rather than going out of the cash. One simple government order they change the head of the industry.

Ashish Kumar : That I fully understand but in terms of the immediate short term medium term what I heard on the call was that the prices seems to have stabilized and what will be the current EBITDA run rate based on where the prices have stabilized.

Dinesh Gandhi: Apparently we have not gone down that number but we have guided you the pricing what is the current pricing. Now 5 to 10% here and there the prices are going to range in between till the export duty is withdrawn, whether export duty will be withdrawn it will be reduced we really do not have any answer on that question and selling prices are there cost restrictions are there. We can work it how much EBITDA we can generate from Q2 onwards, because we have past two months in export and our realization of pellet was much higher, so pellet realization definitely in the current quarter will be lower than what we have done in Q1 all other factors are likely to remain I think we have done in Q1.

Ashish Kumar : And in terms of going forward what is your expectation in terms of the export duty any colour that you may share on that.

Dinesh Gandhi: You know I am not an expert on the sector. Large players are there. What I understand is there is surplus pellet about 20 to 25 million tonne in India Steel also India has started almost 20 to 25% some demand growth will come. There also there is a surplus. Steel is available in domestic market at our production versus the domestic supply similarly iron ore is higher than what is required at the current year so at some point of time the export duty should get relaxed and to what extent it may get relaxed it depends on the government and I am sure looking at the data the sensible call will be taken by the government in due course of time.

Ashish Kumar : Thanks and wish you all the best Sir.

Moderator: Thank you. The next question is from the line of Sachin Kasera from Swan Investment.

Please go ahead.

Sachin Kasera : First question there was mention that we are getting Rs.1000 premium so this is on Rs. 8800 to Rs.8800 the realization that you have indicated equally the premium you are getting?

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Page 13 of 23 Sanjay Bothra : See the prices when the duty was imposed had gone down to about 7500 so that time we were getting 8500 levels and now with the current market being stabilized we are confident we will get over and above the current levels of 8500 level.

Sachin Kasera : That is what the government is mentioning one is to contain inflection; secondly they want more evaluation to happen so hypothetically assuming that for little longer time the duty remains, they are coming out with alternate plan. One is the government gives some reserving behind this and reduces the rate on the export duty but for example copper price has not reduced what is the alternate plan B for the company from say two to three year perspective?

Sanjay Bothra : Pellet being one of major drivers. We do not find any challenges because of our premium quality we have established a good domestic market and we have also added new clients on the list so on the pellet side we do not see any issue selling the product, the export duty is not evoked we are totally okay with that.

Sachin Kasera : Because see I am asking in the presentation we have mentioned about some quite aggressive plans in terms of increasing both the pellet as w

ell as mining production next

three to four years. In case the duty is not removed we think that we will be in a position to

sell this much in the domestic market over the next years?

Sanjay Bothra: Whatever power they have provided that is basis on the new Greenfield project so that will happen parallelly to Greenfield project so the pellet guidance is given because if we have happen to go for the Greenfield project we will be installing a pellet plant there as well for our in house consumption for that mining capacities has to go up. At the moment we have no plans of selling our pellet plant, we have no plans of doing that at the moment right now.

Sachin Kasera : So fair to assume that this 1.7 to 2 million tonnes is what we are seeing in the next one to two years what at best we can do.

Sanjay Bothra: Our current capacity is 2.4 million tonnes, out of which 35% is consumed for our DRI production and rest will be sold in the market and that we will continue to do so going forward as well.

Sachin Kasera : Next question was on this capex and you mentioned that we should be looking at 500 Crores capex currently we are on cash of 500 Crores so are we looking to calibrate the next two to three years in the sense we will continue to remain debt free on net cash or is that if we have to go Greenfield we will be okay to again into some sort of debt if you could give thoughts on that?

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Page 14 of 23 Dinesh Gandhi: That will depend upon the size of the Greenfield project which we will final announce with the requirement of fund and what is my generation at this point of time, cash flow generation from the beginning so that will depend and if required we may not be able to take some debt from the market. It is not that we cannot raise debt we can definitely raise the debt but we would like to keep the debt either at very substantially lower level or otherwise manage everything with this internal accrual.

Sachin Kasera : Sir can you give us some sense on this leverage and debt in IRR, what is the minimum IRR you would look on consolidated basis before we go into large capex?

Dinesh Gandhi: Our capex should be three to four years.

Sachin Kasera : Okay so unless we get that confidence we are not going to doing any planned capex.

Dinesh Gandhi: Exactly and that also I am talking over a longer period of time. In the interim it can happen in some years margin can go down, margin can go up in some year but on an average the four year should be the trajectory year.

Sachin Kasera : And what type of absolute or debt liability we will be comfortable going for this project if need be?

Dinesh Gandhi: Frankly we have not thought about it, in much detail about it.

Sachin Kasera : As a corporate we have lot of stress. We have been talking very conservative so I am just saying what presents if you have to do any large capex what type of debt are you looking like 500 Crores, 1000 Crores or like one term debt for EBITDA. What is the number where you are expected to?

Dinesh Gandhi: That is what I am telling you. We will decide the size of the debt as and when we have the size of the project and the cost required is ready. It is not that we are against taking debt. We will take the debt and we have taken the debt and grown the balance sheet from 200 to 300 Crores size of balance sheet in 2006 and we came out with the IPO. Today I think our size of balance sheet has already gone down in terms of four to 5000 Crores. We have taken the debt a number of times. We are not against to take the debt but yes we want to keep the debt at a very low level. In any kind of situation the company should be able to survive. We have always been conservative in terms of investment but I have taken 1500 Crores of investment in 2011 and after that we moved to change in government guidelines following the international prices of commodity. We came to a stage where we w

ere able to make

interest payment so we will be continue to be conservative in our approach but definitely if

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Page 15 of 23 required we will take some debt and I will tell you recently also we have taken some debt, indirect debt we have taken for our import of solar module rest we are importing it through internal accrual.

Sachin Kasera : Just one last question this was also a query by another participant on this. See I understand that we have to be conservative and all that but the type of cost structure we have and type of sustainable EBITDA we can make even difference in prices and types of correction that you have seen stock prices I think it would make immense sense if the company would look at a large or small buyback so I think that may also be one of the best opportunity to deploy our cash at point of time when there is so much volatility in the steel market and you are not getting much clarity, spending 100 to 200 Crores on buyback will obviously send a good message to the investor.

Dinesh Gandhi: I understand your point and as I said we were looking on that plan, although we have not

announced yet and because of sudden imposition of export duty you have to wait and see at least 5 to 6 months where the markets goes and at what point of time if I go and open the buy back and use the money there and if I need the money for operation so we took a call that we will not do the buy back in this point of time. We will wait for a suitable opportunity and do that.

Sachin Kasera : Thank you and all the best.

Moderator: Thank you. The next question is from the line of Yogesh Jasani from Mitul Analytics. Please go ahead.

Yogesh Jasani : Sir thanks for the opportunity. I have question on the beneficiation part if could share a bit more details in terms of the economics this project that we are taking up for example what would be the beneficiation cost per tonne and in terms of the increase in production that we had mentioned how much of that could be because of the beneficiation and not actually increase in mining.

Abhishek Agrawal : At Godawari complex we have already achieved the rate capacity of 3.2 million tonnes of beneficiation, the new beneficiation plant is coming up, because the main reason is to reduce our incoming cost in mines because right now whatever we get from mines we are beneficiating in Godawari facility in which about 20% of wastage is generated which is of no use to us so we are basically losing 20% on account of freight. So if you say the freight about Rs.1000 so 20% cost is going up on account on freight to save that cost we have taken a decision we have taken a decision to install a beneficiation plant in the mines area only so that will substantially reduce the cost that is the reason and the project is already Godawari Power and Ispat Limited
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Page 16 of 23 under way 0.6 million tonnes and the first phase should be completed by the end of this financial year.

Yogesh Jasani : So one part of it understood instead of beneficiating the plant you will be doing it directly in the mines so that will save you some cost but in terms of beneficiation cost what would that be per tonne.

Abhishek Agrawal : It is very minimal. I will tell you so the beneficiation cost will be Rs.150 per tonne of iron ore that is it.

Yogesh Jasani : And this will increase the grade also or it just be able to utilize our wastage better.

Abhishek Agrawal : This will only help us utilizing the wastage better.

Yogesh Jasani : No efficiency in terms of the grade.

Abhishek Agrawal : Because we are already able to produce what we desire to. This is just a cost effective just to reduce our cost of iron ore. I will tell you one more thing. One other reason for doing this earlier we decided to beneficiate the plant area the reason was there was an issue in terms of royalty which has to be paid to government

of India basis of current structure but now IBM

has come with a different game called concentrate so the movement we beneficiate iron ore it jumps to the category of concentrate so with that they have started publishing the royalty for concentrate now so it becomes much easier for us to analyze the total value and pay the royalty and this modification has come into place last three months only because the currently royalty of 55 compared to 65 iron ore the difference is almost about Rs.800 a tonne which is substantial going forward so that is another reason and that has been certified Indian Bureau of Mine.

Yogesh Jasani : That is really helpful. Sir second is one more clarity on the Greenfield project that we are taking up so there are we sure that we want to take up another similar kind of set up based on billets and bars?

Abhishek Agrawal : The Greenfield project will be primary route which will be blast furnace based route. We are not expanding into current structure of sponge, billet and all those things. We wanted to make good steel so the Greenfield project will be based on blast furnace route.

Yogesh Jasani : Got it thank you.

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Page 17 of 23 Moderator: Thank you. The next question is from the line of Tarang Agarwal from OldBridge Capital. Please go ahead.

Tarang Agarwal : Hello Sir good morning and thank you for your time. Couple of my questions on my side given the incidence of export duty one would have imagined the realizations would take a material impact but that has not really played out to an earlier comment where it was indicated that we are already sitting at about 20 to 25 million tonnes of pellet surplus so just wanted to understand how things played out on the ground and why we have not seen the impact. It does not seem like we will see the impact in Q2 also in terms of whatever external data that is available so just wanted to get a sense how things will get played out in the market that is one and I will follow that up?

Dinesh Gandhi: I would like to correct what you just said because the prices before this duty was imposed was hovering about 9500 in Orissa and 10,000 in Raipur sector so from Rs. 9000 the prices had already gone down to Rs.6000 x plant Orissa and about 7500 x plant Raipur. The only thing which played in our favor was the monsoon. With the onset of monsoon sponge is preferred to use pellet over lumps and the production of mines still goes down at India level where there is NDC or ONC being the biggest miners in India at the moment so availability of lumps has gone down plus during monsoon most of them prefer using pellet over lump so that is why the demand has come back to the market when the monsoon gets over we need to see where the market will stabilize. It might go down. It might stay here. There are lots of factors deciding so we have to wait and watch. And just to update you June data of pellet in India level the production was down 20% compared to May month so you will see always reduced production at India level when it comes to pellet so June was 20% lower when compared to May so some people have also reduced their production. There are lot of big players like Rashmi, Shyam and other players what they have decided initially was to run their captive plant and probably take a little bit of maintenance for merchant side plant, so the strategy keeps changing depending on the market so we will wait and watch and see how it unfolds going forward when the monsoon are over.

Tarang Agarwal : Second question on your downstream business typically from pellets to rounds to galvanized typically how would the conversion cost change?

Dinesh Gandhi: See the operating cost remains more or less the same. It is only the input side for example sponge iron. For sponge iron today the thermal coal prices are at all time high so that way the substantial rolling is deciding our operation pocket so de

pending on sponge prices pellet

prices keep moving up and down because there are other factors like CPC which is all time high then ferroalloys, then pig iron scrape so lot of factors is there to decide what the Godawari Power and Ispat Limited

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Page 18 of 23 operating cost is going to be but on annualized basis the cost remains plus minus 10% here and there if you are able to operate if you are able to operate on full capacity.

Tarang Agarwal : My question is between pellets, rounds and galvanized, typically how the cost structure for you would change between pellets to rounds and rounds to galvanized?

Dinesh Gandhi: Galvanized we are not using captive material for your information. Galvanized plant is using the material and the plate etc., is brought from the market. It is converted into galvanized product in whatever shape and size is required through fabrication shop and then export it. We are working on steel melting capacity in order to feed, therefore we said that expansion of steel billets from 0.4 to 0.3 we have kept in hold because we are working on the technology and the size of the unit which we will set up so that the unit becomes a part of your value chain otherwise fabrication business today they are buying structure from the market or plates from the market they are converting to various requirements, and sold it in the market. It is clearly a conversion business at this point of time.

Tarang Agarwal : Yes thank you. That is it from me.

Moderator: Thank you. The next question is from the line of Aman from Augmenta Research. Please go ahead.

Aman: Thanks for the opportunity. Sir can you throw some light about what would be the conversion cost from let us say per ton of pellet things because as we are seeing prices of iron ore are going down and like currently if we look at the difference between the landing cost and the cost of iron ore in the market the difference comes to around Rs.5000 a tonne so can you just highlight about what could be the per tonne cost of conversion from iron ore to pellet?

Dinesh Gandhi: See for us most of the materials come from mines so the prices are going in the domestic market it does not change our conversion cost being captive miner. Currently with the coal prices hovering all time high and even the oil towards all time high about the crude, currently the conversion first from iron ore to pellet is about Rs. 1800 a tonne.

Aman: Okay Sir. Thank you.

Moderator: The next question is from the line of Kunal from Reliance Securities. Please go ahead.

Kunal: Sir just a followup question are we looking at inorganic growth because we have heard that units who are exporting have shut down so are we looking at inorganic growth.

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Page 19 of 23 Dinesh Gandhi: On the pellet side we have no intention of doing that. I will tell you even for the units the duty imposed by the government it is also imposed on those plants as well. For example KIPL is shut although it is EOA unit because even he has to pay 45% duty for exporting pellet so does not make sense.

Kunal: Got it thanks.

Moderator: Thank you. The next question is from the line of Ganesh, an individual investor. Please go ahead.

Ganesh: Do you have any constraints on expanding at current rate at least with the new products?

Dinesh Gandhi: We have limitations on account of not land but primarily because the current area where our plant is treated it has been designated as CPA critical polluted area by government of India by central pollution India so any expansion in this particular depends on the conversion of energy so anything related to coal we will not get permission from the pollution board to install the unit so there are limitations in this premises.

Ganesh: My next question just wanted to get a sense on why the steel billets expansion was put on hold so is it steel billets capacity a bottle neck for

more downstream project like TMT rod etc.

Dinesh Gandhi: We have kept it in hold because we want to make different product. We still need trade indoors and for that we are working on the module what kind of capacity will be suitable how much it can be done and that is better for that we have kept it on hold otherwise we can always increase the capacity in three months time from four to six.

Dinesh Gandhi: It is got on hold. We will eventually expand the capacity going forward.

Ganesh: Thank you.

Moderator: The next question is from the line of an Adiya Shah, an individual investor. Please go ahead.

Adiya Shah : Just wanted to understand Sir compared to Q4 FY2022 and in Q1 FY2023 how was the EBITDA per tonne for pellet moved.

Dinesh Gandhi: We do not have the number ready.

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Page 20 of 23 Adiya Shah : But would it be correct to say the entire dip basically in NSR the dip that we saw Rs.3000 is the dip in NSR in pellet that will be the dip that we have seen in EBITDA per tonne level or there is some volume impact?

Dinesh Gandhi: The volumes were a bit much higher than what it was in Q4. So far as incurring cost as Abhishek has already mentioned in the call is Rs.1300 a tonne plus cost of iron ore. This is what the cost of the pellet is.

Adiya Shah : Sir my second question is on thermal coal. Do we have the numbers what was the average thermal coal cost for Q1 FY2023 and how do we see that going for the rest of FY2023 standing today I know it is governed lot of other global things happening in the commodity market but sitting today if I were to ask what is your sense on the prices?

Dinesh Gandhi: So Q1 average pricing for sponge iron was about 14,000 a tonne and in Q2 it will be somewhere 15 and half thousand rupees a tonne so marginal increase so we are able to maintain at the same level because of advance buying.

Adiya Shah : Sir I was asking about thermal coal?

Dinesh Gandhi: I am mentioning thermal coal only, so thermal coal which we are using for sponge iron the landing cost to the plant is about Rs.17,000 a tonne, 17,000 and in Q2 it will be somewhere about Rs. 19,000 a tonne.

Adiya Shah : Okay understood that is all Sir.

Moderator: Thank you. The next question is from the line of Nilesh Gandhi from Metadesign. Please go ahead.

Nilesh Gandhi : All my questions have been answered. Thank you so much. Congratulations to the team.

Moderator: Thank you. The next question is from the line of Sachin Kasera from Swan Investment. Please go ahead.

Sachin Kasera : Can you just give a brief sense of what would be your current cost of pellet production?

Dinesh Gandhi: 1800.

Sachin Kasera : So totally around Rs.5000 including all the cost, all taxes?

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Page 21 of 23 Dinesh Gandhi: At the moment it will keep varying between 5500 plus minus 10% because of the coal use, or we have to use oil for availability and others, all the cost has gone up so I would say 5500 plus minus 10% would be a decent number.

Sachin Kasera : Do you expect any reduction in terms of the cost of production going forward because you mentioned regarding some royalty that you have to pay?

Dinesh Gandhi: Going forward with iron prices going down domestically we expect a reduction in royalty about Rs.250 a tonne so that will straight away add to our cost going on the lower side and second would be once the monsoon are over and the availability of coal becomes better we should be able to reduce our operating cost by Rs.200 so overall I think 4 to 500 of saving forward which is about 10% of our current production cost.

Sachin Kasera : Sure and in terms of mining also Sir as we ramp up the production do we get any cost

benefits or this is 3150 cost of the mining?

Dinesh Gandhi: As I mentioned earlier the average cost will be about Rs.2700 but on account of royalty and the diesel escalation the cost is

Rs.2150 once the operation are further ramped up I do not see a substantial saving probably Rs.100, 150 here and there which is not very big.

Sachin Kasera : So we should not assume that 5000 is more or less going to be like the base cost of production for pellet.

Dinesh Gandhi: As I said 5500 plus or minus 10% it should be a ratio figure because Rs.500 here or there is not a big number. The coal is not there. The oil prices go up and anything else goes up so all depends.

Sachin Kasera : Thank you.

Moderator: Thank you. The next question is from the line of Ganesh an individual investor. Please go ahead.

Ganesh: So total coal price last quarter it was around Rs.400 plus odd now it is Rs.200 odd. Does it affect our pellet premium?

Dinesh Gandhi: To be honest since we are out of the export market and domestically I do agree at a certain point of time it does impact our pellet premium on the high grade but with the current scenario the more start buying the premium product we will revise the actual value rate so I am confident it will not impact to very great extent. We should be able to get the desired

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Page 22 of 23 premium going forward. What has happened in India because of low availability of iron ore which is about 63 earlier now everybody in India is making a pellet of 62, 62.5 that is the benchmark in India for pellet makers so when it goes down, your content goes up in the pellet so that will increase the slab volume and cooking coal cost for the blast furnaces so I am confident with our premium product we should be able to maintain the same premium which were getting earlier in the export market.

Ganesh: Sir just one curiosity question. Compared to your peers Godawari ferroalloys seem to be very low so any reason we have not scaled that portion of our products?

Dinesh Gandhi: I think current capacity what we have I think we are operating close to 95% of the capacity.

Ganesh: My question is any reason why we have not scaled the volume up in that area.

Dinesh Gandhi: Our current capacity of ferroalloy at Godawari which is about 16,500 on annual basis so we produced about 4000 tonnes in Q1 which is line with the capacity, then Hira Ferro has a capacity of.

Ganesh: 16000 tonnes is capacity operating at about 45,000 tonnes of 75 to 80%.

Dinesh Gandhi: Right now thermal coal is a big, big issue so operating plants which are coal based becomes difficult even challenging so depending on the current market scenario we keep changing the charge mix because of which the portion keeps changing. For example if you make ferromanganese the production volume goes up but if you are making manganese then production volume goes down because of power convention so depending on the market realization we keep changing our mix.

Ganesh: My original question you related capacity is pretty low compared to some peers.

Dinesh Gandhi: You are right because we have not done expansion in the ferroalloys business. If we do ferroalloys business expansion then you need to have long term energy requirement in the thermal power plant so that is the reason we have not expanded so if you want to put up one furnace then you have to put mixing capacity of your power plant as well and if you see right between 2011-2013 we committed substantial amount of capex in solar thermal power plant increasing the pellet capacity and we wanted to expand on this side of capex because of the fall in the commodity market those plans were kept in hold and the improvement started from 2018 onwards we have done debottlenecking wherever it is possible and doing that so similarly we are working on Hira Ferro in debottlenecking and improving the capacity up to 60,000 current production is 45,000 tonnes and that we will be achieving in

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Page 23 of 23 another eight or nine months so Greenfield project again there is land

requirement and other

issues are there. We have not thought about it earlier that we will be expanding the capacity in ferroalloys in the Greenfield location and Raipur market is not close to the port so transportation cost is very high. If you import and if you have to sell the finished product in the international market so as and when the expansion will take place will be taking place closer to the port area there you can save on the logistics cost.

Moderator: Ladies and gentlemen we will move on to the next question. The last question is from the line of Kunal Reliance Securities. Please go ahead.

Kunal: Sir during the call you had mentioned domestic players to use our hybrid pellet you will require cooking coal prices to remain high now that cooking coal prices are expected to come down significantly in the second half of the current fiscal. What is your view?

Dinesh Gandhi: As I said earlier also I am confident because of the overall pellet quality in the domestic market going down from 63, to 62 and pellet being 65 so I am very hopeful we will still get the same premium which we desire in the export market. I do not see an impact happening on that side. Eventually people have to compare absolute numbers versus the other raw materials available compared to our pellet so the moment we are getting a desired premium and I am confident that we will be able to continue to do so in the near future as well.

Kunal: Okay thank you Sir.

Moderator: Ladies and gentlemen due to time constraint we close the call. I now hand the conference over to the management for closing comments.

Dinesh Gandhi: Thank you ladies and gentlemen for joining the call to discuss the Q1 FY2023 numbers of Godawari Power and Ispat Limited. I hope we have been able to answer to your satisfaction.

Any further clarification you can always get back to us our investor relations agency, GO India Advisor. Thank you very much.

Moderator: Thank you very much. On behalf of Go India Advisors that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2022

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REF: GPILINSE&BSE/2022/4881

To,

1. The Listing Department,
The National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
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NSE Symbol: GPILDate: 16.11.2022

2. The Corporate Relation Department,
The BSE Limited, Mumbai,
1st Floor, Rotunda Building,
Dalal Street, MUMBAI -400 001
BSE Security Code: 532734

Dear Sirs,

Sub: Submission of Transcript of conference call held on 11th November, 2022.

This has reference to conference call held on 11th November, 2022 for Analyst/Institutional Investors/fund House/Investors etc., please find attached herewith the Transcript of Conference Call.

The aforesaid information is also being hosted on the website of the company viz.,
www.godawaripowerispat.com.

Thanking you,

Yours faithfully,

For GODAWARI POWER AND ISPAT LIMITED

c-ve--Y.C. RAO

COMPANY SECRETARY

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"Godawari Power & ISPAT Limited
Q2 & H1FY 23 Earnings Conference Call"

November 11, 2022

MANAGEMENT : M R. ABHISHEK AGRAWAL - EXECUTIVE
DIRECTOR
MR. SANJAY BOTHRA - CHIEF FINANCIAL
OFFICER
MR. DINESH GANDHI - EXECUTIVE DIRECTOR.

MODERATOR : MS. SANA KAPOOR FROM GO INDIA ADVISORS

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Page 2 of 20 Moderator: Ladies and gentlemen, good day and welcome to Q2 FY23 Earnings Call for Godawari Power & Ispat Limited, hosted by Go India Advisors. As a reminder, all participant lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal operator by pressing "*" then "0" on your touch-tone phone. Please note, that this conference is being recorded.

I now hand the conference over to Ms. Sana Kapoor from Go India Advisors. Thank you, and over to you.

Sana Kapoor: Thank you, Aman. Good morning, everybody and welcome to Godawari Power & Ispat Limited Earnings Call to discuss the Q2 and H1 FY23 results. We have on the call, Mr. Abhishek Agrawal, Executive Director; Mr. Sanjay Bothra, Chief Financial Officer, and Mr. Dinesh Gandhi, Executive Director. We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risks that the company faces.

May I now request Mr. Dinesh Gandhi to take us through the company's business outlook and financial highlights, subsequent to which we will open the floor for Q&A. Thank you, and over to you, sir.

Dinesh Gandhi: Thank you, Sana. Good morning, ladies and gentlemen, and thank you for joining with us on the earning calls today for Godawari Power & Ispat Limited. I trust you all had a look at the revised earnings presented uploaded on the stock exchange and the company website. The presentation was required to be revised primarily on account of two errors in the presentation. One is relating to the H1 average selling price of the pellet sold, which has been revised. And number two is, the capacity of another solar power project which is under construction, which was only mentioned as 38 megawatts against 25 megawatts. So, capacity continues to remain at 25 megawatts.

I will briefly discuss the result and then we can have the Q&A session after this. Before I discuss the quarterly performance and H1 performance in detail, I would like to discuss on the few strategic updates. As you are all aware of the state pollution control authorities have granted us the consent to operate for the enhanced pellet capacity from 2.4 million tonnes to 2.7 million tonnes. We are revising our guidance for production of iron ore pellets from 2.4 million tonnes to 2.6 million tonnes in FY23. For the H1 FY23 GPIL is already 50% of the revised targeted capacity and producing about 1.31 million tonnes of pellets.

Our CapEx guidance continues to remain at about INR500 crore for the current year. We have already incurred INR179 crore in the first half of '23. The guidance continues to remain the same, despite imposition of export duty and this projects are primarily related to the cost saving and efficiency improvement related. The solar power project will help us improve our cost of power, grid power which is more than INR5.50 per unit. Against that, our generation cost will be hardly at operating level at about 30 basis point, 35 basis points. Similarly, the displacement of turbine will improve the power generation at the same operating cost. And the CapEx at the mining will help u

s to benefitate the overhead mining and reduce the cost of production for the company.

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Page 3 of 20 The only project which we have kept on hold is the Steel Melting Shop where we are still working on the revised capacity and the products to be manufactured and after that we will make a suitable announcement in due course of time.

Regarding the Greenfield Steel project, which the company had announced earlier, the status is, it continues to be, we have not yet been able to acquire the land and the land acquisition is getting delayed. And we have filed for the environmental approval for the project which is under consideration of the central ministry. Once the land acquisition is done and environmental approval is received, we will be able to freeze our investment plan and we will guide the market accordingly in due course of time.

Coming on the performance, the market price of iron ore for Q2 FY23 is INR4,500 per ton, whereas our captive blended iron ore cost is about INR3,000 a ton. This shows the competitive advantage of the captive iron ore that GPIL has. In Q2 FY23 GPIL iron ore mining and pellet production has increased by 34% and 17% on a y-o-y basis. Production was HB Wires, Sponge Iron, and Fabricated products has also increased on y-o-y basis. However, production of Ferro Alloy has reduced primarily because the market for the Ferro Alloy prices have gone down and we took this opportunity to do a maintenance shutdown of the Ferro Alloy plants, HIRA Ferro Alloy and Alok Ferro Alloy.

Similarly, you would have observed our pellet realization has gone down by almost INR3,500 a ton as compared to the pellet realization in the Q1 FY23. And if you look at our numbers, the fall in profitability is mainly on account of fall of pellet realization because our cost of production remains same overall account of the captive iron ore mining. And if you take the impact of the reduction in pellet selling price from what INR11,500 to INR8000 something, INR3,500 into 550,000 tons of pellet, comes to about INR200 crore and to the extent that there is fall in EBITDA of the Company and the fall in pellet realization, as you are all aware, is on account of imposition of export duty. And simultaneously, reduction in the international selling price of iron ore prices.

Now, coming on the financial performance for Q2. Consolidate revenue increased to INR1,307 crore up 3% y-o-y basis but decreased 22% quarter-on-quarter basis. The main reason for decrease is majorly because in the realization of the iron ore pellets. The total expenses looks to be increased by 28% y-o-y but actually the expenses are looking higher on account of reduction in the selling price. So top line is higher, expenses have not increased substantially. Expenses continues to remain at the same level, except the prices of coking coal and y-o-y basis.

The consolidated EBITDA at INR231 crore, which is down 50% quarter-on-quarter and 47% y-o-y basis. The drop, I have already explained, the drop in EBITDA is mainly because of the fall in the price of the iron ore pellet. Also, consolidated PAT from continuing operations is attributed to down 48% sequentially to INR168 crore.

Now, coming on the market outlook. Starting with the international outlook. The iron ore prices have already fallen to about \$80 from \$158 as of 1st of April. The demand and consumption of steel and other commodities remain subdued in China due to COVID and real estate crisis, and in the rest of the world, due to interest rate hikes, and the energy crisis. Expectation is that, in H2 FY23, things will improve due to China's stimulus to support economic growth. However, uncertainty remains due to China's zero-COVID policy.

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Page 4 of 20 Iron ore prices post correction are expected to stay in the range of \$80 to \$120 for the rest of the year. Also, import of iron ore pellet of China is reduced by 33% in January to September 2022 compared to same period last year because of the sustained crude steel production cuts and weak domestic outlook.

Coming on the domestic outlook. Government has levied export duty on iron ore from 30% to 50%. On pellets from nil to 45% and steel from 0 to 15% in May 2022. This has led to sharp drop in the domestic iron ore prices. NMDC has cut iron prices by approximately INR2,000 per tonne. Iron ore production in FY23 is estimated to be lower. Pellet prices decreased from INR14,000 a ton in April'22 to INR7,450 per ton and is presently trading at INR8,000 a ton.

Domestic iron ore prices have likely bottomed out, at much higher level than historical levels. The support has come from the cost curve which has moved up by INR1000 per ton to INR1500 per ton post the auction of iron ore mines. At current iron ore prices many domestic mines have become unviable. Some support has also come from improvement in domestic demand of steel due to increased off take from Infra projects. Going forward improvements in the prices of iron ore and pellets will depend on the impact of the export duties. However, downside remains largely protected due to the cost curve of iron ore.

We can now open the floor for question-answers. Thank you very much.

Moderator: Thank you very much. We will now begin the question-and-answer session. And first question is in the line of Prashant Kumar Kota from Emkay Global Financial Services. Please go ahead.

Prashant Kumar: Hello, sir. Good afternoon and thanks for the opportunity. I really appreciate the very detailed presentation and the data pack that you gave. It is like one of the best in the sector. Sir, my question is regarding your view on iron ore pricing, generally internationally and in India and to that extent, pricing of pellets, assuming, if remove the government angle aside? Just based on the current dynamics, what is your view and how do we see this from here, sir?

Dinesh Gandhi: So, it looks like the international prices are at about \$80 is almost bottomed out to some extent. If the demand and China stimulus comes through then the prices should improve from here on rather than going down from here. The \$80 should be the lower prices of this iron ore international market.

Prashant Kumar: Got it. And sir, your view on the domestic side, pellet side? Can we largely say they have bottomed out after this government intervention? Steep fall.

Dinesh Gandhi: Steep fall has already happened in pellet prices. Rest of the steel prices, as you may be aware, in long product, the prices are more or less stable, maybe INR1,000 here and there, the prices are fluctuating, but mostly stable. Iron ore pellet prices have corrected only because of the imposition of export duty and of course, the reduction in demand in international market. So both have impacted the iron ore pellet prices and we believe that iron ore pellet prices at INR8,000 and 5% or 7% down from here should we be stabilized.

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Page 5 of 20 Prashant Kumar: Understood, sir. Understood. Sir, my second question is more to do with the social angle, social aspect of or what you as a company do. So basically, apart from running a profitable business for the shareholders, we also understand from sources that you do a lot of CSR activities in the mining regi

ons around your mines, sir. It's always very important to do that, given the local communities' development upliftment, etc. So, all those activities that you do are still continuing without any...Am I right?

Dinesh Gandhi: Yes. I think we had highlighted at some point in time we continue to transport our entire iron ores from mines to our plants by the road. We have an opportunity to reduce the cost by transporting by water. But in order to get the employment to the local population, who own the trucks which are flying between Godawari Power Plant and the mines exclusively, they get employment and of course, that elevated our cost structure by INR300 per ton to INR400 per ton, but on account of development of region where our mines are located, we are continuing with road transport.

Similarly, we have done a lot of CSR activities. I think each and every village house is pakka now. There is school facility. There is hospital facilities, you know, all those facilities are available. The roads in the village are now pakka road. So, all those activities are being continuously done by the Company.

Prashant Kumar: Great, sir. Really great. Really glad to hear that and fantastic and wish you all the best.

Abhishek Agrawal: And as a company we also believe, we should give it back to our society. That is our responsibility.

Moderator: Thank you. Next question is from the line of Jyoti Singh from Novama. Please go ahead.

Jyoti Singh: Hello. Good morning, sir. I have three questions. One is, looking at your consol numbers, I guess there are losses in your Ferro Alloy business. In case how do you look at the demand and supply scenario of this segment, Ferro Alloy in India? Shall I go ahead with the other question?

The second is, as you've mentioned, that you will be doing a CapEx as per the plan. Are you confident that you will be able to achieve the guidance of INR500 crore, because in H1, you have done around INR180 crore. Please let us know your plans regarding the Greenfield Steel Project. And third is on your coal sourcing mix. So how do you think the coal sourcing mix looks like and how much coal did you import in your second quarter and what is the inventory of coal as of date?

Abhishek Agrawal: Dineshji, let me take this question. Good morning, ma'am. So, on the first question of Ferro Alloy, see, we need to understand India is a big exporter of Ferro Alloy, whether it's zinc-manganese ferro or any kind of, right and primarily biggest market is Europe and you all

understand because the energy crisis in Europe and Ferro being quite an energy intensive industry, so, a lot of capacities have gone in steelmaking. I was reading an article yesterday, so Arcelor Mittal itself, you know alone as a group has reduced their production by almost 10 million tonne across Europe, entire Europe. So, that is the reason that pellet prices has dropped significantly. That is one of the major reasons, and in India, there is an oversupply of Ferro Alloy. So, export is part of a good mix when you want to balance the entire demand and supply

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Page 6 of 20 in India. So, at the moment I will see Pellets prices will be under pressure for sure. Going forward as well.

On the coal side, at the moment, I have told this earlier this as well, we are importing coal for our DRI operation. We've already doing that. And we still continue to import. We import from Africa. We import from Australia and currently, we imported from Russia as well. So, depending and as all are aware, currently, finally, the coal prices have started cooling down. They've almost cooled by \$100 in last six weeks. So, we are trying to obtain minimum inventory so that we can take advantage of the lower pr

ice. And for the power plant we are sourcing domestic coal. We have linkage from Coal India, as well as we are buying from the domestic market.

Jyoti Singh: Okay. And what was your coal import in Q2?

Abhishek Agrawal: In terms of volume or in terms of number?

Jyoti Singh: Both.

Abhishek Agrawal: So, see, we usually import on monthly basis or 45 days basis because we want to go with the market because the market is very volatile. So, we imported about 1.5 lakh tonnes in Q2 and then the average price would be about INR18,000 landed to plant.

Jyoti Singh: Okay. And your CapEx guidance?

Dinesh Gandhi: CapEx is, as I said, we have done INR179 crore in the first half. The major work on the solar power plant where we only invest more money has started after the monsoon. So, except the CapEx on the Steel Billet side, everything else is expected to be completed in the current year itself, including the capacity for mining, both for the solar power plant 25 megawatts GPIL, 60 megawatt, HIRA Ferro Alloy and our replacement of turbine. So, these are main components of the CApEx, which is the remaining CapEx and likely to be completed in the current year itself. So, entire INR500 crore, including INR179 crore already done will be completed in the current year. And in some ways, it could be 5% or 7% of the CapEx here or there, but largely we are on line.

And one more point I want add about the loss in the Ferro Alloy business is, we are holding a lot of inventories of manganese ore, which we have procured at a higher prices and the same is getting consumed or consumed during the last quarter and continues to get consumed and therefore the impact of inventory loss is also there, as against the pellet inventory where we are not impacted because the our inventory of pellet was hardly seven, eight days and iron ore the cost is fixed because of the captive iron ore. So, the inventory loss is mainly there with us in the Ferro Alloy business.

Moderator: Thank you. Next question is from the line of Mitul Sha from Reliance Securities. Please go ahead.

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Page 7 of 20 Mitul Shah: Thank you for taking my question. Sir, compared to Q2 how has been the trend during this October, November in terms of the demand situation? And also, if you can give us some details on the thermal coal price trend in current quarter compared to Q2?

Abhishek Agrawal: Yes. So, demand in terms of key or overall demand on in terms of pellets?

Mitul Shah: Overall demand and specifically in terms of pellets are our pellet is relatively better quality compared to...

Abhishek Agrawal: Ok. Right. So, on the overall demand side, see that the demand has really little on the sluggish side because of the monsoon. Usually, steel industry, the demand is always on the sluggish side because of the monsoon season and thus there were a lot of correction because of the import and export duty. So, there were a lot of changes in the supplier and buyer side. Everybody was concerned about the prices further going down. So, buying was bit skeptical. And with monsoon over, so, November to April will be the peak period for the steel industry. So, it opened. The demand should come back soon.

On the pellet side, the demand is really good for us at least because of our entire production, we almost produce 65% of high-grade pellets. So, at the moment also we stand at order book of almost 45 days. So, we have order books till end of December. So, for us on a demand side of pellets, we have no concern at all. We are very much covered for next 45 days and the inventory is quite low in the part, for the pellet side.

Mitul Shah: Sir, just a clarification, in initial, you highlighted the demand was suppressed

d. That was for Q2
or for October, because my question was primarily on October side.

Abhishek Agrawal: Okay. So that was I think Dineshji mentioned, that was of Q2. On October side, again I am saying, the demand was still sluggish because of the festival season. As I said, the demand will pick up post Diwali, which is November season, but on the pellet side, pellet being another raw material, considered as raw material, so demand was still there back then and demand is still there right now also. And as I mentioned, right now, we have order book of 45 days. So, on the pellet side, we have no concern at all. Our order book is quite healthy.

Mitul Shah: And sir, during your discussion with your key major customers, wherein we are saying that's a definite slowdown on Europe side and China to some extent. So overall global demand is under pressure. So, what is indication coming from client, top client side during your discussion for next six months to one year point of view?

Abhishek Agrawal: See, as we mentioned, I mean, it is very true. There is global meltdown in terms of steel production, because of the, one is the energy crisis and secondly, the inflation, especially, with countries like Europe. They are going through heavy inflation. See, as I mentioned earlier, many big steel companies are reaching their production as per the demand but eventually, it's how competitive you are. And with the iron ore mining, we see, if somebody has to die, we will be the last in the list. So, as I said, we are very much comfortable in terms of demand level, because our volumes are not so big and on pellet side, we have been able to tap three, Godawari Power & Ispat Limited
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Page 8 of 20 four big buyers in India, which are regularly buying from us. So, I don't see any concern going forward as well.

Mitul Shah: Sir, in terms of thermal coal pricing trends compared to Q2, how has been the situation in October, November current quarter?

Abhishek Agrawal: See, usually what happens, we are usually covered for two months with the inventory that is in the plant, stock and the materials in transit. So, the entire stock, the prices which have started cooling down in coming Q4 of this financial year, but at the moment as I had mentioned in the last call also, the prices are standing at INR18,000 a ton for DRI and for domestic, the average mix of linkage and the domestic purchases is about INR5,500 per ton from our partner.

Mitul Shah: And sir, how has been the trend of the prices of this pellet price and steel prices in current quarter?

Abhishek Agrawal: Post Diwali, the prices have been quite stable.

Mitul Shah: Have they stabilized or still continue to decline in November also?

Abhishek Agrawal: No, no. So, pellet prices are hovering about INR8,000 ex-plant Raipur for the pellet which is being manufactured by others in India and on the steel side, the prices are about INR44,000 per fillet and Sponge is about INR30,000. So market has been quite stable post Diwali. There was a downfall pre-Diwali but post Diwali the market has been pretty stable. And we are hoping that as the demand comes back, the prices should go up further.

Mitul Shah: We expect prices upward revision in coming months and Q4 or it should stabilize?

Abhishek Agrawal: See, it is very difficult to ascertain what prices should go up but I think as Dineshji mentioned, we feel the prices have bottom out to certain extent. We don't see a downfall from here. Probably, 5%, 7% here and there, you can't say but we assume this is a benchmark where prices should not go below this.

Mitul Shah: Sir, anything on the hedging as currency fluctuation is too much this time and we are doing sizable import of the coal and few other things?

Abhishek Agrawal: See, early earlier it was a natural hedge for us when we were exporting pellets. So, that was natural hedge but after the export has been stopped, we do a close monitoring on daily basis. Keep track of the dollar fluctuations and all the news evolving around it. For example, in last few days, dollar has come down from almost \$82 level to \$80.6 level. So, we keep a close track and depending on the market situation, we keep hedging our import, export exposure. Godawari Power & Ispat Limited
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Mitul Shah: Sir, what would be the net exposure right now as a percentage of sales?

Dinesh Gandhi: Currency exposure?

Mitul Shah: In terms of import versus export earlier as sir, highlighted that we used to do sizable exports. So, it was a natural hedging. But now export has come down significantly and import would still remain same. So, then, what is the parity now net?

Dinesh Gandhi: Our overall exposure in the forex market at consol GPIL level will be close to about INR700 crore, total exposure.

Mitul Shah: INR700 crore for this FY23 or now?

Dinesh Gandhi: As of now, it is about close to INR700 crore exposure is there.

Mitul Shah: Sir, lastly on the CapEx side, as you highlighted, INR500 crore still we are maintaining and there is no sizable spillover to next year, how one should look at next year's CapEx or majority of CapEx is being done this year or it will continue to be similar range in the next year also?

Dinesh Gandhi: Next year CapEx we'll be able to guide it by end of the current quarter or maybe at the time of the Q1 call. We have to start work for our Greenfield Steel Project, but the land acquisition and the environmental approval both are delayed and it's taking time. So, once we get the approvals, then only we'll be able to guide how much the CapEx we can do it in the particular year, upon receipt of that approval. Otherwise, whatever this CapEx is currently what is likely to be completed by the end of the year. So, for next year CapEx, we will be able to guide in due course of time only.

Mitul Shah: But any indication, directionally would be higher or lower than this current year? May not be the number.

Dinesh Gandhi: Maybe similar kind of CapEx in the next year. Close to INR500 crore a year. It won't go much because when we get the approval, then we'll place the order for equipment etc. So, I don't think it's going to go beyond INR500 crore, INR700 crore and we will be able to meet the entire CapEx through our internal accrual.

Moderator: Thank you. The next question is from the line of Vikas Singh from Phillip Capital. Please go ahead.

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Page 10 of 20 Vikas Singh: Good afternoon, sir. Sir, I just wanted to understand that at the high inventory high cost inventory, the entire impact has already been taken by 2Q or some of the impact would flow into the 3Q and how the blended price you are expected to move in 3Q?

Dinesh Gandhi: So, most of the inventory related is already taken because we had an inventory loss on manganese ore prices only. Rest of the prices are mark-to-market and I don't think there's any major inventory loss is there in the company. So, it is mostly covered into Q2.

Vikas Singh: So the imported thermal coal, which would have come at a higher cost that is also mark-to-market by 2Q and 3Q we won't see any inflation because of that?

Abhishek Agrawal: No, we won't see that.

Vikas Singh: Understood sir. My second question pertains to net cash. So if I just do the math, we would

have earned some cash during first half, but our net cash position kept on declining. So, barring INR179 crore of CapEx, where the rest of the capital cash has been deployed because I don't see much of the inventory creation for us during the first half?

Dinesh Gandhi: No, no, on net-net basis, the money has been deployed in CapEx, as well as in your current assets. If you see, my net current liabilities has gone down by INR300 crore and current asset has gone down by INR100 crore only. In addition to that there is a dividend payout of INR118 crore.

Vikas Singh: Understood, sir. And sir, during my first question, I also asked that how the average prices movement we are expecting in 3Q versus 2Q in our major products, such as pellet and sponge billet? If you could give us some insight into it.

Abhishek Agrawal: Can you come again, please?

Vikas Singh: So, current prices versus your 2Q average? How they have moved as of now?

Abhishek Agrawal: Okay. So, on the pellet side, the Q2 average was about INR8150 and it's currently we stand at about INR8200. So, it's almost at the same level. On the Sponge side, the Q2 average was about INR33,000 per ton. Currently, the prices stand about INR30,500. So, there's been a drop of about INR2500. On the billet side, was about INR47,000 per ton. Currently, the prices are at INR44,000 per ton. So, there is a drop about 8% on sponge and billet side. Pellets remained the same.

Vikas Singh: Understood, sir. So, one more question regarding the international scrap prices which have been on a declining trajectory. So, does that impact our sponge and billet prices domestically or we remain fairly insulated? So, what's your take on that?

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Page 11 of 20 Abhishek Agrawal: See, when it comes to domestic industry, scrap prices do not effect so much. But what has happened lately because of the domestic side, the scrap being bit high, a lot of people have imported bulk metals into India for their own consumption as in trading. For example, even Godawari, we import about 1500 scrap on annual basis. For the first time we imported a bulk of scrap which is going to arrive in December because if you compare, you're melting cost of sponge, so scrap melting is much more viable at the current level. So, depending on the market situation, it does impact here and there. The impact is not very big, but it is there. You cannot ignore it.

Vikas Singh: Understood, sir. Sir, just one last question regarding our solar power plants. So right now, if you could give us some idea about the cost savings per unit, which we're having on that and how does that move in a couple of quarters down the line?

Dinesh Gandhi: See, GPIL, 70 megawatt has already been commissioned and we have started using the power in our steel smelting plant, integrated plant in Siltara. There, we are buying power from the grid for INR5.5 per unit. Now, so against this, our cost will be less than INR1.75 including the grid charges, the power banking charges. So, net-net there will be more than INR3.5 per unit saving. The 25 megawatt power plant, where the effective power generation would be about 4.5 megawatt, we will be using in our mines. So, mines, we're buying power at about INR12 per unit. The grid tariff for mines is higher. So there will be replaced with the power cost of INR1.75 from the solar. So, the entire saving will progress to the profitability. So, against INR12, you take INR2 cost, so INR10 saving is expected there. Similarly, HIRA Ferro Alloys, we because of the very high cost of coal, we are using the power from the grid rather than running the coal-based power plant and same will also get replaced with the solar power by the end of the curren

t financial year. So, net-net, our steel melting and Ferro Alloy business, we expect the saving of about INR3.5 per unit and in our mines, our savings will be close to INR10 per unit.

Moderator: Thank you. Next question is from the line of Jatin from Invest Savvy. Please go ahead.

Jatin: Thanks for taking the question on the call. On the power saving, you said 70 megawatts and the other 25 megawatt plant, there will be 4.5 megawatt which will effectively be produced. So, this is, while in megawatts terms, it is fine, but how many megawatts were actually produced? Megawatt hours were actually produced? For solar power, in a month, how many hours and how many days is it operational?

Abhishek Agrawal: No, no. So, just to clarify, it will be difficult to answer that directly. You can consider a 17% PLF on annual basis. For example, if it's a 70-megawatt solar power, so, 70 megawatt into 117, so 12 megawatts will be your generation throughout the year.

Jatin: So, 12 megawatts into 365 into 24?

Abhishek Agrawal: Exactly. Into 1000. So, basically, it is 12 into 24 into 365 into 1000 means about 10 crore unit annually. 10.5 crore unit annually. That is how the calculation is done.

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Page 12 of 20 Jatin: So, basically you are saving, INR3.5 to INR10 depending, and this 4.5 megawatts is already taking that 25 into 0.15 and converting to 4.5?

Abhishek Agrawal: Yes, yes. Exactly.

Jatin: So, this will show off in your cost savings or this will show off in your...?

Dinesh Gandhi: Cost savings.

Abhishek Agrawal: Cost savings, So, as Dineshji mentioned, in mines, we are currently importing power from the grid and then the average bill is about INR11.5 per unit, which will come down to about INR2. So, saving about INR9 to INR10 there. And on the plant side, the INR5.5 generation cost on coal side, we will save about INR3.5. So that was what Dineshji mentioned previously.

Dinesh Gandhi: Even the grid power, we are buying small quantity of power from the grid.

Jatin: So, if I do a rough math, there is a saving of about INR75 crore a year based on what you have said. So, that is obviously a very heavy number. If we look at the impact of dollar movement on your business, is there a connection between the dollar, overseas price you're saying \$80 to one \$120 is what you expect it to trade at. Dollar has moved up, then does that mean that your realization will be better in India?

Dinesh Gandhi: Export is not allowed, my dear friend. Export is not allowed.

Jatin: Is relationship between the domestic price and global price?

Dinesh Gandhi: There is no relationship because in India pellets are not getting imported.

Abhishek Agrawal: What he means is, dollar is moving up, does the domestic prices also start moving up? So, I would say not relatively. For some people it might change, that might have an impact depending on the product cycle. For example, people who do engineering or depending on imports, but relatively, on a larger scale, it doesn't impact so much. And right now, the global prices of all the commodities or all the steel, I would say production, pellets and all, long product, prices are much, much, much less compared to the Indian domestic market. For example, billets, right now if you see that, it is about \$490, which is INR40,000 and in Raipur, we are selling billet at about INR44,000. So, it's already 10% higher. So, rise on impact is not very relative to compared the dollar movement.

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lly to domestic prices trade, when exports were allowed was exports price at a discount to the global price, or was it par to the global price or is it below the global price?

Abhishek Agrawal: It all dependent demand supply, there'll be times that domestic prices are much lower compared to global size. So, people start exporting more and then the dimensions are stronger than the global then people start buying domestic more and use their export volume. So every company depending on the market scenario keeps changing the you know, the supply mix in the domestic and export market. It is a very volatile market right now. So you know there isn't a lot of reasons behind it. So it's difficult who you know, give us we know one particular answer.

Jatin: Okay, what percentage of your cost is coking coal?

Abhishek Agrawal: We don't use coking coal, because we don't have a blast furnace. We are into DRI route. So we have pellets, coal based sponge yarn and then making production and so we only import thermal coal we don't import coking coal.

Jatin: Okay, and thermal coal is what percentage of your cost?

Abhishek Agrawal: So 50% of total import. So the total coal I consume in entire operation. Import is 50%.

Jatin: 50% is important and the rest is?

Abhishek Agrawal: Domestic

Dinesh Gandhi: Total raw material cost is closer to about 10%.

Jatin: So total cost of coal used is 10% overall cost or 10% of the overall revenue?

Dinesh Gandhi: Overall costs cost. Not the revenue Okay.

Jatin: Thank you, in terms of your operating margins, as we can see that you know, because of the factors that you have been mentioning, we have seen a big drop in realization and hence the EBITDA is dropped. From 35% It came down to almost 17% for the quarter, so 28% to 17%. Do you think it bounces back from here or stays here or goes lower.

Dinesh Gandhi: That depends on the opening of the market for export and what is the international scenario. Otherwise the long term margins are closer to 20%. But if an extraordinary situation arises like you know, last financial year, then the margin can go up to 35%, 40%. Last year we did Godawari Power & Ispat Limited
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Page 14 of 20 42% in H1 FY '22. So that depends on the demand supply purely and commodity, so fluctuations are very wide.

Jatin: Okay, so if you were to, like assuming exports not open the next two quarters, this quarter and the next quarter. Then given all that's happening. You expect it to be around what it is or go up marginally or go down marginally.

Dinesh Gandhi: We expected what it is, 1-2% here and there but mostly in this range. What we did in Q2.

Jatin: Won't your power benefit actually kick into this?

Dinesh Gandhi: Not in current year, major benefit will kick in the next financial year when the project gets commissioned. Some of the some benefit will come from the project we did already commission but then to 2% - 3% here and there could always be fluctuation in the margin and to this extend it will get covered within that.

Jatin: You said that was commissioned in June, became operational in June or it became operational later.

Dinesh Gandhi: No, it has already become operational, the impact of which will be felt from Q3, because in Q2 we had been banked entire power. So, it is alluded cost only. So, Q2 there will be some impact, but then you also see some prices have gone down. In Sponge iron there are some prices are going down in billet. So, that impact will also grow up. So, on an average it will be closer to 19% 20% margin

Jatin: And the 70 megawatt plant which was, I think there from August is that been commissioned or is it going to commission.

Dinesh Gandhi: No, no, no, it is commissione

d and we started utilizing power from October onwards for two months the power was banked with the state grid.

Jatin: Okay. So, for basically both the plants, Q3 onwards full benefit will come in.

Dinesh Gandhi: Yes, for 70 megawatts Q3 onwards will come and for the rest of the project which are under construction, the benefit of which will come in Q1, FY '24.

Moderator: We have the next question from the line of Chintan Mehta from Lloyd Ilp. Please go ahead.

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Page 15 of 20 Chintan Mehta: It's regarding the cost of iron ore in a presentation your maintenance INR 2900 quarter on quarter. So I want to understand that this is including royalty, the cost should have gone down quarter and quarter considering the fall in the market price of iron ore. And royalty is a function of to a certain extent, the prices of the iron ore, don't you think that cost would have fallen by INR 200 INR 300.

Abhishek Agrawal: This is just to just to clarify, you know what happened at we are supposed to pay royalty basis guided which have been published. So right now IBM has printed the price of month of July. So there's usually a backlog of three months. So right now the royalties been paid, which is the IBM price for the month of July, we are seeing in October. So we expect as we move forward and the prices come down so that there will be saving on account of royalty.

Chintan Mehta: And what kind of reductions do you foresee in that? Because that will convert -- they're converted into our EBITDA in one way or another.

Abhishek Agrawal: See the system right now which IBM follows is, you know, they calculate the average of the volume sold in particular state basis, the top five miners, in Chhattisgarh there's only one miner which is selling to NMDC. So that is the impact of royalty on account of the mechanisms IBM is adopting right now, the impact won't be very, very significant. If it had been Orissa, because there are a lot of commercial mining happening then impact will be much more severe. But in Chhattisgarh, the impact will be very minimal, say probably in the range of INR 100-INR 150.

Chintan Mehta: And that impacts us more confidence that the price has bottomed out because NMDC seems kind of you know, to royalty structure in from the mine of Karnataka as well. It has to pay premium royalty on overall basis. So you think that NMDC passage of some more bottom than that will be scope, you know, in Raipur as well, or no scope of reduction. That's your thinking.

Abhishek Agrawal: So I did read the article, which has been respected the Chairman of NMDC and he said the price have bottomed out, and we don't see any further correction. So basis this statement I'm assuming, and NMDC will not get hike the prices further. So we don't expect much correction in royalty going forward as well.

Moderator: Thank you. The next question that's on the line of Yogansh Jeswani from Mittal Analytics. Please go ahead.

Yogansh Jeswani: Thanks for the opportunity. Just one question on your restructuring that we were doing so we had bought in the assets from Alok Ferro Alloys and HIRA Ferro alloys. So just going to your group structure. So in Alok Ferro Alloys we own around 79% And then another 8% 9% is owned by HIRA Ferro Alloys. And 12% 13% Ardent Steel. HIRA Ferro Alloys is a subsidiary and Ardent is an associate. So are we further looking to simplify the structure and bringing the remaining stake from Ardent and HIRA also into GPIL directly.

Dinesh Gandhi: Hira will remain as it is, we don't intend to buy that in GPIL. And, Ardent yes, we intend to buy it at some point of time, we'll do the transfer. But we're not in a hurry that is within the group only.
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Yogansh Jeswani: Got it. Also Ardent Steel will continue to maintain this 37% 38% Do we intend to sell this.

Dinesh Gandhi: No we intend to maintain the stake. We will continue with it.

Yogansh Jeswani: One clarification, a lot of has been discussed over your power investment. Yes, I think a lot has been discussed on your power investments and all the cost savings effort that you're taking. So just one clarification, suppose these solar power plants coming on stream we'll be roughly to 50 Plus megawatt power capacity. So we'll be self-sufficient or will we have some access to selling the market as well.

Dinesh Gandhi: We will be self-sufficient for our existing operations. Including whatever is capacity under conditioning, there is a self-sufficient. For new projects, we will have to look for fresh power projects. But for requirement we don't need any additional power from here on.

Yogansh Jeswani: New product in the greenfield right?

Dinesh Gandhi: Yes. For existing requirements, the power will be self-sufficient.

Yogansh Jeswani: Got it. So once all these power plants are commissioned, so by next year, we can say on an average your per unit power cost will be below INR 2.5 per unit.

Dinesh Gandhi: On an average yes.

Abhishek Agrawal: 2.5 to 3, depending on the prices of coal.

Yogansh Jeswani: Yes, so overall, simplistically, in terms of margins. I mean, you guys must have done this working. So just to simplify for us. Last year, full year, we had spent something around INR 200 crore to INR 220 crore on power, so that should come down to less than INR 100 crore right

Dinesh Gandhi: No, the number which you are looking in balance sheet, includes the fuel consumed in the pellet plant. So that will not be the correct working because we are already running the power plant effectively, and the fuel for the power plant is clubbed into the raw material cost. So whatever power you're buying from the grid is classified into the powering fuel coal plus the coal charged into the pellet plant. Coal justification is charged into the power and fuel costs. But yes, our current cost of power is close to about INR 4 per unit which will come down to go INR 2 to INR 2.25 going forward

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Page 17 of 20 Yogansh Jeswani: Okay, and what is our entire power consumption says in terms of units for the entire operations, the increased operations that that will be doing in FY '23 or '24.

Dinesh Gandhi: At full capacity on any given day, the consumption will be about 95 Megawatts.

Yogansh Jeswani: So, one last question on the Ferro Alloy, you said you are taking a maintenance shutdown. So, in Q3, we will see some impacts of it or in Q3, we'll be back to normal?

Dinesh Gandhi: Q3, we should be back to normal, but normal is now not like last year, because the prices have already fallen from INR130,000 to about INR80,000. So, production volume will be normal, but the realization and profitability will definitely be as, compared to last year it will be lower.

Abhishek Agrawal: So, just to add to what Dinesh is saying, of course, prices are taken care of, but on the volume side, Hira ferro alloy will be absolutely back to normal but Alok Ferro there will be some impact, because still the modification revamping is going up and that the revamping will take into effect the end of November. So there will be a reduced volume from Alok this quarter Q3 as well, from Q4 we will be back to normal in terms of volume. Thank you.

Moderator: We hav

e the next question from the line of Aman Madrecha from Augmenta Research Private Limited. Please go ahead.

Aman Madrecha: Thanks for the opportunity, can you please throw some light on the domestic market, like post imposition of the export duty, the pellets are being sold in the domestic market. And generally you're highlighted in your previous calls also that higher grade pellets of 63% to 62% don't have much takers in the Indian market. So, what has changed and like how are the pellets being consumed by the domestic market or the domestic takers some highlight on this?

Abhishek Agrawal: On a pellet side what has happened is as you must be aware, as we go ahead, the quality of iron

ore India is going down, Orissa being one of the major surprises of iron ore which is the basic raw material for pellet, earlier the benchmark was 63. Now, the benchmark is 62. So, now the pellets produced on average basis all over India is about 62.5, which is a high you know, alumina silica content, and which is the mass production. In case of Godawari, the advantage we have is one is the high grade pellets, where the x is about 65 and we produce about 65% in the entire charge mix. So, buyers are totally different, you know, players like Tata, JSPL, who are running the blast furnaces, the reason behind using our pellet and paying a premium is because the high coking coal costs, the coking coal by the way deliver to India are above 300 which gives them an advantage to use the pellets in the charges. So there is a prime reason we're still getting a decent premium over and above the other players in the market because of lower middle and higher FP that is one thing and on the strategic side, the second advantage we have is you know, our phosphorus is quite low. Because of own iron ore mining, because of which there are few players in the domestic market who specifically wants a palette because of the steelmaking because like no, you know, everybody in India is moving towards making quality steel so phosphorus does play an important role. And the average phosphorus, all over India, it's quite high. So that is the reason you know, I keep mentioning again, again, when it comes to pellet for Godawari, we don't have any selling, rather we get a premium in the market. For example, our Orissa plant in Ardent, which is based in Orissa, the average selling is about INR6500 whereas Godawari is about INR8000, so straightaway EDITDA in addition of 1500 per ton, which is huge in the volume game.

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Page 18 of 20 Moderator: Thank you. Next question is from line of Satyan Wadhwa from Profusion Investment Advisors. Please go ahead.

Satyan Wadhwa: Just one question in the breakup of power, how many units of power do you use in the mining operation for which you pay you know, INR 11.5 and INR 12 just trying to get a sense of what the theory on the mining side will be.

Dinesh Gandhi: About 5MW.

Moderator: Thank you. The next question is from the line of DB Jana from KLT Securities. Please go ahead.

DB Jana: Yes, looking to the course saving and better realization of our product pellet and all that, can we safely assume that in quarter three and four the profitability will be better than Q2?

Dinesh Gandhi: It is very difficult to predict the profitability, but yes, the range would be you know, somewhere closer to this, but there could be some variation here and there.

DB Jana: If the situation maintained the same that about export and all?

Dinesh Gandhi: But some of the other input costs keep fluctuating, so, it may not be exactly same, but the range will be closer to here, at this level.

Moderator: Thank you. Next question is from the line of Wayne Demello as an individual investor. Please go ahead.

Wayne Demello: So, congrats on a good set of results, given the circumstances, and thanks for taking my question. So my first question is in the previous quarter, you know, since the imposition of the export duties, the fall in realizations for pellets was a lot more than that of sponge iron. So, management had guided that we would try to sort of push more volumes on the sponge iron front rather than pellets but I have seen that we've sold a lot more pellets whereas sponge iron volumes have slightly come down. So, could you throw some light on that?

Dinesh Gandhi: No, no, no, no, we have a pellet capacity of 2.7 million ton and sponge iron capacity of 0.5 million only. So, we cannot change the mix lightly, you know, you can do some arbitrage, but you know, whatever responder and we are purchasing we are operating plant at 100%. So beyond that we cannot increase or the pellet sales will continue, to the extent of 500,000 tons per month per quarter that will continue.

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Wayne Demello: Okay, thank you. My second question is, so, you know, on the pellet front, we're doing you know, 65% of high grade pellets, and we're selling to bigger players like Tata, JSPL like you mentioned. So you guys must be aware that Tata Steel has in in this quarter in Q3, they have pellet plant in Kalinga Nagar, 6 million tons, I think. So, given that scenario. I mean, do you have any outlook on, you know, the demand for our pellets?

Abhishek Agrawal: Yes, I'm totally aware about the Tata steel commissioning a new pellet plant. But as I mentioned earlier, the volume which we produce, you know, and volume, which bigger players require, for example, Tata or JSPL. So I don't see any change in that, I think we will continue to do business with all these guys. Because only the reason is coking coal prices are, using our palette will always be beneficial for their total cost.

Wayne Demello: Okay, thank you. And one final question is, is there any update on we're auctioning? We were bidding for some coal.

Abhishek Agrawal: So we are we are still trying. Now Government has come up with six plants of coal we are evaluating all the options, and as we said earlier, we are still looking to acquire a coal mine. And we will keep continue to work. We'll work on that.

Moderator: Thank you. The next question is from the line of Ganesh as an individual investor, please go ahead.

Ganesh: Thank you for the opportunity. So I'm looking at the corresponding quarter two years back to Q2 FY '21 We made a similar EBITDA at that time also with the same similar amount of pallet sales. But the gap between our iron ore costs and the pallet cost then compared to now we have 1000 rupees more per tonne. So what I'm trying to understand is the profitability though the gap is 1000 rupees more is the profitability the same or similar because of higher inputs. And what are the input costs just want to understand that?

Dinesh Gandhi: You have to reframe your question you're trying to ask because our profitability has gone down in the quarter it is not same as last quarter or the same quarter of last year.

Ganesh: Same quarter two years back I'm just trying to think if the input cost is -- input costs have rose?

Abhishek Agrawal: I got your question. I will tell you why. Although we are 1000 per ton, but in addition on the energy side because of you know higher input prices for a DRI and about the thermal prices for power plant, the input cost side had gone up so that has utilize the saving which is on the pallet on the iron ore side.

Dinesh Gandhi: So do we see the theme continuing also because I see the thermal coal prices are still fluctua

ting in the same way
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Abhishek Agrawal: They have started cooling down. But in the current market scenario, I think it will continue to do so, because still the prices are quite on the higher side. So I think going forward, also the looking, globally stabilized in terms of energy, I think we will be impacted by the current market scenario on the energy side.

Moderator: Thank you. Ladies and gentlemen, that would be our last question for today. I now have the conference back to the management for the closing remarks. Thank you and over to you.

Dinesh Gandhi: Ladies and gentlemen, thank you for joining the conference call of Godawari Power & Ispat to discuss Q2 results. We have tried to answer all your questions but if anything is remaining or somebody has anything, you can approach our IR for further clarification if required. Thank you very much.

Moderator: Ladies and gentlemen on behalf of GoInda Advisors that concludes this conference. Thank you all for joining us and you may now disconnect your lines. Thank you.

Call: Feb 2023

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REF: GPILINSE&BSE/2023/5059

To,

1. The Listing Department,
The National Stock Exchange of India Ltd,
Exchange Plaza, Bandra Kurla Complex,
Bandra (E), MUMBAI -400051

NSE Symbol: GPILDate: 16.02.2023

2. The Corporate Relation Department,
The BSE Limited, Mumbai,
1st Floor, Rotunda Building,
Dalal Street, MUMBAI -400 001
BSE Security Code: 532734

Dear Sirs,

Sub: Submission of Transcript of conference call held on 13th February, 2023.

This has reference to conference call held on 13th February, 2023 to discuss the results and performance of Q3-9MFY23 for Analysts/Institutional Investors/Fund House/Investors etc..

please find attached herewith the Transcript of Conference Call held on 13.02.2023.

The aforesaid information is also being hosted on the website of the company viz.,
www.godawaripowerispat.com.

Thanking you,

Yours faithfully,

For GODAWARI POWER AND ISPAT LIMITED

c ---- it€. .Y.C. RAO

COMPANY SECRETARY

Encl : As Above

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"Godawari Power and Ispat Limited

Q3 & 9M FY'23 Earnings Conference Call "

February 13, 2023

MANAGEMENT : MR. ABHISHEK AGRAWAL – EXECUTIVE DIRECTOR –

GODAWARI POWER AND ISPAT LIMITED

MR. SANJAY BOTHRA – CHIEF FINANCIAL OFFICER –

GODAWARI POWER AND ISPAT LIMITED

MR. DINESH GANDHI – EXECUTIVE DIRECTOR –

GODAWARI POWER AND ISPAT LIMITED

MODERATOR : MS. SANA KAPOOR : – GO INDIA ADVISORS

Moderator: Ladies and gentlemen, good day, and welcome to the Godawari Power & Ispat Limited Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Sana Kapoor: from Go India Advisors. Thank you, and over to you.

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Sana Kapoor: Thank you, Mike. Good afternoon, everybody, and welcome to Godawari Power & Ispat Limited earnings call to discuss the Q3 and 9-month FY '23 results. We have on the call Mr. Abhishek Agrawal, Executive Director; Mr. Sanjay Bothra, CFO; and Mr. Dinesh Gandhi, Executive Director. We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risks that the company faces.

May I now request Mr. Dinesh Gandhi to take us through the company's business outlook and financial highlights, subsequent to which we will open the floor for Q&A. Thank you, and over to you, sir.

Dinesh Gandhi: Thank you, Sana. Good afternoon, ladies, and gentlemen. I would like to welcome you all to the earnings call of Godawari Power & Ispat Limited on behalf of the company. Our Q3 FY '23 results and earnings presentations have been uploaded on the company's website and stock exchanges. I believe that you have got a chance to have a look at it.

Just to begin with, it was an exciting quarter. We saw many important and strategic developments. To begin with, Government of India in the month of November removed the export duty on iron ore pellet and steel product, which was levied in the month of May 2023. This was contrary to the popular prescription and surprised many, most expected that the iron ore pellet export tax will not go away fully. It is now clear beyond doubt that Government of India has no intention to exit the iron ore pellet and see this as value-added product and not par with iron ore.

Pellet industry is generating huge employment and taxes and contributing to the growth of Indian economy. This move by government has made us more confident, and we have accordingly announced the league of our iron ore mining and pellet capacities, the capacity of iron ore or mine is supposed to be expanded to 6 million tons from 2.35 million tons currently. Additionally, a 6-million-ton iron ore beneficiation facilities also proposed to be built at the mine itself. Both these projects have a combined capex of about INR 200 crores. Another INR 100 crores of capex is proposed to be made to increase the pellet capacity from 2.7 million tons to 5.7 million tons by establishing a new 3-million-ton iron ore pellet plant at the existing plant location. In this regard, I would like to clarify that although the company had announced the capacity of 2.7 million tons of pellet originally, in view of availability of a single unit of 3-million-ton pellet plant capacity, we have decided to increase the capacity from 2.7 million to 3 million tons of the proposed plant. And therefore, now the overall capacity would increase to 2.7 million to 5.7 million tons.

With the increase in 0.3 million in capacity, there will not be any corresponding increase in the pellet cost as we will continue to be able to set up within the INR 100 crores plant capex. We plan to set up 1-million-ton greenfield steel project is still awaiting for process for acquisition of legal and other approvals like environmental and approval, water allocation, etcetera. The final plant configuration and product mix is still being worked out and shall be announced with the announcement of the capex post the shift of all these approvals.

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However, further as a forward integration, we have decided to increase the capacity of our steel billet plant from 4 lakh tons to 5 lakh tons which was put on hold and also decided to undertake modernization of one of our existing rolling mills with the capacity of 2.16 to convert the same for manufacture of steel structural and strip mill as a backward integration to our fabrication from galvanizing facility and backward integration to our

ERW pipe capacity.

This will help us to set up a precedent of experience and setting up larger rolling mill for manufacture of narrow width strip for manufacturer of ERW pipes with our greenfield steel plant. In the meanwhile, as detailed in our presentation, we are continuing with our normal capex plan, setting up of the solar projects and other efficiency improvement, capacity expansion projects, mainly funded through the internal accrual. This includes 600,000-ton beneficiation plant at the mine and steel billet capacity, etcetera.

The solar power plant, the company has already commissioned 70 megawatts solar power plant

at Rajnand gaon and started drawing power from this plant. The acquisition of Jagdamba Power plant has also been completed, regarding other two solar projects, 1 solar project of GPIL with a capacity of 30 megawatts is expected to be commissioned by end of June for supply of power to our mine. And another project of 60 -megawatt capacity for Hira Ferro Alloys is expected to be commissioned by March 2023.

Coming on the operational performance, the production of iron ore mining and pellet production has increased by 4% and 2% respectively, during Q3 FY '23. The production of steel billet increased by 80%. HB wires increased by 306% and Galvanized Fabricated products by 22% on Y-o-Y basis. The sale of pellet and steel billets were up 9% and 321% y-o-y, whereas sponge iron and rolled product reduced by 55% and 67%, respectively. Mainly, the fall in sponge iron and roll product sale is mainly because of sale of partially the steel billet and rolled products. Payroll and sales volume for GPIL and HFAL both increased 50% quarter-on-quarter on 50% and 20%, respectively. The market price of iron ore for Q3 stood at INR 5,500 a ton, whereas company's captive iron ore landed cost was about INR 3,000 a ton showcasing competitive advantage for the company as in the captive iron ore mine.

Coming on the financial performance, consolidated revenue increased to INR 1,463 crores in Q3 FY '23, up 12% quarter-on-quarter basis, but down 9% Y-o-Y. The lower sales on Y-o-Y basis was mainly due to fall in realization of pellet and ferroalloy. Higher Q-o-Q sale was on account of trading sales of INR 241 crores. Excluding trading sales, there was a fall in the revenue at INR 1,222 crores.

Consolidated EBITDA was INR 173 crores is down 25% quarter-on-quarter, 55% Y-o-Y, mainly due to lower realization on Y-o-Y basis for the pellet and sponge iron and other value-added product on quarter-on-quarter basis. As you are all aware, GPIL is an integrated steel company and as of December, we had a net cash of INR 600 crores.

Coming on the market outlook. Global outlook for iron ore is positive. Prices of iron ore have risen from low of \$78 a ton late last year to \$120 currently. The sudden shift in China's COVID policy has turned the sentiment to positive. China is looking to revise its fledgling property sector and has announced a number of measures and increased liquidity. At the same time, China as

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usual focusing on Infra spend to support economic growth. All these argues well for higher steel production in China and stronger demand for iron ore.

Another factor working in favour is weather related disruption in Australia and Brazil. Iron ore demand supply is finally balanced, which should keep iron ore and therefore, pellet prices well supported. Domestic steel demand is very strong. Indian government in its recent budget has announced increased capital outlay by 33% to INR 10 lakh crores and also increased railway outlay by 75% to INR 2.4 lakh crores, this argues well for the steel demand in the country, specially for long steel products. The current steel prices of the normal good pellet is holding about INR 10,000 a ton. The prices of sponge iron and another value-added p

roducts like billet,

rolled products, etcetera, have improved to Q2 level, which we had seen a fall in Q2, Q3.

With this, I conclude my opening remarks and open the floor for Q&A. Thank you, and over to you.

Moderator: Thank you. We have the first question from the line of Jatin Damania from Kotak Securities. Please go ahead

Jatin Damania: Thank you for the opportunity sir, I just wanted to check that in the previous call, we have stated that the current order book of our pellet business was driven by the domestic order. With the renewal of the export duty, how are we placed in terms of the domestic order book? And have we got any inquiry as far as the export order is concerned?

Abhishek Agrawal: So on the pellet book order side, we still haven't started exporting because the domestic licenses are still a much better competitive export market. On the inquiry side, of course, we have been getting regular inquiries from our regular buyers, but the delta between the domestic and export is almost recently bugged, which is a substantial difference. So at the moment, company is focused on selling everything domestic, but we are already open by export given the price realization.

Jatin Damania: Right. And as for the presentation that you have said that you will be probably increasing our mining capability to 6 million tons in the next 18 months and the remaining, the pellet will be probably coming in the next 16 months. So by any chance, rather looking at selling incremental iron ore mine in the market in FY '25, '26 before the pellet comes in place?

Abhishek Agrawal: No. We have no intention of selling any iron in the market. We want to elongate the mines life. So we will mine as per the requirement of the pellet plant. We have no intention of selling in the market.

Jatin Damania: Sure, Thank you . I will come back in the queue

Moderator: We have the next question from the line of Mitul Shah from Reliance Securities. Please go ahead

Mitul Shah: Good afternoon sir, Thank you for the opportunity. Sir, you have given a remark that now prices have reached to a Q2 level, which dipped in Q3. So can you give a few ballpark numbers? It is almost at a Q2 average or peak level of Q2? And second question, how has been the volume trending in Jan -February? And what is the outlook for this quarter and maybe next 1 or 2 quarters after this export duty being removed, so any traction in terms of orders and all?

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Dinesh Gandhi: See let me clarify. I said in my opening remarks that pellet prices are holding about INR 8,000 for normal pellet and about INR 11,000 for the high -grade pellet. And the prices have reached - come back for sponge iron and other value -added products like billet, rolled products, the prices have gone to Q2 level. Q2 level, meaning sponge iron at INR 32,500, steel billet at INR 48,000 a ton and wire above INR 50,000 a ton.

Mitul Shah: Okay. Because this number seems to be at least 2% to 5% lower than Q2 average, which we reported. So it's...

Dinesh Gandhi: The Q2 average sponge iron was about INR 32,000, INR 33,000, and it's the same level.

Mitul Shah: In your PPT, it's INR 34,000 -- INR 33,900. That's why I'm asking.

Dinesh Gandhi: Okay. No, so it is INR 32,000, I stand corrected.

Mitul Shah: Yeah. And secondly, on the volume side, how has in the last 1.5 months and going forward next 1 or 2 quarters view?

Dinesh Gandhi: Pellet, you will see the normal volumes. So far as the sponge iron and finished steel, we have already announced a shutdown of our sponge iron plant and other value -added facilities manufacturing like billet, etcetera because we have already reached the sponge iron plant utilization of more than 98% currently, and we do not have a scope to manufacture more sponge iron in the current financial year till March. So we are taking th

is opportunity.

And if we are not able to produce sponge iron, then we have to shut down our waste heat recovery power plant. And even the steel billet facility because running billet facility and grid power does not make any sense it will put to losses. So we have decided that sponge iron, billet power generating capacity and other value -added facilities will all remain shut down till the last week of March. And definitely, the sponge iron volume will go down considerably and even billet and other products volume would go down considerably in the second half of Q4 FY '23. Pellet and sponge iron will continue to operate. Pellet will have an usual capacity production of about 650,000 tons and ferroalloys is at about 4,000 tons for the quarter. Sponge iron, Abhishek, can you tell me how much is the exact production till now?

Abhishek Agrawal: So till now, we have produced about 4,85,000 tons and think about INR 495...

Dinesh Gandhi: Current year number you give. Current quarter?

Abhishek Agrawal: Okay. Current quarter. So we have produced, say, about 50,000 tons till now and additional 10,000 tons operation. So total volume will be about 60,000 tons for Q4. 6 -0-0-0-0. That's it.

Mitul Shah: Okay. Sir, and lastly, on the capex side, we are planning to spend INR 400 crores for this year.

So after this change in few dynamics FY '24, what one should consider as a ballpark number or any change in our plans ?

Dinesh Gandhi: See, out of this capex, power generation has already started building into the numbers. Jagdamba Power plant is already operational. We have already put to use our 70 -megawatt solar power plant. And the additional solar capacities will come into the production where we are likely to

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save INR 3 per unit of the power generation. And this plant will operate at about 15% capacity to utilization level. Steel billet is still from 400,000 to 500,000 tons will get commissioned by September, and this will coincide with commissioning of our new furnaces.

So impact of that will come in the next financial year. We already said that the additional power generation capacity of 8 -megawatt will be available when we commission the new turbine. And sponge iron, billet capacity will definitely help us produce more structural and other steel where we should be able to save INR 1,000 per ton.

Mitul Shah: Okay. So we earlier indicated somewhere around INR 500 crores kind of annual capex for next 2, 3 years. So would it be in the similar range, right?

Dinesh Gandhi: Yes, yes. This INR 400 crores is already coming in from the last year. We have not announced

new capex in the current year, except the 70 -- one rolling mill modification plan.

Mitul Shah: I'm talking about '24, '25. FY '24, FY '25, maybe FY '26, those 2, 3 years.

Dinesh Gandhi: Yes. Yes. In those 2, 3 years, the new mining and pellet capacity will come.

Mitul Shah: Okay sir, Thank you

Moderator: We have the next question from the line of Chirag Singhal from First Water Capital. Please go ahead

Chirag Singhal: Sir, I wanted to know what is the coal consumption cost for Q3 and what was it during Q2?

Abhishek Agrawal: Coal assumed -- for yearend, for DRI you're talking about?

Chirag Singhal: Coal consumption cost for Q3 as well Q2.

Abhishek Agrawal: That's what I'm asking. Coal consumption as in for sponge iron because coal is being consumed...

Chirag Singhal: For sponge iron?

Abhishek Agrawal: So for sponge iron Q2 was at levels of about INR 16,000 a ton. Now it's come down to INR 13,000 a ton, 1 -3-0-0-0.

Chirag Singhal: This is current INR 13,000 per ton is current.

Abhishek Agrawal: Yes, INR 13,000 is for the current Q4. And for Q3, it was about INR 16,000 a ton.

Chirag Singhal: Okay. And what was it during Q2?

Abhishek Agrawal: It is higher above say INR 17,000 because the national

market of coal has started going down, I

would say, post -Diwali, which was November. So that's why the impact of INR 3,000 is being affected in Q4. And I'm hoping since the national market is downtrend, so in financial year, the cost will further be -- probably should be get down by at least INR 2,000, somewhere in the range of INR 10,000, INR 11,000 a ton.

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Chirag Singhal: Okay, This should be Q1 onwards.

Abhishek Agrawal: Yes, this is Q1 onwards, yes.

Chirag Singhal: INR 11,000 per ton.

Abhishek Agrawal: Yes, yes, yes.

Chirag Singhal: Okay, alright. I will be back in the queue thank you

Moderator: We have the next question from the line of Prashant Kumar Kota from Emkay Global. Please go ahead

Prashanth Kota: Hi sir thank you for the opportunity. My question is regarding the proposed 1-million -ton steel plant. Now have you made up our minds fully and just waiting for clearances and commitments from government? That is the first question. And related to that, sir, have we also considered setting it up as a DRI or a thermal coal -based plant wherein because the coking coal is always out of control, always, always like that happens. So since you are already in a coal rich belt and probably if we get some good auction -- in the auctions at good price and coal mine. Would that be an option that you would consider? And just wanted to know your thought process on how you would go about.

Abhishek Agrawal: Okay. So on the INR 1 million steel side, the company is focused on setting up the plant. But of course, the land acquisition and water availability those, the company is working on those fronts with the State Government that is taking much longer than we expected. And on the plant side, since you mentioned we should be work on probably a coal based DRI side. So what we have analysed if you take an average of late sales, you leave the COVID period aside. We'll consider an average of, say, 5 to 7 years between the primary producer of blast furnace versus the secondary producers through DRI route. The added difference between the input to output is about INR 700 a ton. So there's an issue that the EBITDA of INR 700 when you go through a blast furnace to compared to DRI route. And so we are very clear, we will be going with the blast furnace route. We have no intention of setting up another INR 1 million plant to DRI route.

Prashanth Kota: Sir, the INR 7,000 this is that you are saying -- sorry.

Abhishek Agrawal: Are on the coking coal prices are on the high side at the moment, which is very correct. But if you see in the long term, we think that the coking coal price also will stabilize going forward.

Prashanth Kota: Sure, sir. And you say the INR 7,000 incremental EBITDA is because of the higher realization for the blast furnace...

Abhishek Agrawal: It's both. It's both. So the realization is higher about say INR 3,000 to INR 4,000 a ton. And on the input side, because of the process, since the power requirement is not there, in steel making the hot iron is directly melted in the heavy converter. So on the operations side, the EBITDA is about INR 4,000 a ton and INR 4,000 a ton on the finished side because of the quality. So put together, our INR 7,000, INR 8,000 additional EBITDA will be there compared to the DRI. So we have no intention of installing DRI going ahead. We will be going with the blast furnace itself. As in then and there you get the required approvals.

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Prashanth Kota: Thank you sir and all the best.

Abhishek Agrawal: Thank you

Moderator: We have the next question from the line of Bhavesh Chauhan from IDBI Capital. Please go ahead

Bhavesh Chauhan: Hi sir, Can you talk a bit about the 18 months' timeline that we have given to expand iron ore mining

in terms of when can we expect a clearance you said and then how long will it take to complete the groundwork?

Abhishek Agrawal: Okay. So we have already applied for the Environment Clearance, and that process is already in place. We should be able to get the permission in Q2 of this financial year or early of Q3. And on the basis that, the moment we get the permission, we will start the mining activities. And on the beneficiary side, we already have a INR 6 lakh permission for beneficiation for which the plant is already under election state and the remaining capacity of 5.4 million tons will also start building up once we get the approval.

Bhavesh Chauhan: Okay. And sir, in terms of pellets, we are saying 36 months to expand it to nearly 5.7 million tons.

Abhishek Agrawal: Yes.

Bhavesh Chauhan: So I thought sir, it should take a little less than that, so...

Abhishek Agrawal: No. So the issue is, so see 10 months to 12 months will go for the required approval since we have to go to Delhi, to the MoEF for the clearances. And then when we start the work, the groundwork will take up for 24 months. 10 to 12 months is the process, which you need to get approval from MoEF and then State Pollution Board. So that's a total 36 months. And we have already filed for the TOR for the INR 3 million pellet plant so that we think, so we should be able to start the groundwork say end of Q3, of this next financial year, say November, December.

Bhavesh Chauhan: Okay sir. Thank you

Moderator: We have the next question from the line of Sanjaya Satapathy from Ampersand. Please go ahead

Sanjaya Satapathy: Sir, can you please help me in understanding that you have said that several of the prices have recovered. So what kind of margin that one can really look forward to in quarter 4?

Dinesh Gandhi: Quarter 4, like there is 1 impact you will see negative side is from the closure of facilities for about 4 to 5 weeks. Barring that, our pellet, we will continue to operate at, say, closer to about 40% margin. And ferroalloys margin as usual are 18% to 20%.

Sanjaya Satapathy: Okay. And what about billet etcetera ?

Dinesh Gandhi: Billet will be -- again, we'll be closing down for 1.5 months. So whatever earnings it was there, it will go into fixed cost and maintenance expenses. So I'm not taking into account the margin for value -added facilities from sponge iron to finished steel.

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Sanjaya Satapathy: Understood sir And in terms of -- assuming that all these productions would have been normal instead of the shutdown that you are taking. I'm just trying to get a sense as to where the prices and costs are. And where exactly is the margin, assuming normal businesses?

Dinesh Gandhi: See, majority of our margin comes from the pellet business.

Sanjaya Satapathy: Correct.

Dinesh Gandhi: Majority of our margins come from the pellet business. But does -- it's not that the value -added facilities does not contribute, it does contribute. And to that extent, there will be impact, but there will be a higher positive delta from the pellet business. And therefore, we have said in our announcement that although this will have a negative impact, but overall, it will be positive, and profitability is expected to be higher than the last part that is Q3 and Q4.

Sanjaya Satapathy: So will it be back to Q2 level at least?

Abhishek Agrawal: It could be. Yes, depending on the average realization, but realization is, as I said, is around INR 10,000 a ton currently. And definitely, last 1.5 months would be closer to a average of the last quarter. So definitely, it should be better.

Sanjaya Satapathy: And how much was the pellet margin in Q3?

Abhishek Agrawal: See, I'll not be able to give you in absolute terms, but at about INR 2,000, INR 2,500 a ton.

Sanjaya Satapathy: Thanks sir

Moderator: We have the next qu

estion from the line of Hitesh Arora from Unifi Capital. Please go ahead

Hitesh Arora Thank you for the opportunity. Just to clarify, just to get your revenue breakdown for the quarter.

You got the volumes and your realizations, if I multiply the volumes, the realization of around, I think, around INR 150 crores or thereabouts. What contributes the delta or the difference?

Dinesh Gandhi: Sorry. Sorry, come again? I've not understood.

Hitesh Arora: In the presentation, you've got the volumes and the realization for your end products, if I multiply...

Dinesh Gandhi: For Q3. For Q3.

Hitesh Arora: Yes, yes, yes. So if I multiply those, I get the difference of maybe around INR 150 -odd crores in the number that I gave versus the actual revenue that...

Dinesh Gandhi: So I've shared in my opening remarks that the sales of INR 1,400 something crores includes INR 241 crores of trading sales.

Hitesh Arora: Trading sales? Okay.

Dinesh Gandhi: Therefore, difference is coming. If we reconcile with that, it will get reconciled.

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Hitesh Arora: How much did you say, INR 240 crores?

Dinesh Gandhi: INR 241 crores.

Hitesh Arora: Okay. It's the trading, and this is normally you do at every quarter, the trading business?

Dinesh Gandhi: No, it is not higher because we had done certain -- I think it is -- Bothraji it is coal contracts, no?

Sanjay Bothra Yes, it is regarding the coal contracts, yes.

Dinesh Gandhi: Yes, yes. So I'll just to clarify for the larger audience, we have done some hedging for the coal. So some transactions have settled as a trading sales. Some we took delivery, some were settled.

So that the difference is there.

Hitesh Arora: And what is this INR 250 crores number would be last about...

Dinesh Gandhi: In fact, because of the accounting standard, it is appearing as a trading. But otherwise, if you consider this as an hedging mechanism, then it is a part of the reduction in raw material cost. So corresponding entries are there.

Hitesh Arora: Okay. So INR 240 crores, how much in last quarter?

Dinesh Gandhi: No. It was negligible. Normally, our trading sales in the year could be INR 40 crores, INR 50 crores. Normally, it is not that large. It is a onetime transaction.

Hitesh Arora: Okay, Thank you for the calculations.

Moderator: We have the next question from the line of Punit Mittal from Global Core Capital. Please go ahead

Punit Mittal: Okay so Just 1 question to -- just to get my understanding correct. You have a significant difference in the production and the sales volume. So on the P&L, the cost that we see is based on the production versus the revenue that you show is based on the sales volume. Is that understanding, correct?

Dinesh Gandhi: Yes. No. The difference in the sales volume, like I'll just give you an example. In pellet, we consume almost about 33% of our production for captive using in sponge iron. Similarly, the sponge iron whatever is produced, almost 80% is used for captive consumption in making steel billet. And billet goes into rolled products, rolled goes into the wire. And therefore, each product we sell in the market and there is a value addition as well. And therefore, there would be a difference in sales production volume and sales volume.

Punit Mittal: Okay. So part of that difference is in in-house volume?

Dinesh Gandhi: In-house consumption, yes.

Punit Mittal: For the upstream products. Okay. Okay. Got it. That's all from me. Thank you so much

Dinesh Gandhi: Yes.

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Moderator: We have the next question from the line of Ashish Kumar from Infinity Alternatives. Please go ahead

Ashish Kumar: Thank you sir and sir, a couple of questions. One is on pellets. How much is the production guidance? Do you

think that we can -- we were looking at doing roughly 700,000 tons per quarter. So can we start hitting that from the 500,000 that we did last quarter?

Dinesh Gandhi: No, no, last quarter will also be higher. Yes, Abhishek?

Abhishek Agrawal: No, no. Please go ahead. Please go ahead.

Dinesh Gandhi: Yes. Last quarter also, we had a higher volume. It's not 500,000 tons. 500,000 tons could be the

sales.

Ashish Kumar: Right. So we've done 1.9 in 9 months, and our guidance was 2.7, so would it be...

Dinesh Gandhi: Our guidance was 2.6, 2.7 is capacity.

Ashish Kumar: Okay. So I'm just seeing your presentation. But do you think that we can hit the 2.6 guidance from...

Dinesh Gandhi: Yes, 2.6 we can hit.

Ashish Kumar: So we can have 700,000 this quarter.

Dinesh Gandhi: Yes. Yes. Maybe 20,000, 25,000 plus minus, but it is closer to that number.

Ashish Kumar: Sure, sir. And sir, second thing was in relation to the use of cash. Now we have INR 500 crores of cash and the export realizations have also come back to reasonable even in the worst of times, we generated positive cash flow. Are we looking at doing a largish pay out to the investors, either in the form of buyback or a onetime special dividend given the fact that our -- we'll be generating serious amount of cash flow from the business?

Dinesh Gandhi: No, you're right. The point is that we have a lot of capex lined up. We're already going through the capex. If you see my presentation, there is a capex input together solar plus other debottlenecking capex, including already done is close to INR 1,000 crores. We have announced further capex about INR 1,000 crores in pellet and mining business, and then we are looking to set up a greenfield steel plant also. So our dividend pay-out will continue to be as guided in our dividend policy of 10% to 15%. And we are not looking at buyback because you need to conserve cash for our capacity expansion project. We'll not intend to raise much debt. We'll try to set it up through the internal generation only.

Ashish Kumar: So in terms of the steel plant, why is the thought process? Because it will be ROC dilutive for our business. So why do we think that we should do good on that part?

Dinesh Gandhi: See ROC diluted like you have -- you are into the business; you have mines, and you need to consume a partial pellet into the manufacturing as well. So it's a good hedge between pellet business and steel business. You have an opportunity to sell pellet, which gives the higher delta. And you consume the steel, steel also all the opportunity. So rather than just giving the dividend

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and say looking at pellet business, we do not see businesses like this. We will want to restrict ourselves to a pellet company. We'll continue to manufacture steel.

Ashish Kumar: And how much do you think will be our capex for this year? We had projected a INR 400 crores capex? How much do you think with your capex for FY '24?

Dinesh Gandhi: FY '24, we'll place the order for a new pellet plant, once we get the approval for mining, mining capex will start just to about INR 200 crores. We have to give the advance for our new pellet plant. Once the approval is in place, we'll start building the -- give the cash. So maybe get you a time lag of 6 to 8 months. After that, the cash will continue to be required.

Ashish Kumar: Yes. No, no, I'm just trying to understand as to what...

Dinesh Gandhi: No, that depends when we are able to get the approval. And after that, the money would be required. As of now, my requirement would be closer to about maybe balance capex, which is close to about no more than INR 250 crores to INR 300 crores in whatever projects which are in pipeline currently.

Ashish Kumar: Okay. And lastly, sir, on the ferroalloys business, have you seen a recovery in the prices on the

ferroalloys business also?

Dinesh Gandhi: Yes.

Ashish Kumar: So are they similar to Q2 levels or...

Dinesh Gandhi: No, no, no. It is much lower, much lower.

Ashish Kumar: So what will the...

Dinesh Gandhi: It is near -- ferroalloys is certainly selling closer to about, say, silico manganese, which we sell closer to about INR 75,000. Last financial year, it was more than INR 1 lakh a ton, INR 1,20,000. So it has not come to that level.

Ashish Kumar: Right and how do you see that going forward, sir?

Dinesh Gandhi: Very -- it is unlikely to go in a hurry to the levels which were prevailing last year.

Ashish Kumar: Okay. So we should budget in INR 75,000 to INR 80,000.

Dinesh Gandhi: Yes, INR 75,000, INR 80,000 a ton max.

Ashish Kumar: So basically, the short term will...

Abhishek Agrawal: No. The only silver lining for the ferro businesses, a lot of capacities of ferroalloys is going out of production, especially in higher energy markets like Africa, Europe, because ferroalloys is a lot of power. At the same time, the raw material cost has gone down compared to last year. So there's only silver lining, right? How the market is going to play, it depends on the demand and supply.

Ashish Kumar: Right. So basically, in short term, the volume growth is basically going to come from mining and the pellets engineers...

Abhishek Agrawal: Yes, yes. Right.

Ashish Kumar: Is that a fair way to look at it?

Abhishek Agrawal: Yes.

Dinesh Gandhi: Yes.

Ashish Kumar: Okay, thank you and all the best

Moderator: We have the next question from the line of Ramesh from U Gagar Ventures. Please go ahead

Ramesh: Hi thank you, in your presentation, it was mentioned that the pellet sales volume has -- while production is more or less on the line, it was 4% up but its sales volume has gone down by about 13%, and your realization is more or less flat like in a sense from Q2 to Q3. So what's the forecast for Q4 in terms of sales volume and realization? What can we expect? And as you mentioned, some -- second question is as you mentioned, some shutdown in the plant of sponge iron. So what is the additional maintenance cost which we expect in this year?

Dinesh Gandhi: Abhishek, would you like to take.

Abhishek Agrawal: Yes. Yes, I will take. So on the pellet side, see probably the sales are little down because probably our in-house DRI production was on the higher side. So 4% to 5% doesn't make a lifting because if one of a challenge is that the additional volume goes into the market for sales. So that is why there's a difference in the production, the sales volume.

On this Q4, since we've already led a statement on Saturday, we are taking a shutdown of 4 to 5 weeks for the DRI unit. So that entire volume, which will be consumed in DRI will be going in the market. So the sales volume in Q4 of pellet will be much higher compared to Q3 or even Q2 because of the shut down in the DRI plant. DRI consumes about 70,000 of pellet every month. So that additional 70,000, 80,000 tons of material will be dispatched in the market. So the sales volume in Q4 will be much higher. On the resin side, Q3 was added about INR 8,000. Q4, the average would be about close to INR 10,000, say INR 9,750. INR 9,800. So a jump off about of 20%, 25% compared to Q3.

Ramesh: So there will be a substantial increase both in sales volume as well as realization for pellets?

Abhishek Agrawal: Yes, yes, yes.

Ramesh: And pellets being your mainstay sort of in terms of revenue, so it will be a good picture for Q3.

Abhishek Agrawal: Yes. So overall, we expect a better Q4 numbers compared to Q3 in terms of profitability difference.

Ramesh: And any additional cost which we'll incur in, is maintenance and...

Abhishek Agrawal: No, no. See, we already have a maintenance schedule for the entire year. So substantial costs wouldn't be there. This is a regular maintenance. There's a new turbine work which we have undertaken. So we're using the opportunity to take up that as well. So that's going forward when the turbine is in commissioning state, we do not take the shutdown for the plant. Only fixed cost and all will go into the cost and the plant will be shut down for next 4 to 5 weeks. Apart from that, nothing major.

Ramesh: Right right. Okay

Moderator: We have the next question from the line of Ganesh, an Individual Investor. Please go ahead

Ganesh: Sir, can you hear me well?

Dinesh Gandhi: Yes.

Ganesh: So from your presentation, I see that we are concentrating mostly on Ari Dongri mines. But our estimated availability from both Ari Dongri and Boria Tibbu, they are like by and large equal. So any reason for that? Or when do we plan to give the Boria Tibbu mines?

Dinesh Gandhi: Boria Tibbu mine some production will continue to grow, but our focus is on Ari Dongri initially. And then later on, when Ari Dongri, the volumes go down, we will use Boria Tibbu.

Ganesh: Okay. Okay. Got it. Sir, just 1 more question.

Dinesh Gandhi: Life is much more than what we can consume. So it is better to focus on 1 location, reduce the cost. If you focus on 2 locations, then the cost also increases.

Ganesh: Got it. Yes. Just have 1 more question. I'm assuming all our -- the huge capacity additions, the long-term additions we have are in the new location. So -- but we have also been judiciously

gradually adding capacity in the old location, the current location that we have. So for the next 3 years or so in our plan, can we assume that our capacity is by and large done in the old location? Or will we have opportunities to have small or...

Dinesh Gandhi: No. Capacity is already done. We have some estates and some additional land which we have purchased which will help us setting up additional pellet capacity of 3 million tons in the existing location. And after that, there is no more scope of doing anything. And most of the debottlenecking capex also, we are simultaneously doing it. So we will be done with the capex, except the maintenance. There will not be any new capex at the existing location. Everything will go to new locations.

Ganesh: Okay. Correct. So this pellet plant that you just talked about in the extended location nearer to the existing location.

Dinesh Gandhi: No, no. We were earlier planning for setting up a pellet at the new location, but since the land for the pellet is getting delayed, so we sort of setting up the pellet plant here so that we can keep on it at least.

Ganesh: And this is also we have a time frame of 3 years, or it will be lot sooner.

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Dinesh Gandhi: No, it will not. It will be done within 3 years. Because the new location is still uncertain because it is still taking a lot of time in land allocation and others.

Ganesh: Got it sir, thank you for the opportunity.

Moderator: We have the next question from the line of Shivam, an Individual Investor. Please go ahead

Shivam: Hi Thank you for the opportunity. I would just like to know the range of the ferroalloys EBITDA. Like if you continue on the past years what you tell be from the maximum to the minimum side. Can you tell me?

Dinesh Gandhi: You mean prices?

Shivam: Yes, yes, yes. You were saying that 70,000 one.

Abhishek Agrawal: No, see. Dineshji, I'll take these questions. See on the pellet prices, the COVID phase of 2 years was quiet, I would say, one-off incidents where the prices are going up to INR 1.2 lakhs as average was there for the entire year. There was a very exceptional period. Usually the pellet prices hover about, say, INR 50,000, INR 55,000. The lowest if

we say probably when the cycle

was quite low in 2013, '14, the prices are as low as INR 40,000, INR 50,000 also. And on the higher side, you have seen about INR 1.25 lakh, INR 1.3 lakhs a ton. But on a longer term, I would say, considering of INR 5 on a year average is what we usually consider by reviewing a project. So INR 5,000 EBITDA when the market is quite settled normal.

Shivam: So this is of ferromanganese or silico manganese, can you just say.

Abhishek Agrawal: No. So we don't make ferromanganese. We are mainly into silico manganese of the same grade. So I'm talking about silico manganese only.

Shivam: Okay. Okay. Silico manganese.

Abhishek Agrawal: We do produce ferromanganese, but that's very -- probably once in a blue moon where there's opportunity, we see in the market is good. But more or less, we are in the silico manganese market, pretty same grades.

Shivam: And sir, any reason to sticking into the silico manganese only. Like the other companies usually switch according to the market conditions, basically.

Abhishek Agrawal: No, there is no specific reason. For making ferromanganese, the purchase of the raw material has to be accordingly to make ferromanganese, then you have to import a lot of raw materials. The Indian manganese or the quality where you can produce good quality ferromanganese. So accordingly, we have to plan all the inventories and all. And even a silico manganese market in India is very substantial.

And with exports happening, so we see sitting to one for the products, it helps planning the inventories and other things. Switching back to ferromanganese, silico manganese the raw material inventory goes up quite a substantial level because if you maintain different grades for different products. So -- and at a group level we thought let's stick with silico manganese only.

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Shivam: And sir, can you give any guidance on volume growth? And can you tell us that why the ferroalloys is under some pressure right now?

Abhishek Agrawal: See, the ferroalloys is under pressure because I think one is currently, the export market is quite

subdued from India because Middle East, Europe is not a big market in India. And as you are aware, because of high energy prices post the war, the consumption of ferroalloys has gone substantially. Our continuing capacity of steel is out of production in Europe since post the war. So that is the reason the export market is quite subdued. And to balance out the demand and supply, India needs to keep exporting ferroalloys, or else the domestic market will be oversupplied, and the prices will be under pressure. So that is the reason the ferroalloys prices are quite under pressure right now.

Shivam: And sir, your volume growth guidance for ferroalloys? Any?

Abhishek Agrawal: We have been producing at the ready capacity level, say as kind of 10%. So our volume growth will be on the same level. We are not expanding the ferroalloys as much.

Shivam: Okay

Moderator: We have the next question from the line of Punit Mittal from Global Core Capital. Please go ahead

Punit Mittal: Just a follow-up question. You had said that your margins for the pellet business is the highest.

And then the other downstream -- sorry, upstream products are low prices. And you also said that you don't want to just stick to a pellet company even though the ROCs of the other product may be lower. Can you explain why is the case if the business or pellet is generating substantial EBITDA? What are the products? Why would you not stick to pellet? Thank you

Abhishek Agrawal: See the reason we -- Dineshji I'll take this.

Dinesh Gandhi: Yes. Go ahead, Abhishek. Go ahead.

Abhishek Agrawal: Yes, the reason we don't want to -- only do pellet because a lot of expansion is happening even in India in terms of pellet capacity. Lot of our c

urrent buyers will turn into producers rather

become a machine sell in the market. And depending only on 1 product, lifelong, I don't think is the right strategy. Because I guess see the iron ore price has also gone on to below \$40 when the market was -- globally, market was at quite a low level.

So in pellet market or iron ore, as you're aware, many driven by China market. So I would say it is a big question mark. If the market goes down, then straight away property takes a big hit. We see Q2 to Q3, the moment pellet prices has started going down, property we started going down. So looking into that, we want to probably be in the middle where we are a pellet player, where that opportunity. At the same time, we enter the steel market also, and you use that opportunity to make good quality steel and earn profit as well. So it's I think it's a middle part.

Punit Mittal: Partially, hastening your business.

Abhishek Agrawal: Yes, exactly.

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Punit Mittal: Got it, Thank you.

Moderator: We have the next question of the line of Hitesh Arora from Unifi Capital. Please go ahead

Hitesh Arora: There's a chart in the -- in your presentation. So the cost of captive iron ore landed at \$2,900. So just want to understand what is the cost of pellet production. So you got this roughly INR 2,900 here, you probably would have some conversion costs. We would have probably some transportation costs. Could you roughly break it down? How much is it? Or any other component that I'm missing?

Abhishek Agrawal: See, on an overall level, as we've already mentioned, our mining cost is about INR 3,000 a ton landed to the plant. And overall the INR 3,000 with beneficiation and other operating costs, roughly -- today's pellet cost is about say INR 6,000 a ton.

Hitesh Arora: Okay. So INR 3,000 plus another INR 3,000?

Abhishek Agrawal: Yes, because the energy costs on the higher side. So the conversion is about say INR 2,000 and additional INR 1,000 on account of the yield loss really beneficiate and make higher pellets. So put together the current year costs is somewhere around INR 6,000 a ton.

Hitesh Arora: Okay. Thank you

Moderator: That was the last question. I would now like to hand it over to the management for closing comments.

Dinesh Gandhi: Thank you all for joining the conference call of Godawari Power & Ispat Limited. Although we have tried to respond to all your queries, if you have any more remaining, you can always touch to our Investor Relations team at Go India or you can directly reach us. Thank you very much and thank you for participating. Thank you all.

Abhishek Agrawal: Thank you.

Moderator: On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

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REF: GPIL/NSE&BSE/2023/ 5143 Date: 25.05.2023

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai-400001.
Scrip Code: BSE: 532734 To,
National Stock Exchange of India Limited
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East),
Mumbai-400051.
Scrip Code: GPIL

Dear Sirs,

Sub: Submission of Transcript of Conference Call held on 22nd May, 2023.

This has reference to conference call held on 22nd May, 2023 to discuss the results and performance of Q4-FY23 for Analyst/Institutional Investors/Fund House/Investors etc.

Please find attached herewith the Transcript of Conference Call held on 22nd May, 2023.

The aforesaid information is also being hosted on the website of the company viz., www.godawaripowerispat.com.

Thanking you,

Yours faithfully,

For GODAWARI POWER AND ISPAT LIMITED

Y.C. RAO
COMPANY SECRETARY

Encl: As Above

"Godawari Power
Q4 FY '23

MANAGEMENT : MR. A
GODAWARI
MR. S
GODAWARI
MR. D
GODAWARI

MODERATOR : MS. S
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Godawari Power and Ispat Limited
FY '23 Earnings Conference Call
May 22, 2023

ABHISHEK AGRAWAL – EXECUTIVE
ODAWARI POWER AND ISPAT LIMITED
SANJAY BOTHRA – CHIEF FINANCIAL
ODAWARI POWER AND ISPAT LIMITED
DINESH GANDHI – EXECUTIVE DIRECTOR
ODAWARI POWER AND ISPAT LIMITED
SANA KAPOOR – GO INDIA ADVISORS
nd Ispat Limited
Conference Call ”

TIVE DIRECTOR –
IMITED
INANCIAL OFFICER –
IMITED
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IMITED
DVISORS

Godawari Power and Ispat Limited
May 22, 2023

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Moderator: Ladies and gentlemen, good day, and welcome to Q4 and FY '23 Earnings Conference call of Godawari Power & Ispat Limited hosted by Go India Advisors. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Sana Kapoor from Go India Advisors. Thank you, and over to you.

Sana Kapoor: Thank you, Yashashri. Good afternoon, everybody, and welcome to Godawari Power & Ispat Limited Earnings Call to discuss the Q4 and FY '23 results. We have on the call Mr. Abhishek Agrawal, Executive Director, Mr. Sanjay Bothra, CFO, and Mr. Dinesh Gandhi, Executive Director.

We must remind you that the discussion on today's call may include certain forward-looking statements and must be, therefore, viewed in conjunction with the risks that the company faces. May I now request Mr. Dinesh Gandhi to take us through the company's business outlook and financial highlights, subsequent to which we will open the floor for Q&A. Thank you, and over to you, sir.

Dinesh Gandhi: Thank you, Sana. Good afternoon, everyone. Welcome to the Q4 FY '23 Full Year Earnings Call of Godawari Power & Ispat Limited. The results and earnings presentation is available on our website and the stock exchanges. I assume that you have had a chance to review it. We'll provide a conscious overview of the results, and then we can proceed to the Q&A session. At the outset, I would like to mention that we have had a prosperous year in 2023. I'm thrilled to announce that we have reached all-time high milestone in terms of revenue, Iron Ore Extraction, Pellet Manufacturing, Sales and despite significant obstacle of 45% export duty on Pellet and other Iron and Steel product the company has achieved reasonably good financial numbers.

Before dwelling into our financial performance, I would like to give you an overview of the strategic updates, which we have made throughout the year. The company is committed to delivering favourable returns to the shareholders. As a part of this commitment, the company has initiated a buyback -- a share buyback program of INR250 crores. This involved repurchase of 50 lakh shares worth of rupees -- at the price of INR500 per share. The buyback process was successfully completed in the month of April '23.

Additionally, the Board of Directors of the company has declared a dividend of INR4 per share, that is 80% on the sales value of shares for the year FY '23 on the remaining paid-up share capital after we buyback, the dividend because it has been declared by the company and available on the stock exchanges.

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The company has also announced -- in which its capex embedded in -- significantly enhancing the iron ore mining capacity and pellet plant capacity, the mining capacity of Ari Dongri mine is proposed to be around from 2.35 million to 6 million tons and a new beneficiation plant with the capacity of 4.5 million ton will be stable. The project timeline for completion for iron ore mine is about 18 months with an estimated capex of INR200 crores.

Moreover, the pellet capacity -- the existing pellet capacity of 2.7 million tons is proposed to be announced to 5.7 million tons by constructing additional pellet capacity of 3 million tons.

This expansion is anticipated to be completed within a period of three years from the date of announcement, which is March 2023 with an estimated capex of about INR800 crores.

The company has applied to the Ministry of Environment and Forest and Climate Change for environmental approval for ir

on ore mine -- announcement of the iron ore mining capacity as well as the pellet plant and the process is currently on. We expect these approvals to be received within a period of six months. And after that, the actual capex will start on the project.

In June '92 long-awaited acquisition of Jagdamba Power Plant was completed on a slump sale basis with a capex of INR70 crores. During the year, the company commissioned 70 megawatts of solar thermal -- solar PV power capacity and which was -- we started commercial operation from August '22. The company is constructing additional 30 megawatts of capacity, which is expected to be completed in Q2 FY '24.

Further, I'm pleased to announce that 30 mega -- out of the 55-megawatt solar thermal -- solar power capacity of Hira Ferro Alloys, 30-megawatt has been commissioned on 29th of June, March '23, and balance capacity is expected to be commissioned in Q2 FY '23. Just to mention, the Hira Ferro capacity has been reduced from 60-megawatt to 55 megawatts on account of certain problems in the acquisition of the required land. And similarly, 25-megawatt GPIL solar power plant in Chhattisgarh, the capacity is announced to 30 megawatts where we have a sufficient land and additional requirement of power at our mines. So, the entire 155-megawatt capacity will be commissioned in the current year.

Current grid power rate, our estimated savings on the cost of power, which we are drawing from the grid, including the solar generation is close to about INR4 per unit. The PLF in solar is expected to be around 15% of the installed capacity. Some of the capex for debottlenecking capacity announcement in the steel plant are expected to be completed in the current year. The available capex to complete this project is about INR113 crores, the details of which are given in Page number nine and page number 10 of the investor presentation.

With regard to the solar, the balance capex is about INR43 crores. Overall, INR158 crores of capex is carried forward to the current financial year out of the capex initiated in FY '22 and FY '23, other than the capex for the mine expansion in the pellet plant.

The visibility of capex on the mine and the new pellet plant, the external capex will start only after the environmental approval is received. And the exact quantum of the capex to be made

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in the current year on these two projects will be announced once the environmental approval is received.

Coming on the operating performance side, as you are aware, captive iron ore mining provides the company with a significant competitive advantage. It is worth noting that the market price of iron ore in Q4 FY '23 stood at INR5,560 indicative price, whereas the landed cost of the captive iron ore is INR3,100. This highlights the favourable cost position enjoyed by the GPIL in captive mining operation.

On an annual basis, iron ore mining volume reached a record high, increasing 12% to 2.5 million tons as compared to 2.3 million tons in the last financial year. We also attained the highest ever production and Sales in Iron Ore Pellet with increase of 9% quarter-on-quarter and 19% year-on-year as compared to previous year. GPIL witness record breaking numbers in power generation and Galvanized Fabricated products during the year. The inputs are available in the investor presentation. While the realization of pellets saw a decline of 24% in FY '23, the realization for sponge iron, steel billet, TMT Bar, wires, etcetera, increased 6%, 14%, 9% and 12%, respectively.

Coming on the quarterly number, the iron ore mining volume in Q4 was lower by 15% Y-o-Y to 570,000 tons. As you are aware, there was a collapse of over-burdened dumps in the mine.

And therefore, the iron ore production was impacted during the second half of the March '23. Now the operations at the mine have been normalized, and we expect to operate at n

ormal

levels. The iron ore pellet production increased 8% Y-o-Y and 3% quarter-on-quarter basis at 660,000 tons, Galvanized Fabricated products saw an increase of 31% and 36% Y-o-Y, quarter-on-quarter basis at 24,357 metric tons.

Iron ore pellet sales increased 13% Y-o-Y and 24% quarter-on-quarter to 573,278 metric tons.

Realization in all this showed an increase compared to Q3 FY '23 pellet and Sponge iron realization increased 19% and 6% on a quarter-on-quarter basis to INR9,833 and INR33,700.

And there was a drop on the annual basis in the iron ore pellet realization.

Coming on the consolidated financial performance, the EBITDA during the quarter increased 55% on quarter-on-quarter basis to INR268 crores despite lower net sales at INR1,360 crores, down 10% quarter-on-quarter and 8% Y-o-Y. EBITDA margin improved to 20% during the quarter on a Q-o-Q basis. the pace attributable to owners increased to INR170 crores, 32% quarter-on-quarter.

Coming on the annual performance side, the company active record high sales volume sales of INR5,753 crores, up 7% Y-o-Y. The company achieved a three-year CAGR revenue growth of 20% and the five-year CAGR of 18%. EBITDA for the year stood at INR1,133 crores, down 39%, majorly due to drop in realization of pellet, which was offset to some extent by the increase in volume. The EBITDA margin for FY '23 is strong at 20%, which is attributable to owner was INR793 crores.

Coming on the market outlook. Internationally, the global iron ore prices was \$133 per ton CIF China in mid-March '23 following the resumption of China's economic activity. However, a

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substantial increase in iron ore supplied by permanent global producers and the lower-than-anticipated demand recovery in China led to subsequent correction in bringing the iron ore prices down to \$108 in international market, CIF China.

The World Steel Association predicts a robust growth of 2.3% in steel demand for FY '23, followed by another 1.75% increase in FY '24 -- in calendar '24. The positive outlook bodes well for the steel demand of iron ore, and we anticipate that the prices will remain supported at the current level.

On domestic front, iron ore prices, NMDC has experienced a modest increase of INR3, 660 per ton in January to INR4,010, although the prices have recovered from the lows observed during the imposition of export duty, they still remain below the last year's level of this INR5,000 per ton. In this context, the pellet price has reached a peak of INR10,300 per ton in the second half of January '23, but has since dropped to about INR9,000 per ton.

With positive steel demand forecast, it is anticipated that the pellet prices will find a strong support at the current level. India continues to shine as the prominent global market for the steel demand, while Steel Association reflects -- predicts 7.3% growth in Indian steel demand for FY '23 following an 8.2% growth in '22.

The Indian government focused on infrastructure development accompanied by 33% rise in capital outlay in the last budget and a significant 75% increase level outlay holds great promise for the country with steel demand, which will see the iron ore pellets prices also supportive, particularly in the name of -- and also in the long steel products.

With this, we can now open the floor for question-and-answer. Thank you very much.

Moderator: Thank you very much. We have a first question from the line of Jatin Damania from Kotak. Please go ahead.

Jatin Damania: Couple of questions from my end. First, want to understand the impact of overall overburden done that has fallen on our mine. So can you help us in understanding what was the volume loss that we had witnessed during that particular period.

Abhishek Agrawal: So yes, because overburden collapse happened in the second half of March, again we lost some volume end of March, and we lost some vol

ume in April. Put together, the total volume, I say, would be about 100,000 tons, but there was no impact on the operations side because we maintain our mine's inventory of, say, about 38 days to 45 days. So, there was no commercial impact on the plant side. But yes, on the volume side, there was a less production of say, 100,000 tons, from say, 15th March, 17th March to say about 20th April, about a 100,000 tons.

Jatin Damania: And now the operation is fully operational, right?

Abhishek Agrawal: Operation is fully normalized. And they've also taken few further steps so that such incident doesn't happen in the future.

Jatin Damania: And secondly, sir, in the last quarter, we had taken a shutdown of Sponge Iron and Billets and rounds for maintenance and the relining. Has the shutdown completed or do we still see a lower production of that?

Abhishek Agrawal: So, from 1st of April, we have resumed all the operations very normally at the peak capacity.

Jatin Damania: And sir last two questions was on the guidance. I mean you said that you'll be doing a 3.6 million ton of the pellets in FY '24, you have already touched 2.5 million tons in FY '23. So, looking at that, do we think that there is no volume growth or the EBITDA growth one can assume during FY '24, other than the contribution that can come from Solar Power?

Abhishek Agrawal: See, we have been operating all the plant at peak capacity. So, on the pellet side, we produced 2.6 million last year and we've given the same guidance because that is close to almost 100% capacity. You know, 2%, 3% here and there does not make much difference. But yes, at the current levels, we have almost reached 100% capacity. So, the further probable capacity addition will happen when we start the new project. Until then, the current guidance will be as it is for future year as well.

Jatin Damania: So, sir, if you look at and take that into consideration, you know the INR1,000 crores of the capex, which will probably start 18 months down the line, starting at the iron ore mining once you get the approval. So -- and what we have done in FY '23 in terms of the buyback and dividend. Looking at our current balance sheet and the cash flow that we'll be generating in FY '24, I mean, I guess, I'm probably, I mean, the rewarding of the shareholders or the corporate actions can we accept better corporate action from the management and in FY '24 since you don't have any use of the cash for FY '24 as a whole.

Dinesh Gandhi: See, Jatin bhai, it is like this, for FY '23, we have used the cash mainly including the buyback which we have completed, of course, the numbers are reflecting -- the capability is reflecting in the month of March, but we completed the buyback in the month of April. So, you expecting more corporate events at such a short notice seems difficult as we need funds for the working capital as well, and we have to preserve the cash for the future capex.

As I said in my opening remarks, the INR150 crores approximately capex is pending, which will be completed in the current year. And we are expecting within six-month approval -- environmental approval. So, some capex will be required to be incurred for the pellet plant as well as mines with initial advancing, etcetera, which will be in the -- I expect this to be in the Q4 of FY '24.

So, the capex could -- in the current year could be in the excess of INR300 crores to INR400 crores approximately. And dividend will continue to be there based on the dividend policy of the company. And if you take our last three years dividend payment as well as buyback, we have distributed more than 20% of our cash flow from operations -- the profit in terms of dividend and buyback.

Jatin Damania: Sir appreciate that but if you look at the INR800 crores of the annual cash flow, if you can consider it in a year and a capex of only INR400 crores, that means one can expect a good dividend. That's the only reason why asked you, sir.

Dinesh Gandhi: No, definitely the dividend will be good as we go forward in line with our policy. And you will see once we get this environmental approval and capex in the mine as well as in the pellet plant will be sizable in the next financial year. So, we'll have to carry forward some cash balance so that we can meet the requirement in the next financial year without resorting to debt raise -- raising of debt.

Moderator: Thank you. We have a next question from the line of Mitul Shah from Reliance Securities. Please go ahead.

Mitul Shah: The first question is on how has been the demand during April and May for pellets particularly, overall demand situation for pellets, if you can give more details?

Abhishek Agrawal: See, on pellet, overall industry, it's all about -- pellet being a commodity, it's all about the pricing because in India, currently, as you're aware, there is a capacity of pellet compared to the current demand of India. And of course, export plays a major big role, export to China pellet from India. So, as you're aware that the index of iron ore has come down from 130 levels to 110 and 105 levels. So of course, there is pressure.

There is pressure on the pricing as the demand side because everything is coming down, be it thermal coal, be it coking coal, be it the steel prices. So, there is pressure. But in our case, since our, I would say, 65% is on the high-grade side, which is a very niche market. So, we don't pay -- we don't face any pressure on the demand side, but we have fixed buyers who are looking for such quality pellets.

Mitul Shah: And sir, how has been the input cost side, if you can give some detail on the coal and inventory and average pricing for past quarter and for this Q1.

Abhishek Agrawal: And you're talking about for the pellets or for overall -- for the operations?

Mitul Shah: Overall, for the operation and for the coal side on the -- there was a reduction, again, then it went up now again current spot prices are much lower.

Abhishek Agrawal: See, on the thermal coal side, which we import, the price has definitely come down. It was about \$150, \$160 levels during the last quarter. Right now, the national index is close to \$105. So that impact, you will start seeing in our balance sheet when the new coal start coming into the inventory. So, the imported coal cost going forward, we estimate should not be more than INR12,000 per ton, 13,000 per ton, which used to be about INR18,000 per ton last quarter or six months before. So that is a big change in terms of coal.

On the domestic coal side, also the price is almost crashed 50% in the last three months. So since -- of course, they supply is more, the demand is less. So overall, the raw material price has come down drastically. And on the operations side, since you are aware, most of our iron

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ores are captive. So, for us, the operating cost is more or less same from a quarter-on-quarter basis with minor changes depending on the fuel cost. So yes, currently, I think we can see a reduction of sales for the -- about INR2 to INR3 on the coal side when it comes to pellet.

Mitul Shah: Sir, the INR12,000 kind of price -- INR12,000 per ton would be realized in this quarter itself or going forward in Q4 onwards?

Abhishek Agrawal: Will start realizing from June onwards. So, the full impact can be seen from Q2 because you place an order a month before, then you have to place your vessel, get the coal to India, then transfer to plant. So, it's about 45 days to 60 days total process. So, the full impact you will start seeing from quarter 2. From June onwards, we will start seeing the impact. But full impact will start coming from Q2.

Mitul Shah: Okay, sir. And lastly, on the invent

ory side, if you can highlight because of this shutdown for some time, how is the inventory situation right now?

Abhishek Agrawal: See, since the shutdown was planned, so we ensured we didn't buy any extra raw material, especially on the coal side, because the market was falling. So, all the inventory stocks should be over in the next two or three weeks. And then the new coal will start coming. So that itself will start affecting to our price realization in terms of operating costs. So, we're not carrying any heavy inventory, in terms of iron ore, in terms of coal as well.

See iron ore, of course, the mining function was down, so the inventory is down. But on the coal side, we didn't buy any fresh coal during the March and April quarter because of the shutdown and finally new coal starts coming. So, we're not operating at an heavy inventory levels.

Moderator: Thank you. We have a next question from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: Sir just a few clarifications. First, timing, which we are seeing, 18 months and 36 months for the mining and the pellets expansion. This does not include EC approval, which we're expecting in six months, right? So, this timeline kind of kicks in after the EC approval, is that the right understanding?

Dinesh Gandhi: No, no. Sumangal, this is from the date we made the original announcement about the pellet and the mining, and environmental approval has already been -- so these 18 months and 36 months we see here is including the environmental approval, not excluding the -- after receipt of the environmental approval, it could be between 18 months to 24 months.

Sumangal Nevatia: Okay, understood. So, we kind of budgeted six-odd months for the EC approval and in case there is...

Dinesh Gandhi: Nine months for EC approval.

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Sumangal Nevatia: Okay. Got it. Understood. And sir, in terms of how the schedule of the capex will be, say for the pellet plant over 36 months, it's largely going to be in the last year 3 or it is evenly spread, if you can share this.

Abhishek Agrawal: So, see, on the pellet side, some amount has gone into purchase of new land and finally, once we had the approval in hand, environmental approval, so we start taking orders. So that some amount will go in as -- some of the advance. So, you can see major capex happening, I would say, in '24 and '25, on the pellets side.

Sumangal Nevatia: Understood. Okay. And I mean, since the pellet is coming later than the iron ore mine in the interim, what is your strategy? I mean, do we intend to sell iron ore in the market or maybe just build up inventory.

Abhishek Agrawal: No, we have no intention of selling the iron ore in the market, probably we will start stocking up on the inventory side. So, if mining production picks up at a desired pace, so we will start inventory in such stocking, but we'll not sell anything in the market. We have no intention of selling in the market.

Moderator: Thank you. We have a next question from the line of Vikas Singh from Phillip capital. Please go ahead.

Vikas Singh: Sir, I just want to understand, given the coal cost has been continuously declined, have we seen the kind of the increased production from the secondary segment and is that started to impact us or still some time?

Abhishek Agrawal: No, just to clarify, even when the coal costs were higher, there was no reduction in secondary production because I think the margins in secondary steel was still, I would say, quite decent. So, with the coal prices coming down, so eventually, I feel the steel prices domestically should start going down and the margins should remain healthy. So even when the coal prices were quite high, there were never reduction in the steel production on secondary side. There was not.

Vikas Singh: Understood, sir. Sir, secondly, given that we had a shutdown, we

should have been carrying

some of the imported coal inventory. So, have we reported any inventory losses in terms of at least the imported coal, which we use in sponge iron this quarter? And how is the cost of production is expected to move next quarter?

Abhishek Agrawal: As I already mentioned before, that -- so usually, we operate at an influx of 45 days to 60 days because we import all the thermal coal for DRI. So, when the plant was shut down, so that inventory will definitely carry over in this quarter, but we ensured we didn't make any fresh purchases. So, the new coal, which is -- will start coming in month of June. So that will take care of whatever inventory losses we incurred during probably April and May because the index is quite low. Index from \$150 in March has come down to \$100 in May. So that will take up -- that will cover up the inventory losses we suffered during the shutdown.

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Vikas Singh: So just to clarify, we have not taken any inventory loss as of now, but using the high-cost inventory in 1Q, is that what we have just said?

Dinesh Gandhi: Bothra ji, can you highlight on this point?

Sanjay Bothra: No, we have not taken any inventory loss in FY '23.

Vikas Singh: Okay, sir. And sir, just one last question regarding our capital allocation. So given that we -- this pellet and iron ore mining thing is going to run for a longer period. But our cash inflows, like the previous participants have pointed out, would remain much higher. Just wanted to understand at what inflection point you would think of for putting money in the steel business again, given the constant capacity in steel from almost a decade now.

Dinesh Gandhi: So, see the steel side, we already announced a capex plan of 1-million-ton pig iron plant. And for that, we are awaiting the approval -- further approval for the and allocation and environmental approval, both of which are in process. And once these approvals are received, we would aim to start the work at the site. So that will be the additional substantial capex in the steel side.

Vikas Singh: Sir, that will start only next year, right, nothing this year?

Dinesh Gandhi: Yes, this will start next year. We don't expect this to start in the current year.

Moderator: Thank you. We have a next question from the line of Chirag Singhal from First Water Capital. Please go ahead.

Chirag Singhal: Just a couple of questions from my side. First, what I wanted to understand is what issues are we exactly facing in context to expanding our Sponge Iron capacity from 0.5 million to 0.6 million tons?

Abhishek Agrawal: Okay. Just to answer you that, we have already got the EC from MoEF for 5.94 against from 0.495 and we are waiting for the consent to operate from the state pollution board, which is a

part of the complier without which we cannot hand the capacity. So, we have been trying to follow-up with the state government to give grant us. But for some reason and others, they are not moving ahead. So, we're still struggling, but we are confident in this financial year, we should be able to get the permission.

Chirag Singhal: So, speaking of which by the end of FY '24, we should expect this...

Abhishek Agrawal: Yes, we are hopeful. They're always saying, right, "Umm Pe Duniya Kayam Hai". So, when we go by that, so we are hopeful this financial year, we should get the enhanced permission from state pollution board.

Chirag Singhal: And what about the billet size? So, in Billet, we are saying that will increase from 0.4 million tons to 0.5 million tons, I think earlier we said that we have plans to increase it to 0.6 million tons. So, anything on that?

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Abhishek Agrawal: So, on the billet side, the work is already in progressed. We have already mentioned in the NSA presentation. So, the billet sanction will be comp

leted in Q2 of this financial year. So

currently, you're taking the capacity from 0.4 million tons to 0.5 million tons. We did mention we want to take it to 0.6 million tons, but we have revised the guidance to 0.5 million tons at the moment. And if you want to take it further from 0.5 million tons to 0.6 million tons, we will announce it again. But at the moment, the capacity is going to be 0.5 million tons and we should be -- the capex is already done, and the work should be completed in Q2 of this financial year.

Chirag Singhal: Okay. Understood. My next question was on the coal consumption costs. So, you just told us that this INR18,000 per ton coal consumption has actually gone down to INR12,000, INR13,000, which will fully start realizing from Q2 onwards? Can you help with the consumption cost in the current quarter for coal?

Abhishek Agrawal: See, so currently, with all inventories, we are carrying the spot in cost of sponge iron will be say about INR13,500 per ton to INR14,000 per ton of sponge iron, per ton of BR iron, which will eventually go down at 30% in the Q2, which will come down below INR10,000 per ton in Q2.

Chirag Singhal: And what was the corresponding number for the INR13,000 to INR14,000 in Q4?

Abhishek Agrawal: Q4 will be at the same level because the market started correcting from March onwards. And in March, it was about \$150, \$160 the index. It has come down to \$100 levels in next -- in the last two months. So Q4 and Q1 will be on the single level. Big impact will be seen from Q2 onwards.

Chirag Singhal: Okay. So that means that in current quarter, will you be taking a hit on the NSR because the steel prices, pellet prices both have gone down, but in terms of the raw material costs, there will be hardly any change for the current quarter.

Abhishek Agrawal: You can say so, yes, there will be impact because from June onwards, you will start realizing the lower coal prices. But yes, the full impact will be in Q2, so you can consider Q4 and Q1 on the similar levels in terms of coal.

Chirag Singhal: Okay. Got it. My last question, Abhishek, was on the subsidiaries. So, if I look at the performance of the subsidiaries in the last one year, and if I look at the EBITDA of stand-alone and consol, there is hardly any contribution coming from Hira and Alok. And also, we saw that Alok didn't produce anything in the last quarter. And if I compare other Ferro Alloy companies, they are at least doing high single-digit margins on an average for the last 2, 3 quarters. So, what is your target in terms of annual EBITDA from both of these companies going forward?

Abhishek Agrawal: See, on the -- I'd say on the Ferro business, if you leave out year 2021 because it was exceptional for Ferro Alloys because the prices were as high as INR1.2 lakh to INR1.25 lakh per ton with average realization of INR7 lakhs. Ferro business, usually, you can see a margin of about 10% of your price realization and the second issue, which we faced was we were

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carrying a lot of inventory on the manganese ore side because the manganese ore market was on the upside. So that also has given us a big hit. But eventually, the manganese ore prices started coming down in line with the market prices. And all the old inventory is almost over, so from this quarter onwards, we can see the both the units back into profit again.

Chirag Singhal: Can you give some number in terms of what is the average annual EBITDA that we target to get from both of these companies put together, Hira and Alok.

Abhishek Agrawal: I think probably we can consider a margin of INR5,000 per tons on the entire production on average basis. Just with Hira solar power being commissioned, that will also add up to the profitability because the power cost will go down because the contribution of power in our business is almost 25% of the operating costs, so that will

also help them in improving their margins.

Chirag Singhal: Okay. You said INR5,000 per ton, right? Average EBITDA for the entire year.

Abhishek Agrawal: Yes, yes, yes, yes. That is the industry standard plus or minus 10%. But yes, that should be the number that we're looking at for this financial year.

Moderator: We have a next question from the line of Siddharth Agarwal from Prudent Value Partners. Please go ahead.

Siddharth Agarwal: So, my first question is, our cost of mining ore has been inching up from roughly INR2,400 per ton in '19, '20 to roughly INR3,100 now. So where do you think is this likely to stabilize, especially as we intend to scale operations to 6 million tons. So, what would you expect this to stabilize at?

Abhishek Agrawal: So, there are 2 major components from '19-'20 to this year, where you are -- the difference is almost INR100. The first is amount of royalty because royalty is almost 20% of the IBM price. And IBM is really published 3 months later. For example, if you're sitting in May right now, so we're paying a royalty basis their February publication. And as you understand, the price market or the iron ore market has started down from March onwards. So, there will be a reduction in royalty going forward. That will be a direct savings to the company. They estimate about say INR150 to INR200 from there.

And on the transportation side, earlier diesel was about INR60, INR70. Now government has almost stabilized diesel prices between INR95 to INR100. And transportation is, of course, 1 of the biggest costs including mining cost. So, on these 2 accounts, there were primary increase in the costing. So, diesel, of course, is not in our hands. I don't see any reduction in that. But on the royalty side, as the market keeps going down, there will be a reduction in the royalty pricing. So, we estimate this year, we should be below -- we should be somewhere about INR2,850 to INR2,000 average, mining costs we would be carrying around.

Siddharth Agarwal: Okay. Abhishek, what are the total -- hello?

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Dinesh Gandhi: Just I would like to add one more thing in this. As we ramp up our mining from 2.3 million tons in a rate over to about 6 million tons, I'm sure there will be a benefit of operating leverage as we go forward. There will be particularly a benefit of operating leverage as part mining cost will go down. Of course, transportation costs and royalty may not impact because of the operating leverage, but mining costs and our thing of overhead of the mine will definitely be distributed over the higher volumes. So, there will be some reduction in the cost initially when we ramp up the mining.

Siddharth Agarwal: Okay. And sir, what are our total reserves? And when do we really expect that the 6-million-ton annual production to start happening?

Dinesh Gandhi: Abhishek?

Abhishek Agrawal: I think on the reserves side, I think we've already informed everyone about the reserves. I think we have already -- until we export right now, I think we have already gave the reserves of almost about 180 million tons. And on the operations side, once we receive the approval, which we expect to happen probably in Q3 of this financial year, so from there on, you can consider 12 months. So, we can see a full mining production, I would say, end of FY '24 or starting of FY '25.

Siddharth Agarwal: So at least FY '25 end we should see closer to 6 million tons out of annual production.

Abhishek Agrawal: Yes. Along with, just to add, we are -- so we have also applied for beneficiation, so that capacity will also be coming in line along with the mining capacity, that both will happen parallelly.

Siddharth Agarwal: Okay. And at that capacity, that level of ore mining, assumingly the ore prices are at a similar level as of today, we would have roughly INR1,400 crores, INR1,500 crores of cash generation every year at that

level of production.

Abhishek Agrawal: Yes. I think today's market price, yes, you can say that.

Moderator: Thank you. We have a next question from the line of Aman Madrecha from Augmenta Research. Please go ahead.

Aman Madrecha: Could you please highlight more on the Ferro Alloy business like how is it panning out globally and what is the scenario of the Indian Ferro Alloys manufacturer as of now?

Abhishek Agrawal: See on the Ferro Alloys side, the problem is China, of course, the biggest manufacturer of Ferro Alloy, the biggest importer of manganese ore as well. So again, the Ferro Alloy business is quite China-driven. So, at the moment, the exports from India was quite on the low side because, of course, with energy prices in Europe and the parts of the world, capacity has been out of production even on the steel side. If you see capacity in Europe was out of production, people have stopped their blast furnaces, be in Japan, be in Korea or be in Europe. So now I think energy prices have come down to normal levels.

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So slowly the capacities are coming back into production from Europe and other countries. So as capacity start coming on, there will be again demand of exports from India. So eventually, there will be, again, a balance between supply and demand. So, we see the market is going to be -- and if you see the price of Silico Manganese, it has been around INR75,000 for more over the last 6 months. So, on the finish side, the prices are quite stable. And manganese ore prices have come down to almost towards the bottom, probably a reduction of 10%, 20% might be there. So, with these input prices and the finish, there will be a different margin side also going forward.

Aman Madrecha: So, we are trying to say that because energy prices stabilized and raw material stabilized, so the Ferro Alloy business would start going good?

Abhishek Agrawal: Yes, the margin should come back, yes. The margins should come back in financial year, definitely.

Aman Madrecha: Okay. Good. And could you please allocate what would be the industry capital utilization currently on the pellet side? Any idea about that because...

Abhishek Agrawal: Okay, on India -- the pellet capacity is close to about 75% to 80% on the installed capacity for India.

Aman Madrecha: What about -- and when can we expect the export side of market to pick up like are we not focusing on that right now?

Abhishek Agrawal: No, see, we are always open for exports, but eventually, we have to see the export realization, but the export was domestic. So, as we said earlier also, wherever we get better realization, we will target that market. So currently, domestic is much better than exports. So, our focus is on domestic market at the moment. But we are always open to export, we are always in discussions with our potential buyers. So as an opportunity presents, we will start exporting again. The window is always open.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing comments. Over to you, sir.

Dinesh Gandhi: Thank you. FY '23 has been proven to be an exceptional year for our company, marked by significant strategic advancement and operational performance achievement with robust balance sheet, ambitious growth strategies and dedicated workforce, we are confident in sustaining our strong performance in years to come.

We sincerely appreciate and thanks for your presence in the conference call as we hope that we have been able to address your all questions to your satisfaction. If you have any further questions or require any additional information, please feel free to get in touch with us or contact our Investor Relations agency, Go India Advisors. Once again, thank you. Thank you all for your participation.

Abhishek Agrawal: Thank you.

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Moderator: On behalf of Go India Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2023

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REF: GPILINSE&BSE/2023/5202

To'

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai-400001 .

Scrip Code: BSE: 532734Date: 01.08.2023

TO,

National Stock Excliange of India Limited

Exchange Plaza, C/I , Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai400051.

Scrip Code: GPIL

Dear Sirs,

Sub: Submission of Transcript of conference call held on 28'h July, 2023.

This has reference to conference call held on 28th July, 2023 to discuss the results and poeformance ofQ1 -FY24 for AnalysVInstitutional Investors/Fund Housennvestors etc..

Please find attached herewith the Transcript of conference Call held on 28th July, 2023.

The aforesaid information is also being hosted on the website of the company viz.,

www.godawaripowerispat.com.

Thanking you,

Yours faithfully,

For GODAWARI POWER AND ISPAT LIMITED

L-4v€>JY.C. RAO

COMPANY SECRETARY

Encl : As Above

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"Godawari Power & Ispat Limited Q1 FY24 Earnings
Conference Call"

July 28, 2023

MANAGEMENT : MR. ABHISHEK AGARWAL – EXECUTIVE DIRECTOR

MR. SANJAY BOTHRA – CFO

MR. DINESH GANDHI – EXECUTIVE DIRECTOR

MODERATORS : MS. SANA KAPOOR, GO INDIA ADVISORS

MS. SHEETAL KHANDUJA , GO INDIA ADVISORS

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Moderator: Ladies and gentlemen, good day and welcome to Godawari Power & Ispat Limited Q1 FY24 Earnings Conference Call hosted by Go India Advisors.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Sana Kapoor from Go India Advisors. Over to you, ma'am.

Sana Kapoor: Good afternoon everybody and welcome to Godawari Power & Ispat Limited earnings call to discuss the Q1 FY24 results. We have on the call Mr. Abhishek Agarwal – Executive Director, Mr. Sanjay Bothra – CFO, and Mr. Dinesh Gandhi – Executive Director.

We must remind you that the discussion on today's call may include certain forward-looking statements and must be, therefore, viewed in conjunction with the risks that the company faces.

May I now request Mr. Dinesh Gandhi to take us through the company's business outlook and financial highlights subsequent to which we will open the floor for Q&A? Over to you, sir.

Dinesh Gandhi: Good afternoon everyone. Thank you for joining the Earnings Call for Q1 FY23 of Godawari Power & Ispat Limited. Our financial results and earnings presentation is available on our website on the stock exchanges. I believe that you have been able to have a chance to review it.

I am excited to share our financial performance and discuss the key achievements and milestones this quarter. Post this, we can proceed with the Q&A session.

GPIL kick started FY24 on a positive note. Before we dive into the Financial Results and perform a highlight, I would like to throw some light on the strategic update. As you must be aware, GPIL had announced an ambitious CAPEX plan aimed at significantly enhancing the iron ore mining capacity and pellet plant capacity. The plan entails more than doubling the mining capacity at Aari Dongri Mine, expanding from 2.35 million tonnes to 6 million tonnes. Additionally, GPIL intends to establish a new beneficiation plant at the Aari Dongri Mine with a capacity of 6 million tonnes. The project timeline for the same completion is about 15 months with an estimated CAPEX of Rs. 200 crores. GPIL has also outlined a plan to augment the pellet capacity by 3 million tonnes, resulting in an increase in the capacity from 2.7 million tonnes to 5.7 million tonnes by constructing an additional pellet plant. The expected timeline for expansion of the project is approximately 30 months from now with an estimated CAPEX of Rs. 800 crores. Further, GPIL has decided to increase the capacity of the integrated steel plant by 1 million tonne, elevating from the present capacity of 0.5 million tonne, taking the total capacity to 1.5 million tonnes. According to our estimate, the CAPEX for the same will be approximately Rs. 2,500 crores and expected completion time will be 36 months.

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We are awaiting the environmental approval for all these projects. Once the approval is received, the construction activities shall start. The timeline for completion for the regulatory approval is during the current financial year and we hope to start the construction activity in the next financial year.

Our company is resolute in its commitment to reducing the carbon footprint. GPIL is taking concrete steps towards the goal by establishing a total solar power capacity of 155 megawatts spread across 3 projects. As of FY23, we had commissioned 70 megawatts of GPIL solar power plant and 30 megawatts owned by HFAL and further constructing 55 megawatts capacity, which is expected to be completed by the end of September in the current quarter.

I

would like to highlight that when comparing the current prices of the grid power and the cost of solar power generation, GPIL on an average saves Rs. 3 per unit with a plant load factor of around 15% of the solar capacities.

In the current financial year, our normal CAPEX for the steel and power plant other than the solar project is close to about Rs. 125 crores and the expected completion is in the current year, which includes replacement of turbines, some modification in our rolling mill, and the steel billet plant, etc.

Over and above this, I am pleased to announce that GPIL has successfully introduced a new product called 66 Fe pellets, which has received an overwhelming positive response from the market. Notably, these pellets are fetching significantly better realization as compared to the 63 Fe pellets. The additional realization is in the range of Rs. 1,500 to Rs. 2,000 per tonne for 66 Fe pellets.

Coming on the operational performance, I am delighted to share that as per our volume guidance for FY23, we have already achieved 30%, 25%, and 28% targets in the sponge iron,

billet, and roll products. This strong performance has given the confidence that we have been able to reach our guidance target for all products we outlined in the last quarter and sticking to our guidance for the current financial year as mentioned in our presentation.

Iron ore volume in the first quarter Q1 FY24 is played at 5,70,000 and we are confident of achieving the total volume for the current year. Iron ore pellet production decreased 21% quarter-on-quarter and YoY basis due to the plant maintenance shutdown. On the other hand, sponge iron, steel billet, and MS round production increased significantly, primarily because of the shutdown taken in the last quarter in Q4 FY23. Iron ore pellet sales decreased to 2,97,000 tonnes because of an increased captive consumption of pellets for production of sponge iron. In the current quarter, sales of sponge iron, steel billet, and MS rounds have also increased significantly in line with increase in production. Realization for pellet has shown an increase of 3% on a quarter-on-quarter basis. Our average realization for the quarter is Rs. 10,200 per tonne. And the other products have shown a slight decrease in the prices with the reduction in the fuel cost.

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On a YoY basis, realization across the products has fallen. If you compare our results with Q1 FY23, then the FY23 was an exceptional period when the international prices of iron ore was very high and therefore our realization was very high, which is not a normal circumstance. So, the YoY number has to be looked at in a normal market condition, which was Q4 FY23 and our performance is in line with that.

Coming on the consolidated financial performance, revenue for the quarter showed a marginal increase of 1% to Rs. 1,326 crores on a quarter-on-quarter basis. However, it dropped 20% on YoY basis, primarily because of a fall in the realization of all products. EBITDA increased 14% quarter-on-quarter basis to Rs. 305 crores. PAT attributable to owners increased to Rs. 231 crores, up 36% quarter-on-quarter. I would also like to mention that there was an exceptional income of Rs. 18 crores in Q1 FY24, which was received from the buyer in terms of our share purchase agreement for sale of investment in Godawari Green Energy which is about 25 megawatt solar thermal power plant which we sold in FY21.

Moving on the standalone performance, sequentially, the revenue dropped 1% to Rs. 1,207 crores whereas EBITDA and PAT increased 9% and 16% to Rs. 300 crores and Rs. 224 crores. EBITDA margin improved in the quarter to 25% as compared to 22% in Q4 FY23.

Coming on the market outlook, internationally, global iron ore prices have touched 233 CIF China in mid March 2023 following the China's economy reopening. However, sharp increase in iron ore supplies

by global measure coupled with lower than expected demand pickup in China resulted in correction in prices to current level of about \$115 a tonne. However, a recent announcement by China to support the housing and infrastructure sector might lead to an increase in consumption of iron ore. World Steel Association is projecting a robust 2.3% growth in the steel demand for FY23 followed by further 1.7% in 2024. The positive outlook bodes well for the demand for iron ore and we anticipate prices to remain well supported at the current level.

In domestic market iron ore prices, NMDC has experienced a slight increase, rising from Rs. 3,650 a tonne in January to Rs. 4,210 a tonne at present. While prices have recovered from the lows observed after imposition of export tax, they have remained well below the last year level of Rs. 5,000 a tonne. Conservatively, pellet prices peaked at Rs. 10,200 in March '23 but have since declined to Rs. 8,800 a tonne for normal grade of pellets which is 63 Fe. With a positive outlook for steel demand, it is expected that the pellet prices will adequately be supported at the current level.

With this, I conclude the opening remarks and we can now open the floor for questions & answers.

Moderator: Ladies and gentlemen, we will now begin with the question & answer session. We will wait for a moment while the question queue assembles.

The first question is from the line of Jatin Damania from Kotak Securities. Please go ahead.

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Jatin Damania: Sir, I just wanted to check that if you look definitely globally, the realization of the iron ore and the pellet has corrected to the tune of Rs. 8,800 whereas our realization on the sequential basis has gone up to near about Rs. 10,200. Can you guide us in terms of what was the total contribution of the high-grade pellet in the overall basket which has helped us to garner such a higher realization? And how do we see the pellet market and the realization going forward?

Abhishek Agarwal: I answer your question in 2 parts. In Q1, the high-grade production was less than 50% because

we had taken the annual shutdown of our pellet plant, the bigger one. That's our strategy. We take a shutdown before monsoon. So, Q1 is always when the production volumes are low. But going forward, the high-grade production is going to remain at 65% level of the entire production.

Jatin Damania: So 65% will be high-grade production?

Abhishek Agarwal: Yes.

Jatin Damania: And from July onward, is the pellet plant running at the full capacity or the shutdown was there in the month of July as well?

Abhishek Agarwal: No, from the month of June, we are operating at full capacity. The shutdown was in the month of May, and from June onwards, whatever numbers we had given in terms of our annualized volumes, we are confident we will be able to achieve that.

Jatin Damania: A couple of more questions. Since we have already commissioned the 70 megawatt solar plant and the 50 megawatt is expected. In addition to this, we are doing Rs. 125 crores of CAPEX on the relining and the setting of another turbine. Could you help us in understanding what will be the savings that we will be having once both the solar and the new turbines come in place?

Abhishek Agarwal: Put together, the solar 70 megawatts plus the additional capacity plus the turbine, we are expecting an annualized saving of about Rs. 100 crores to Rs. 125 crores at the EBITDA level on an annual basis.

Jatin Damania: And lastly, is there any update on the integrated steel plant – what product and how are we moving?

Abhishek Agarwal: We have been saying that time and again, but unfortunately there has been a kind of lag in terms of our approvals. As I said, we still have a few months before we start the work. Iron making we are very clear, but on the finished steel side, we are exploring the long as well as the flat p

roducts. I think by the time once we start the groundwork, we should be in a position to decide which kind of steel we will be making. We would need some time. But we are still exploring because a lot of new technologies are coming into the picture. And since this will be our first project in terms of primary production, we need some more time to finally decide the product mix.

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Moderator: The next question is from the line of Harsh Vasa from SBI CAP Securities. Please go ahead.

Harsh Vasa: Sir, I just have a couple of questions. The first question is that could you just throw some light on what is the coal sourcing mix you would like? And how much coal did you import in Q1 FY24? And what is the inventory of coal as on date? And the second question is, what is the payback period of this new CAPEX plan?

Abhishek Agarwal: To answer your first question, we import about 0.5 million tonnes for our DRI operations. We have been doing that earlier and will continue to do that in the future as well. On the pricing side, as you are aware, the thermal index has gone below 100 levels and more such shipments we are buying on index. We are moving with the market. As month on month that the market is going down, we will get the benefit of lower input for our DRI production as well. On a fixed number, you can say currently, my landed cost to the plant is about Rs. 12,500 a tonne, which will further go probably down by Rs. 1,000 in the coming months against Rs. 18,000 in Q4 and say about Rs. 15,000 to Rs. 16,000 in Q1. So, in Q2, we can see a number of say about Rs. 12,000 to Rs. 12,500 average – my incoming cost of thermal coal from DRI. And on inventory levels, usually including the transit in the pending shipments and the stocks we have, we usually maintain inventory of about 2 months. Because of the monsoon, we need to keep that leverage so that the plant doesn't get hampered. At the moment, we are carrying inventory of about 2 months. Basically Q2 or earlier Q3 we have covered.

Harsh Vasa: Sir, what is the payback period of this new CAPEX plan?

Abhishek Agarwal: There are multiple CAPEX going on. One is the steel capacity of 0.4 million to 0.5 million which will be commissioned in Q2 itself. Then the second one is the turbine; the 48 megawatt turbine which will be commissioned, again, in Q2. Combined these two, we expect the fuel cost to go down by at least a rupee. As I mentioned earlier, the turbine and the solar, everything put together on the energy side, we expect a saving of about Rs. 100 crores to Rs. 125 crores on annualized basis.

Moderator: The next question is from the line of Chirag Singhal from First Water Capital. Please go ahead.

Chirag Singhal: My first question is on the 66 Fe grade pellets that you mentioned. You mentioned that the realizations are Rs. 1,500 to Rs. 2,000 per tonne higher. Is this in comparison to the regular 63 Fe grade or the second highest grade that we are....?

Abhishek Agarwal: Just to be clear with things, what we have done is earlier, we were making 65 Fe pellets. We have improved that same pellet to 66 now. And what Mr. Dinesh Gandhi mentioned, the premium of Rs. 1,500 to Rs. 1,800 is over the 63 pellets if you compare vis-a-vis the 65 pellets. At the moment, because this is new to the market, we are trying to establish it for the

new buyers. Today, we are getting a premium of about Rs. 800 over 65 pellets.

Chirag Singhal: And just wanted to understand the delta when you produce the 65 or 66 Fe grade, what is the incremental cost that you have to incur?

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Abhishek Agarwal: Incremental cost is about Rs. 300. So, the additional delta probably which would add to our bottom line is about Rs. 500 to Rs. 600 per tonne.

Chirag Singhal: Sorry, additional delta you said Rs. 500 to Rs. 600?

Abhishek Agarwal: Yes, because

Rs. 300 is the additional input cost and at the moment, we are able to realize a premium of, say Rs. 800 to Rs. 1000. So, if you compare Apple to Apple, we probably make another Rs. 500 to Rs. 600 more compared to a 65 pellet.

Chirag Singhal: What is the price trend looking like for pellets and finished steel for the current quarter versus the last quarter?

Abhishek Agarwal: At the moment, domestically, the prices are about Rs. 9,000 for the 63 pellets. And for the higher grade one which we have just started marketing, we are getting a price anything between Rs. 10,500 to Rs. 11,000. Still, I would say it's early stage, but we are confident as people start using this quality, we would be getting the desired premium going forward.

Chirag Singhal: Broadly, for us, the realizations would be a little bit higher than what we did in Q1 for pellets?

Abhishek Agarwal: Yes, definitely volume is going to go up compared to Q1. That is for sure, because there are no shutdowns. And on the pricing side, we had ex-plant of Rs. 10,200. I would still say probably we will be in the range of Rs. 10,000 to Rs. 10,500 because this is the monsoon season, the domestic demand of steel is very weak, and the markets have been going down month on month. If we are able to sustain the same price, I think it should be a good number.

Chirag Singhal: And what about the finished steel?

Abhishek Agarwal: In terms of pricing?

Chirag Singhal: Yes.

Abhishek Agarwal: Compared to Q1, the prices are further down by at least 10% in Q2 for sure. For example, today sponge is about Rs. 27,000, billet is about Rs. 40,000 to Rs. 41,000, and wire rod is about Rs. 45,000. If you compare to Q1, the sponge was about Rs. 30,000. So, there will be 8% to 10% drop in the finished steel prices compared to Q1 for this quarter. But at the same time, the input cost has gone down in terms of thermal coal or the power coal because the domestic coal prices have crashed. They are almost lying at the rock-bottom prices which used to be pre-COVID levels. That will help in sustaining the EBITDA levels although the finished steel price has gone down.

Chirag Singhal: That was my last question actually, the coal cost only. You mentioned that – if I got it correct – you are expecting some Rs. 3,000 per tonne on your consumption cost in coal for the current quarter versus the last quarter.

Abhishek Agarwal: Yes, Rs. 2,500 to Rs. 3,000. Exactly.

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Moderator: The next question is from the line of Nikil Chandak from JM Family Office. Please go ahead.

Nikil Chandak: Abhishek, I had 2-3 related questions all around the capital allocation policy both at the company end and at the promoter end. It's obviously a great thing it is a cash rich balance sheet. But recently, for example, we did an unsecured loan to another company in the similar line of business, Prakash Industries. They pledged their shares in favor of Godawari. Why would you do something like this? Why get into these unsecured loans to either players in the industry or outside the industry? That is the first question. And the second one is, I also understand at the promoter end, there are a few other business interests also which the promoters have. Like, for example, electric two-wheelers and things like that. Any chance that you would want to fund this from Godawari's balance sheet or would that be, again, funded by the promoter end itself? And just from a management perspective, time allocation or focus between the two entities – Godawari versus some of the other business interests? And the third one was, again, we saw some recent sell down by the promoters which was frankly, I thought surprising because there was a buyback which was just done, etc., and the promoters are cash rich. So, why sell down stake in the listed entity? And would you look to do more of those kind of sell downs in the future?

Abhishek Agarwal

al: I will answer the questions one by one. On the first part, we do have given some unsecured loans against the collateral, the pledging of their like Prakash Industries. But overall, we do have realized that shareholders especially are not happy with this approach of the company.

And as the management, I can commit to you that whatever has been done has been done. I can assure you all the loans we have given are always unsecured, but they will come back to the company with the desired interest. And going forward, we have taken a management decision that we will not indulge in such practice any further. Whatever is gone is gone and is going to come back to the company as per the agreement. But going forward, we will not continue with this practice. As the management, I can assure you that. That answers your first question. The second part would be – we have no intention of funding any promoter investments or their growth from the parent company. Godawari is a listed company. I will ensure whatever CAPEX has been done has been invested in the company to add value to the shareholders. And the third question; we did dilute some stake. The reason was we were always looking to get good investors, young investors on board. There was an opportunity, we thought it would add value to everyone on board including our shareholders. That is the reason. No other aspect. There was an opportunity. We always wanted to get good investors on board and to attract the big investors. That's the only reason.

Nikil Chandak: That's very reassuring. On the cash generation which will happen in addition to the CAPEX which is going into the business, from a dividend plus buyback, would the similar strategy as in the recent past continue over the, say the medium term?

Abhishek Agarwal: We have our dividend policy which is being approved by the board and we will stick to the dividend policy. We are very clear whatever cash generation is going to be here, either we are going to distribute it to the shareholders or it's going to go into the CAPEX. We will follow the dividend policy by the T. If you compare the last 3 years, the dividend distribution has been

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more than almost 25% on a year-on-year basis. I think that's a very good dividend policy. We will continue with that.

Moderator: The next question is from the line of Rakesh Roy from Omkara Capital. Please go ahead.

Rakesh Roy: Sir, my first question is regarding how is the ferro alloy business doing as of now?

Abhishek Agarwal: Ferro alloy business I would say is not doing very great because the prices are hit almost towards the rock bottom. Currently, the silico prices are about Rs. 55,000 ex-plant. The only silver lining is the input cost which is mainly the manganese ore and thermal coal and the coke, subsequently they also dropped down. The manganese ore is hovering at the rock bottom, I would say. Same is with the thermal coal as well as the coke. Definitely there will be a substantial saving on account of power generation because the prices of domestic coal have come down to the rock-bottom prices. So, we can see some savings on the power generation side. But as a whole, Ferro Industry right now it's operating at a very minimal profit, I would say.

Rakesh Roy: But your realization also has come down due to this only – ferro alloy.

Abhishek Agarwal: Yes, definitely, of course. Because the price, I think, in Q1 was about Rs. 70,000. Now in Q2, it is about Rs. 65,000. And the demand is quite weak because India is surplus in alloy production. A chunk has to be exported to balance out the demand and supply. So, the prices are definitely under pressure in terms of ferro alloys at the moment.

Rakesh Roy: Sir, my next question is regarding – maybe I missed it – can you highlight on the new product 66 Fe or how is it different in terms of pricing from 65 and other?

Abhishek Agarwal: As

I mentioned earlier, we have improved a step further. Now we are making 66 Fe pellets for which we are getting an additional premium of, say about Rs. 800 over and above the 65 pellets. It's in a very nascent stage, I would say very initial stage. As people start using it, the end mills, I am sure we will be able to get the desired premium in the longer term.

Rakesh Roy: Sir, the same question again. In Q1, we have 65% of pellets on high grade Fe?

Abhishek Agarwal: We have been reducing the percentage of high-grade production of pellets compared to my normal grade is always 65% for the last 2 years and we will continue to maintain that.

Rakesh Roy: After 66, we will maintain 65 only.

Abhishek Agarwal: The percentage mix should be 65% only, yes. At the moment, the production volume will be the same. It's just that we have improved the quality a notch more.

Rakesh Roy: The next question is regarding, most of the steel players are setting up their own pellet plants. In that case, in the near future, can we face any difficulty selling the pellets?

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Abhishek Agarwal: No, I would say. A very straightforward answer would be no. There are two reasons. Because of our captive mines, our strength is iron ore at a very lower cost compared to others. And secondly, because the entire India is making the same grade which is the 63 or 62 pellets. But in my case, since I am making a premium product which is 66 Fe now, I have a different

market, I have a different target audience, and parallelly always we will keep exploring the export market as well. So, I don't see any reason that we would be facing any kind of competition from my peers in the domestic market because of quality.

Rakesh Roy: Sir, most of the steel companies say in their con-call that in the next 1 month, their raw material cost will come down. In that case, our realization will come down or how much we are expecting in the near term?

Abhishek Agarwal: As I mentioned, for us, iron ore doesn't come down much because it's a captive resource only. Only on the royalty part, it keeps changing up and down. On the coal side, definitely, thermal coal as I mentioned, Q1 the average price was about Rs. 15,000, Q2 we are expecting an average price of about, say Rs. 12,000 to Rs. 12,500. That will straightaway add to our additional EBITDA. But at the same time, the finished steel prices have gone down by almost 10%. So, that will balance out. Whatever input cost has gone down, the finished has gone down in the same proportion. So, I don't see much improvement on that side.

Rakesh Roy: Sir, you said coal will come down from Rs. 15,000 to Rs. 12,500.

Abhishek Agarwal: Yes, for Q2.

Rakesh Roy: In total raw material cost, how much percentage is coal, motamuti?

Abhishek Agarwal: Coal is about 35%.

Rakesh Roy: How much energy we are using for renewable currently in terms of percentage?

Abhishek Agarwal: In terms of renewable power, it's about 30% at Godawari level.

Rakesh Roy: Any plans to increase in the near future? You were just mentioning 155 megawatts of solar plants.

Abhishek Agarwal: Currently, 100 is running and another 55 is in pipeline which will be commissioned in Q2. And going forward, if there is a requirement of further power, then we will go with solar only.

We won't go with coal-based plants in this financial year at least.

Rakesh Roy: Sir, you said that your pellet production has come down due to shutdown.

Abhishek Agarwal: Yes.

Rakesh Roy: But last year same Q1 also, there was a shutdown or they were running normal?

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Abhishek Agarwal: Depending on the machine availability and the machine condition, we decide everything beforehand before the year starts. So, the shutdown can be in Q1, the shutdown can be in Q2.

But on the overall guidance if you see, at the end of the year, the

numbers we have committed,

we are confident we will achieve it, which is 2.6 million volume for the year '23-24.

Rakesh Roy: Last year, we had done nearly 6.7 lakh tonnes.

Abhishek Agarwal: No, that is in the quarter. If you see the entire year, if you see the annualized basis, we produced about 2.6 million something. This year also, we are confident we will achieve the same volume.

Rakesh Roy: For FY24, we are expecting the same volume?

Abhishek Agarwal: Yes, definitely.

Rakesh Roy: And regarding your mining, it takes how many months to fully ramp up the new mining extensions?

Abhishek Agarwal: Once the approvals are received, anything between say 12 to 18 months.

Moderator: We will move on to the next question that is from the line of Vikas Singh from PhillipCapital. Please go ahead.

Vikas Singh: Sir, I want to understand one thing. Once we improved our new pellet capacity, would the high-grade pellet ratio remain the same like the 65% or it would come down?

Abhishek Agarwal: No, currently the capacity is 2.7 million. Of course, we have applied for approval of 3 million tonnes. But I have also said earlier, depending on the market conditions and our mining expansion, we might split the capacity into probably, say 2 parts, 1.5 x 2. But yes, going forward, whatever pellets we produce is going to be high-grade pellets; that is for sure. We will install the capacity in the same volume and we could enhance our mining capacity. Going forward, the ratio of high-grade pellets will go up rather than going down.

Vikas Singh: And sir, one more thing. If I remember correctly, we previously talked about debottlenecking our sponge iron plant, bringing it to almost 6 lakh tonnes capacity. Looking at the one quarter results, it seems that it's running at the same capacity. As we have done maintenance CAPEX already, why are we still giving a guidance of half a million tonne only and not 6 lakh tonnes?

Abhishek Agarwal: Because the environmental approval which we have received from the MoEF and the State Pollution Board is for half a million tonne. We have received the EC. It's also mentioned in the investor presentation. We have got the permission from the MoEF but we are waiting for the approval from the State Pollution Board. At the current level, we can definitely produce 0.6 million tonnes. But due to the permission limit, we are restricting ourselves to 0.5 million tonnes. No other reason.

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Vikas Singh: My third question is regarding our integrated steel plant. I know it's a little bit early, but do we have the land bank already available or the entire thing has to be drawn from the scratch and not only on the product side?

Abhishek Agarwal: We have the land bank. Certain regulatory approvals are under process. It is government land. We have already identified that the land has been already allotted to us. We are just waiting for the formalities to get completed so that the land can be allotted to us officially in terms of we can start the work. That is the reason there is a delay in terms of the project and its groundwork. But we have the land with us, you can say that.

Vikas Singh: And lastly, sir, in terms of iron ore mining incremental 3.65 million tonnes, can you give us where we are in terms of regulatory approvals and if there is any change in timelines there?

Abhishek Agarwal: There is a saying, the world lives on hope. I am hopeful, it should be in place probably by, I think, the end of Q3. From there on, you can consider 12 to 18 months to ramp up to the full capacity.

Vikas Singh: Just one more question if I can pitch in. You said that you are actually covered till 2Q in terms of coal pricing.

Abhishek Agarwal: I said Q2 as well as early half of Q3 as well.

Vikas Singh: The price at which we have bought the coal versus the spot price, what is the difference?

Abhishek Agarwal: All my buying has

as been on index pricing. Basically, index means as the market keeps going down, my value of incoming coal will keep going down. So, I will always be on the gaining side. Even if the market goes down further by \$10, we will save \$10 further because I am not buying spot, I am buying on index.

Vikas Singh: And lastly, Hira Ferro Alloys seems to be making losses till now. Any outlook?

Abhishek Agarwal: The reason was, earlier in the Q3 of last financial year, there was a huge stop loss because the prices of manganese ore had jumped up quite a bit and then crashed. And the finished prices of alloys also crashed. I think Q3 and Q4 were impacted because of that. Q1 when we were able to start producing it at the peak capacity, unfortunately the market turned around of ferro alloys and the prices corrected from Rs. 90 a kg to Rs. 65 a kg currently. That is the reason I would say the profits as anticipated in the alloy business are not showing the numbers. That's the only reason. No other reason. The market is fine.

Management: Let me intervene. Hira Ferro Alloys is not making losses. It is at least at a breakeven level or slightly above the breakeven level. Despite all this, the power plant is commissioned – solar power plant – in Hira Ferro Alloys, that will contribute to the margin from Q2 onwards. And the capacity is also ramped up there. Hopefully, from next year onward, above 50 crores EBITDA is definitely possible from Hira Ferro Alloys going forward.

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Moderator: The next question is from the line of Pruthul Shah from Anubhuti Advisors. Please go ahead.

Pruthul Shah: I joined the call late. So, I don't know whether the question is answered or not. But I just wanted to understand that on a YoY basis if we see, the iron ore mining and pellets have gone down significantly. What is the reason for that if you can explain?

Abhishek Agarwal: On the pellet side, it is already mentioned we had taken an annual shutdown of our bigger plant which we always do before the monsoon so that during the monsoons, we are able to produce at full capacity. No other reason. It's a planned annual shutdown. But the guidance given to everybody at the start of the year, we are confident we will achieve that which is a 2.6 million tonnes guidance. You can see the improvement in volumes Q2 onwards.

And on the mining side, we had already mentioned a couple of months back, there was an accident that the overburden dump had collapsed because of which there was an interruption in mining at full capacity till April. From May onwards, we started resuming at full capacity.

That bottleneck thing took us some time, but today, we are producing at full capacity. No other reason.

Pruthul Shah: Sir, next was on your outlook on the export markets for pellets. How Godawari is looking into the exports?

Abhishek Agarwal: We are always exploring the export market. But at the moment, we haven't done a single export shipment, primarily because the domestic pricings of pellets are much better than the export. It's a common business sense, wherever you get more money, you sell it. So, at the moment, domestic is the preferred market. But we are always open for exports.

Pruthul Shah: I just wanted to know if you can provide the difference between the export price of pellets and domestic price of pellets if you can share.

Abhishek Agarwal: Today if I compare on apple on apple basis, it is about 10%. If I say that domestically they are, say about Rs. 10,500 to Rs. 11,000 for the high grade, export will be about Rs. 9,500 to Rs.

10,000. There is a 10% difference. That is the reason we are not in the export market at the moment.

Pruthul Shah: And sir, one last question that with respect to the new CAPEX plan that you have announced, the total amount comes to around Rs. 3,500 crores. Out of that, what would be the amount that would be incurred in FY24 itself?

Ab

hishek Agarwal: On both the new projects, in the current financial year, we don't see much of CAPEX being spent because both the projects are still under the approvals. We are expecting the approvals to be probably in our hands, say at the end of Q3 or early Q4. There will be no major CAPEX in this financial year. We would only complete the pending CAPEX going on. Next year onwards, we can see a substantial amount, but the project is about 2 to 3 or 3-1/2 years; so, of course, the expenditure will be accordingly.

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Pruthul Shah: And sir, just one followup with respect to this pellets business only. Incremental 3 MT that we are setting up. Is this only, say for exploring the export market or a mixture or it depends upon the scenario at that time?

Abhishek Agarwal: It all depends on the scenario. We are focused on the export market. The demand in India is also gradually going up. People are realizing the value of good quality iron ore. Plus, if we also happen to start steel production which is of 1 million capacity, you can say 50% will be going for in-house consumption. Going forward, in the longer term, say 5 years down the line, we will have only 1.5 million tonnes for exports or merchant sales. That is the whole idea behind the 3 million tonnes capacity.

Moderator: The next question is from the line of Yogansh Jeswani from Mittal Analytics. Please go ahead.

Yogansh Jeswani: Most of the questions have been answered. Just 1 or 2 more followups. Sir, on the mining and the beneficiation expansion that we are planning, we have highlighted in the presentation that roughly around Rs. 200 crores is the amount that we have earmarked for it. How much would be for mining and how much would be for the beneficiation plant?

Abhishek Agarwal: On the mining side, basically that you create the infrastructure to mine and process the raw material and dispatch it. Out of Rs. 200 crores, I would say about Rs. 40 crores will be on the mining side because of infrastructure and the remaining Rs. 160 crores will be on the beneficiation side.

Yogansh Jeswani: Again, on the beneficiation plant, just for our understanding, if you could help us with this beneficiation plant, will we be able to use more of waste fines and convert them into usable iron ore or will this also help us on the cost side? Basically, what does the beneficiation do for us?

Abhishek Agarwal: There are 2 parts. One is, we will beneficiate the low-grade iron ore of, say 35-40 to make it to a high-grade concentrate, say about 65-66 which can be used for pellets so that we were in advantage to upgrade the low grade from 35 to 65 or 66 whatever depending on the process. And second is the cost side. Currently, we are bringing everything to the plant and beneficiating in Godawari. We are paying about Rs. 1,000 transportation. In the process of doing that, we are throwing away about 15% to 20% of our tailings. To save on the transportation, now we would be beneficiating in the mines and we can save about Rs. 150 on the transportation. On an analysis basis, if you do a mining of say 6 million tonnes or 5 million tonnes, Rs. 150 is almost Rs. 75 crores to Rs. 80 crores. That is the whole idea of installing beneficiation in the mine rather than doing in the plant.

Yogansh Jeswani: Currently, we already have a beneficiation plant at the pellet unit.

Abhishek Agarwal: Yes, we have. The capacity is 3.2 million tonnes. And that is the reason we are able to produce high-gate pellets.

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Yogansh Jeswani: With this 6 million beneficiation plant that will come up at the mine, the other 3.2 will still be of use?

Abhishek Agarwal: We can always utilize it depending on how the process gets stabilized in the mines. But of course, if the plant is running smoothly, there is no reason we are going to isolate it. It's g

oing

to be in the circuit. If there is a requirement of further beneficiating it, we will do it. It's a choice we have.

Yogansh Jeswani: But suppose the 6 million beneficiation plant at the mine is running smoothly, then this 3.2 becomes not so useful then.

Abhishek Agarwal: Exactly. You are correct.

Yogansh Jeswani: And the savings that you mentioned was roughly around Rs. 70 crores to Rs. 80 crores per year once this comes up.

Abhishek Agarwal: Yes, if we see our CAPEX of say Rs. 160 crores, it's a 2 years payback. So, it's no brainer.

Yogansh Jeswani: On the integrated steel plant, is there a little more clarity as to what we want to do now? I think in the past, we were still contemplating whether we wanted pig iron or an integrated steel plant.

Abhishek Agarwal: We are very clear we won't be going with only pig iron because selling pig iron which is such a huge volume is not a cakewalk. What we are going to do is we will definitely put up a finished line of steel. We are exploring the finished long steel as well as the flat steel, which is the TMT bars and you can say structure or strip.

Yogansh Jeswani: Just one last question from my end. I think the approvals are not in our hands. So, it's tough for you also to make any commitment to us. But you have fairly highlighted that Q3 or Q4 is where you expect something to come through. And then again, it will take anywhere between 15 to 18 months for the mining and, say 2-3 years for the integrated steel plant. Between today and then, what is the growth that we see? What kind of growth can we expect? Will it be very marginal, 5% to 10%, that we will get from debottlenecking of our say billet and sponge and so on and so forth? Or there can be something which will be major in, say the next 2-3 years also?

Abhishek Agarwal: Firstly, the additional savings which is coming from the energy business because we have been commissioning the new turbine and the solar plants. So, our energy input costs will go down and we see an annualized additional EBITDA of, say Rs. 100 crores to Rs. 125 crores. That is one benefit. Second would be our steel capacity will be from 0.4 million to 0.5 million. So, the additional EBITDA on a lakh tonne will also start getting realized from, say Q3 onwards.

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And on the growth side, to be very honest, in terms of volume, we don't see much growth from here till our new projects are commissioned. But with the markets can go up again, of course, the bottleneck is going to go up again.

Moderator: The next question is from the line of Vaibhav Kumar Dubey from SteelMint. Please go ahead.

Vaibhav Kumar Dubey: Sir, I wanted to know Godawari has recently launched high-grade pellets we all know of 66 grade. We wanted to know what is the market of the particular grade pellet, what is the demand, and from which region the demand is maximum for the particular grade?

Abhishek Agarwal: At the moment, we are selling everything domestic. Because of the lower silicon levels and lower cost levels, domestically we are able to get the desired premium. And people are quite happy with the quality because they are able to realize the benefit in the downstream products.

At the moment, we are selling everything domestically; Maharashtra and Chhattisgarh. And we are also exploring export opportunities.

Moderator: The next question is from the line of Kishan Tosniwal from Polar Ventures LLP. Please go ahead.

Kishan Tosniwal: I was just reading somewhere that the promoter of your company has invested and participated in a private placement of a company called Deccan Gold Mines. Is there anything related with the company's business or is it the promoter, in his own capacity, has done that?

Abhishek Agarwal: Promoter, in his own capacity, has done that. Nothing to do with the company.

Kishan Tosniwal: Nothing to do with Godawari and Godawari is nothing to do an

anything regarding this?

Abhishek Agarwal: Nothing.

Moderator: The next question is from the line of Ganesh, an individual investor. Please go ahead.

Ganesh: Thank you for keeping us minority investors well informed. There are a couple of slides that are not there this time about iron ore prices and all that. Could you please include them from next time?

Abhishek Agarwal: Sure. I will discuss with my team and whatever slides you are expecting, which were there earlier, we will try and give it in addition from next time.

Ganesh: Secondly, the lead times that we are talking about for our long-term expansion, the number of months, 24 months, 30 months, etc., are these from today or are these from the time we get environmental approvals?

Abhishek Agarwal: On the mining side, it is about 12 to 18 months from the date of approval. On the pellets side, it is about 18 months from the date of approval. And on the steel plant side, because it is going to be a bigger project and it is going to be a greenfield project, we can expect about anything

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between 24 to 30 months from the date of approval. So, yes, the condition is date of approval because that is something which is not in our control. We know in how much time we can put

up the plant, but to start the working, we need that approval and which is not in our hands, unfortunately.

Ganesh: Regarding the new Fe 66 pellets that we are releasing to the market, just curious and want to understand. The coking coal prices and other input prices are all very less now. What is the motivation for people to use a higher grade pellet if they can manage with the lower grade pellet because the other input costs are lesser?

Abhishek Agarwal: The problem is if we make both the products, the point is we will lose the premium on the better product. And in today's market where there is already a demand-supply mismatch in India in terms of pellets, if we start making more volume of the 63 pellets or 64 pellets, we won't get the desired premium which we are getting right now. Plus, there will be a pressure on us to sell. And once you get under the pressure, then you start doing desperate selling. We don't want to do that. We are very focused. Our primary focus is to produce more of high-grade pellets and eventually realize the desired premium. Because going forward, with more initiatives towards green steel, the demand for high-grade iron ore will keep going up year on year, be it domestically or be it internationally. So, our focus is very clear. We want to make more and more of high-grade pellets.

Moderator: The next question is from the line of Rakesh Roy from Omkara Capital. Please go ahead.

Rakesh Roy: One more question, sir. When you see your ferro alloys realization for GPIL and Hira and Alok, all are three different. Any reason why it is different for Hira and Alok?

Abhishek Agarwal: The difference in terms of realization for Hira and Alok, probably in terms of the time of booking the input cost on the raw material side. That is the only difference. There might be a reason, probably we sold some quantity in Hira and then the market tanked or the market went up and Alok booked then. So, it's only the price fluctuation, nothing else.

Moderator: The next question is from the line of Vignesh Iyer from Sequent Investments. Please go ahead.

Vignesh Iyer: Sir, I may have missed it, but can you tell me how we are going to fund our CAPEX of this Rs. 3,500 crores of steel plant....?

Abhishek Agarwal: Everything is going to be internal accrual. We have no intention of going to the banks. If required, we might. But at the moment, with the current scenario, we are confident everything will be funded by the internal accrual.

Vignesh Iyer: Sir, just to understand it, this year of FY24 have we shifted to 25% tax? It was 27%, if I am not wrong, last year?

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Management: No, we are at 25%. Only some deferred tax or some adjustments here and there, but on an average, we will be on 25% tax rate.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for their closing comments.

Dinesh Gandhi: Friends, in conclusion, I would like to highlight that GPIL stays well prepared for the next phase of growth, backed by a robust net cash balance sheet and a competitive advantage with captive iron ore mines and the production of high-grade pellets. With an ambitious growth plan and unwavering support from all the stakeholders, we are confident of our future prospects. We extend our sincere gratitude for your presence in this conference call, and we trust that we have been able to address all your questions. If you have any further questions or additional information which you may need, please do not hesitate to contact us directly or reach out to our investor relations at Go India Advisors. Thank you once again for joining and participation in this call. And with this, we conclude this call.

Moderator: Thank you, members of the Management Team. Ladies and gentlemen, on behalf of Go India Advisors, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines.

Call: Nov 2023

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REF: GPILINSE&BSE/2023/5269

TO,

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai-400001.

Scrip Code: BSE: 532734 Date: 10.11.2023

TO,

National Stock Exchange of India Limited

Exchange Plaza, C/1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai-400051.

Scrip Code: GPIL

Dear Sirs,

Sub: Submission of Transcript of conference call held on 06th November, 2023.

This has reference to conference call held on 06th November, 2023 to discuss the results and performance of Q2 FY24 for Analysts, Institutional Investors, Fund House, Investors etc..

Please find attached herewith the Transcript of conference Call held on 06th November, 2023.

The aforesaid information is also being hosted on the website of the company viz.,

www.godawaripowerispat.com.

Thanking you,

Yours faithfully,

For GODAWARI POWER AND ISPAT LIMITED

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COMPANY SECRETARY

Encl : As Above

Godawari Power & Ispot Limited

An Iso 9001 :2015, Iso 14001 :2015 & Iso 45001 :2018 certified company

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" Godawari Power and Ispat Limited
Q2 FY2024 Earnings Conference Call"

November 06, 2023

MANAGEMENT : MR. SANJAY BOTHRA - CHIEF FINANCIAL OFFICER –
GODAWARI POWER & ISPAT
MR. ABHISHEK AGARWAL - EXECUTIVE DIRECTOR –
GODAWARI POWER & ISPAT
MR. DINESH GANDHI - EXECUTIVE DIRECTOR –
GODAWARI POWER & ISPAT
Godawari Power and Ispat Limited
November 06, 2023

Page 2 of 24 Moderator : Ladies and gentlemen, good day and welcome to Godawari Power and Ispat Limited Q2 FY2024 Earnings Conference Call hosted by Go India Advisors. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms.

Sana Kapoor from Go India Advisors. Thank you and over to you Madam.

Sana Kapoor : Thank you Yusuf. Good afternoon everybody and welcome to Godawari Power and Ispat Limited Earnings Call to discuss the Q2 and H1 FY2024 results. We have on the call Mr. Abhishek Agrawal, Executive Director, Mr. Sanjay Bothra Chief Financial Officer, and Mr. Dinesh Gandhi, Executive Director. We must remind you that the discussion on today's call may include certain forward looking statements and must be therefore viewed in conjunction with the risks that the company faces. May I now request Mr. Dinesh Gandhi to takes us through the company's business outlook and financial highlights subsequent to which we will open the floor for Q&A. Thank you and over to you Sir.

Dinesh Gandhi: Thank you Sana. Good afternoon everyone. Thank you for joining us for today's conference call to discuss earnings results of Godawari Power and Ispat Limited for Q2 and H1 FY2024. Our financial results and earning presentation is available on our website and on the stock exchanges website. I believe you had a chance to review the same. I will take you through the results post which we will have the question and answer session. The performance in Q2 FY2024 was led by higher production volume of value added products and the cost of exchange through the reduction in power and fuel cost on year-on-year basis.

First coming on the quarterly results, the revenue for the quarter showed marginal decrease of 3% and 1% to 1291 Crores quarter on quarter and year-on-year basis mainly because of decrease in realization of value added products other than iron ore pellets. EBITDA margin increased 18% on quarter on quarter basis, 2% on Y-o-Y basis to Rs.361 Crores due to high realization of iron ore pellet in Q2 FY2024 as compared to Q2 FY2023 and lower iron and steel cost. Operating margin increased to 29.63% as compared to 19.90% in Q2 FY2023 and 25% in Q1 FY2024. Trade attributable to the owners increased to Rs.257 Crores up 11% quarter on quarter and 52% Y-o-Y. PAT margin also increased to 20% for Q2 FY2024. The net cash on the balance sheet of the company as on 30th September 2023 was Rs.650 Crores. Coming on the half yearly numbers, revenue during H1 was lower by 9.6% as compared to H1 of the last financial year due to fall in realization across product range except billet however our operating margin are higher at 27% as compared to H1 of the last Godawari Power and Ispat Limited
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Page 3 of 24 year at 25% despite fall in the pellet across value added products and lower production volume of iron ore from the captive mines. The higher operating margin was led by directly in power and fuel cost. Coming on the operational performance, I am delighted to mention that GPIL has reached the highest ever production volume of steel pellet, captive power generation and silicon manganese on q

uarterly basis and sponge iron and steel billets generation on half yearly basis. Production volume for iron ore mining was lower as compared to the guidance and also as compared to the last financial year when we account lower production volume in Boria Tibu mines owing to lower quality of iron ore grade Boria Tibu mine, higher volume of the MC material resulting in higher cost of mining as compared to market price of iron ore. We have therefore decided to operate the Boria Tibu mine at a very low volume level and in order to take economical operations at the Boria Tibu mine, the company plans to file the mining plan with enhanced mining capacity of 2.5 million per annum and also install a beneficiation plant at Boria Tibu mine. The company has initiated process for revising the current plant and also applied for environmental approval to increase the mining capacity for setting of the beneficiation plant therefore the company would presently be focusing only on Ari Dongri mines to meet its captive requirement of iron ore and accordingly the guidance is revised. The pellet iron ore requirement is sourced from the market which is cheaper as compared to present cost of

operations from Boria Tibu mine and therefore there is no impact of the reduction of the captive iron ore production on the overall iron ore cost despite lower production from the mine. Further iron ore volume during the quarter was also affected by the monsoon. Normally during the monsoon period the production volume gets reduced. Iron ore pellet product reached 21% quarter on quarter and marginally down by 1% on Y-o-Y basis. I may remind you that during the last quarter in Q1 FY2024 the pellet plant was taken for shutdown and therefore in the last quarter the volume was lower. Production volume on sponge iron, steel billet and MS Rounds increased both on Y-o-Y and quarterly basis. On half yearly basis also steel billet, MS Rounds and sponge iron increased by 28%, 27% and 71% respectively. Coming on the sale volume numbers, iron ore sale increased 45% quarter on quarter basis to Rs.432,697 metric tonne. Sales of steel billet and HB wire also increased both quarter on quarter on Y-o-Y basis by 45% and 15% and on quarter on quarter basis by 72% and 44% respectively. On half yearly basis, sale of steel billet, MS Round, HB wire, galvanized product increased 30%, 9%, 64% and 39% respectively. Realization of iron ore increased 22% to 9955 on year-on-year and decline marginally by 2% on quarter on quarter basis. On half yearly basis realization of iron ore pellet increased by 4% to 10055 per metric tone, realization of other product showed a decreasing trend more from quarterly than half yearly basis. I would like to give some highlight on the strategic update. I am happy to mention that the CRISIL upgraded credit rating of the company both for long-term and short-term basis to CRISIL AA minus stable from CRISIL A+ positive and similarly credit rating for the short term has also been upgraded to CRISIL A1+ from CRISIL A1. Coming Godawari Power and Ispat Limited
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Page 4 of 24 on the updates of the capex plan, just to remind that you that GPIL has announced capex plan significantly enhancing the iron ore mining, pellet capacity and setting up a new integrated steel plant. The plant maintains more than doubling the iron ore mining capacity at Ari Dongri mines expanding it from 2.35 million tonnes to 6 million tonnes per annum and also setting up a beneficiation plant with the capacity of 6 million tonnes. The project end time for completion is about 15 months with an estimated capex of 200 Crores. GPIL also plans to enhance the pellet capacity by 3 tonnes resulting in increasing capacity from current 2.7 million tonnes to 5.7 million tonnes and by constructing additional pellet plant. The expected completion time is approximately 30 months from now and estimated capex is close to about 800 Crores. G

PIL has also decided to increase the capacity of integrated steel plant by additional 1 million tonne from 0.5 million and taking it to 1.5 million tonnes. The capex for the same is estimated at 2500 Crores. For all these projects the company has applied to Minister of Environment and Forest for environment approval. There are three separate application, one is for expansion in Ari Dongri mines, for expansion of pellet plant and for setting up a new integrated steel plant in Raipur closer to about 30 kilometers from our existing plant. The public hearing for setting up of iron ore pellet has already been completed and we are awaiting the final approval sometime in the Q4 FY2024. The public hearing for Ari Dongri mines expansion as well for the steel integrate plant is awaiting the time and presently because of the assembly election in the state of Chhattisgarh, that is why it is getting delayed. We hope that the public hearing should take place in Q4 FY2024 and we shall get the approval soon thereafter. The timeline for public hearing has got delayed because of the declaration of state result, but we are quite hopeful that by the end of current financial year we should be able to get the approval in place. Further as you are aware GPL is focused on reducing carbon footprint and is taking concrete steps towards by establishing solar power capacity of 155 megawatt, in FY2023 100 megawatt solar power plant had already been commissioned and are extremely contributing to the cost saving. A 30 megawatt solar power plant of GPIL and 25 megawatt HFIL expected to be commissioned in Q2. These projects were expected to be commissioned in Q2 however because of the monsoon the commissioning got delayed and now we expect the commission to be done in current quarter. I am also pleased to announce that the board meeting held on 3rd November has also approved setting up an additional 20 megawatt captive solar power plant with an investment of 80 Crores to address the captive power requirement of our fabrication and galvanizing plant in Urla, Raipur. The project is expected to be completed by June 2024 and will result in saving power and fuel cost by Rs.3 and reduction in the carbon footprint. With regard to the capex in our steel plant, we have already commissioned the increase in capacity of steel billet from 400000 to 500000 tonnes and now we are awaiting the consent to operate. We are hopeful that the consent to operate to receive by end of the current quarter and shall start contributing to the higher production volume. The debottlenecking capex for replacement of our turbine rolling mill modification are progressive and are Godawari Power and Ispat Limited
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Page 5 of 24 expected to be completed in Q4 FY2024. The rest of the capex to be incurred for debottlenecking capex is close to about 71 Crores in the current financial year.

Coming on the market outlook on the international front the global iron ore prices have touched \$133 CIF China in mid March 2023 on the back of reopening of China however sharp increases in the iron ore supplies by global major and lower than expected demand pickup in China has led to a correction to \$120. Recent announcement by China to support housing and infrastructure might lead to increase in the consumption of iron ore prices. The current iron ore prices CIF China is hovering around \$125 to \$127. The World Steel Association is forecasting the steel demand to increase by a healthy 2.3% in 2023 and another 1.7% in 2024, which augurs well for demand for iron ore and we expect prices to be well supported around the current level. On domestic front, iron ore prices by NMDC has seen a slight increase from 3660 tonnes in January to 4460 tonnes currently. Prices have recovered well from the lows seen post imposition of export duty but remain well below the last year level of Rs.5000 tonne. On the other hand pellet prices after touching Rs.8800

in

July 2023 has increased to 9000 in September currently hovering it around Rs.10000 a tonne. Given the positive demand outlook pellet prices should be very well supported at the current level. India remains one of the bright spot globally for steel demand while the Steel Association forecast India's steel demand to increase by 7.3% in 2023 as compared to 8.2% in 2022. Indian government's push for infrastructure with 33% increase in capital outlay in addition to 75% increase in outlay for railways augurs well for the steel demand especially for the long steel product. Overall we expect that the current steel prices to remain supported looking at the demand level and therefore we expect that our profitability also going forward should remain more or less supported at the current level. With this, I conclude my opening remark and now we can open the floor for question and answer.

Thank you very much.

Moderate: Thank you. We will now begin the question and answer session. Our first question is from the line of Jatin Damania from SVAN Investment Managers. Please go ahead.

Jatin Damania : Thank you for the opportunity sir. Sir just wanted to understand on our mining business now because of our lower grade in Boria Tibu we have lowered our guidance by almost 20% for this financial year so just wanted to understand if we want to look from FY2025 and our expansion perspective so can you throw some guidance in terms of our mining for FY2025 and will we be able to ramp up our production and in terms of the approval where are we for the expansion of the iron ore mining that is the first question?

Abhishek Agrawal: Good morning Jatin. Just to answer you we have actually lowered the volumes this financial year but if you look at the numbers earlier also we were buying close to about 20% from the Godawari Power and Ispat Limited
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Page 6 of 24 open market so in this financial there will be no financial impact on the closure of the Boria Tibu mine because the mine was commercially unviable at these prices and the grade we have and going forward we are very confident we will be receiving the permission of expansion of the mine and we will increase the capacity from 2.35 to as started at 6 million and we are confident the financial year the current requirement of iron ore for our pellet plant will be 100% back.

Jatin Damania : Is it fair to assume that the guidance of 3 million tonne which you are giving earlier for FY2024 hold to for FY2025 or...

Abhishek Agrawal: Yes, subject to government approval but I think as the election getting over and the government comes into power, I think the things will start moving so we are very hopeful the next financial year we should be able to, I would not say the volume but whatever requirement is there from a pellet side it will be 100%.

Jatin Damania : Assuming a 3 million tonne requirement then that will be FY2025.

Abhishek Agrawal: Yes 3 million and 100% captive correct.

Jatin Damania : Our pellet capacity now definitely we have seen some improvement in the realization of the pellet so can you help us in understanding what was the high grade, above 65% grade of pellet that we sold this year and once our new pellet capacity comes in play what would be the proposal of the pellet in the same?

Abhishek Agrawal: So firstly we have stopped making 65 pellet, now the pellet we produce is 55 grade and not higher and there is a production level from day one and is having 65% in the bigger plant, 65% in high grade pellet and 35% in low grade pellet and in terms of sale so we sell about 50:50, so you can say 50% sale is of 63 and 50% sale is of 56 pellet, it is consumed in house for steel making.

Jatin Damania : Okay so the proposal will continue to remain at 50:50 only?

Abhishek Agrawal: Yes we got because we produce about 1.5 lakh tonnes of high grade out of which 50% is consumed in house for my steel making.

Jatin Damania : N

ow on your new capex which is going to lined up on the integrated plant we are waiting for an approval since quite a long time, so at what stage we are because in the pellet definitely as per your presentation indicate that we have already done a public hearing and we are looking for the clearance but in terms of the integrated steel plants where are we in Godawari Power and Ispat Limited
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Page 7 of 24 the stage of approval and has the board has been decided whether we will going into a long steel production or a flat steel production, how shall one look into the overall capex?

Abhishek Agrawal: On the approval side, I would say just one step behind the pellet plant. In pellet plan the public hearing has been concluded in which case because of the election we could not do it, so after the elections I think we are confident December public hearing will happen and everything goes well we should be able to get the clearances by March of this financial year and once we get the clearance we will begin start the ground work immediately.

Jatin Damania : So probably the ground work will start in FY2025?

Abhishek Agrawal: Yes you can say that. The ground work probably because of course you cannot start ground work before we get the approval and in meantime the second question about the capacity and where we are going to be moving ahead so I would say there is still a viability because there still a dent end but to be honest we are not looking at the long product side, we are mainly looking at the flat product side. We realize that additional margins are there and because of the demand of automobile going up so we will start the right way to go forward still transition will be made probably next three to four months.

Jatin Damania : Last question is bookkeeping question from my side. Can you help us in terms of the coal sourcing mix in the last quarter and how much coal did we import in Q2 and what is the current inventory as on date.

Abhishek Agrawal: So the coal mix remains the same. We only use RB1 coal of DRA making for which we have seen imports of the year, that has been changed a bit and for our power plants we keep sourcing from domestic. We get some from Coal India and the addition that can be required we source it from the market because that could big coal bed resource. On the import side, our imports remains almost same quarter on quarter because with the market being so volatile it does not extend it all stock up inventory by buying more so I prefer to move with the market in current scenario so we import about say 1.5 lakh tonnes quarterly basis and that still continue to be the same.

Jatin Damania : Thank you Abhishek that is all from my side.

Moderator: Thank you. Next question is from the line of Vikas Singh from Phillip Capital. Please proceed.

Vikas Singh: Sir I just want to understand given there is a mismatch in the timeline of our iron ore capacity coming in and pellet coming with a lag of 15 months is it any provision which Godawari Power and Ispat Limited
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Page 8 of 24 allows us to sell iron ore in the market or we will just bring down the Boria Tibu to 0 and start utilizing on the Ari Dongri so what is the plan there?

Abhishek Agarwal: We are definitely allowed to sell iron ore in the market after the new MMDR act, but as a company we had no intention of selling iron ore in the market because eventually the mining will take some time to ramp up from 2.35 million to 6 million so the time frame from now on to the next time we commission say about 15 to 16 months, we want that time to ramp up the mining capacity, so I think both the projects are in tandem and we are hopeful once the pellet plant commissioned before that we will be able to handle the capacity in mining, but we are going to ensure we are selling iron ore in the market that is for sure.

Vikas Singh: Okay but even if you want to there would be

some additional premium which you need to pay right that is 25% premium will be applicable?

Abhishek Agarwal: No there is no premium on it because, the rule says if you have to sell in the market you can select at 50% as a part of commercial mining but then you have to pay additional royalty which comes about Rs.1000 per tonne so straightaway it sales will be Rs.1000 less so it does not make any sense to sell in open market.

Vikas Singh: Understood. My second question pertains to Boria Tibu so is it the lower grade steel problem or we are experiencing this problem with the entire mine almost all of the them are of low grade?

Abhishek Agarwal: This is how mining is, till now we were able to mine bring it to plant beneficiate with other mine but given the current prices we feel it is commercially unviable because of the recovery percentage so it is better to install a plant in the mines and then benefited, so

commercially it does not make sense to operate Boria Tibu mine.

Vikas Singh: At what price basically you feel that it would be commercially viable?

Abhishek Agarwal: See the problem is you cannot start and stop mine right because there are other factors as well but say another Rs.2000 from now, from here if the price goes up in India then it make sense to use that mine, but still the impact of Boria Tibu out of the production does not make low volume does not have impact on us because we are still buying from the market and our first focus is to make Ari Dongri to ramp up the production.

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Page 9 of 24 Vikas Singh: Understood. Just one question on Ari Dongri with the heightened capacity how does it impact our mining life because I think we have just 30 years of mining life previously.

Would it come down to less than 20, how does it plays out?

Abhishek Agarwal: See our lease is till 2057, we still have about 34 to 35 years in terms of a lease but in terms of we have already declared a reserve of 155 million tonne, further exploration is going on where we feel there is a potential of further deposit, so as and where probably it will be happen later we will definitely share with everyone. At the moment you can say at least the couple of next two decade at least 20 years with the increase mining capacity.

Vikas Singh: Is that going to get the increase mining capacity to 20 years is covered .

Abhishek Agarwal: Capacity at least till 2045, nothing to worry on that front.

Vikas Singh: Understood and just one last question in terms of our integrated steel plant, so just wanted to know if we have already purchased a land bank what is the status of that and this 2500 Crores seems to be a bit low for an HRC plant so is the module something different.

Abhishek Agarwal: When we had envisaged this budget we were thinking of mix of flat, long, we were trying to explore other market as well because till now we have been doing long products. So this capex was decided long back once we have probably the final figures then we decide on the capacity and what would product probably then we can always amend but at the moment since we do not have the numbers the similarity so we want it to keep it to 2500 only. If it goes above we will definitely share with everyone.

Vikas Singh: Understood. Thank you and all the best for future.

Moderator : Thank you. Next question is from the line of Satyan Wadhwa from Profusion Investment Advisors. Please go ahead.

Satyan Wadhwa : Just wanted to know what sort of margin expansion you are thinking out of the steel plant is it because you think demand for pellets will be lower going forward as China sort of slowed down and that is why we had to get into steel because in terms of just capital intensity, steel is quite capital intensive compared to your existing businesses which are quite profitable.

Abhishek Agarwal: I would like to differ in that. The reason we are entering this field is because w

e see an

additional EBITDA over the pellet margins because we are into hybrid markets. We made 56 pellet so I do not think so there any pressure on us to sell pellet because the kind of capacities we are coming up in India and you will see Middle East, right. So Middle East is increasing capacity like anything because of the gas being available. So I do not see

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Page 10 of 24 challenge in selling high grade pellet which will be the main center of volume but when we consider the pellet at today's cost and transfer to steelmaking we further see the EBITDA increase about Rs.8 to 10 so that is that is the reason we want to power indicate into steel rather than only remaining a pellet player.

Satyan Wadhwa : How much EBITDA would be how much in terms of steel above the pellet EBITDA.

Abhishek Agarwal: At current market it should be about Rs.10,000 a tonnage.

Satyan Wadhwa : Rs.10,000 a tonnage. Over and above the pellet EBITDA.

Abhishek Agarwal: Of course.

Satyan Wadhwa : Okay great thank you.

Moderator: Thank you. Next question is from the line of Rakesh Roy from Omkara Capital. Please proceed.

Rakesh Roy : Morning Sir. My first question is regarding you told your mining capacity is revised due to the low grade from the Boria Tibu mine.

Abhishek Agarwal: See we are bringing the mining capacity. All we have done is because in today's market mining commercially becomes little unviable so we headed to lower the volume and then put up a beneficiation plant there and then adopt that process of beneficiating and then bringing it to the plant for usage That is the only measure.

Rakesh Roy : Is there any impact on revenue from this only or is there any impact of this so we have to lower mining from Boria Tibu.

Abhishek Agarwal: Financially there is no impact in this financial year and going forward because at the moment also commercially the mine is not viable so it is better to source from the market

rather than mining and then bring it back so this financial year and going forward also we do not see any impact.

Rakesh Roy : So next financial we hope this mining will start normally.

Abhishek Agarwal: No Boria Tibu will take time because we will be putting up a plant to integrate and we will further enhance our mining capacity but we need to take the required approvals from the state and the central government including the mines ministry. So that will take some time.

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Page 11 of 24 So we can expect the Boria Tibu can come back into production with beneficiation say next 24 to 30 months. We are looking at FY2027 probably.

Rakesh Roy : So we have a set up and new plant near to Boria Tibu.

Abhishek Agarwal: Yes we will set up a beneficiation plant in the mines itself so for that all the required approvals and other process had to be created. So that will take some time. In the meantime, for the next financial year we finally increase the capacity of our other mine Ari Dongri.

Rakesh Roy : So for example Boria Tibu we have 85 million tonnes reserves there.

Abhishek Agarwal: As of now explore data what you said is correct. Yes.

Rakesh Roy : So Sir in that case can we ramp up our Ari Dongri mines.

Abhishek Agarwal: I have just spoken sometime back we are waiting for approval for Ari Dongri mine and once we have the approval which should we have in hand in next 3-4 months. From next financial year, we will raise the capacity from 2.35 to 6 million tonnes.

Rakesh Roy : So Sir my next question is can you help us understand if you are able to achieve your FY2024 guidance for ferro alloys and pellets.

Abhishek Agarwal: Yes so whatever guidance they have given this financial year apart from mining, we are very much on track and we are confident we will be able to achieve.

Rakesh Roy : Okay in margin front it can be hoped this margin will stay in or is there any margin ch

anges

in next few quarters Sir.

Abhishek Agarwal: See at this moment things are good because China is buying a lot of iron ore because prices of pellet have gone up in India as well and with festive season getting over after Diwali and this is being the peak demand in India and I am confident the prices will sustain and we should be able to maintain these EBITDA going forward unless of course there is change in market but at these levels we are confident we should be able to maintain EBITDA level.

Rakesh Roy : Your outlook on some margin front especially ferro alloys or this realization will sustain for next one quarter or any downside is there Sir.

Abhishek Agarwal: See very difficult to predict because ferro alloys it is globally connected. One thing for sure, the pellet prices are at the rock bottom at the moment and the current raw material prices the margins are bare minimum which used to be earlier. The only positive side for us is with the Godawari Power and Ispat Limited

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Page 12 of 24 new solar plant getting commissioned our power cost will go down which will improve the margins in ferro alloys because ferro alloys is a high power captive unit. So we see an upside there. Apart from that market looks quite stable and depends how globally steel plays because in India ferro alloys is a big market price for export as well especially in Europe.

Rakesh Roy : Okay Sir your view on domestic steel market size and especially how the steel market in India, next one year from here?

Abhishek Agarwal: I am bullish with the government spending. So let us hope for the best.

Rakesh Roy : Okay than you Sir. Thank you so much Sir.

Moderator: Next question is from the line of Dhyey from Niveshaay Investment Advisors. Please go ahead.

Dhyey: Good morning, Sir. I just had this question that as we are adding another process like beneficiation in our manufacturing process so what is the improvement in margins that we expect from this expansion?

Abhishek Agarwal: See, as I explained earlier, the only reason we are installing plant of beneficiation in mine is to do the cost saving part because earlier we were beneficiating everything by bringing it towards to the complex. So we were losing on the transportation because when you beneficiate there is some yield loss as well so to save on that cost, which is substantial say Rs.150 at the moment we are installing a plant in the mines. The quality of pellet we make will remain same. The cost of mining and everything will go down.

Dhyey: Correct sure Sir. What is the kind EBITDA expansion that you are looking for turnover of EBITDA expansion in terms of margins.

Abhishek Agarwal: It is a small saving of Rs.150 but when we look at the volume we wanted to be doing, so the payback is quite fast. So it is not substantial improvement of Rs.150 to 200 but when you look at 6 million tonne going forward it becomes almost 100 Crores a year. So with the

amount of capex we are doing the payback is hardly 18 to 24 months, so that is the reason we are doing in the mines itself right now.

Dhyey: Correct Sir. Thank you.

Dinesh Gandhi: We are saving some part on royalty.

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Page 13 of 24 Abhishek Agarwal: Exactly.

Dhyey: Okay correct and I just had this question so what is the captive consumption at every levels of manufacturing process, if you could give us any guidance?

Abhishek Agarwal: See the current market levels I think all different products are showing positive be it pellets, sponge iron and billets, but it is difficult to comment on individual performance because when you complete a steel plant so you have to look from backwards to forward. It will be difficult to comment on individual products but I can assure you all the divisions are doing good.

Dhyey: Correct. Thanks a lot Sir.

Moderator: Next question is from the line of Jathin Kaithavalappil from Invests

avvy PMS. Please proceed.

Jathin Kaithavalappil : We would like to know one your plans to split have actually got postponed or cancelled or is there a timeline on which you will reconsider that? The other is with the new emphasis on solar plants and power and fuel saving, while you are saying you will be able to maintain the current EBITDA with the new power capacity etc., which you are planning whether there will be benefit of that coming into the EBITDA margin as well and finally, how are you seeing your pellet exports going forward in terms of growth?

Abhishek Agarwal: See on the solar side definitely once the entire plant is commissioned and with our efforts of debottleneck we can see additional EBITDA of 700 Crores going forward annually on the power side itself. On the export side, we have always been there in the market, but products domestic prices are still better than export markets and because of a high grade we do not have any pressure selling domestically. So till the time licensing does not come at par with domestic we are happy selling domestic. So we are always open but then it is not guaranteed when you start exporting because for us licensing is the topmost priority.

Jathin Kaithavalappil : And how do you see revenue growth going forward?

Abhishek Agarwal: See depending on the steel prices because for us we are operating at almost 100% capacity 98% capacity across the plants so the only thing we should add up is our additional 1.5 tonnes of steel billet so depending on the market prices, the revenues should go up going forward because I see the demand in India for steel going to be on upside with the government spending.

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Page 14 of 24 Dinesh Gandhi : I will make some addition on the volume growth and the sales growth. In fact the sales growth is going to come with setting of additional as Abhishek has told you that the plants are running almost at 95-100% capacity utilization so volume growth will come only when we set up the additional pellet plant and additional steel plant which we have announced till that the sales growth will come only with the price growth. If there is a degrowth in price there will be a degrowth in sale. If there is a growth in the pricing then the sales will also grow. See we had initiated a proposal to split share, but our board of directors felt that the current volume and the price of the share is not very high, which requires split of shares and where almost about a year and a half you split the share from Rs.10 to Rs.5 so board suggested to wait for some time and at an appropriate time, the proposal should be revisited but there is no timeline for revisiting the proposal.

Jathin Kaithavalappil : And practically speaking when do you expect this additional capacity to start kicking in.

Dinesh Gandhi : New capacity he is asking.

Abhishek Agarwal: For the steel division we are waiting for the approval which should be in hand probably very soon. I think for next quarter we can see the additional capacity of steel melting coming into production and for the pellet plant Q4 FY2025 is what we are looking at for the additional volume, Q4 FY2025,

Jathin Kaithavalappil : Okay thank you. Thanks a lot.

Moderator: Thank you. The next question is from the line of Siddharth Gadekar from Equirus. Please go ahead.

Siddharth Gadekar : Hi Sir. Good afternoon. So my first question is on the pellet side. Now given that our expansion will be starting somewhere in 4Q or early FY2025, when do we expect the first capacity to come online and what should be the fair assumption in terms of volumes in FY2026 or we will see the entire volumes coming in FY2027.

Abhishek Agarwal: As I mentioned Q4 FY2025 is 15 months from now on. So from FY2026 we can start

seeing the additional volume of the pellet capacity which will be putting up. FY2027 is too far. We will be able to commission the plant 12 months

earlier.

Siddharth Gadekar : So pellet should be roughly around 1 million tonne of contribution in FY2026 and the balance will be coming in at FY2027 is that a fair assumption?

Abhishek Agarwal: The first pellet plant which we are putting out, it will be commissioned in Q4 FY2025 and in FY2026 we can derive the entire production volume nothing will pass on to 2027. Of

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Page 15 of 24 course we are confident we should be able to achieve 100% capacity within few months of starting the plant.

Siddharth Gadekar : Okay so our ramp up will be much faster than normally.

Abhishek Agarwal: Because I think we have a good expertise on our hands. We are already running two pellet unit so we do not see a challenge in handling of the capacity.

Siddharth Gadekar : Okay and in terms of steel making capacity is it fair that our capex should get over nearby end of FY2026 and FY2027 will be a meaningful volume growth from the steel side as well?

Abhishek Agarwal: See if we get the required approvals then we start the groundwork. We are confident the new steel plant will take about 30 months from dig up groundwork so if that happens and everything is within the timeline we should be able to see significant volume growth.

Siddharth Gadekar : Okay and once the approvals come in that is when we will finalize what processes are we going to use to make the steel?

Abhishek Agarwal: That working is going on. We have been evaluating because for us also this is something new till now we have not done it. So we are evaluating with all the stakeholders, the experts in the market, so I think we should be able to get everything in the next three to four months. Once we get the permission, we can straightaway start the ground work.

Siddharth Gadekar : Okay so broadly by FY2026 end all these capex should be completed.

Abhishek Agarwal: Steel plan can probably overlap depending on the approvals and everything else.

Siddharth Gadekar : Okay so mean things come by this year end we should be on track for volume growth for 2026 and 2027 pellets and steel that is the fair assumption.

Abhishek Agarwal: Correct this is a fair assumption.

Siddharth Gadekar : Once our incremental pellet capacity comes online how should we look at the mix between high grade and normal pellet.

Abhishek Agarwal: No so see the new plant is coming up is going to be again on the hybrid so the mix will change so the further capacities we should be able to produce say 75% will be the hybrid pellets and 25% will be of normal pellets only.

Siddharth Gadekar : Okay and the 65 pellets are currently sold at Rs.50 premium to the normal pellets?

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Page 16 of 24 Abhishek Agarwal: So the normal pellet the premium is anything depending on the market condition it is Rs.1000 pellet but I would say on a fair basis about Rs.50 on a yearly average basis about Rs.50 from the 65 pellets.

Siddharth Gadekar : Okay Sir got it? Thank you. That is it.

Moderator : Thank you. The next question is from the line of Aditya Welekar from Axis Securities.

Please go ahead.

Aditya Welekar: Thank you Sir so couple of questions. How is the ferro alloy business doing as of now if you can individually throw some light on GPIL, HFA and Alok Ferro Alloy business?

Abhishek Agarwal: On the ferroalloys side the prices are rock bottom because globally the market is quite weak because India is suffering from the pellet capacity so lot of alloys has to be exported to achieve the balance between domestic and export. Because the export market is quite mute so it has the same effect as the domestic pricing so I would say right now the margins are between Rs.2 to Rs.3 but going forward we hope the margins will improve when the demand comes back into the market.

Aditya Welekar: Understood and the second one is on thermal coal, so what is the thermal coal cost you incur

red in Q2 of this fiscal?

Abhishek Agarwal: In Q2 the average price was about Rs.12 a tonne and Q3 the international market has started going up so there will be a margin increase and Q4 onwards let us see how the market plays but Q3 it was below Rs.12 and Q3 will be marginally top of Rs.12 because the incoming coal is on the higher side.

Aditya Welekar: Understood and lastly I missed on that part on Ari Dongri beneficiation plant so what is the incremental capex for that and what is our capex?

Abhishek Agarwal: Total we envisage with the mining capacity as well as the beneficiation plant, the total capex envisage is about Rs.200 Crores and we should be able to complete the desired

project within the budget.

Aditya Welekar: Understood. Thank you.

Moderator : Thank you. The next question is from the line of Moksha Shah from Yellow Jersey. Please go ahead.

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Page 17 of 24 Moksha Shah: Thank you for the opportunity. Sir my question for the management was there are market rumors about the company getting into forward integration and expanding into new business verticals so what are your views on that?

Dinesh Gandhi: There are no market rumors. We are in the process of building up a new steel plant and there the value added steel will be manufactured what steel, and what kind of product will be manufactured will be decided as Abhishek mentioned earlier and hopefully we should be able to announce the complete plan on which kind of product by maybe end of the current financial year or may be at the time of the results call for Q4 FY2024.

Moksha Shah: Okay thank you.

Moderator : Thank you. The next question is from the line of Marsal an Investor. Please go ahead.

Marsal: First of all my humble request Sir like you are speaking through speaker your voice is very much getting echo, we are not able to fully understand it so if you could kindly speak slowly it will be really helpful Sir.

Abhishek Agarwal: Thank you. I will do that.

Marsal: The second thing Sir regarding the price for different product, can you please give some idea that what was the prevailing average price of pellet, sponge iron, billet, MS Round and bullet, and HB wire including the month of October?

Abhishek Agarwal: October 7, the pellet prices have been around Rs.10,000 domestically and for sponge iron it was about Rs.30,000. The market has gone down by over 5% due to weak demand and the festive season. Sponge iron was about Rs.30,000 and billet was about Rs.42 to Rs.43, and wire was about Rs.48 and the price remain at levels only because of the subdued demand and it should improve going forward when the festive season is over.

Marsal: And MS round Sir?

Abhishek Agarwal: I said Rs.48.

Marsal: Okay and my second question is regarding this the new capex first of all like this new capex on integrated steel plant are we going to do with the existing site where in like for example this existing common facility will be used or it will be Greenfield plant?

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Page 18 of 24 Abhishek Agarwal: No, it will be a different location and it will be a totally a Greenfield project. It will be in the Godawari Power, the same company, but then of course it is going to be a new location with a totally Greenfield project.

Marsal: Okay and like are we going to make the similar products like MS Round or are you going to for the coal?

Abhishek Agarwal: So see currently we follow the second league of steel making which is a coal based GRI plus induction furnace and going forward, we will be putting up a blast furnace and make value added products like others.

Marsal: Like this hot rolled coil and cold roll cold like this right?

Abhishek Agarwal: Yes, depending if you go with the hot and cold or if we go for whatever products we choose we should be able to freeze on those in two to three months.

Marsal: Because

e I was just like making a small analysis here because our current capacity for example of this MS Round and HB wire is 60% and 75% utilized so I was thinking if you are expecting the same thing then like it will be difficult but you are adding new product then it is fine?

Abhishek Agarwal: Yes so we do not intend, to be honest at the moment I think the long products have taken a back seat and we are focusing on value added steel.

Marsal: Okay but like there is one point I want to play this like example devil advocate here? We have come a long way? In 2017, we had net debt of Rs.2000 Crores? Now we have Rs.600 Crores plus net debt if you are going to have the Rs.2500 Crores capex at one shot means like whether we will be able to fully market it and more so we do not have coal linkage also so like we do not have the coal mining of our own captive mining so like how are we sure that like we will again fall in the, I will not say there like for example debt, but for example even if we make such a huge investment and you are not able to fully utilize it then like there will be a burden of depreciation for example like this funding revenue like which you could use somewhere else like?

Abhishek Agarwal: To be honest when we are first put up pellet plant, almost 2008 to 2009 we were one of the first movers in India to put up a pellet plant. So but we do not see a challenge. With every

new challenge we are very confident with the team we already have and the focus on recruit and I do not see any challenge being are not able to produce the desired levels or market it. Secondly, since you mentioned we do not have any coal mine, but we have an iron ore mine Godawari Power and Ispat Limited
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Page 19 of 24 which is a big, big plus. So one side of our steel making is always covered with a captive iron ore mining so even in the cost indication because of no coal mines, I do not see a challenge in achieving the profitability we desired to.

Marsal: But Sir since you already are expert in the mining sector so why we are not bidding for the coal mining because government is there like every third month the government is offering so much?

Abhishek Agarwal: I will tell the reason why we are not doing it because for DRI the coal availability in India is not up to the same mark. If you start using domestic coal our production in the DRI will go down which we do not want to do. So we have to keep importing for our DRI which is about a point 0.5 million tonnes annually or 0.4 million tonnes annually. That is the first thing. For power plants as we have announced we have been expanding aggressively in solar to look at the cost saving as well as in terms of the green initiative of the carbon emission. Early the remaining volume whatever you need to source from the domestic market we have linkage with Coal India which is almost at the market price depending on the auction. So we do not see a very cost implication on the coal side compared to iron ore side. So since we are iron ore side covered so for us it is good enough to move forward. On the capex side see we are a surplus cash company and with the plans going forward we should be able to get EBITDA on year-on-year basis so that you can fund it internally.

Marsal: So if you are not going to have any debt like new debt for this new plant that is a good thing?

Abhishek Agarwal: See that is the intention but depending on the capacity we go forward and which product we choose even if we have to take some debt it is going to be within the limit because in the end we have realized where it has gone wrong 12 years back so we are very sure how to proceed forward so that the balance sheet does not come under stress going forward.

Marsal: Just one input we have seen that like another for example other major player in this team they have tied up or they have acquired some stake in the overseas for example coal mining company so I do not

want to name it here but it is very well so since you are saying through our logical point that this domestic available coal is not good for the DRI that is fine so why do not we acquire some stake overseas in Indonesia or Africa or some other companies?
Abhishek Agarwal: Again I am saying all your assets are not available at cheap value and just to secure certain volume of coal for captive production we do not see any value addition compared to the same money probably again going forward with the steel plant so you have rightly mentioned but I think on the cost indication side I would say we are very much covered
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Page 20 of 24 because of iron ore and we want to utilize our money probably making high value added steel other than going backward and making coal captive.

Marsal: But like this is very small point, so since you mentioned about DRI that is fine? So suppose if you participate in any bidding of the coal mine auction so that coal cannot be utilized for this manufacturing of sponge iron or this pellet or billets?

Abhishek Agarwal: As I have said I just had all these coals so essentially in the past also we have bid for a few of the coal mines but we were never very aggressive and in terms of quality all the coal produced in India is possible to use in our domestic production but as I mentioned, we use that coal production our production volume will drastically go down especially with DRI because in domestic coal the ash is very high and because of the higher ash our production volume will go down which we have no intention to reduce.

Marsal: No Sir I am not saying about DRI? I am only saying for our current product for example billet or for example?

Abhishek Agarwal: See billet does not require any coal. We generate power. We are already having linkage with Coal India for thermal power plants so that is covered but DRI we keep importing and for pellet plant we have exposure of about say 2 lakh to 3 lakh tonnes annually which is not a big exposure and the domestic coal is readily available nearby.

Marsal: Very detailed answer, appreciate it. Thank you so much.

Moderator : Thank you. The next question is from the line of Rucheeta Kadge from iWealth. Please go ahead.

Rucheeta Kadge: Good afternoon and congratulations on a good set of numbers. So I had a few questions regarding your volume growth? Sir going ahead, do we like in the next two years, do we see any incremental capacity coming in other than the mining capacity that we had mentioned

so if you can give a little clarity on that?

Abhishek Agarwal: See the pellet capacity will further add up as we mentioned before also. We expect the pellet plant approval to be in hand in next couple of months. Once we have that, we will start the work and in FY2026 we can see the entire set of volume coming into production which is as desired and parallelly next quarter Q4 of this financial year our additionally steel capacity of 125,000 tonnes, 1.2 lakh tonnes will also be operational. The project is completed. We are just waiting for the required approvals. When we have the approvals we will start the operations.

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Page 21 of 24 Rucheeta Kadge: That is Q3 right?

Abhishek Agarwal: Q4. Q3 is already running so that will be Q4 and then FY2026 you can see the entire volume of pellet into production the new pellet plant.

Rucheeta Kadge: Okay pellet by FY2026 and Sir as you have mentioned that you will not be selling this extra mining capacity in the market, right?

Abhishek Agarwal: Yes, we will not be.

Rucheeta Kadge: You will not be doing it?

Abhishek Agarwal: Because we want to preserve the iron ore for our captive consumption plus as per the new law, we will have to pay additional royalty for selling anything in the market and so we have no intention of selling anything in the market.

Rucheeta Kadge

: Okay. Sir one more thing currently a ballpark number basically, your EBITDA per tonne is around Rs.6099 so do we see this settling at the current rate or we see it deviating and what would be the reason?

Abhishek Agarwal: As I mentioned earlier also depending on the market scenario if the markets sustain at these levels we are confident of making the current EBITDA levels and of course if things go here and there of course there can be diversions but we are confident with the festive season over and the demand is going to be picking up going forward, we should be able to maintain such EBITDA levels.

Rucheeta Kadge: Okay Sir understood. Thank you Sir.

Moderator : Thank you. The next question is from the line of Anant Mundra from Mytemple Capital.

Please go ahead.

Anant Mundra: Thank you for the opportunity. Sir how much of our current power sourcing is from the grid?

Abhishek Agarwal: See from grid we are not importing. We do import, but the portion is hardly would say 2% or 3% on an entire requirement because we have commissioned our first solar panel at 70 megawatts under the banking policy of the state government and so whatever we are importing from the grid is mainly an account of solar power we generate and then the remaining is from that grid power so in terms of you can say about 2% or 3% of the entire requirement only.

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Page 22 of 24 Anant Mundra: Okay so it is majorly captive?

Abhishek Agarwal: It is majorly captive. I will say 98% to 99% captive only.

Anant Mundra: Alright and Sir Boria Tibu also we are planning a beneficiation plant right?

Abhishek Agarwal: Yes we are. We have started to apply for the required approvals and other things and we will be putting up a beneficiation plant in Boria Tibu going forward.

Anant Mundra: So until then I think the plant is going to be shut unless obviously you said?

Abhishek Agarwal: The plant will not shut. We will be operating at a low volumes because as I mentioned earlier at the current prices the mine is commercially not viable so it is better to operate at a minimum level than to put up a plant going forward and bring the ore to the plant for usage.

Anant Mundra: Okay and so we are not planning any expansion at Boria Tibu? All our mining capex is happening at Ari Dongri?

Abhishek Agarwal: At the moment it is happening at Ari Dongri, once everything is finalized in terms of Boria Tibu we will share the required capex and enhanced capacity and everything else. It is at a very early stage probably going forward once we have all the details in hand we will definitely share.

Anant Mundra: Alright okay. Thank you. That is it from mine.

Moderator : Thank you. The next question is from the line of Jinesh Shah an Individual Investor. Please go ahead.

Jinesh Shah: Congratulations Abhishek and entire team for the excellent set of numbers. The first question is as I understand the current product mix for pellet is 50:50 for 62 and 66 do you have any plan to improve that percentage for this high grade pellet in this financial year?

Abhishek Agarwal: Thank you for the congratulations. No see there is a confusion. Right now the production of

high grade is about 65% compared to 63 of 35% but in the merchant sale, the ratio is 50:50 because the remaining is used in our in house for steel making, the high grade pellets and going forward the new pellet plant is going to come up will also be producing high grade so the charge mix will change. It will be about 80% will be about high grade and 20% will be normal grade pellets.

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Page 23 of 24 Jinesh Shah: Okay the next point is regarding your capex plan on slide number 10 and page number T10 of the PPT where you have mentioned that you will be taking 15 months for iron ore mining and iron ore beneficiation vis-à-vis the pellet plant will take 13 months but b

ased on today's

conversion, what I understand these 3 million capacity will be available by next financial year? Is this the right understanding?

Abhishek Agarwal: So see the mining and the pellet plant, so the 13 months were desired from date of once you applied for the permission. Once we have the permission which will happen probably next couple of months. The execution time of the project will be about 15 to 16 months so we see the entire capacity of pellet coming into production in FY2026.

Jinesh Shah: Okay but in that case you will be having your iron ore mining beneficiation plant will be?

Abhishek Agarwal: That is the whole idea. We have parallelly applied for permissions for our iron ore mine expansion as well and once we get the permission so gradually we will also ramp up the capacity so that there is no lag between the new pellet plant and the new mining capacity so that we remain fully captive going forward.

Jinesh Shah: Okay the next point is regarding your integrated steel plant which you are increasing from 0.5 to 1.5 million tonne with the investment of Rs.2500 Crores? Are we looking at any opportunity in terms of inorganic in terms of acquisition of any existing steel plant?

Abhishek Agarwal: We have always been open for any growth so given if there is an opportunity where we feel that there is value to a certain asset we will definitely look for it but to be very honest we have not come across such at the moment and parallelly if we have the required approvals then we were happy to go with the Greenfield today.

Jinesh Shah: And what will be the ROI or payback period for this 1.5 million steel plant?

Abhishek Agarwal: See it is too early to call but given the current market scenario we can see additionally EBITDA of say 1000 over the EBITDA of the current complex so we will go by that look and the second question is depending on the capex. They may charge Rs.2500 back if it remains Rs.2500 or if it goes up and it goes down so it will be difficult but with our own captive mines we do not see ROI of more than two and a half to three years to be very honest.

Jinesh Shah: Okay thank you.

Moderator : Thank you. Ladies and gentlemen, as there are no further questions, I would now like to hand the conference over to the management for the closing comments.

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Page 24 of 24 Dinesh Gandhi: Thank you participants for joining us with the conference call of Godawari Power & ISPAT Limited. If there is any question left to be answered or if you need some more clarity on the company's performance, you can approach us directly or our investor relation agency Go India Advisors. Thank you very much for joining this call and with this we conclude this call. Thank you very much.

Moderator : Thank you. On behalf of Go India Advisors that concludes this conference. Thank you all for joining and you may now disconnect your lines.

Call: Feb 2024

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REF: GPILINSE&BSE/2024/ 5352

To,

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai-400001.

Scrip Code: BSE: 532734 Date: 12.02.2024

TO,

National Stock Exchange of India Limited

Exchange Plaza, C/1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai-400051.

Scrip Code: GPIL

Dear Sirs,

Sub: Submission of Transcript of Conference Call held on February 7, 2024 regarding

Q3-FY24 Results.

This has reference to conference call held on 07th February, 2024 to discuss the results and performance of Q3 FY24 for Analysts Institutional Investors Institutional Investors etc.

Please find attached herewith the Transcript of Conference Call held on 07th February, 2024.

The aforesaid information is also being hosted on the website of the company viz.,

www.godawaripowerispat.com.

Thanking you,

Yours faithfully,

For GODAWARI POWER AND ISPAT LIMITED

Y.C. RAO

Company SECRETARY

Encl : As Above

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An ISO 9001 :2015, ISO 14001 :2015 & Iso 45001 :2018 certified company

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"Godawari Power & Ispat Limited

Q3 FY2024 Earnings Conference Call"

February 07, 2024

ANALYST: MS. SANA KAPOOR – GO INDIA ADVISORS

MANAGEMENT : MR. B L AGRAWAL - MANAGING DIRECTOR -
GODAWARI POWER & ISPAT LIMITED

MR. ABHISHEK AGRAWAL - EXECUTIVE DIRECTOR -
GODAWARI POWER & ISPAT LIMITED

MR. SIDDHARTH AGRAWAL - EXECUTIVE DIRECTOR -
GODAWARI POWER & ISPAT LIMITED

MR. SANJAY BOTHRA – CHIEF FINANCIAL OFFICER -

GODAWARI POWER & ISPAT LIMITED
MR. DINESH GANDHI - EXECUTIVE DIRECTOR -
GODAWARI POWER & ISPAT LIMITED
Godawari Power & Ispat Limited
February 07, 2024

Page 2 of 20 Moderator: Ladies and gentlemen, good day and welcome to Godawari Power & Ispat Limited's Q3 FY2024 Earnings Conference Call hosted by Go India Advisors. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Sana Kapoor from Go India Advisors. Thank you and over to you Madam!

Sana Kapoor : Thank you Viren. Good afternoon everybody and welcome to Godawari Power & Ispat Limited earnings call to discuss the Q3 & nine month FY2024 results. We have on the call Mr. B L Agrawal, Managing Director, Mr. Abhishek Agrawal, Executive Director, Mr. Siddharth Agrawal, Executive Director, Mr. Sanjay Bothra, CFO and Mr. Dinesh Gandhi, Executive Director. We must remind you that the discussion on today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risk that the company faces. May I now request Mr. Dinesh Gandhi to take us through the company's business outlook and financial highlights, subsequent to which we will open the floor for Q&A. Thank you and over to you Sir!

Dinesh Gandhi : Thank you Sana. Good afternoon ladies and gentlemen. Thank you for joining us today for the Q3 and nine months FY2024 earnings concall for Godawari Power & Ispat Limited. Our financial results and earning presentation is available on our website as well as on the stock exchanges website. I believe you have had a chance to review the same. I will take you through the results and the recent updates of the company post which we will have the question and answer session.

I am pleased to announce that GPIL has demonstrated robust financial performance in Q3 and nine months FY2024 driven by increased production volume of value added products, higher realization of iron ore pellets, cost saving achieved through the year, reduction in power and fuel cost, not only this I am happy to share that GPIL has received the environment approval for capacity expansion in the pellet plant and company has decided to increase the plant capacity of integrated steel plant, two million ton instead of one million ton proposed earlier. Before discussing on the financial performance in detail I would want you to appraise the strategic updates for the quarter and till the date.

The company has received consent to operate the sponge iron plant at an enhanced capacity of 595000 metric tons from 495000 metric tons earlier. We have been awaiting this approval for last more than one-and-a-half to two years and we are happy to announce that this has been now received. Based on the same we have increased the guidance for our Godawari Power & Ispat Limited
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Page 3 of 20 production volume in the current year itself to 590000 tons. GPIL has also received consent to operate the steel melting shop at a higher capacity of 525000 metric tons from 400000 metric tons at the existing plant at Siltara, Raipur, the enhanced capacity of billet is operational and based on the same compan

y has increased the guidance for the production of steel billet to 475000 tons for the current financial year. Due to the consent for higher production of the steel billet, sponge iron manufactured by the companies will be 100% actively consumed, which will lead to value addition and improvement in operating margin. The additional power required to operate the higher capacity in the steel melting shop will be made from the additional power being generated from recently commissioned higher efficiency power generating turbine and solar project commissioned in the recent past. Overall the increased capacity is value-accretive.

Coming on the updates from the capex plan, GPIL plan to increase more than double the mining capacity at Ari Dongri mines expanding it from 2.35 million ton to 6 million ton per annum, the enhanced mining capacity shall be operational on receipt of environment clearance and production shall be gradually increased over the next one year. The company has already filed revised mining plan for increased capacity of mine and TR is also received. The public hearing is expected to be concluded in Q1 FY2025 post which the environmental approval is expected to receive. GPIL is also setting up a beneficiation plant at Ari Dongri mines with a capacity of 6 million ton; the estimated capex from the sale is Rs.200 Crores this will be set up in 15 months after the receipt of environmental approval. GPIL earlier planned to increase the pellet capacity by 3 million ton; this will be done in two phases. In first phase pellet capacity will be increased by 2 million ton and another one

million ton will be done in the phase two. Capex requirement for phase one expansion is Rs.600 Crores as mentioned earlier. I am delighted to inform you that environmental approval for the same has been received and project is estimated to be completed in Q1 FY2026. Further GPIL has decided to increase the capacity of proposed integrated steel plant to 2 million ton instead of one million ton proposed earlier. Based on the detailed diligence done by the company capex for the integrated plant has been revised to Rs.6000 Crores for 2 million ton, the revised cost does not include the coke oven plant and thermal power capacity required for the project. The coke oven requirement for the project will be made from procurement of coke from market in place of coal and converting same into the coke. Similarly electric power requirement for the project will be sourced from the solar power to be set up under the group captive arrangement with the third party. It has been planned to minimize, lower carbon emission and lower capex. The public hearing for the project has been completed and environmental approval is awaited. It is expected to be commissioned in 36 months upon the state of environmental approval. GPIL is dedicated to minimizing carbon footprint and actively pursuing the objective by setting up four solar projects to establish the combined power generating capacity 173 megawatt up from 155 Godawari Power & Ispat Limited
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Page 4 of 20 megawatt proposed earlier. As of today 145 megawatt solar power capacity has already been commissioned and we are actively contributing to the cost saving and reduction in carbon footprints. I am happy to share that out of 145 megawatt 20 megawatt solar power plant of Hira Power was commissioned in December taking the total capacity in HFL to 52 megawatt and 23 megawatt of solar capacity to meet captive requirement of power at Ari Dongri mine has been commissioned yesterday evening only after the Board meeting, the balance solar power capacity remain could not be commissioned because of the nonavailability of contiguous land company is making efforts to purchase the land and same will be installed and commissioned in due course. Another 20 megawatt solar power plant that is to be set up to address the captive power requirement of fabrication

and galvanizing unit is expected to be completed in June 2024.

Capex for the same is Rs.80 Crores out of which Rs.21 Crores has already been incurred. This will result in cost saving by Rs.3 per unit besides reduction in carbon footprint. Further a new high efficiency 48 megawatt turbine generator has been commissioned and duly synchronized with the grid in December 2023. The existing old turbine has been replaced with this new turbine which is advanced and efficient in generating power and is expected to generate additional 7 to 8 megawatt electric power without any additional fuel consumption. The additional power generated from the new turbine is being used in captive steel plant to replace the grid power. Debottlenecking capex for rolling mill modernization is progressing as per schedule and is expected to be completed by Q4 FY2024 this will help meeting the company's requirement of steel in the fabrication and the galvanizing unit. Shareholders' approval for grant of 28 stock options already has been accorded in December and subsequent to which company has granted over 8.8 lakh ESOP to the eligible employees in January 2024.

Coming on the operation performance, I am delighted to mention that GPIL has exceed highest ever production volume in steel billet, ferro alloy, power on quarterly basis and for sponge iron, billet and power in nine month basis. One of the major competitive advantages of GPIL is captive iron ore mines; captive iron ore landed cost for GPIL is Rs.2800 Crores from the mines as compared to market price of over Rs.6000 a ton. Our iron ore mining production increased by 9% quarter-on-quarter basis to 565000 tons in Q4 FY2024 though it dropped 13% Y-o-Y because of reduction in production volume in the Boria Tibu mine. Coming on the sales volume numbers, iron ore pellet sales volume dropped 15% quarter-on-quarter because of the piling up of certain inventory in the plant and at the port which has been exported in January 2004 and the same will reflect in the sales volume of Q4 FY2024. Production volume across division increased on Y-on-Y basis, the detail production and sale volumes are shared with the investors in the investor's presentation. Godawari Power & Ispat Limited
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Page 5 of 20 Realization for pellet increased 27% and 6% to 10500 on Y-on-Y basis and quarter-on-quarter basis. On nine month basis realization of pellet increased by 11% to 10205, realization for other products showed a decreasing trend on nine month basis. The cost for iron ore procured from the market and the coal was higher on quarter-on-quarter basis. Coming on the consolidated financial performance, the revenue for the quarter showed marginal increase of 1% and decrease of 11% to Rs.1309 Crores on quarter-on-quarter basis and Y-o-Y basis, the reason for decrease in realization other than pellet owing to the piling

of the stock at the port. EBITDA increased by 80% Y-o-Y to Rs.331 Crores owing to higher realization of iron ore pellet in Q3 as compared to Q3 of FY2023 and saving in power and fuel cost. EBITDA margin increased to 25% as compared to 13% in Q3 FY2023, profit after tax increased to Rs.229 Crores up 79%, PAT margin also increased to 17.5% in Q3 FY2024. Company continues to remain debt free, the net cash on the balance sheet of the company as of December 2023 is Rs.768 Crores approximately.

Coming on the nine months performance, the revenue during nine months dropped by 12% to 3926 as compared to last financial year due to fall in realization across the product range except the iron ore pellet. Our EBITDA increased by 13% to Rs.999 Crores in nine months FY2024 because of the increased realization in pellet and cost saving in power and fuel. EBITDA margin increased to 25% from 20% in nine months in Q3. PAT increased by 15% to Rs.717 Crores in nine months FY2024.

Now coming on the market outlook, on international front global iron ore prices have

touched \$144 a ton in January up from \$103 at the start of the year and currently ruling at about \$133 a ton, importing China was strong, there was no exclusive steel production got announced in China, at the same time China domestic iron ore production plagued. The World Steel Association is forecasting steel demand to grow by 1.8% to 1815 million tons in 2023, another one million ton in FY2024. This augurs well for demand for iron ore as well as expected the prices got well around the current level.

On domestic front iron ore prices as indicated by NMDC have increased significantly to Rs.5110 currently from Rs.3610 in January 2023. Prices have recovered well from the lows seen post imposition of export duty and are now closer to high seen in calendar 2022. On the other hand pellet prices after touching a low of 8800 in July 2023 has increased to over Rs.10000 a ton in December end and is currently at about Rs.9800 a ton. Given the positive steel demand outlook, pellet prizes should well remain supported at the current level. India remain one of the bright spots globally for steel demand, World Steel Association forecast India's steel demand to increase 8.6% in 2023 and another 7.7% in calendar 2024 as compared to 9.3% in calendar 2022. Indian government push for infrastructure can be seen

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Page 6 of 20 in recent budget with 11% increase in capital outlay to Rs.11.11 lakh Crores augurs well for the steel demand in the country and especially for the long steel product.

In conclusion, I would like to emphasize that GPIL's strong net cash balance sheet competitively provided by captive iron ore mine, production of high-grade pellet, over two decades of industry expertise and dedicated and forward-thinking leadership, diligent employees and support from all stakeholders bodies well for the company's growth in future. With this I conclude my opening remark and we can now open the floor for question and answers. Thank you.

Moderator : Thank you very much. We will now begin the question and answer session. We have a first question from the line of Jatin Damania from Swan Investment Manager. Please go ahead.

Jatin Damania : Good afternoon Sir. Thank you for the opportunity. Just wanted to understand now since we have got a consent to upgrade and we will be consuming entire sponge captively but want to understand more on our expansion plan because if you highlight the rationale we are dividing a pellet into a two phases because earlier we were supposed to do a three million a ton at one go now we are planning to do two and one, so what is the rationale behind doing this?

Abhishek Agrawal : So the rationale is we want to integrate the current capacity with our iron ore mines so that we are able to maximize the production of high grade because buying iron ore from the market and then making pellet in the long term I do not see it is commercially viable anymore, the capacities of iron in India and the supply of iron ore, so to integrate the iron ore mines with the pellet plant capacity we decided to reduce the capacity from 3 billion and then going forward when we are able to enhance further capacity in iron ore mining we will probably go for on the pellet plant.

Jatin Damania : In terms of the mining approval for the expansion where are we on that because couple of quarters has been done that we wanted to expand it to six million ton?

Abhishek Agrawal : We should be able to receive the mining approval in Q1 of next financial year and once we receive that we should be able to ramp up the capacity and then the next financial year we should be able to touch the capacity of 6 million ton.

Jatin Damania : So that is in FY2026 we will be 6 million tons of the mining capacity in terms of the production, FY2025 we will be somewhere around 5 million right if we get an approval?

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e 7 of 20 Abhishek Agrawal : Yes, everything is in line so probably FY2025 we should be able to ramp up to the levels of 5 million and then FY2026 we should be able to ramp up to 6 million ton.

Jatin Damania : By that time our pellet will also be operational?

Abhishek Agrawal : Exactly so that is entire thinking behind revision in pellet capacity in the phase one.

Jatin Damania : Last two questions one on Boria Tibu, what is the status, where are we and in terms of the beneficiation are we looking at setting up anything on the Boria Tibu?

Abhishek Agrawal : Yes, we have already started working on the Boria Tibu mines, we should be able to apply for the environmental approval very soon and once we have that in hand we will start installing the plant, but looking at the current scenario next 30, 36 months is bare minimum where we looking at Boria Tibu to commence operations again.

Jatin Damania : But as of now you do not have any impact on our performance right from Boria Tibu because the mining is not working?

Abhishek Agrawal : In terms of financial performance there will be no impact on the Boria Tibu performance.

Jatin Damania : Last questions on a capex, now since we have highlighted we will be doing 6800 of the capex so can you highlight what are the products that we will be producing from the integrated steel plant, how are we going to fund this capex and what is the capex plan for FY2025-2026?

Abhishek Agrawal : On the new Greenfield we are focusing only on the flat products, we are not thinking of going to long products anymore. We all into long products and the way Indian steel is shaping up we think the demand for the flat product will be on increasing trend so we are only focusing on the flat product. On the capex side as we already declared with the mining and debottleneck in the new pellet plant Rs.1000 Crores so that will be done from the internal accrual and for the Greenfield also depending on the final capex once we are able to start making orders we are confident we should be able to fund all the capex from the internal accrual only the current capacity, the mining expansion and for the Greenfield.

Jatin Damania : For capex FY2026 roughly?

Abhishek Agrawal : For 2025 the capex for the mining and the pellet should be about Rs.800 Crores and after that in 2026 we should be able to start the new Greenfield product.

Jatin Damania : So that will be near about Rs.1500 Crores right?

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Page 8 of 20 Abhishek Agrawal : Yes.

Jatin Damania : Thank you Abhishek. That is all from my side. I will come back in the queue if I have more questions. Thank you and all the best.

Moderator : Thank you. The next question is from the line of Aditya Welekar from Axis Securities. Please go ahead.

Aditya Welekar : Thanks for the opportunity. Sir on the steel plant, we have announced the incremental capacity, so just wanted to understand from coking coal perspective what will be our strategy means and what is a normalized EBITDA per ton you expect from the plant in future?

Dinesh Gandhi : On the coking coal front given the current scenario we have no plans of putting up coke oven. We will directly import coke and using the blast furnace, the rationale behind this there are lot of capacities in Indonesia which are only making coke. Indonesia has low grades of coking coal, so a lot of investments we have done in Indonesia and current capacity stand at about 20 million ton and lot of imports are already happening into India of coke instead of putting up a coke oven we want to save on the capex and directly import coke and using the blast furnace that is the strategy at the moment.

Aditya Welekar : Understood and can you come again on the capex spending profile for coming five years if you can just repeat that I lost that part?

Dinesh Gandhi : For the pellet capacity and the mining expansion, it is going to be close to about Rs.800 Crores

which is already under way and for the Greenfield we envisage about Rs.6000

Crores of course this will be closed down once we are able to finalize the capacity and we start taking orders, but going forward next five years I think we should be somewhere about Rs.7000 Crores.

Aditya Welekar : Understood. Thanks a lot. I will stay back in the queue.

Moderator : Thank you. The next question is from the line of Vikash Singh from PhillipCapital. Please go ahead.

Vikash Singh : The spot prices versus the Q3 average, how much up and down they are?

Dinesh Gandhi : The current spot prices in the domestic are hovering about Rs.10000 and it is in line with the quarter average, so not much change.

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Page 9 of 20 Vikash Singh : No, that is for the pellet the steel products the prices are down as of now?

Abhishek Agrawal : The quarter average about 41000 and currently the price is about 39000.

Vikash Singh : Understood Sir. My second question is given the current domestic prices as well as export pellet prices are we looking at the export more or we would like to sell in the domestic more so how the math is setting up right now, difference between the net realization between these two at this point of time?

Dinesh Gandhi : Alright, so we did start exports in the month of December, we have already done couple of shipments, but China is on holiday right now and as you all know China the iron ore prices has come down by 10% in last few weeks because the China market is quite weak, so currently we are focusing on a domestic market because the realization is much better but as and when the opportunity present we are always open to start exporting again. Depending on the realization we are open for both the markets export as well as domestic eventually it is about selling at the best price possible.

Vikash Singh : Understood and just wanted to understand the thought process behind not going after even power plant and tying up with the third party for the larger plant, so is it to something to do with the capex cost or the environmental clearance-related problem because usually it is advisable for us to have everything in-house for the better margin, so how the margin dynamics sets up in that scenario?

Dinesh Gandhi : There are two scenarios one is of course the carbon emission part with Government of India focusing on decarbonization, we also want to be in the same path that is one of the reasons. Secondly on the commercial side today operating a coal-based power plant that you do not have any captive coal mines and you have seen a picture everything from the open market the power cost varies from anything between Rs.4 to Rs.5 unit on the yearly average and when you do the solar plant the yearly average is not more than Rs.3.5, so commercially also will be saving on the operating cost and on the carbon side also will be saving on the emission side, so both aspects were considered and that is why we took the decision.

Vikash Singh : Understood Sir. Pellet price outlook as per you because I think that the yesterday pellet prices have actually gone down in the markets?

Dinesh Gandhi : Rs.200, Rs.300 plus, minus depending on the steel market and the domestic demand does not make a difference and I have always been mentioning as a company with the volume we have we always have a order book of close to 30 to 45 days, so I can say we almost covered
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Page 10 of 20 till March, so the price is going down currently does not impact our numbers for this quarter at least.

Vikash Singh : Just one last question regarding Boria Tibu usually they are seeing good grade or low grade on the mining side, so have we done any survey which would give us an idea that whether the entire mine is of low grade or this just we encountered a over body which is of lower grade?

Dinesh Gandhi : No, of course we have been

running the mines for past few years. This year only we decided to close the mines due to commercial viability, so we know all the analysis, we know what ways available, so the reason is because overall quality of the mines is on the lower side compared to Ari Dongri so the best way possible is to beneficiate make high grade from low grade and then bring it to the plant for usage so that is the reason we have closed the mines and we are going for beneficial in the Boria Tibu mines. It is a well thought decision looking at the commercial viability of the mines and long duty as well.

Vikash Singh : Understood, so the entire mine actually is of lower grade?

Dinesh Gandhi : The average is on the lower side compared to Ari Dongri.

Vikash Singh : Understood Sir. Thank you. That is all from my side.

Moderator : Thank you. The next question is from the line of Rakesh Roy from Omkara Capital. Please go ahead.

Rakesh Roy : Good morning Sir. My first question regarding your number for Q3 FY2024 your topline is nearby 1309 so out of 1309 how much is the other operating income?

Company Speaker : There is no other operating income. Other income is separately in the results which are about Rs.20 Crores.

Rakesh Roy : When I calculate your sales number with your realization it is come nearby 1262 so difference between the numbers you have provided me or the numbers I have calculated, your sales volume multiply by realization?

Company Speaker : The overall sales include the sale of certain buy product, scrap, etc., and which is not part of the investor's presentation and therefore there is a difference.

Rakesh Roy : So compared to the last big number because if I check your topline is down by 10%, 11% year-on-year, but when I calculate from your sales volume realization is up by 9%?

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Page 11 of 20 Company Speaker : The pellet realization is up on nine months basis, but steel plant realizations are lower as

compared to the same period last year.

Rakesh Roy : Same period last year scrap sale is more same period last year?

Company Speaker : There was a trading sale last year.

Rakesh Roy : Trading sale last year.

Company Speaker : There was a trading sale, some quantity last year.

Rakesh Roy : My next question is regarding your margin part, due to the rise in coal prices and iron ore the margin is down, so in January coal prices has come down so can we assume for Q4 on next year margin will improve from here onward?

Company Speaker : Definitely the impact of that will be reflected whatever price changes are there in the end product or the raw material the same will reflect in the financial numbers.

Rakesh Roy : We can expect from Q4 gross margin will improve?

Company Speaker : No, that will depend on the realization of other products as well.

Rakesh Roy : Okay.

Abhishek Agrawal : Just to be specific on the coal side because we are importing coal for data operation and with the current inventory so we always have inventory of close to 45 days to 60 days in transit material so the coal prices impact can be seen in the balance sheet going forward, so I would say Q1 of next financial year you can see the impact of the coal.

Rakesh Roy : Q1 FY2025 we can see the numbers?

Abhishek Agrawal : Yes.

Rakesh Roy : Next question regarding sir just recently you have commissioned 25 megawatt solar power, so can we assume your energy cost will come down in Q4?

Abhishek Agrawal : Partly come in Q4 and then the full impact you can realize from Q1 of next financial year.

Rakesh Roy : How much is your currently energy cost in term of rupees and how much is come down?

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Page 12 of 20 Abhishek Agrawal : Currently our average energy cost per unit should be somewhere about Rs.3.75 and going forward it should be about Rs.3.5 and has come down from about average of Rs.4.75 so we have already saved Rs.1 a unit

Rakesh Roy : We can save Rs.1 a unit sir?

Abhishek Agrawal : At the moment and going forward once the pending capacity of solar gets commissioned then the further reduction in per unit cost.

Rakesh Roy : As you mentioned you have exported some pellets in December time so which country you have exported?

Abhishek Agrawal : At the moment all exports going to China.

Rakesh Roy : China?

Abhishek Agrawal : Yes.

Rakesh Roy : So any export order for Q4 also you have any?

Abhishek Agrawal : Yes, we are already doing one more order which will happen in end of this month and discussion already going on for the next month and future deliveries.

Rakesh Roy : We can assume pellets realization will remain same 10500 or will come down?

Abhishek Agrawal : It is difficult to say because you do not know where the market is going to go because even the key market is quite down in India and China has gone down but Q4 we can expect similar realization and in Q1 we do not know where the market is going to go, this year we are sitting in February, so difficult to assume what will happen in Q1 of next financial year.

Rakesh Roy : Next question you have increased your for Greenfield from 1 million ton to 2 million ton sir, any realization behind what you are looking, why you are increasing or what you are looking for 2 million ton and which flat product and which market you are targeting by a flat product?

Dinesh Gandhi : To be honest that the rationale behind increasing capacity from 1 million, 2 million and because earlier we are thinking of getting into, we were exporting all the opportunities long, flat, round, but they realize the flat product demand India will keep growing up especially in automobile sector and other than pipe segment, so keeping that in mind we decided to

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Page 13 of 20 increase the capacity and we are only focusing on flat products. We have dropped the idea of getting into long any further.

Rakesh Roy : You are just mentioning you are focusing on auto and pipe like?

Dinesh Gandhi : We are basically focusing on the HR coil.

Rakesh Roy : Are we making any long products like TMT bar, we are making?

Dinesh Gandhi : We are already making wire rods which are the category of long product we are not making TMTs and we have no intention of getting to TMTs now. We keep making wire rods in the current premises and the new plant will focus on flat product, HR coil.

Rakesh Roy : What was your outlook regarding demand scenario if you see over a macro outlook in steel

demand?

Dinesh Gandhi : Currently demand is quite weak with the generations coming up, but Indian steel consumption and steel production also going up on month and year on basis so we are quite positive in terms of the growth going forward.

Rakesh Roy : Thank you so much.

Moderator : Thank you. The next question is from the line of Ketan from KP Equities. Please go ahead.

Ketan: Thank you for the opportunity. First question on the integrated steel plant. So there has been a lot of back and forth with regards to the steel plant, so earlier we planned a 2 million ton plant then we scrapped it then we decided to go to bigger plant and one million ton and then now 2 million ton, so what is the thinking behind this and do we require any further approvals different from the one that we had in the public hearing for recent years?

Dinesh Gandhi : I totally agree with your view. We have been going back and forth in terms of our capacities and the future expansion but after a lot of deliberation and studying the market we have finally freezed on the two million capacity which will be focusing on flat product as I just mentioned and depending on the capex as I said earlier mostly we will try to do from internal accrual.

Ketan: Got it and you mentioned Eicher so we are focusing on Eicher now?

Dinesh Gandhi : Yes correct.

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Page 14 of 20 Ketan: Thank you.

Moderator : Thank you. The next question is from the line of Ganesh from SGK Advisors. Please go ahead.

Ganesh: Thank you for the opportunity. Sir I am looking at the profit and loss statement and looking at the year ago quarter basically Q3 FY2023 the percentage of stock and freight there is a difference of Rs.220 Crores improvement this year which looks like it has contributed majorly to the profitability so what are the components in the Rs.220 Crores and my question is it also sustainable?

Company Speaker: See the profitability if you see as compared to last financial year the same period the profitability has gone up mainly because of the two to three reasons. Number one is increase in the selling price of the iron ore pellets as compared to last year it was about Rs.8500 something it is around Rs.10200. Similarly the production volume across the division especially the sponge iron and steel billet has gone up. Even some production volumes have gone up and the third component is saving on the iron and fuel cost is as you are aware we have set up a lot of solar capacities over a period of last one year and one-by-one it is getting operational so all those factors are leading to cost saving and therefore higher profitability is it sustainable in the future we believe so, is it sustainable in the future, the only caveat is how the steel market and the prices would behave is the prediction. Otherwise definitely it is sustainable.

Ganesh: Just one more question thank you. The SteelMint Pellet Index it used to be a good profit for dragging our pellet realization but in the last two quarters our pellet realizations are diverted towards the upside so is it mostly based on the higher quality pellets that we are manufacturing and selling?

Company Speaker: Correct.

Ganesh: Thank you. That is all from my side.

Moderator : Thank you. The next question is from the line of Aman Madrecha from Augmenta Asset Managers LLP. Please go ahead.

Aman Madrecha: Actually can you throw some light on the iron ore prices because recently since the last few months we have been seeing that NMDC is continuously coming up with the price increase so what is driving up this iron ore price increase and it is directly beneficial to us so could

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Page 15 of 20 you let us understand the dynamics of the market currently and what are you expecting going forward what is driving this price increase?

Abhishek Agrawal: I will tell you what is driving the market. Post COVID once the iron ore mines were auctioned by the Government of India under the new MMDR Act so the supply of iron ore from the merchant mining has gone down quite a bit. Now OMC can say the kingmaker in industrial sector and OMC does auction every month. This is that all the prices are probably decided Pan India level. The same NMDC is following the same mode they have been conducting e-auction for iron ore on monthly basis and basis that they are deciding their prices every month and the second one is the demand of iron ore in India is going up day-by-day because the increase in steel production but the generation from the mines, the iron ore production in the mines is not being able to be ramped up at the same capacity so there is a bridge between the demand and supply. That is the reason the iron ore prices have been

going up in India and of course the China from \$104 to \$140 so a lot of low grade fines below 57 has started exporting from India so the big miners like Rungta they have been exporting the low grade iron ore and subsequently they have been raising the prices on the high grade which is being consumed in India so these two are the major reasons why the iron ore prices in India are on upside and I feel going forward they will remain tight till the supply and is able to meet the demand supply.

Aman Madrecha: Going forward also we are expecting at

least for the next six?

Abhishek Agrawal: If you look at the current scenario and China on the higher side I feel the iron ore prices should stay elevated.

Aman Madrecha: Thank you so much.

Moderator : Thank you. The next question is from the line of Anant Mundra from Mytemple Capital.

Please go ahead.

Anant Mundra: Good afternoon Sir. Thank you for the opportunity. I just wanted to understand how are we planning to source power for the increased mining pellet capacity and also for the new steel plant?

Company Speaker: Please can you come again.

Anant Mundra: How are we planning to source power for the increased mining and pellet capacity as well as for the new steel plant?

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Page 16 of 20 Company Speaker: We have already installed solar in the mining which we informed the exchange yesterday only so our mining will be close to 100% captive in terms of green power so that will be the sourcing for our power in the mining side and on the pellet side also we are going ahead with the solar plant. We will be installing another 65 to 75 megawatt of solar that will be used for running our new pellet capacity. As I told earlier we are going ahead with green power in a big way of course for two reasons one is of course the commercial viability versus the coal power plant and of course the carbon emissions.

Anant Mundra: So the project cost does not include the power cost right for the new steel plant the Rs.6000 Crores project cost?

Company Speaker: It does so we will be going for a group captive solar plant so the Rs.6000 Crores which we have envisaged including the power cost as well.

Anant Mundra: Alright. That is it from my end. Thank you.

Moderator : Thank you. The next question is from the line of Kishan Tosniwal from Polar Ventures LLP. Please go ahead.

Kishan Tosniwal: Good afternoon. I have one question only. The company is generating good amount of cash flows it is good that the company is again deploying that in expanding the capacity and all but generating such a huge cash flow do you see or is there anything on the Board's table that there could be a buy back or there could be huge dividend that might come out every year or you might change your dividend policy? That is my only question. Thank you.

Company Speaker: See as you would have seen in our investor presentation and discussions during this call we are almost on the verge of a substantial increase in our capex outlay over a period of next three to three-and-a-half to four years and therefore I believe so as of now our dividend policy remains same and as and when our profitability improves and when the capacity requirement goes down we are always open to increase the dividend or go for buyback or anything but it seems like in the near foreseeable future we will have to conserve the case in order to deploy the money into the capex plant.

Kishan Tosniwal: Thank you.

Moderator : Thank you. The next question is from the line of Raj Mahav from Mili Consultant. Please go ahead.

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Page 17 of 20 Raj Mahav: Good afternoon. I have two questions. What is the EBITDA per tonne from the ferroalloy operation as well as also if you can provide EBITDA per tonne on your steel products, I believe that most of the profit is coming from the pellet operation so whether the investment is giving return on ferroalloy currently or not and how is the price of ferroalloy currently?

Company Speaker: See on the ferroalloy side, the market is quite subdued for the past couple of quarters. The prices I would say rather are towards the rock bottom so currently the prices are hovering between Rs.63000 to Rs.65000 a tonne for the products we make and the only silver lining is we are able to reduce our power cost by installing solar plants that will give us additional EBITDA but at the current market scenario I feel the pellet

prices are quite subdued and the

profitability remains quite constant going forward unless and until the demand of exports go

up because lot of ferroalloys are exported from India because India does produce extra ferroalloys which is being exported. As you know the international market is quite weak in terms of steel making especially Europe so if the demand from Europe comes back the price from India should go up further.

Raj Mahav: Sir can you share the number basically for steel contribution if it is possible?

Company Speaker: No Sir it is not possible because we are preparing the number on a quarterly basis but if you want to understand on a longer term basis what we understand is that profitability keeps on changing depending on the price changes in the market but longer term prices over and above the pellet market price of the pellet we still does give margin of Rs.7000 to Rs.7500 per tonne on the longer term average basis but it is not possible to share quarter-on-quarter number.

Raj Mahav: You have this new addition or new plant will be of 2 million tonne or 1.5 million tonne?

Company Speaker: 2 million tonne.

Raj Mahav: So 2 million tonne steel making, you are projecting Rs.6000 Crores it looks because recent additions by other players has been far higher than this numbers of 3000 tonnes, 5 million tonnes or 6000 tonnes or 40 million tonne?

Company Speaker: Just to add to what you said probably you are riding the numbers but as we mentioned a few moments ago so we are thinking of scraping the coke oven which will save us huge amount of money plus going for a group captive solar will also help us give a lot of money so these two accounts we will be saving a lot of capex so that is why we envisage Rs.3000 Crores should be enough to go ahead with the two million plant.

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Page 18 of 20 Raj Mahav: Thank you so much. All the best.

Moderator : Thank you. The next question is from the line of Faisal Hawa from H. G. Hawa and Co.

Please go ahead.

Faisal Hawa: Sir there was this case in Supreme Court which is pending I think which will probably allow iron ore exports and they appointed some committee also on it so is there any kind of progress on that?

Company Speaker: Yes we have an association called PMI at national level so we have been fighting that case as an association and the next hearing is scheduled at the end of this month so we will get to know once the hearing is done but what I know is of course the case is quite baseless but still we have to fight it out.

Faisal Hawa: The Supreme Court may overrule the ban anytime?

Company Speaker: The ban was imposed in India a few months back and they have already removed the ban so the only case can people export iron ore and pellet without any duty so there is no ban as such. Already people are exporting ores and already people are exporting pellets out of India.

Faisal Hawa: So the hearing this month?

Company Speaker: Yes.

Faisal Hawa: Sir what would be the difference in cost of mining for iron ore between us and NMDC?

Company Speaker: Us and NMDC?

Faisal Hawa: Yes.

Company Speaker: To be very honest I have not track NMDC numbers but for us the current landed value to our plant is about Rs.2800 Crores.

Faisal Hawa: Thank you very much Sir.

Moderator : Thank you. The next question is from the line of Nishta Mukhargee from BigMint. Please go ahead.

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Page 19 of 20 Nishta Mukhargee: Thanks for taking up my question and congratulations on a good set of numbers. Sir my question is could you please elaborate on the breakup of sales target for high grade and the normal grade pellets that you produce the 60.5 grade and 66 and how is the response on the overseas market and your outlook for the same for FY2025?

Company Speaker: See on the sales side it remains the same we produce about 65% of high gr

ade and 35% of

low grade. Our 65% close to 50% is consumed for our steel making so all the sale of high grade will be about 35% and 35% will be the normal grade than the sale only and in terms of the interest of overseas buyers so till now we have only exporting 63 grade pellets and we are discussing with the European buyers for a 66 pellet but we have long term with bigger suppliers so now once March is over we should be able to start supplying to European market going forward with the market support but at the moment we are happy selling domestically and we are able to sell quite easily our high grade pellets.

Nishta Mukhargee: Thank you so much.

Moderator : Thank you. The next question is from the line of Vaibhav Kumar Dubey from BigMint.

Please go ahead.

Vaibhav Kumar Dubey: Thanks for the opportunity. Sir I wanted to know what is your outlook for FY2025 on sales and market for pellet?

Company Speaker: See the sales should remain the same we have been focusing on quarter-on-quarter because a portion of it changes unless there is a maintenance plan so the sales should be about 4 to 4.5 lakh tonne for Q1 of this financial year and the target depending on the market condition we are sitting in February what will happen we do not know how China is going to behave or the domestic pie is going to be behaving so it will be difficult to contemplate any comment.

Vaibhav Kumar Dubey: Thank you and wishing you all the best for future.

Moderator : Thank you. The next question is from the line of Ganesh from SGK Advisors. Please go ahead.

Ganesh: Sir in one of the previous calls there was a mention that we will be limiting our sales of sponge iron so do we have any containing policy towards that number one and secondly do we have any policy towards limiting the amount of pellets that we sell versus what we produce?

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Page 20 of 20 Company Speaker: Yes there is no limit to it but even Mr. Gandhi mentioned it is because our steel capacity has gone up with the consent to operate of commissioning of new furnaces so now whatever sponge we produce will be consumed captively to value add in making steel that is the reason the sponge iron sales will be totally zero going forward in the next financial year and secondly the same is on the pellet side whatever we produce in the plant we consume captively the remaining is sold in the market so we never reduce the production in terms of steel capacity. Whatever remaining is there we sell in the open market.

Ganesh: With the expanded capacity we will be having in another four or five quarters I am assuming we have a surplus of pellets that is available compared to our consumption so will that be the same case whatever is beyond our consumption it will be sold?

Company Speaker: Currently my consumption is about 0.9 million tonnes annually for my DRI and remaining whatever is produced it will be sold in the market with the additional capacity coming up in the next financial year that will also be sold in the market.

Ganesh: Got it. Thank you.

Moderator : Thank you. As there are no further questions from the participants I would now like to hand the conference over to the management for closing comments. Over to you Sir!

Company Speaker: Thank you very much everyone for sparing your time and joining with this conference call of Godawari Power & Ispat Limited. We are confident that we have adequately addressed all your queries. Should you have any further questions or need additional information please feel free to reach us directly or contact our investor relations team at Go India Advisors. Once again we sincerely thank you for all interactive participation and unwavering support to the company. Thank you very much. Thank you all.

Moderator : Thank you. On behalf of Go India Advisors that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2024

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REF: GPILINSE&BSE/2024/5462

To,

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai 400001.

Scrip Code: BSE: 532734 Date: 27.05.2024

To,

National Stock Exchange of India Limited

Exchange Plaza, C/I, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai-400051.

Scrip Code: GPIL

Dear Sirs,

Sub: Submission of Transcript of Conference Call held on 22nd May, 2024 regarding Q4 & FY24 Results.

This has reference to conference call held on 22nd May, 2024 to discuss the results and performance of Q4 & FY24 for Analysts, Institutional Investors, Fund House, Investors etc.

Please find attached herewith the Transcript of Conference Call held on 22nd May, 2024.

The aforesaid information is also being hosted on the website of the company viz.,

www.godawaripowerispat.com.

Thanking you,

Yours faithfully,

For GODAWARI POWER AND ISPAT LIMITED

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An Iso 9001 :2015, Iso 14001 :2015 & Iso 45001 :2018 certified company

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"Godawari Power & ISPAT Limited Earnings
Conference Call"

May 22, 2024

MANAGEMENT : MR. ABHISHEK AGRAWAL – EXECUTIVE DIRECTOR,
GODAWARI POWER & ISPAT LIMITED
MR. DINESH GANDHI – EXECUTIVE DIRECTOR,
GODAWARI POWER & ISPAT LIMITED
MR. SANJAY BOTHRA – CFO, GODAWARI POWER &
ISPAT LIMITED

MODERATOR : MR. AMIT LAHOTI – EMKAY GLOBAL FINANCIAL SERVICES

Godawari Power & Ispat Limited
May 22, 2024

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Moderator: Ladies and gentlemen, good day and welcome to Q4 FY24 results conference call of Godawari Power and Ispat Limited hosted by Emkay Global Financial Services.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need an assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch-tone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Amit Lahoti from Emkay Global Financial Services. Thank you, and over to you, Mr. Lahoti.

Amit Lahoti: Thanks, Manav. Good day, everyone. I am glad to welcome the management and thank them for this opportunity. We have with us today Mr. Abhishek Agrawal – Executive Director; Mr. Dinesh Gandhi – Executive Director; and Mr. Sanjay Bothra – CFO.

I shall now hand over the call to the Management for the “Opening Remarks”. Over to you, Mr. Gandhi.

Dinesh Gandhi: Thank you, Amit. Thank you very much. Good afternoon, everyone. Thank you for joining us today for the Q4 FY24 and FY24 Full Year Earning Concall from Godawari Power and Ispat Limited. Our Financial Results and Earning Presentation is available on our website and on the website of the stock exchanges. I believe that you have had a chance to review the same.

I will take you through the Results, post which we will have the question-and-answer session. I am happy to inform you that GPIL has shown strong performance in Q4 FY24 and has ended the year on a great note. The performance was driven by enhanced capacities of value-added products, increased production and sales of value-added products, cost savings through solar power plants and high efficiency turbine commissioned during the year and operational leverage despite fall in the realization in almost most of the value-added product except pellet which was higher by 8% as compared to last year.

Before discussing the financial performance in detail, I would like to update you on the debottlenecking of CAPEX and operating efficiency program which was undertaken by the Company two years ago and which is now almost complete in FY24:

In the Financial Year ‘24, the Company has received consent to operate the sponge iron plant with a capacity of 0.9 million tons from 0.49 and the steel billet plant with a capacity of 0.535 million tons against the capacity of 0.4 million tons. The Company commissioned solar power plant capacity of 145 megawatts out of 173 megawatts proposed capacity.

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In FY24, the Company commissioned 45 megawatt solar power projects. Also, new high efficiency turbine generator to replace old turbine has been commissioned and newly synchronized with the grid, which is leading to higher power generation by 7 to 8 megawatt without any additional fuel cost. The additional power generated from the solar power plant and new turbine is being used for consumption in the steel plant to operate the plant capacity at a higher level, which is leading to cost saving both through the lower power cost and higher operating capacities leading to improved operating margin and profitability. Our bottlenecking CAPEX has also almost been completed except modification in one rolling mill which has started trial operation and is expected to commission during the current quarter along with 20 megawatt solar power project to meet the power requirement of the rolling mill and fabrication and volumizing plant. All these CAPEX are now almost complete. Money has been invested, and this will be operational by June 2024. These initiatives have started contributing to higher operating margins. And in this backdrop, Company's operating margins for FY24 have increased from 20% to 24%, despite fall in decentraliz

ation across value-added products like
sponge iron, billets, wire rod etc.

Coming on the operational performance for FY24:

I am delighted to say that GPIL has made its production guidance for FY24 for most of its product. It has achieved highest production volumes of sponge iron, steel billet, and captive power generation. We marginally missed our production target in iron ore pellet and ferro alloys on account of maintenance shutdown of pellet plant in Q1 FY24 and shutdown of ferro alloy unit in FY24 for debottlenecking purposes.

One of the major competitive advantage of GPIL is that it has a captive iron ore mine. The captive iron ore landed cost for FY24 is 2800 from the captive mine as compared to current

market price of Rs. 6800 a tonne. The prices of iron ore in auction conducted by OMC yesterday has increased by Rs. 800 to Rs. 1000 a bag. The iron ore mining and pellet production decreased by 11% and 7% respectively. The decrease in production of iron ore mine is because of closure of Boria Tibu mine and pellet is due to maintenance shutdown. Production volume of value-added products like sponge iron, steel billet, MS round wire, ferro alloy, galvanized fabric product has gone up.

Coming to the sales volume:

The iron ore pellet sales and sponge iron sales have dropped because of the increased captive consumption for manufacturing of value-added products. Sales for the steel billet, MS round wire rod, ferro alloys, galvanized fabricated products increased on account of commissioning of higher capacities. Realization of iron ore pellets has increased by 8% to over Rs. 10,000 a ton. Realization of other products dropped and decreased in trend.

Coming on to the Consolidated Financial Performance:

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On quarterly basis, revenue for the quarter increased by 16% to Rs. 1,530 crores on Y-o-Y basis because of increasing the sales of value-added product. EBITDA increased by 19% and 29% on Y-o-Y basis to Rs. 329 crores against Rs. 220 crores. EBITDA margin is 22% during the quarter. On annual basis, revenue dropped by 5% to Rs. 5,455 crores compared to last financial year due to lower trading sales by Rs. 250 crores. Slight decrease in production of pellet and fall in the realization across the product range except pellet. However, despite falling the sales, operating EBITDA and PAT increased by 14% and 18% to Rs. 1,328 crores and Rs. 937 crores. EBITDA margin increased to 24% for the whole year as compared to 20% in the previous year.

GPIL has held the balance sheet with a strong net cash balance of over Rs. 1000 crore. The cash flow from operations during the year increased to Rs. 1,044 crore, up 5% as compared to FY23. Company has given the Financial Year '24 distributed total amount of Rs. 355 crores to the shareholders by way of final dividend for FY23 and buyback of Rs. 250 crores. So, including buyback tax and dividend, Company has distributed Rs. 355 crores, which is 45% of FY23 net profit. The Company could not announce dividend for FY24 due to certain technical reason on the board meeting held yesterday. For approval of accounts, we have now scheduled a board meeting of the Board of Directors on 24th May to consider payment of dividend for FY24.

Our volume guidance for FY23 is as under:

Production volume guidance for iron ore mining is 3 million tons, iron ore pellet 2.44 million tons, sponge iron 0.59 million tons, steel billet 0.5 million tons and ferro alloy 80,000 tons.

Coming to update on our CAPEX plan for the next phase of growth:

As you are already aware, GPIL has planned to more than double the iron ore mining capacity at Ari Dongri mine, expanding it from 2.35 million tons to 6 million metric tons. Enhanced mining capacity shall be operational on receipt of environmental clearance and current status is that the revised mining plan is filed, and TOR is received. We are planning to hold the public

hearing in the month of June or July 24. The preparations are on. GPIL is also setting up a beneficiation plant in Ari Dongri mine with a capacity of 6 million tons. The estimated CAPEX for the same is Rs. 200 crores, out of which Rs. 24 crores has already been spent. The beneficiation plant will be set up within a period of 15 months from the receipt of environmental approval and contain sanction to set up from the State Pollution Control Board. GPIL is progressing towards its plan to increase the pellet capacity by 2 million tons. This will increase the total capacity of pellet to 4.7 million tons. CAPEX requirement for Phase-1 pellet expansion is Rs. 600 crore, out of which Rs. 32 crores has already been incurred for placement of orders. To meet additional power requirement of the proposed pellet plant, the board of directors in the meeting held yesterday has approved setting up an additional solar power capacity of 70 megawatts to meet the requirement of additional power for the proposed pellet

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plant. The pellet plant is expected to be commissioned coinciding with the commissioning of pellet plant in Q1 FY26. We have already started looking for identifying the land for the project and we are quite confident that the project Solar Power Plant will also be commissioned along with the pellet plant commissioning.

As you are all aware, GPIL was focused on enhancing capacity for raw material for steel making and have not added meaningfully the capacity in finished steel making post 2007 except completing the integration of steel-making capacity to 0.5 million ton through

debottlenecking process which is just completed in FY24. GPIL with support of strong cash flow has decided to increase the capacity of integrated steel plant by 2 million tons, taking the steel making capacity to 2.5 million tons, that is higher than the present capacity. Through the blast furnace route, the CAPEX for the same is announced earlier, is Rs. 6000 crores. The public hearing for the project at a new location has already been completed. Environmental approval is awaited. Once the environmental approval is received, we will start the construction work at the site. Although no meaningful development has taken place because of the central election in last 2-3 months, but we are hopeful that now that the election is almost complete and new government is expected to form in the first week of June, we are quite hopeful that we should be able to get the approval in Q2 FY25. The project will be commissioned in a period of 36 months from the receipt of environmental approval and considered to set up. With the commissioning of new steel plant, the Company will join the league of primary steel producer although we are currently a secondary steel producer. Some of the other strategic updates: In order to strengthen the board of directors of the Company, I am happy to announce that we have appointed two distinguished industry experts, Mr. Sunil Duggal and Mrs. Roma Balwani as Independent Directors on the board of directors of the Company. Just to give you a brief introduction, Mr. Sunil Duggal has 37 years of experience in leading high performance team and has also served as CEO and Whole Time Director of Vedanta Limited and Hindustan Zinc Limited. He is Chairman of the National Committee on Mining, Confederation of Indian Industry, Former President of Federation of Indian Mineral Industries, Former co-chair FICCI Non-Ferrous Metals Committee in 2018, and Former Chairman at Skill Development Council for Mining Sector in India. Mrs. Roma Balwani has 4 decades of experience in manufacturing companies like Vedanta Group, L&T, Mahindra Group, and various aspects of strategic businesses like sustainable development, brand management, stakeholder engagement etc. We welcome Mr. Sunil Duggal and Mrs. Roma Balwani on the board. The board has further appointed

Mrs. Neha Sunil Huddar and Mr.

Hukam Chand Daga as Independent Directors, subject to approval of the shareholders in the AGM proposed to be held on 5th of July to replace our present Independent Director, namely Mr. Shashi Kumar and Ms. Bhavna G Desai who are retiring by completing their terms in August 2024. The appointment of these two directors will further strengthen the board. Mrs. Neha Sunil Huddar has over 40 years of experience in finance, accounts, HR and compliance management. She has worked as Head of Finance in Reliance Foundation, Vice President - Payroll at Reliance Industries, Group CFO at Thirumalai Chemical, just to name a few. Mr. Godawari Power & Ispat Limited
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Hukam Chand Daga has also had an illustrative career has more than 4 decades of professional experience in various Aditya Birla Group companies namely Hindalco, Renuagar Power, Grasim Industries, Indian Rayon, HG Industries, Essel Mining. He was former President of Federation of Indian Mineral Industries, Member of National Mining Committee of Confederation of Indian Industry. So, we welcome Mrs. Neha and Mr. Hukam Chand Daga on the board of the Company. And we are quite confident that with their experience, the Company will be immensely benefited going forward.

Coming on the market outlook, on the international front, global iron ore prices touched \$144 in January 24, up from \$103 at the start of the year, and is currently at \$130. China imports were strong as there was no explicit steel production cut announced. At the same time, China domestic iron ore production lagged. World Steel Association is forecasting steel demand to grow by 1.7% to 1,793 million metric tons in 2024, another 1.2% to 1,815 million tons in 2025. This augurs well for the demand for iron ore. We expect the prices to be well supported around current level. World Steel Association foresees that the steel demand in China in Q4 2025 will be plateau mirroring the level of 2023, owing to decrease in real estate investment. However, with this, dip in the demand is expected to be counteracted by surging steel demand driven by infrastructure projects and manufacturing sectors.

On domestic part, iron ore prices in NMDC Fe64 have seen a significant increase to Rs. 5,260 crores, Rs. 60 a ton. As I said earlier, the iron ore fines prices in the yesterday's auction by OMC was at about Rs. 6,100 a ton. Prices have recovered well from the lows seen post imposition of export tax and have surpassed the high ceiling in the calendar year 2022 to Rs. 5,160 a ton. On the other hand, pellet prices after touching 8,800 in July has increased to 10,500 in December and now currently hovering at about Rs. 11,300 a ton. This is for 63Fe pellet. Our high grade pellet is selling at about Rs. 12,500 a ton currently.

Given the positive steel demand outlook, pellet prices should be well supported. India remains one of the bright spots globally for the steel demand. World Steel Association forecasts India's steel demand to increase by 8.2% in calendar 24 and in 25 to 144 million tons and 156 million tons respectively. World Steel Association further predicts that India's steel industry will

experience significant expansion propelled by sustained growth across all sectors resilient on steel, particularly driven by robust in infrastructure investment.

In conclusion, I want to highlight that GPIL's robust balance sheet, advantage of captive iron ore mine, production of high-grade pellets, enhanced capacity cost saving, reduction in carbon footprint through the solar power plant, strengthened CAPEX plan and over four decades of industry experience with the promoters, committed in the business leadership, hardworking employees, and support from all the stakeholders augurs well for the growth of the Company. I would like to open the floor for question and answer. Thank you. Manav, we can now open the floor for question and answer.

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Moderator: Sure, sir. Thank you very much. We will now begin the question and answer session. We have our first question from the line of Jatin Damania from Swan investments. Please go ahead.

Jatin Damania: So, just wanted to understand that in your initial remarks you indicated that the cost saving through solar power plant and benefit from high efficiency turbine has supported the overall performance. So, can you quantify what was the annualized saving that we did in FY24 and what could be the saving in for the FY25?

Dinesh Gandhi: See, overall our operating margins have increased by 4%. There was an average about 10% to 12% fall in the sponge iron prices throughout the year. The average realization for the FY24 and 8% increase was there in the pellet. So, if you take all these, the 4% increase in operating margin, which is about closer to about Rs. 200 crore on 5000 crores sold is as a result of higher operating efficiency because of the solar power plant, new turbine and higher capacity in the steel plant. So, this entire Rs. 200 crore is being contributed by the operating efficiency when this debottlenecking solar power plant etc.

Jatin Damania: Yes, but sir the high efficiency turbine was started in the middle of the year so does the solar power plant. So, does that mean that the savings from this will be much higher than Rs. 200 crores what we did in FY25?

Dinesh Gandhi: I hope so. Subject to adjustment of the increase-decrease in the selling price but definitely full year impact because of the solar power plant which have been commissioned in FY24, turbine commissioned sometime in November, December, steel plant started operating in Q4 will definitely support, although during the full year we have been able to reach like sponge iron, we have reached to the optimum capacity of 600,000 that is 590,000 tons. In the same year, the same in which we got the approval. Steel billet has reached to 475,000 tons. So, an additional 25,000 ton contribution will come from steel billet. Additional power generation through all these projects will definitely add to the profitability going forward in the next financial year.

Jatin Damania: Thank you for that information. So, second thing on, if I am looking at the overall CAPEX and in your slides also definitely there is a cost overrun in the modernization and the expansion plan. So, is it safe to assume that Rs. 30-Rs. 35 crores of the increase in the overall cost is largely attributed to the increase in debottlenecking capacity of the rolled products and what post debottlenecking, what will be the capacity of the rolled product?

Abhishek Agrawal: Yes, so you are very correct. There is this slide overrun. But yes, this is on the rolled product capacity. The rolled product capacity once the mill is fully commissioned and operational, this financial year, probably this is the first year, we are targeting about 3.5 lakh tons and going forward we will achieve the full capacity of 4 lakh tons.

Jatin Damania: So, post debottlenecking, the capacity will increase to 4 lakh tons, right?

Abhishek Agrawal: Definitely.

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Jatin Damania: And a couple of more questions on the mining thing. Now if you look, we are expecting the public hearing for our mining expansion to be completed in June or July 24. So, how much time will it take for us to operate on the higher capacity mining once we get the approval or once the public hearing is done?

Abhishek Agrawal: See, in this particular permission, we don't need to go to MoEF, which is the center authority. This will be taken care by the State Pollution Board. But earlier there was state election, then there was a government change, and then there was a central election. Because of all these elections, the entire thing got delayed by a few months. Once the results are out, hop

ing that

June onwards the process should pick up some pace. And expecting by Q3, we should have the desired approvals in hand. And once we have the approvals, end of Q3, early Q4, we'll start ramping up the capacity. That is what the target is right now. Sometimes because of certain

environment, we just can't control things. You just have to be patient.

Jatin Damania: Yes, so for initial 9 months, we'll probably operate the mine at the current run rate and in the last three months...

Abhishek Agrawal: Correct. Last 3 or 4 months probably, then we ramped up the capacity. So, target is to reach 3 million this year and then further going forward from next financial year, further ramping up to 6 million tons.

Jatin Damania: Okay, so 3 million tons for this year and 6 million tons in FY26?

Abhishek Agarwal: Yes.

Jatin Damania: And sir last question is on your maintenance shutdown that we had taken for the pellet and the ferro in the last year which is on the first quarter of FY24 because of which the production for both the things was lower. I mean is there any maintenance shutdown planned for Q1 of FY25 in either of our facility or will be operating at the rate?

Abhishek Agrawal: No, see pellet plant of course as I have been telling earlier as well depending on the environment, we usually plan shutdowns before monsoons. But this quarter, there is no shutdown of pellet plant for sure. But ferro alloys, we have already taken a shutdown. But it's an annual shutdown, which is always planned in month of summer. But the production guidance for the entire year remains the same. There will be no change in that. So, whether you take it in Q1, you take it in Q2 or Q3, but the production guidance for the entire year remains the same.

Jatin Damania: And update on the ferro alloy market if you can probably..

Abhishek Agrawal: So, the ferro alloy market has certainly moved up quite a bit last few weeks. The primary reason has been there was a cyclone in Australia where one of the mines being operated by South32 was out of production and they declared force majeure. And as per the new Godawari Power & Ispat Limited

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communication from them, the mines will come into production only probably by end of Q3 of FY25. They were producing high grade, which was 44 mm. So, if you see the entire ferro alloys, magnesium market globally, that entire trading volume was about 7 million tons. And that mine particularly was producing 1.7 million tons. So, 10% of global production was out of supply, which is a huge volume. Because of that, there was an uptick in the magnesium prices globally, especially from China's side. And that is the reason the ferro alloys on the metal side, the prices increased drastically in last 2 weeks. So, if we see the prices are hovering about 65,000 per silico manganese, currently it's about 85,000-87,000 which is as high as about Rs. 90,000. So, there is an uptick of about 30% compared to last month only because of a shortfall in supply of magnesium ore globally. No other reason.

Moderator: Thank you. We have our next question from the line of Aditya Welekar from Axis Securities.

Please go ahead.

Aditya Welekar: So, I wanted to understand what means recently the iron ore prices have been quite volatile in international markets. In the month of January, they have increased and then they have come down and currently also they have increased again. So, what is the outlook of the international iron ore prices and also of the domestic iron ore scenario, if you can give some color on that?

Abhishek Agrawal: See, so firstly, I will update about the global scenario. So, as you rightly mentioned, the iron ore prices basis China was down from 140 to about 100 bucks in the month of March. Again, there was a surge in the prices and reach about 120 levels. So, the up-down has been going on and currently the prices are about Rs. 115 on the iron ore front. O

n the domestic side, as you

are aware, there has been uptick in the steel demand and so accordingly the iron ore prices have gone up domestically as well. As Mr. Gandhi mentioned in his opening remarks, yesterday there was an auction conducted by OMC, who is one of the biggest suppliers. There was a premium of about Rs. 1000 on the front. So, of course there has been an uptick in iron ore pricing domestically as well. Now, per se Godawari, I would like to specifically mention one thing here is, what we need to understand is, we need to really start proceeding Godawari's operations, Godawari's numbers away from the export market because there has been a surge in the domestic demand of iron ore and pellet supply, especially in the domestic market where we are selling which is Chhattisgarh. Additional capacity of DRI has been added, of course, 2 million tons and with the current expansion happening in the local surrounding, the capacity which will be further added is about million tons. So, to feed these DRI mills, we are seeing a very sweet spot that everything will be sold domestically going forward as well. So, I would say pellet prices and iron ore prices domestically will remain higher compared to the export market for at least a couple of quarters.

Aditya Welekar: Yes, thanks for that insight. Second is on an annual basis if we see that the employee expenses have increased by 17% year-over-year and other expenses have come down. So, what is the kind of run rate we can expect for FY25 and maybe as we expand in future for both employee and other expenses?

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Abhishek Agrawal: From the employee side, there are a couple of things. One is of course, the annual increment which we've been giving to our employees on annual basis, which they actually deserve. And second is, we have put in a note, so we have announced the use of steam for our employees of senior level. So, we've done a provision about Rs. 3 crore in the Q4 a basis that. That is the accounting standard. So, if you see the average increment in the employee expenses is about 10%-11% on annual basis, which is a standard increment basis what we give and other operating expenses, see other operating expenses includes all other things, which is contractors, raw materials and other things as well. So, the market is quite volatile. So, last year, the raw material prices are on the higher side. This year it has come down. So, it will keep bearing, but overall, we still maintain a healthy EBITDA margin of say, 20%-25% going forward.

Moderator: Thank you. We have our next question from the line of Dhyey from Niveshaay Investments, please go ahead.

Dhyey: So, there were some reports suggesting that the sponge iron imports in the country have been on the increasing trend. So, what is the scenario going forward that we see and also the prices of the same in the coming future, especially in the Q1 and Q2?

Abhishek Agrawal: Because that's news to me, probably a little bit of cargo of HBI, which is the gas-based DRI, which is made in the Middle East, might be imported into the country. But apart from that, I don't think so. We do import a lot of sponge iron. Rather, we do export some of sponge iron to neighboring countries like Bangladesh, Nepal and others. So, probably I need to check on the data. But this is the news to me that we are importing sponge iron. We import scrap. Probably we import iron ore, but sponge iron being imported, I really need to check on my data and I will come back to you on that piece.

Dhyey: Thanks a lot. And also, sir, I had this question regarding the CAPEX that we are doing in the hot rolled space. So, which are the products that we are looking to get into?

Abhishek Agrawal : So, let's talk about that 2 million greenfield project which we have envisaged going forward. We are only focusing on HR coils of a bit of 1250 mm and above. Nothing el

se. It will be a

single mill of 2 million ton, HR coil with a bit size of 1250 mm and above, nothing else.

Dhyey: Correct sir. Also, sir, you mentioned that we import iron ore and not the sponge iron. So, what are your views on the imports that are happening from the Chinese counterpart?

Abhishek Agrawal : No, see, so we as in a country and whatever iron ore is being imported into the country is not from China, it's mainly from either Australia or Brazil. So, I am assuming port-based plants, bigger plants like probably Arcelor Mittal, JSW . So, I have hired few reports where some volumes of imports have started coming into India, especially by the bigger players like JSW and Arcelor Mittal especially for port based. People who are sitting in land like probably we or any other peer Company, they are not importing.

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Dhyey: Okay, so was this import because of higher FTE quantity in the ore or any other reasons?

Abhishek Agrawal: It can be the quality, plus it can be the quantity as well because as you are aware, India's steel production is gradually going up year-on-year and the supply and the domestic market remains tight because the mines which have been auctioned are still taking its own pace to come into production. So, the reason can be both. It can be the commercial value, it can be the quality as well. It will be difficult for me to comment what is the reason why imports are being done in India, but yes, some imports are starting coming into India now, especially by the bigger players which are port based.

Moderator: Thank you. We have our next question from the line of Manav Gogia from Yes Securities. Please go ahead.

Manav Gogia: So, one question on the crushing and the beneficiation plant, which is from a 6 million ton, this is if I am correct, for the Ari Dongri mines, right?

Abhishek Agrawal: Correct.

Manav Gogia: And any update on if we are looking to start the Boria Tibu mines in the near future?

Abhishek Agrawal: So, just to update on the Ari Dongri mines, the EC which is under process also includes the EC for beneficiation. Currently we have a 0.6 million permission for beneficiation, for which we have already done the CAPEX and once we get the approval, we start the plant. And for the remaining once we get the approvals, we start the CAPEX cycle and complete that as well. So, basically the beneficiation of 6 million along with the mining expansion will happen together because both approvals will be received together. On the Boria Tibu side, as we mentioned a few months back, we have shut down operations at the moment because of the mines being

commercially unviable because the mines have huge quantities of low-grades compared to the Ari Dongri mines. So, we are putting up a beneficial plant as well there for which the designing has already been done. We have started the paperwork to apply for the permissions. And once we get the permissions, we will spend on the CAPEX and beneficiate and then bring the Iron Ore from Boria Tibu mines. But sitting in FY25, it will at least take 3 years from now on for the mines to be operational again. So, we can look at FY28 for any iron ore coming from Boria Tibu mines for conjunction with the steel plant at least 3 years from now on, nothing before that.

Manav Gogia: That was helpful. So, my other question is on the CAPEX. Can you just provide me a number for the next couple of years? Can we assume like Rs. 800 crores of CAPEX in FY25 and then Rs. 1000 crores in FY26. I think that the steel plant CAPEX should also start from the next year onwards.

Abhishek Agrawal: See for FY25, all our debottlenecking CAPEXs have already been completed. Barring the rolling mill, which is already in trial production, the major CAPEX which will happen is on the Godawari Power & Ispat Limited

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new pellet capacity of 2 million on the mining side,

to ramp up the capacity along with the

beneficial plant and then the new solar plant which will be set up to provide power to the pellet plant. So, put together all these, they've already invested a certain amount and the remaining about Rs. 700 crores will be spent in FY25 to complete that CAPEX cycle and for next year since the new greenfield, we hope to start the work in end of probably Q3, so the CAPEX required will be on the very minimal side, probably land requirement and all those things. From FY26, we can pay Rs. 1000 crores and then going forward, probably the CAPEX will go up drastically once we start the supply of equipment and other activities.

Manav Gogia: So, if I could just squeeze one more question in, you earlier mentioned that we won't be putting up a coke oven for the integrated steel plant. Is that thing currently still like down the line, would we be thinking of?

Abhishek Agrawal: As of now, we are firm on our thought process after a lot of due deliberation. We have no intention of setting up a coke oven in the phase-1, although we will be having the permission, we have applied for the permission along with the other capacities. But yes, in the phase-1, we have no intention of spending on coke oven. That is the scenario at the moment. So, again, status quo. Because to be honest, Indonesia, there's a lot of coke capacities, which are primarily for export purpose. So, today also, it's better to import coke rather than importing coking coal and use for your blast furnaces. But commercially also, it doesn't make sense to invest in coke oven right now, where you're able to get import cheap coke and using the blast furnace. So, as of now we are firm on not putting up a coke oven in Phase-1 for sure.

Moderator: Thank you. We have our next question from the line of Yogansh Jeswani from Mittal Analytics. Please go ahead.

Yogansh Jeswani: Abhishekji, once we are done with the iron ore pellet expansion at our Siltara plant and sponge iron and billet and rolling mill that we have expanded, so will there be any further scope to add something in this plant?

Abhishek Agrawal: No. So, this complex, there will be no further scope to add further capacity primarily for two reasons. One is of course the space constraint. Secondly, currently that complex is industrial area, that has been declared as a CPA, which is a critically polluted area by MoEF. So, basically any industry which is under the CPA category, there will be no further expansion allowed by MoEF or even the State Pollution Board. So, basically both those things, we have no intention of expanding any capacity in this complex. Whatever expansion has happened, has happened in the new complex which is the Greenfield one.

Yogansh Jeswani: And sir, what about Urla industrial unit?

Abhishek Agrawal: See, Urla we have already done, we already invested and debottlenecked in the ferro alloys Company which is Hira Ferro Alloys and Alok Ferro Alloys. That has already been done last year. And this is that our production will go up this year. And after that, there will be no

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further scope because again for the same reason because again Urla is also a CPA. So, since ferro alloys require coke addition to make metal, there will be no further expansion in that complex as well.

Yogansh Jeswani: Understood. And so secondly, coming to your expansion on the iron ore and the pellet prices, so far what our business has been that we have had surplus or enough pellet capacity to consume our entire iron ore while now with the expansion that is coming up, we'll have a surplus iron ore capacity and we being a captive miner, we can't sell this. So, any specific

thoughts on how we use this or we will keep this iron ore as inventory and we keep using as we need it?

Abhishek Agrawal: No. So, there is a difference of understanding. So, firstly, going forward, once we start mining

6 million, we will be fully captive and we won't be having any iron ore to sell in the market because once the new pellet plant gets commissioned, my capacity will be about 4.7 million tons. So, after beneficiating to reach to a certain desired bit of Fe, there will be a loss of about 15% to 18%. So, once you compute that, 6 million of 18%, so we will be getting about 5 million of processed iron ore to use for a pellet plant. So, technically, we don't have anything to sell in the open market. It will be totally capital. And the most important point is although our mines were given to us on captive basis, but after the new MMDR Act came into picture, there is a provision that the captive miners can sell up to 50% of their capacity, but they have to pay additional royalty. So, if we say today's market, the additional royalty will cost me about Rs. 1,200. So, it doesn't make sense to sell iron ore in the open market by paying additional royalty.

Yogansh Jeswani: So, sir, I also wanted to understand on the crushing and beneficiation plant that you want to set up and how that would affect our economics in terms of costing and margins. So, you also mentioned that after our mining is completely ramped up to 6 million, beneficiation will help us and then 15% to 18% would be the loss in the production.

Abhishek Agrawal: See currently also, we are throwing about 12% to 15%. But what is happening is everything is coming to plant, beneficiation is happening in plant, and we are handling dumps in the plant side whereas once we start the beneficiation in the mine side, so everything will be benefited in the mine, so the 15% which we are throwing away will be handled in the mine and we will save on the transportation cost. So, today for example, I am paying Rs. 1000 per ton to transfer from mines to plant. So, 15% means straight away Rs. 150. So, Rs. 150 on the entire volume which will add to reducing the cost of my iron ore. So, that is the logic behind setting up a plant in the mine area and not beneficiating the plant. That is the logic behind that.

Yogansh Jeswani: Understood. And sir, overall how does the beneficiation plant help in terms of costing or something or if you could just help us understand suppose today your iron ore cost is Rs. 2800.

Will that cost rundown or because in terms of grade we don't have much to go because we already have a 63%-64% Fe content iron ore?

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Abhishek Agrawal: No. So, I will tell you, the average grade which we are currently producing and probably will further produce is about 61-62, 61.5 you can say. That is being benefited to a level of 68 and from there we are making pellets of 66. So, the purpose of putting up beneficiation is to upgrade my 61-62 iron ore to 68 level and then make quality pellets of 66 grades. It has nothing to do with the costing. It is more of producing quality iron ore concentrate, which will fit to my pellet plant. Rather, beneficiating will add to my cost because there is a cost for beneficiation. The only beneficiating is to upgrade iron ore to a certain level and then making pellets of higher grade. If we do not beneficiate and if we use the iron ore as it is, we won't be able to produce a pellet of more than 62 which will be a very commercial grade and the quality will not be suitable for steel operations operationally efficiency wise.

Moderator: Thank you. We have our next question from the line of Aditya Sen from Robo Capital. Please go ahead.

Aditya Sen: So, I missed the part where you mentioned how much capacity we are going to commission this year. Can you please reiterate that? And when are we going to commission that in which quarter or which month?

Abhishek Agrawal: So, you're talking about iron ore mines capacity?

Aditya Sen: Yes, right

Abhishek Agrawal: So, as we have given a production guidance for FY25, we envisaged producing 3 million tons.

So, currently our mining expansion is under approval states from the State Pollution Board, it got a little delayed because of the elections. So, once we have that in permission in hand, we will ramp up the capacity and we target to produce 3 million tons by the end of FY25 against 2.4 million of FY24.

Moderator: Thank you. We have our next question from the line of Chintan from Abans Investment Manager. Please go ahead.

Chintan: Sir, can you give us EBITDA per ton, our EBITDA margin for billet and our rolled products?

Dinesh Gandhi: See, we don't give the numbers, the sponge iron or billet, we give the consolidated number and we don't have it with us right now.

Chintan: I will take from offline. So, can you give us any guidance on the debt to equity ratio for the further CAPEX because right now we don't have any kind of the debt on the balance sheet? So,

can you guide us on our debt and equity ratio?

Dinesh Gandhi: No, debt and equity, like we have said that we are investing about Rs. 1,000 crore in the mine, pellet plant, as well as solar power plant for the mine. Put together, it's close to about Rs. 1,000

crore. And to that extent, we are already having the cash on our balance sheet. So, no more

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debt will be required for this. Coming on the integrated steel plant, that is expected to take about 3 years from the date of receipt of approval to commission the project. And with the commissioning of new pilot plant in the next financial year, our cash flow from internal accruals is going to go up. So, we hope to complete the majority of the CAPEX through the internal accrual and the resultant debt, shortfall of whatever cash and cash accrual and the debt, total investment required will be balancing debt. So, we don't think that we'll be able to require to take more than Rs. 1,500 crore kind of debt in order to complete the new project. So, that's everything should go from the internal accrual. That's what is our expectation is as of now.

Now this figure can change somewhere here and there depending on the operating margins etc.

So, if we are able to maybe require to take a debt of Rs. 1,500 crore or so, then that will be less than 0.3x of the present net worth and this debt we may be required to take it after two years.

So, that time our net worth will further go up. So, it will be negligible.

Moderator: Thank you. We have our next question from the line of Rakesh Roy from Boring AMC. Please go ahead.

Rakesh Roy: Can you give me a breakup for MS round and TMT bar for full year FY24? How much is MS round and how much is TMT bar in volume?

Dinesh Gandhi: The number we have given in presentation. TMT bar we don't make it.

Rakesh Roy: So, we have only MS round only.

Dinesh Gandhi: Yes.

Rakesh Roy: And you just said that you have saved money for some fuel like solar by adding solar and new turbine. So, how much do we expect for FY25 from this group part?

Dinesh Gandhi: No, that is very difficult. In solar, it's a great cost. You save minimum Rs. 3.5 per unit. So, whatever additional power will be required will be saved through solar.

Rakesh Roy: And any outlook for operating margin for FY25?

Dinesh Gandhi: We believe that whatever margins we have achieved in the current financial year should be minimum there. Now that depends on the selling price as well. So, if the selling price for some reason or the other goes down, then the margin can go down. Otherwise, we are quite set to achieve the margin of over 24%-25% if the current price is sustained.

Rakesh Roy: Sir, any comment on realization side because if you see your Q4 realization except pellet, all is down, near by 12%-14% year-on-year basis. So, any comment for Q1 also, this will happen same time for the pricing?

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Abhishek Agrawal: For Q1, the market has definitely gone

up because there has been a certain demand for finished steel post Holi and people are quite bullish going forward. So, prices are almost 10% up compared to Q4 versus Q1 of FY25 across the chain. Be it iron ore pellet, be it DRI, be it billets, or be it finished steel. So, prices are almost 10% up across the chain post Holi, which is so Q4 versus Q1, you can expect 10% higher price variation.

Moderator: Thank you. We have our next question from the line of Rohan Mehta from Strataegic Investment Managers. Please go ahead.

Rohan Mehta: I just wanted two ratios like turnovers for the pellet plant that we are putting up and the steel plant we are putting up, a ballpark figure would do.

Dinesh Gandhi: A turnover ratio?

Rohan Mehta: Yes.

Dinesh Gandhi: So, this two million ton additional pellet plant, we have a turnover of close to about Rs. 10,000 a ton and 100% utilization will have a turnover of Rs. 2,000 crores and investment including mine and beneficiation, solar power plant is Rs. 1,000 crores. So, it is 2x what is your investment.

Rohan Mehta: And for the steel plant?

Dinesh Gandhi: Steel plant, say 2 million ton steel plant into Rs. 50,000 a ton.

Rohan Mehta: So, let's say about Rs. 10,000 crores of revenue.

Dinesh Gandhi: In terms of revenue. And CAPEX is Rs. 6,000 crores.

Moderator: Thank you. We have our next question from the line of Shivam Saxena from ICICI Bank. Please go ahead.

Shivam Saxena: Just having one question, I wanted to check on any impact of the ongoing heatwave on the

operations of the Company?

Abhishek Agrawal: No, zero impact. And to be honest, even during the monsoon period where the steel industry suffers, we maintain our 100% pushing capacity. That's how we have developed the infrastructure.

Shivam Saxena: Any shortages on employees getting sick because of the ongoing heatwave.

Abhishek Agrawal: No, see, but with more and more CAPEX going into mechanized operations, even if there is a little bit of shortage in terms of contractors and employees, it doesn't deserve our production volumes. We are well equipped to handle all these situations. This is not an unusual

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phenomenon. For us, being in Raipur, with temperatures usually plus 40 degrees, we have been facing this since every year. So, we are well equipped to handle these situations.

Moderator: Thank you. The next question is from the line of Piyush Arora from School of Intrinsic Compounding. Please go ahead.

Piyush Arora: Sir, as a percentage of our pellet sales, how much comes from the lower grade versus the higher grade?

Abhishek Agrawal: It's 50-50, yes. So, 50% is of lower grade and 50% is of higher grade because the remaining high grade is being consumed in our house for our value-added steel, which is DRI and then further crude steel and rolled product. So, the sales volume is 50-50 for both, 56 and 63.

Piyush Arora: And sir, going forward, do you think that after our expansion of iron ore mine comes up, so this mix will change further towards the higher grade?

Abhishek Agrawal: So, yes, so the new plant which we are setting up, we will be rather producing higher grade pellets only. So, further, once the capacity is in line, then the ratio will give about 25 of 63, and the remaining will be the high grade. Once the annual capacity goes up and the new plant comes into production in FY26.

Piyush Arora: And sir, how much higher EBITDA per ton shall we get as a percentage versus lower grade and higher grade, just for a ballpark idea?

Abhishek Agrawal: Okay, so the average yearly premium, we command from our buyers is about \$20. You can say \$20 or Rs. 1500 a ton. That's the yearly average between 63 and the high grade.

Moderator: Thank you. The next question is from the line of Shikhar Mundra from Vivog Commercial. Please go ahead.

Shikhar Mundra: What kind of incremental EBITDA we are expecting from the

steel plant at the present prices?

Abhishek Agrawal: See, already last year, FY24, we have increased our steel capacity from 3.75 to 4.75. And this year, we have given a production capacity of 0.5 million tons. So, an additional 125 kg. So, we don't see a substantial improvement in terms of our steel capacity because we are already close to 90% of our production capacity. So, I don't see substantial jump in additional EBITDA from the steel side. Of course, the prices go up from the supply chain because our iron prices are intact, we can see substantial improvement in EBITDA. That's the only upside I would say.

Shikhar Mundra: I am talking about the Rs. 6,000 crores of CAPEX which we are doing.

Abhishek Agrawal: See the way we have envisaged the entire project bare minimum we are looking at EBITDA about 10,000 to be done.

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Shikhar Mundra: At these present prices?

Abhishek Agrawal: Yes, current scenario, definitely.

Moderator: Thank you. We have our next question from the line of Rajesh Mangal Agrawal from Rajesh Mangal & Company. Please go ahead.

Rajesh Mangal Agrawal: Sir, considering the CAPEX, what will be the topline growth and PAT margin for FY25?

Abhishek Agrawal: See, I think FY25, we have already reached our maximum capacity for all the operations. So, we don't see additional revenue being generated because of additional capacity or additional CAPEX. Whatever additional revenue is going to come in on the topline will happen in FY26 once our new pellet plant comes into production.

Rajesh Mangal Agrawal: And nice to hear you that sir, that whatever further CAPEX plan, we are trying to come from cash accruals. That is very nice.

Moderator: Thank you. The next question is from the line of Amit Kumar, a shareholder, please go ahead.

Amit Kumar: So, Slide #12 gives projected CAPEX of Rs. 6,000 crores of integrated steel plants, but expected timeline is 36 months of environmental approval. So, when can we expect the approvals and what kind of product is produced, sponge, iron or the steel billets and further what kind of topline we can expect after everything is installed after 36 months, just a ballpark.

Abhishek Agrawal: On the timeline, we have already mentioned in the other discussion, due to the elections of the state and center, that things are getting delayed. We are hopeful we should get the

environmental clearance by end of Q2 or early of Q3. So, once we have the entire approvals in hand, from there we can assume about 30 to 36 months for commission of the project. And as Mr. Gandhi mentioned, once that is commissioned, considering a finished steel price of say Rs. 50,000 a ton, so for 2 million, the additional revenue of Rs. 10,000 crores. But 3 years from now, it is a very long time in the commodity market.

Amit Kumar: What are the end-user industries for this? What will you produce, sponge iron or steel billets?

Abhishek Agrawal: No, we won't be going for a secondary coal-based JRI route. We are planning to install a blast furnace route which is the primary route. So, blast furnace, then the SMS which is crude steel.

We will be producing HR coil and the primary bias for that will be automobile, pipe manufacturers like APL Apollo and other segments. So, we will be producing the same quality and we will be in the same market as players like Tata, all the big guys, JSW, ArcelorMittal, basically the HR coil sheet which we use for automobile and other value-added products.

Amit Kumar : So, hopefully we can expect the revenue coming in after FY27 or FY28?

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Abhishek Agrawal: I think second half of FY28 partial and then FY29 will be the full revenue once we are able to operate 100% capacity.

Moderator: Thank you. The next question is from the line of Pradeep Rawat from Yogya Capital. Please go ahead.

Pradeep Rawat: So, my

question is regarding if ever we complete all the CAPEX like the integrated steel plant CAPEX and all other CAPEX, so what could be the revenue that we could generate and EBITDA that we could generate?

Dinesh Gandhi: See we already discussed I think this question 2-3 times in the call. The revenue with the additional 2 million ton at the average Rs. 50,000 ton could be about Rs. 10,000 crores but that is 3 years away. EBITDA, we are looking at an EBITDA of Rs. 10,000 a ton on the proposed CAPEX of integrated steel plant, but that would primarily depend on the prevailing demand, supply scenario, pricing etc. But on an average longer term, we expect Rs. 10,000 a ton EBITDA margin on this integrated steel plant on a longer term average basis.

Moderator: Thank you. We have a follow up question from the line of Aditya Welekar from Axis Securities. Please go ahead.

Aditya Welekar: Sir, earlier in the call you mentioned that we will be sourcing metallurgical coke rather than coking coal. So, can you quantify the kind of advantage we get from that?

Abhishek Agrawal: See, the only advantage in the current scenario is it's cheaper to import coke straight away for using blast furnace rather than importing coking coal, investing CAPEX in the coke oven and then making coke for your blast furnace. So, I have done the math. So, today commercially it's cheaper to import coke rather than importing coking coal and then investing heavily into coke oven and then using in your blast furnace. That is the primary reason because Indonesia has come up with huge capacity. Currently, they are at 15 million going up to 20 million tons which is primarily export market for them. And already a lot of folks are already huddling into India. That's the only reason for not putting up a coke oven and rather importing coke directly.

Aditya Welekar: Okay, so we are saving some CAPEX on installing coke oven there?

Abhishek Agrawal: I think for a 2 million steel plant, the CAPEX will be as high as about Rs. 1000 crores. So, it's the substantial money we will be saving. Plus commercially also in terms of operating costs, importing coke is cheaper than importing coking coal today.

Aditya Welekar: Understood. And one last one. So, what is the competitive strength we have for our integrated steel plant? So, we are installing 2 million tons with a CAPEX of Rs. 6,000 crores. So, what is the industry standard for our million ton of installation? How much CAPEX industry needs?

And what is the differentiating factor for our integrated steel plant?

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Abhishek Agrawal: See, of course, one is going forward and today also is the iron ore mining, which is at a zero premium. So, that will be the biggest advantage we have compared to our peers. Of course, people do have like Tata has, but compared to others, they don't have. They bought the mining from auction, so they are paying certain premium. So, that is the biggest advantage. We want to capitalize our iron ore capacity for further value-added chain. And on the ballpark figure, yes, industry standard is about Rs. 4,500-Rs. 5,000 crores per million. We are talking about Rs. 3,000 crores. There are a couple of primary reasons. One is, of course, the failing on the coke oven capacity. Second is we won't be going for coal-based power capacity to feed to our steel plant. We will be going for a group captive solar plant. So, that will save us huge CAPEX. And third is, see, we are already investing on the iron ore in the current complex. The 2 million pellet plant which will be commissioned next year, that will be for a merchant sale only for a

couple of years. Once my blast furnace comes into production, the entire 2 million will be feeding the blast furnace. So, we are saving a huge amount on three accounts. One is the iron ore capacity to feed the blast furnace, second is the coke oven and third is the coal based power

plant.

So, put together all these three, we envisage you can save about Rs. 1500 to Rs. 2000 crores per million compared to what the industry's standard is. That's the only reason.

Aditya Welekar: Yes, that's quite helpful. So, one last one on, so the kind of EBITDA per ton, we are targeting is Rs. 10,000 rupees per ton. So, is it not slightly conservative, means given some competitors are having EBITDA per ton of Rs. 16,000 per ton.

Abhishek Agrawal: See, the problem is if I am able to start the mill production today, I can say, yes, probably Rs. 15,000-Rs. 20,000 per ton. But three years down the line, we don't know where the market's going to be, how the demand supply's going to play, how the iron ore market is going to play because it's a commodity market, right? If you want to assume to get market, yes, we'll be saving much more than Rs. 10,000. But on a conservative side, in the long term, we feel 10,000 is a good number to probably commit or probably to discuss on. That's the only reason because three years is a long time from now on.

Moderator: Thank you. We have our next question from the line of Manav Gogia from Yes Securities, please go ahead.

Manav Gogia: So, this one question from my end. If we look on a Q-on-Q basis for the other expenses, the other expenses have gone up by roughly 25%. Can you just elaborate on the key factors behind this?

Dinesh Gandhi: I think there was some export of pellet and the outgoing freight is also included in that. That is one primary reason for the other expenses going up.

Abhishek Agrawal: Correct. So, we were exporting pellets till the month of February when the domestic market demand was quite subdued. And once in March, when the China market came down and there was a reverse cycle in the domestic market, when the demand for the domestic market started

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coming, we stopped exporting. So, Mr. Gandhi mentioned that is the reason primary for the other expenses to go up.

Dinesh Gandhi: And then of course there is an additional production in the steel billet exposure and all the value-added products. So, additional consumption of material, stores, spares, electricity, all those things are there in that.

Moderator: Thank you. We have a last question from the line of Rakesh Roy from Boring AMC. Please go ahead.

Rakesh Roy: I have only one question. Can you give me the breakup of ferro alloy between the GPIL Hira and Alok for production and sales volume both?

Dinesh Gandhi: Capacities I can tell you right away. Production numbers are not available. Capacity, GPIL is 16,500, Hira Ferro Alloy is 16,000 per ton and Alok Ferro Alloy is about 15,000. I think the numbers are given in our presentation itself. I think there is a production of 80,000 tons also.

So, GPIL is operating at full capacity. Alok also operated at 90%. There was a lower volume in Hira Ferro Alloy closer to about 42,000-43,000 something.

Abhishek Agrawal: Because we have taken a shutdown for modification of the furnaces for better efficiency that work is already over, so you can see the volume growth in Hira Ferro Alloy from Q1 FY25.

Rakesh Roy: Okay, you are saying that the sales volume 100% and Alok is 90% and Hira is near about 30%?

Abhishek Agrawal: Hira was about 60%. So, it's not sales volume, it's production and sales because whatever is being produced in Hira and Alok is totally for merchant sales than the traffic condition.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to the management for closing comments.

Dinesh Gandhi: Thank you, Manav. Thank you everyone for joining the earning conference call of Godawari Power and Ispat for FY24. We are confident that we have adequately addressed all your queries. Should you have further questions or need any additional information, please feel free to reach us directly or contact our Investor

Relations team at Go India Advisor. Once again, we

sincerely thank you all for your participation and unwavering support. Thank you very much.

With this, we conclude this call.

Moderator: Thank you. On behalf of Emkay Global Financial Services, that concludes this conference.

Thank you for joining us and you may now disconnect your lines.

Call: Aug 2024

HIRA-

GODAWARI POWER & ISPAT

REF: GPIL/NSE&BSE /2024 /5579 Date: 14,08.2024

To,

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai-400001.

Scrip Code: BSE: 532734

Dear Sirs, To,

National Stock Exchange of India Limited

Exchange Plaza, C/1, Block G.

Bandra Kurla Complex, Bandra (East),

Mumbai -400051.

Scrip Code: GPIL

Sub: Submission of Transcript of Conference Call held on 8th August, 2024 regarding

Q1 & FY25 Results.

This has reference to conference call held on 8th August, 2024 to discuss the results and performance of Q1 & FY25 for Analyst/Institutional Investors/Fund House/Investors etc.

Please find attached herewith the Transcript of Conference Call held on 8th August, 2024.

The aforesaid information is also being hosted on the website of the company viz.,

www.godawaripowerispat.com.

Thanking you,

Yours faithfully,

For Godawari Power And Ispat Limited

Y.C. Rao

Company Secretary

Encl : As Above

Godawari Power & Ispat Limited

An ISO 9001 :2015, ISO 14001 :2015 & ISO 45001 :2018 certified company

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"Godawari Power & ISPAT Limited Q1 FY25 Earnings
Conference Call"

August 08, 2024

MANAGEMENT : MR. ABHISHEK AGRAWAL – EXECUTIVE DIRECTOR,

GODAWARI POWER & ISPAT LIMITED

MR. DINESH GANDHI – EXECUTIVE DIRECTOR,

GODAWARI POWER & ISPAT LIMITED

MR. SANJAY BOTHRA - CFO, GODAWARI POWER &

ISPAT LIMITED

MODERATOR : MR. AMIT LAHOTI – EMKAY GLOBAL FINANCIAL
SERVICES

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Moderator: Ladies and gentlemen, good day and welcome to Godawari Power & ISPAT Limited Q1FY25 Earnings Conference Call hosted by Emkay Global Financial Services.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Lahoti from Emkay Global Financial Services.

Thank you and over to you, sir.

Amit Lahoti: Thank you, Aditya. Good afternoon, everyone. Welcome to Q1 FY25 Conference Call of Godawari Power. From the Management side, we have with us today, Mr. Abhishek Agrawal - Executive Director, Mr. Dinesh Gandhi - Executive Director and Mr. Sanjay Bothra - CFO.

I will now hand over the call to the Management for the “Opening Remarks”. Over to you, Mr. Gandhi.

Dinesh Gandhi: Thank you, Amit. Good afternoon, everyone. I welcome you all to the Earnings Conference Call of Godawari Power & Ispat Limited to discuss Q1 FY25 Earning Results.

Our Financial Results, Press Release and Earnings Presentation is available on the Website of the Stock Exchanges as well as the Company. I believe you had a chance to review the same. I will take you through the results post which we will have a question & answer session.

I am delighted to announce that GPIL has delivered strong performance in Q1 FY25, marking great beginning to the new financial year as we celebrate 25th year of our journey. The profitability increased significantly mainly due to cost reduction benefit on account of debottlenecking CAPEX done in earlier years and commissioning of our sponge iron ore, steel billet capacities etc.

Coming on the Operational Performance for Q1 FY25:

I am delighted to share that the Company is on track to achieve the volume guidance given at the beginning of the year. The achievement of production volume is available in our presentation. Production volume across division were higher on Y-o-Y basis, captive iron ore production was higher by 3% Y-o-Y, lower 9% quarter-on-quarter. Production volume of iron ore pellet was higher by 24% Y-o-Y, 3% quarter-on-quarter.

Blended production volume of iron and steel production was higher by 5%, decreased 4% quarter-on-quarter. Captive power generation increased by 52% Y-o-Y whereas the same Godawari Power & Ispat Limited

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increased 11% quarter-on-quarter. In view of the increased production volume, our sales volume numbers were higher across divisions.

Sale of pellet increased by 49% Y-o-Y, 9% lower quarter-on-quarter. Sale of other iron ore and steel products were higher by 4%, steel 9% quarter-on-quarter. The realization of iron ore pellet increased by 3% and 4% respectively on Y-o-Y and quarter-on-quarter basis to Rs. 10,500 a ton. Realization for finished steel products decreased in the range of 5% to 6% on Y-o-Y and increased 7% to 8% quarter-on-quarter basis.

Coming on the Consolidated Financial Performance:

Revenue from operations, net of the trading sale increased by 12% to Rs. 1,342 crores on Y-o-Y basis due to increased production volume and realization of pellet.

Quarter-on-quarter revenue declined due to reduced sales volume resulting from plant maintenance and shutdown of steel melting shop and MS rounds. EBITDA increased by 33% Y-o-Y and 24% quarter-on-quarter basis to Rs. 408 crore. This is primarily due to higher volumes as well as cost savings and operating leverage on account of debottlenecking done by the Company in the last two years.

EBITDA margin increased significantly to 30% as compared to 23% in Q1 FY24. PAT increased 24% and 35% Y-o-Y and quarter-on-quarter to Rs. 287 crores. GPIL had a health

y

balance sheet with net balance as on 30th June was Rs. 1,261 crores.

Update on the CAPEX Plan and other Strategic Matters:

As you are all aware the Company has taken ambitious growth plans by nearly doubling the iron ore mining and pellet capacity and setting up an integrated steel plant with 4x current capacity. In this regard, I would like to update that increase in the mining capacity from 2.35 to 6 million tons, setting up the 6 million ton beneficiation plant. Basically, approvals are expected to be placed by December 2024. The project of increasing pellet capacity from 2.7 to 4.7 is running on schedule and same is expected to be commissioned by June 2026. The Company has received permission to stabilize for additional pellet capacity along with associated facilities.

As regarding integrated steel plant of 2 million ton capacity, the public hearing for the same has been completed as reported earlier. Environment impact assessment study is now finalized and being filed with MOEF for final presentation. The process is expected to be completed by December '24. After receipt of environmental approval, consent to set up the steel state pollution authorities, the implementation shall start after the mining lease for the project land is executed with the state government authorities. The project will take about 36 months from the ground breaking ceremony.

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I am happy to announce that modification of Rolling Mill for manufacture of its structural steel has been completed and production of structural steel has started. The structural steel will be partially used for captive manufacturing of galvanized fabricated products for supply to various agencies like Indian Railway, Power, Discom, etc., for which Company has applied to these agencies for approval as the approved vendor for this supply of galvanized product made by the captive rolling mill as well as the steel billets from GPIL existing manufacturing facility. This rolling mill unit is already registered with Indian Railways and other authorities for supply of galvanizing. We were earlier procuring these structural skill from the market and supplying it, now with our captive steel billet as well as the old product, it will be supplied which will be substantially cost and value accretive.

The Strip Mill, we are also commissioning Strip Mill along with this Rolling Mill with a separate line and that is expected to be commissioned by September. After that, our ERW pipes will be sourced the strips from the captive unit.

Coming on the update on Solar Projects:

20 MW captive solar power plant for meeting the power requirement of the Rolling Mill and Fabrication Division has been completed and synchronized. Further, GPIL has planned to set up an additional 70 MW solar power project to meet the power requirement of the upcoming pellet plant, which we expect to commission by Q1 FY26, coinciding with the commissioning of pellet plant. For this project, the Company is in the process of acquiring land for the same. GPIL has been working towards the Net Zero Carbon Emission, has now let down a clear target of becoming Net-Zero emission by 2015. Last two years, the Company is focusing on maintaining the increased power requirement through capital solar project, which has resulted in carbon reduction from 2.75 tons CO₂ per ton of steel in FY22 to 2.43 ton in Q1 FY25. Further, the Company is initiating wages energy efficient key and decarbonization projects like focus on energy efficient and R&D projects to cut on CO₂ emission by 9% by switching the fuel in the new pellet plant from coal gas to natural gas and also utilizing the waste gases of pellet plant and other units to generate additional power.

The Board has approved an investment of Rs. 75 crores for this energy efficiency project which will generate an additional power of 11 MW without requiring any additional fu

el. The

project expected payback for this project is about 2 years, with cost saving of Rs. 38 crores per annum and this is expected to result in additional carbon reduction intensity by 2,59,415 tons.

As a part of the group simplification structure, the Company has further increased its stake in Alok Ferro Alloys from 78% to 88.34%. This is direct effect and 97.62% along with this thing held through Hira Ferro Alloys Limited.

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GPIL has always attempted to reward its shareholders through consistent dividend payment, buyback bonus, split of shares, etc. Following the same thought process, the Company has recently completed the buyback of 21.5 lakh shares at a price of Rs. 1,400 per share in July 24. The Board has further approved a special dividend of 25% on face value of Rs. 5 each on the occasion of 25th Anniversary of GPIL will falls on 21st of September 2024. The Board has further approved the split of equity share from face value of Rs. 5 to Re. 1 each.

Coming on the market outlook:

On international front, global iron ore prices have dropped to around \$100 per ton from high of \$143 in 2024 January. Property sector in China continues to weigh on the steel sector and sentiment. However, based on the industry reports, the borne iron ore market remains in deficit for FY25 and should help stabilize the prices around current level. World Steel Association is forecasting steel demand to grow by 1.7% to 1,793 million tons in 2024 and another 1.2% to 1,815 million tons in 2025, despite China's steel demand plateauing. Iron ore supply is largely stable in 2025, Rio Tinto's project in Guinea is expected to start in December '25, depending on its ramp up. Some surplus can happen in 2026.

On domestic front:

Iron ore prices NMDC Fe 64 have seen a significant increase to \$4,610, Rs. 10 per ton from 3,616 January 23. The NMDC has reduced the prices yesterday. The prices have recovered well from the low steel cost imposition of export duty. On the other hand, pellet prices touched high of 11,000 during the year, in June 2004 has dropped currently to around 9,000 ton mirroring the global prices. India remains one of the brightest spot globally for steel demand, WSA forecast India steel demand to increase by 8.2% in 24 and 25 to 144 million ton and 156 million ton respectively.

WSA predicts India's steel industry will experience significant expansion, propelled by sustained growth across all sectors reliant on steel industry, particularly governed by robust infrastructure investment. The current falling domestic steel prices in the recent past are mirroring the impact of increased import from China and heavy monsoon impacting the construction activities.

To conclude:

I explained my heartfelt thanks to all employees, regulatory authorities, stakeholders, for the unwavering support throughout the journey of our Company for 25 years. I am also grateful to all the shareholders and the investor's community for their continued support ever since the listing of the Company in 2006. We look forward to ongoing support from all our stakeholders, coupled with our experience, promoters, management team and solid balance sheet, Godawari Power & Ispat Limited
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operational efficiencies, advantage of captive iron ore mines and ambitious capital requires for significant growth in years to come.

With this, I conclude my opening remark. We can now open the floor for question and answer.

Thank you very much. Thank you all.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question is from the line of Amit Dixit from ICICI Securities. Please go ahead.

Amit Dixit: I have two questions. The first one is essentially on the integrated steel plant and the proposed capacity expansion of 2 million tons, now in the past as well, at least, if I recall correctly, 4 years ba

ck, we had a similar endeavor to expand, I think at that point time it was 3 million tons capacity and now this is integrated steel plant that we are talking about. So, just wanted to understand the final product configuration of this, what kind of products are you targeting for all sectors?

Abhishek Agrawal: See on the final product side currently, so we are very much looking at flat products, which is HR coil. Since we are already into long products, we have no intention of getting to long products. So, we are focusing on flat product for the new steel plant of 2 million.

Amit Dixit: So, will these be narrow coils or your typical?

Abhishek Agrawal: No, this will be narrow coils. So, we will be able to, so what we are targeting is we should be able to produce right from 1 mm thickness and the bit should be 1250 above, so up to say. 1550-1650. So, its entire range from narrow as well as to wider ones.

Amit Dixit: And in this present configuration that you have thought about, you are stopping at narrow coil, there is no intent to go into at this point?

Abhishek Agrawal: No, there is no narrow coil thought. We are focusing on the ridership which is used for all the applications, automobile and piping, everything else.

Amit Dixit: And do we also want to go further downstream by putting cold rolled coil, let us say at some point in time or?

Abhishek Agrawal: Yes, of course, in the current environment, permission which have live, so we have included the downward stream as well, which is the cold roll and further processing. But at this stage, we will stop at making HRC and going forward we will start making in downwards technologies. That is all I get.

Amit Dixit: Typically blast furnace route.

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Abhishek Agrawal: See at the moment, because of economics of the location and since natural gas is imported into India, so gas with DRI commercially becomes quite challenging to achieve the desired numbers. So, at the moment it is only blast furnace, but of course, we will be straightly working with other industries to see how we can replace scope with other technologies going forward.

Amit Dixit: The second question is on galvanized fabricated product, pretty interesting product if I look at it, but the sales volume we have seen that it declined Y-o-Y and Q-o-Q and then we also saw that among all your product Q-o-Q realization for this product also declined, though it is a premium product, so just wanted to understand that whether it was only because of elections or

there is some other thing that is also happening?

Abhishek Agrawal: There were 2-3 factors for the low volume. One was of course, the state election and right next level center election. So, that was one part of it. But apart from that, a small thing is happening. There was a fire incident in one of the plant because of which entire one line was down, luckily there was no harm, but still it took time to come back to online. So, that is another reason, there was a small incident and third was since we are still buying billets from the market and acting more as the conversion agent, now with this commissioning of mill, the margins will go up substantially and that will also help to increase the volumes. So, there are 2-3 factors for us volume to go down this quarter.

Moderator: Thank you. Our next question is from the line of Vikas Singh from Phillip Capital. Please go ahead.

Vikas Singh: Sir, my first question pertains to the operating performance while the volume and realization was down our operating performance has improved largely on the other expenditures. So, what are the items which are different from the previous on a Q-o-Q basis?

Dinesh Gandhi: It is mainly on the power cost because we commissioned our power generation is higher by 52% and the solar capacity which is commissioned in the last year, new turbine, everything is adding to the operating efficiency.

Abhishek Agrawal: There is one more thing which is adding to that difference in the operating cost is so last quarter, there was a decent amount of volume of export of pellets out of India. So, the way accounting method, so in case of exports, so the evaluation comes at the selling price, but the entire cost to deliver to that port comes in the operating cost. So, that is why there is a difference also in the operating cost of this quarter compared to last quarter because this quarter there were no export volumes of pellet.

Vikas Singh: So, even considering that, we should assume that the larger part of the operating cost decline would be sustainable because majority of it came from the power side and only few from the?

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Abhishek Agrawal: Yes, definitely. So, going forward with the current coal dynamics and with completion of our backup project in terms of power, we think we can maintain this operating cost going forward as well.

Vikas Singh: Sir, my second question pertains to our growth CAPEX, if I just look at this slide 9 of your presentation, our crushing and beneficiation plant was supposed to take 15 months from their environmental clearance while our pellet and iron ore mining probably would come earlier. So, is that we can assume that for the pellet we would support pellet from the outside iron ore sales or alternatively, look at it as high-grade pellet sales would decline for few quarters significantly. How should we look at it?

Abhishek Agrawal: No, I think so that there is probably confusion understanding, so my current mining plus my expansion and the beneficiation in the mine and my pellet plant, all this will come into operations partially in sync with each other because the benefit that we are putting up in the mine is mainly for benefiting the BMQ, which is the low quality iron ore. But apart from that we will be able to raise the production, our iron ore grade which is high grade. So, that will keep applying to my pellet plant. So, everything goes well, we are confident we will not be in a position to buy iron ore from the market next, which is for FY26.

Vikas Singh: Currently, we are buying that....

Abhishek Agrawal: Currently, since we have shut down one of our mines last year, we are currently buying about 20%-25% of the requirement from the market.

Vikas Singh: And sir, my third question pertains to our JV, if you look at that where we have 3 JV shareholding between 30%-33%, so does JV has the option for us to buy out our stake in those JV in future point of time or we would something similar to what we have done 2 years back in the consolidation of the group. So, just wanted to understand, is there an option for us to buy out those JV's and who are the partners there?

Dinesh Gandhi: Vikas, I think you are talking about Raipur Infrastructure and Chhattisgarh Captive Coal Mining?

Vikas Singh: Yes.

Dinesh Gandhi: Now, Raipur Infrastructure, there are three partners, Sada Energy, Godawari Power and there is a Company called Vanda Global. We are in the process of winding up this Company or distributing whatever surplus funds are there. This JV is not operating, it is nonoperational company, and we are in process of winding it up. In regard to Chhattisgarh Captive Coal Mining, a similar process is being updated, except that in the anticipation of recovery of some money we are holding on to this Company. Otherwise, this is also non-operating Company. And Chhattisgarh Ispat Bhumi is a non-profit organization. This is a JV between the operating industrial area Siltara Industrial area and government of Chhattisgarh and it is a nonprofit Godawari Power & Ispat Limited

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organization. It is for the management of the industrial area. So, all these companies are not contributing anything to profitability or revenues etc., so two will get one

, so one will continue to stay the way it is there.

Vikas Singh: Sir, just one last question. I am slightly surprised with the kind of the realization fall basically, which we have experienced because couple of our peers has seen the realization gain on the sequential basis. So, just wanted to understand that, is there any timing difference what we are experiencing right now, because some of the quantity probably was pre-booked and we couldn't enjoy the higher prices we had during April-May or something else is there? And secondly, how should we look at the realization in 2Q and the cost of production in 2Q?

Dinesh Gandhi: So, Vikas, you are talking about quarter-on-quarter realization or year-on-year?

Vikas Singh: Yes, sir. 4Q versus 1Q, so 1Q realization for sponge everything was 5% down. But if I just look at the steel prices of the rebar or couple of your peer group who operates in the similar visionary, they have shown Q-o-Q realization improvement. So, that was a surprise that why it hasn't flown to us?

Dinesh Gandhi: See, especially in steel billets and MS Rounds, there is production volume degrowth and maybe it was a falling trend, so this differences would be because of the timing of the production fault as maintenance shutdown. It could be one because this Q-o-Q realization across division is higher except galvanized fabricated product. Iron ore pellet in Q-o-Q 4%, sponge iron ore 7%, steel billet 7%, MS Round 7%, Y-o-Y number you are referring to?

Vikas Singh: No, I am referring to the quarter-on-quarter number, 4Q versus 1Q, we had on an average 4% to 5% fall in the realization.

Dinesh Gandhi: This is Y-o-Y, not quarter-on-quarter. We will send investor presentation again and we can discuss offline also if we can.

Vikas Singh: And how should we look at the realization, spot basis versus and cost spot basis versus what we have experienced in the 1Q FY25?

Abhishek Agrawal: Definitely, end of Q1 we will see down the line the Imported coal prices for DRI will be same in Q2 as compared to Q1. We can expect no Q1 realization continue to change.

Moderator: Thank you. Our next question is from the line of Aditya Welekar from Axis Securities. Please go ahead.

Aditya Welekar: Sir, my question is on the iron ore mining expansion side, as you said that we are expecting an approval from December 24. So, how much ramp up do you expect in Q4? And any color if you want to put on FY26, usually how much time it takes to ramp up that mine?

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Abhishek Agrawal: If a guidance, we have given 3 million basis, we have assumed there will be some production of additional capacity in Q4 of this financial year because the current mining capacity is 2.35-2.4. So, we expect we should be able to achieve 3 million if that was in place by the end of Q3. And from FY26, we should be able to ramp up the capacity at a much faster speed and coincide with our requirement of the pellet plant.

Aditya Welekar: And just one follow up on the cold rolling and further downstream assets for your steel plant of 2 million tons. So, our current CAPEX of Rs. 6,000 crores, does it include CRM or it is on your...

Abhishek Agrawal: No, as I mentioned that hot roll coil, there will be no downstream products in the 1st Phase, and we will have through in the same permissions but going forward we will start making downstream product as well but in the 1st Phase we are not going make downstream products. It will take some time.

Aditya Welekar: And last question is, if you are seeing the weakness in international iron ore prices and currently, they are hovering near \$100 per ton and there were reports that Simandou iron ore mine is also expected to come in future which will increase the supply of iron ore in global markets. So, from that perspective, how do you see the pellet prices which for our pellet prices, especially the price range for future

?

Abhishek Agrawal: When it comes to Godawari per se, so already past few months there has some difference between, the domestic pricing for Godawari and export market for Godawari because of the existing steel capacity or the additional capacity which people are building in Chhattisgarh. There has been no addition of backward integration in terms of pellet supply or additional iron ore. The sources will be the same, which is NMDC, ONGC and the pellet makers. So, we feel there will be a shortage of iron ore in this area, the pellet prices will be on the higher side irrespective of the international market. For today example also there is a delta of \$20 more

by selling domestic compared to the national market. So, we have not in the national market at all from last three months and going forward, we don't think so we will be in a position to even think of export. Domestic is quite strong right now in terms of iron ore.

Moderator: Thank you. Our next question is from the line of Jatin from Swan Investments. Please go ahead.

Jatin: Sir, just wanted to understand the key reason behind the sequential decline in the overall production volume, because once and you in the opening remarks, you indicated is because of the debottlenecking, the sponge and the billet, there was a benefit during the quarter. But if you look on the overall volume, we had seen a decline. So, what was the reason behind that?

Abhishek Agrawal: The reason was we planned an annual shut down for the entire year basis Monsoon and depending on the requirement because we need to shut down a few units so Quarter 1 for us

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where the plant is shut for 20 days in Q1 FY25 but everything is up and running should be increase in Q2 FY25.

Jatin: Sir, in terms of the operating efficiencies, the benefit of the power that we have seen in the last quarter that will now continue for the remaining part of the year?

Abhishek Agrawal: Definitely.

Jatin: And sir last question, we have seen the delays in getting approval and as per the latest update, we expect the mining approval and integrated plan approval to receive by December '24. So, is there any further requirement by the Center or by the States in terms of giving the approval that can be expected because both the approval?

Abhishek Agrawal: It takes it so long as if we go to MOEF and then to EC from there and it will be taken by the state board. So, the subsidiary side, so many players and due to last month, there was election so getting slightly delayed, but which is we really can't. We are trying our best to move as fast as possible. So, we confidently as committed by Q3, we should have the approvals in place.

Moderator: Thank you. Our next question is from the line of Manav from Yes Securities Limited. Please go ahead.

Manav: Sir, one question I wanted to know, would you be able to quantify the average imported coal cost per ton for the quarter?

Abhishek Agrawal: You mean Q1?

Manav: Yes, Q1.

Abhishek Agrawal: So, you want per ton of DRI cost, or you want the landing cost of raw material?

Manav: From a landed point of view?

Abhishek Agrawal: Landed point of view, our average cost in Q1 was about Rs. 11,500.

Manav: And how is it shaping up in Q2 right now?

Abhishek Agrawal: Q2 is more or less same because we do a lot of planning in terms of, we maintain an inventory of two months. Q2 looks on the similar level, there might be slight change in Q3 with the current international market but demand is weak. So, we are confident the market should pull back, but Q1 and Q2 are on the similar level.

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Manav: And sir, one question on the realization for me and I don't know if I have missed this, so what sort of corrections are we seeing in terms of billet pricing and long product pricing as of now during the monsoon?

Abhishek Agrawal: Se

e as of now as of on 8th of August, so prices are down by almost 10% compared to last quarter. So, on absolute number there is about 44,500, billet is about 39,000 mark-to- market. So, there is a correction of almost 10%.

Moderator: Thank you. Our next question is from the line of Chirag from New Asset Management. Please go ahead.

Chirag: So, wanted to understand that traditionally you have been downstream producers. So, what was the real incentive for you to diversify to plants and how do you plan to compete with the biggies in the flat steel production and what could be the cost of production for HR coils?

Abhishek Agrawal: See, the reason for diversifying was the steel, in the long market, there is a huge supply from the secondary market as well, right people will need wire rods for their end use. So, secondary market is quite big in India, which almost 40% of entire steel production and that market is growing, but the secondary steel market cannot venture in, cannot make a flat product quality material. So, that is the reason to diversify to flat product to move away from the completion and feel the demand because of the automobile and with infrastructure growth. We thought getting to flat is much beneficial compared to a long product and if also see the price trend in last 4 years since COVID, so flat is almost Rs. 4-Rs. 5 higher in terms of realization compared

to a long product of tiny players only. TMT is 50,000 and HR coil is of Rs. 55,000. So, that is also one of the reason we won't venture into flat product.

Chirag: How much is the cost of production for HR coil?

Abhishek Agrawal: See, the operating cost is about Rs. 2,500, between Rs. 2,000 and Rs. 2,500. But of course depending on other raw material, it is difficult to decide but your operating cost is only about \$30.

Chirag: And since you are setting up blocks on this, then going forward there are lots of issues coming up with respect to the pollutions coming from the blast furnace and all, do you plan and have plans to go towards electric arc furnace or will you still stick with the blast furnace?

Abhishek Agrawal: See, it is very difficult to comment. Right now, we want to hedge the iron ore of mining in pellets, we don't want to be only pellet player. It is better to hedge your iron ore belt. So, you want to iron ore premium the value we have and make value-added products. So, that is the reason and because of imported natural gas, currently the blast furnace would be viable commercially, importing gas and making steels through DRI route, it is quite expensive at the moment because of import of natural gas into India. So, we see the Middle East for reason, Middle East has cheap gas, but they don't have iron ore, so they import iron ore, but they have Godawari Power & Ispat Limited

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their own gas. So, it is all about location dynamics. So, currently, we will proceed with the blast furnace only and finally we will explore with other industries in terms of carbon capture and other things that is available all over the world.

Moderator: Thank you. Our next question is from the line of Chirag Singhal from First Water Fund. Please go ahead.

Chirag Singhal: What is the asset turn for the integrated scale plan based on the normalized NSF?

Dinesh Gandhi: I will take up. You are asking about the asset turnover. If we set up 2 million ton capacity and just for example take a selling price of Rs. 50,000 a ton, it comes to about Rs. 10,000 crores turnover and CAPEX is Rs. 6,000 based on our estimate, so it is more than 1.3-1.4 times.

Chirag Singhal: And is it expected to come phase wise or this entire capacity of 2 million tons will be online by end of FY28?

Abhishek Agrawal: No, everything is going to come together because integrated steel capacity, so everything will be coming up together.

Chirag Singhal: And just one more thing on coal consumption cost, so what was the coal

consumption cost per

ton in Q1 and what is the trend in the current quarter?

Abhishek Agrawal: Coal consumption in terms of pricing or in terms of specific consumption?

Chirag Singhal: No, in terms of the consumption cost for your Company?

Abhishek Agrawal: So, my coal cost as I mentioned earlier, the coal prices is domestically drastically reduced from second-half of Q1 and continues to so I feel our coal cost will be slightly lower compared to Q1 because they are imported coal cost almost remain the same, flat. So, we can see a slight reduction in the coal cost for Q2.

Chirag Singhal: Can you quantify like how much would that be?

Abhishek Agrawal: Monthly, we consume about 90,000 to 1 lakhs on monthly basis in units. So, 50% is in imported coal which will remain flat and the other 50% is domestic, there will be a reduction in that cost.

Moderator: Thank you. Our next question is from the line of Chintan Patel from Abans Investment Managers. Please go ahead.

Chintan Patel: Sir, currently we have a captive power plant around 236 MW which can save up to Rs. 200 crores power cost and we are adding another 70 MW on a solar side and 10-11 MW on waste gas side. So, put all together or what would be cost save on a power side?

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Abhishek Agrawal: Currently, so there is a slight different understanding. Our current solar capacity stands at about 145 MW, which is already operational and.

Dinesh Gandhi: Now it is 165.

Abhishek Agrawal: And another 70 will be in pipeline. So, that will make it 235-240 and on the CAPEX side, we have about 28 MW of biomass, then we have 42 MW of gas base, and the remaining is coal base. So, if you want to know the average power cost till date, today average power cost today everything is about Rs. 3.5 and once the addition of the projects had taken up of 10 MW and for the solar it will further come down going forward.

Chintan Patel: So, how much it will come down?

Abhishek Agrawal: We expect to be about something about Rs. 3.1 going forward once everything is up and about.

Moderator: Thank you. Our next question is from the line of Rakesh Roy from Boring AMC's Omkara

Capital. Please go ahead.

Rakesh Roy: Sir, my first question is regarding the realization side, sir, our pellet realization increase year-on-year and quarter-on-quarter basis to 3% to 4% so this is due to high grade pellet in this quarter or just any other reason?

Abhishek Agrawal: No, see our volume of the types of high grade pellets and the normal pellets remain the same throughout the year. But in Q1, especially since there was an increase in steel prices plus as I mentioned due to a shortage of iron ore in the domestic market, especially in this Chhattisgarh region, the prices were on the upside compared to last quarter and Q2 also it remains on similar levels.

Rakesh Roy: And sir, my last question, sir yesterday NMDC has reduced iron ore prices. This will impact on our future realizations in Q2 or Q3?

Abhishek Agrawal: It is very difficult to comment because we have an order book of say anything within 30 to 45 days plus I get pellets, I sell at tax premium, so I don't think we see pricing really sets on our pellet pricing. Because we have few customers who really demand our pellet because of the quality we made. So, I think we should be able to achieve the current addition in Q1.

Moderator: Thank you. Our next question is from the line of Pradeep Rawat from Yogya Capital. Please go ahead.

Pradeep Rawat: So, we have two mines and one of the mines, Boria Tibu mine is currently non-operational. So, when could we expect commercial production from this facility?

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Abhishek Agrawal: See, as we mentioned last time as well we are working on joining the beneficiation plant inside the mines and start the mine eventually because today mining a

nd bringing the quality of work

we are getting, it is not commercially viable. So, we are working on the beneficial plant. We have started working on the desired approval. So, fully I think my once the new steel plant which gets commissioned in say FY28 or FY29, whatever, we are trying to coincide that production of that line with that. So, you can send it three years from now on, the mine should be operational with beneficiation.

Pradeep Rawat: So, we would be sending raw material from this mine to our steel plant?

Abhishek Agrawal: No, exactly, we will be benefiting, we will be making a grade which is technically usable and then we will be transferring to our new steel plant. That is the whole plant. That is the whole idea.

Pradeep Rawat: And I have one basic question. So, is there any extra amount of royalty that the miners have to pay if they sell the ore in open market without any value addition?

Abhishek Agrawal: See, for miners like companies like us which are mines which were allotted in as per their mining act. So, the MMDR Act policy says captive mine can sell 50% of their iron ore in the market, but then they have to pay an additional royalty of 150%. Basically, it means royalty and royalty which comes to about an additional 150%. So, before today's multi structure, I will have to pay Rs. 1,000 more as a royalty to the government if I want to sell my iron ore in the market.

Pradeep Rawat: And I have another basic question. So, I wanted to understand why like Tata Steel and JSW Steels are bidding 100% plus premium for captive mines, so don't they get such kind of rates by procuring iron ore from open market? So, why are they bidding 100% plus premium?

Abhishek Agrawal: To be very honest, it is very difficult to really comment, about my peer, what strategy they have in mind, what is the thought process. It won't be right for me to pass any commitment on that because their operation, their strategy. So, it is better if you can probably get in touch with them only, I would not comment on that.

Moderator: Thank you. Our next question is from the line of Vaibhav Dubey from BigMint. Please go ahead.

Vaibhav Dubey: Sir, I think Godawari produces 2 grades, currently Fe 63 grade pellet and Fe 66 grade pellet . So, may I know the ratio of the production of high grade and low grade and is it viable for exports? Are we considering any chance for the exports?

Abhishek Agrawal: So, the ratio is one third, two third, so produce about 33% 63 pellet and remaining is high grade pellets of 66. And in terms of export, no, we are not showing any export opportunity. As

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I have been mentioning again, domestic market is quite strong and we are happy to sell everything domestic because the price is much better compared to export right now.

Vaibhav Dubey: Sir, one more question, another as we have witnessed that capacity expansion of pellet plant is under doing, but we are also witnessing the refurbished production guidance has been lower from 2.6 to 2.4, sir any reason behind this lowering the production guidance?

Abhishek Agrawal: Yes. So, there is an annual shutdown plant for one or two plants which will take about 50 years of operation that happens every 4-5 years in cycle. So, that is why we have lowered the guidance in this financial year from 2.6 to 2.45.

Vaibhav Dubey: And when can we expect this shutdown?

Abhishek Agrawal: The shutdown is already undergoing, so it is planned for Q2. Shutdown is already going and the plant will be in operation in next couple of weeks. But the full year guidance remains the same, which is 2.45, yes, we will achieve that.

Moderator: Thank you. Our next question is from the line of Aman from Augmenta Asset Managers LLP. Please go ahead.

Aman: Sorry for repeating that question. So, can you highlight your strategy on the structural steel, like how big it can be and are we real

ly testing the waters or what is the outlook on the same going forward like what can be the potential of the same? And given that we are coming up with the integrated steel plant, so just wanted a detailed thing on the strategy for the structural steel?

Abhishek Agrawal: To be honest, with the kind of capacity which are coming up, especially by the bigger players, which is about Rs. 50-Rs. 40 million by 2030-2035. So, it is kind of scary to probably enter that market, but until we don't have our iron ore mine has 0 premium. So, the only rationale behind going into the investment is to hedge our iron ore belts. We don't want to be exposed to iron ore pellets because a lot of capacities of pellets are also coming from India. For example, Lloyds itself has declared about 12 million tons in next 5 years, so to hedge iron ore belt, we want to make value added and of course there is competition everything going forward as well.

Dinesh Gandhi: Question is on the structural steel?

Aman: I just wanted to know the strategy about the structural steel, the ruling in which we have modified?

Abhishek Agrawal: My apology, I didn't understand the question correctly. So, on the structural steel side, we were already do galvanizing. So, currently we were buying the raw material from the market, delivering it and supplying to railways, tons and towers and all those projects. So, now with the backward integration, by modifying the rolling bill, our EBITDA margins will go up, our Godawari Power & Ispat Limited
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volumes will go up because our dependency on the raw material side will actually go down plus the rolling with design first, we will be able to produce the desired billets in Godawari itself. So, it is a complete backward to forward integration where right from billets two finished team will be done in the same roof and actually the volume will go up and in that your margins as simple as that.

Aman: Just to add on that, prior to this modification of Rolling Mills, we were acquiring the billets from outside, right the desired billets?

Abhishek Agrawal: Yes, the desired billets, some were being produced from Godawari, but not the entire requirement. Rest of this we get from the market.

Aman: Also Abhishek, can you throw some light on the Ferro Alloy market currently given that the prices are down, the manganese ore prices have increased and there was some disturbance on the Australian mining front, but this might have restored, I feel. So, what is your outlook on the Ferro Alloy market as a whole going forward given that the prices have consolidated around the same level, so how are we looking at the Ferro Alloy thing currently?

Abhishek Agrawal: As you mentioned, the mining effect in Australia which happened, three months back Saudi Arabia mine then that still continues and the latest update is the mines will be out of production for the next another six months, so they are looking at the production supplier from end of Q2 or earlier of Q4 of financial year, so that impact is still ongoing. So, the prices are high grade manganese ore which is said to 44 million is on a very higher side. The current index is about \$9, which was 4.5 three months back, so that impact is still there. See, on the finishing side, definitely the domestic market is quite weak because the demand is quite weak. So, there is pressure on the Ferro alloys, but for us, since we are always exposed to some kind of imports of manganese ore, we are in healthy position because of the lower prices which we have at inventory level right now. So, as far as Company, we are in a decent position not as bad as the market, but as a whole industry, the market is quite weak. MOIL has also increased the price of 40% as last option, hopefully should reduce going forward, but market is quite challenging at the moment.

Aman: So, even basically because the Ferro Alloy market is basically largely an expo

rt market. So, we are trying to say despite the domestic market is weak, the export market is also have consolidated. The prices have consolidated above Rs. 1 lakh term level, right?

Abhishek Agrawal: No, the prices are much below than that, so because we are in, we make silico manganese,

which is quite a commercial grade. So, the prices are, even the export market is below that which so currently it is not viable to explain export but as the demand is also quite weak.

Moderator: Thank you. Our next question is from the line of Manav from Yes Securities Limited. Please go ahead.

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Manav: Sir, currently the premium on the high grade pellets is between Rs. 1,000 to Rs. 1,500 a ton. I wanted to know if this number can go up as well if you see strong demand for the high grade pellets from the market?

Abhishek Agrawal: Definitely, I would say we have already achieved a band of say between Rs. 1,300 to Rs. 1,500 slowly and slowly and I think the most important part in the pellet is the low cost which is very important element for making steel into secondary route. So, that is getting a lot of attraction in the domestic market. So, people who are looking to make quality steel, they are eventually getting convinced as we have to pay certain premiums if we are going to buy this product. So, slowly and steadily we are there, but the value of product is going up day by day.

Manav: Sir, just to follow up on that only once the beneficiation plant comes in that would roughly be an additional cost of, can I assume Rs. 250 to Rs. 300 per ton for beneficiation of the ore?

Abhishek Agrawal: So, that is in plant which is putting up is processing capacity of pellet. So, overall, at a volume of say 4.7 million pellet going forward, the cost of beneficiation remains the same for the pellet that would increase.

Manav: Sir, one question I had on the HRC plant, so the HRC plant will be targeting the automotive industry if I am correct, right?

Abhishek Agrawal: See, it is a binary application, automobile being one of them. So, then there are pipe manufacturers. So, it is a verified application. So, with the kind of quality we are targeting to produce, we won't be confined to a single market. You want to keep it like for every basket.

Manav: And sir, just post the pellet plant expansion which is coming in Q1 of FY26 and up till the HRC plant comes online. I just wanted to know what sort of market will GPIL be catering its iron ore pellets? Will it be within the state of Chhattisgarh and what sort of capacity and consumers are coming up over the next year and a half where this market will be opened?

Abhishek Agrawal: See Chhattisgarh itself, there will be additional requirement of close to say about Rs. 6 million of iron ore pellet because of additional GRI capacity coming up in Chhattisgarh because we will be producing high grade pellets going forward as well in the new plant. So, we will be able to pin a different market, who are looking for quality sheets. Exports will always be open. Of course, there is an opportunity, we will definitely start exporting again because our pellets are very well accepted in the outside market as well. So, the options are open right now. It is difficult to envisage, one year from now on, but the options are all open.

Moderator: Thank you. Our next question is from the line of Aditya Welekar from Axis Securities. Please go ahead.

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Aditya Welekar: So, just one color on the recent Supreme Court ruling that the states can levy tax on mineral rights. So, from that perspective, what are your thought processes, can we expect some demands from the state government going forward or how?

Abhishek Agrawal: We should be, to be honest, something we never would like to, but we really can't comment because it is a state matter. It is up to the s

tate government, Jharkhand just passed in the assembly to impose Rs. 100 tax on the mine industry. So, we really can't comment. Hopefully, nothing imposes but if there is an imposition, we have to comply.

Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to the management for closing comments.

Dinesh Gandhi: Thank you all participants for joining to the conference call of Godawari Power Ispat Limited. We believe that we have adequately addressed all your queries. Should you have any further questions or need additional information, please feel free to reach out to our Investor Relations Advisors. Once again, we sincerely thank you for your active participation and unwavering support. Thank you. Thank you all. With this, we close this call.

Moderator: Thank you. On behalf of Emkay Global Financial Service that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

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REF: GPILINSE&BSE/2024/5663

To,

BSE Limited

' Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai-400001.

Scrip Code: BSE: 532734 Date: 04. 11.2024

To'

National Stock Exchange of India Limited

Exchange Plaza, C/1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai-400051.

Scrip Code: GPIL

Dear Sirs,

Sub: Submission of Transcript of Conference Call held on 28th October, 2024 regarding

Q2 & FY25 Results.

This has reference to conference call held on 28th October, 2024 to discuss the results and performance of Q2 & FY25 for Analysts Institutional Investors Institutional Investors etc.

Please find attached herewith the Transcript of conference Call held on 28th October, 2024.

The aforesaid information is also being hosted on the website of the company viz.,

www.godawaripowerispat.com.

Thanking you,

Yours faithfully,

For Godawari Power And Ispat Limited

Y.C. Rao

Company Secretary

Encl : As Above

Godawari Power & Ispat Limited

An Iso 9001 :2015, Iso14001 :2015 & Iso 45001 :2018 certified company

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"Godawari Power and Ispat Limited
Q2 FY '25 Results Conference Call"
October 28, 2024

MANAGEMENT : MR. ABHISHEK AGRAWAL – EXECUTIVE DIRECTOR –
GODAWARI POWER AND ISPAT LIMITED
MR. SANJAY BOTHRA – CHIEF FINANCIAL OFFICER –
GODAWARI POWER AND ISPAT LIMITED
MR. DINESH GANDHI – EXECUTIVE DIRECTOR –
GODAWARI POWER AND ISPAT LIMITED

MODERATOR : MS. AKHILESH KUMAR – EMKAY GLOBAL FINANCIAL
SERVICES

Godawari Power and Ispat Limited
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Moderator: Ladies and gentlemen, good day, and welcome to Q2 FY '25 Results Conference Call of Godawari Power & Ispat Limited, hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Akhilesh Kumar, Emkay Global Financial Services. Thank you, and over to you.

Akhilesh Kumar: Thank you. Good afternoon, everyone. Thank you for joining in the Q2 FY '25 Earnings Call of Godawari Power & Ispat. We have with us today Mr. Abhishek Agrawal, Mr. Dinesh Gandhi and Mr. Sanjay Bothra, I now hand over the call to the management for opening remarks. Over to you, Mr. Gandhi.

Dinesh Gandhi: Thank you, Akhilesh. Good morning, everyone. Thank you for attending the conference call of Godawari Power & Ispat Limited to discuss Q2 and H1 FY '25 Earnings Results of the company. Our Financial Results, Press Release and earnings presentation is available on the website of stock exchanges and the company. I believe you have had a chance to review the same. I will take you through the results post which we can have a question-and-answer session.

At the outset, I'm extremely sorry for the delay at the start of the call. GPIL has demonstrated consistent performance in H1 FY '25, even during challenging times of lower realization of sponge iron steel prices although the quarterly performance was impacted by annual maintenance shutdown of pellets plants and fall in realization of sponge iron and billet steel products.

In this backdrop, company has achieved consolidated revenue, EBITDA and adjusted PAT, excluding exceptional item for the quarter and on Y-o-Y basis to INR1,268 crores. EBITDA of INR247 crores and PAT of INR158 crores. The impact of revenue, EBITDA and PAT was to the extent of INR65 crores on account of loss of pellet production due to shut down, the loss of production was to the extent of 150,000 tons to INR50 crores on account of lower realization of finished product in the sponge iron. INR25 crores on account of additional cost incurred on maintenance of the pellet plant during shutdown period.

On half yearly basis, the consolidated revenue from operations remained flat at INR2,600 crores approx compared to H1 FY '24. Revenue from a higher volume of value-added product was offset with lower realization in the value-added products like sponge iron, etcetera. And lower volume from the pellet plant. Consolidated EBITDA and PAT, excluding exceptional item dropped by 2% and 5%, respectively to INR654 crores and INR445 crores due to decrease in realization of the finished product.

Despite the challenges, EBITDA margin and PAT margin stood strong at 25% and 17%, respectively. Company has a healthy balance sheet with net cash of INR998 crores and strong

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cash flow from operations of INR564 crores during H1. The operational number for Q2 and H1 are already circulated in the investor presentation.

The brief highlights are the loss of pellet volume by about 150,000 tons due to shutdown of 0.9 million tons pellet plant, operating volume of value-added products like DRI finished steel Ferro Alloys increased substantially. Production of iron ore decreased on account of heavy rains during the quarter.

On half yearly basis, iron ore mining and pellet production remained flat. However, production of sponge iron, the steel billet, HB wires, Ferro Alloys, and captive power generation increased considerably. The sales volume for sponge iron, steel billet, HB wires, etcete

ra. Increased

56%, 20% and 39% respectively. Pellets realization increased by 5% to 10,569. Realization of other products dropped.

Update on our capex plan. As you are aware, we have an ambitious capex plan by nearly doubling our iron ore mining and pellet capacities by setting up an integrated steel plant with 4x capacities of the present capacity. In this backdrop -- in this regard, I would like to update that the approval for increase in iron ore mining and beneficiation capacity from 2.35 million tons to 6 million tons delayed for the business beyond the control of the company. We now expect the approval for increase in iron ore mining capacity by Q4 FY '25.

Once our environmental approval is received, the Crushing & Beneficiation plant is expected to be commissioned within a period of 6 months as we have already done some part of the work on these mines. In view of delaying approval of the mining and beneficiation capacity, the company has revised the guidance for iron ore production from 3 million tons to 2.35 million tons for FY '25.

The project for increase in pellet capacity from 2.7 million tons to 4.7 million tons is running as per schedule and the same is expected to be commissioned by June, July 2005. In this regard, I would like to further inform you all that the orders for all equipment have already been placed. Construction activities to the extent of more than 50% has already been

completed, and the shipment of equipments are going to start within a month from various vendors.

As regards greenfield integrated steel plant of 2 million tons, public hearing has been completed earlier. During the quarter, the presentation to the MOEF has been completed, and the approval is expected to be received by December 2024. The construction activity of the project shall start only after regulatory approvals are in place for mining and for integrated steel plant.

Coming on update on the solar project, a total of 165 megawatts solar power plant has been commissioned till date and now operational and are contributing to the cost savings. GPIL has planned an additional 70-megawatt solar power plant for which land acquisition is in process. This project is to meet the requirement for upcoming 2 million tons pellet plant, for which 70 megawatts solar power plant is proposed to be set up.

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GPIL is focused on reducing carbon emission and has established a clear objective achieving Net Zero by 2050. Apart from setting solar power plants, the company initiated various energy efficient and decarbonization projects. The capital expenditure for the initiative first stage is INR75 crores, which will generate an additional 11 megawatt of power without any extra fuel. The payback period for the same is about 3 years.

Walking the talk on the same, GPIL is developing a waste heat recovery based power plant harnessing heat from the company's existing Ferro Alloys furnaces and pellet plant cooler exhaust to generate additional power of 7 megawatt of clean energy, which will reduce carbon emission by 50,000 tons annually. This has been done in collaboration with Siemens at a cost of INR73 crores to be funded from company's internal accruals.

This project is expected to be completed within a period of 18 months. The detail is further simplified the group structure. Consequent upon and buyback of shares conducted by Alok Ferro Alloys, Alok has become 100% subsidiary and the stake in HFAL has increased to 96%. The Chhattisgarh Captive Coal mining has also completed partial buyback of shares, and therefore, the stake in the company is reduced.

Coming on the market outlook on international front, global iron ore prices dropped below \$90 from highs of \$144 in January '24 on concerns of China slowdown. The recent excitement around China's stimulus pushed prices back to \$115, but it was short lived. Prices are now

back to below \$100. The development of a large mine in Guinea will add to the supply from 2027 and might push prices down. However, in the interim, housing demand in China can expect it to recover and has potential to push the iron ore prices back to \$110, \$115.

On domestic fund, iron ore prices, NMDC has largely followed global trade, however auction prices of mines and the gradual reduction in supply from merchants has put the floor on domestic iron ore prices. India remains one of the brightest spot globally for steel demand. While the Steel Association has forecasted that steel demand to grow by 8% in FY '24 and 5% in calendar '25 to 143 million and 153 million tons, respectively.

To conclude, I would like to mention that as the transition into second half of FY '25, we are optimistic about getting our iron ore mining and pellet production and sales back on the track, our solid cash flow position, coupled with the strategic capex plan and significantly expanding our capacities in iron ore mining, pellet integrated steel sets a strong foundation for growth. Enhanced operational efficiencies and cost savings from our solar power plants will further enhance the profitability of the company. Additionally, the advantage of our captive iron ore mine and production of high-grade pellet along with unwavering support from a stakeholder position us for an exceptional performance in the years to come.

With this, I would now like to open the floor for question and answers.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Sahil Rohit Sanghvi from Monarch Network Capital. Please go ahead.

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Sahil Rohit Sanghvi: Thank you for the opportunity and best wishes for Diwali season. Also good to see Godawari maintaining its numbers despite the challenging situation. Firstly, I wanted to understand, sir, there were fall in pellet prices also during Q2. I believe that we have a 1, 2 months contract. So just wanted to understand how the prices have not corrected much and what will be the trajectory of pellet prices? Do we have -- will the corrected prices come with a lag in 3Q?

Management: For Q3, the fair price have resumed on a positive territory and their numbers are currently at about INR10,000...

Sahil Rohit Sanghvi: Yes. That's correct. I understand. But so are we looking at a lower number directionally for Q3? Or I just wanted to understand how the contracts are working out?

Abhishek Agrawal: No, for Q3, the number will be really on the higher side.

Sahil Rohit Sanghvi: Okay. That's very good to understand. Were there any kind of iron ore purchases done in Q2? Or were we largely able to manage from our own mines?

Management: No. So usually, we are buying about 25% of our iron ore from the market, and that will continue till our mining expansion happens. So we'll continue to buy the 10% of the iron ore from the market. And until we get that new EC for the mines and that is about continuing for another six months.

Sahil Rohit Sanghvi: Got it. And thirdly, I just wanted to understand with this new 7-megawatt waste heat recovery power plant. I mean, would that be excess power for us whenever it gets commissioned? Or would that be still a required thing for the self-sufficiency when it comes to power?

Abhishek Agrawal: No. As the generation increases, we will reduce our coal, fossil fuel burn, and we'll reduce the carbon emission. That's the whole idea.

Sahil Rohit Sanghvi: Okay. And this will be -- I mean, this will be more of -- it will be all self-consumed, right? I mean there'll be no required -- I mean, there will be no external sales?

Abhishek Agrawal: No. We still don't buy anything from the grid, and we don't import grid power and this will further strengthen our generation in terms of carbon emission.

Sahil Rohit Sanghvi: And just one last q

uestion. If you can comment on the overall demand. I mean, we've seen prices rebound post monsoon also, but the economic activity was also a little subdued in Q2.

So how are you seeing demand on ground in Q3?

Abhishek Agrawal: Usually, Q2 is always a lean season for steel. Q3, post Diwali, we hope the demand to come back. And the prices to probably, I would say, the margin will come back and the prices should further go up. That's the whole idea.

Sahil Rohit Sanghvi: Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Manav Gogia from YES Securities India Limited. Please go ahead.

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Manav Gogia: Good afternoon. Thank you for the opportunity. So one question on the cost front. Could you let me know what was the blended landed coal cost for the quarter?

Abhishek Agrawal: See, we only import RB1 coal for our DRI and the blended cost for the coal was about INR12,000.

Manav Gogia: And last quarter, it was about INR11,500, right, if I'm not wrong?

Abhishek Agrawal: Yes, exactly.

Manav Gogia: Okay. And are we sourcing any raw coals domestically for our power plant requirements? Could you be able to give me a split between the coal source domestically versus the imports?

Abhishek Agrawal: We do source -- we have linkages from Coal India for the power plant and as well as gasifier. So Q2 was about INR4,000 and Q3, we maintained the same because domestic coal hasn't risen much due to good supply from Coal India and the linkages we have is for 5 years. So the price for the incoming coal for the power plant and for gasified is almost the same, this INR4,000.

Manav Gogia: Okay. Sure. So just following up on the question asked by the previous participant. Are you saying that pellet prices for Q3 are expected to be a little up as compared to Q2? Could you like be able to qualify the same?

Abhishek Agrawal: Q2, the average price is about INR10,000 and the prices which come down at the end of Q2, but then due to sudden rise in the iron ore fines price in the OMC auction, so Q3 should be at the same level as compared to Q2, it's about INR10,000 average.

Manav Gogia: Okay. Sure. Sir, just if I could squeeze one more question in terms of the EP getting delayed for the iron ore mining expansion, I wanted to know since now the ECs are expected to be received in the last quarter, by when are mines expected to be operational? I think in your opening remarks, it was 6 months from Q4. Is that right?

Management: Yes.

Dinesh Gandhi: No, 6 months is for Beneficiation plant commissioning.

Manav Gogia: Okay. So mines will be starting from Q4 itself by the end of Q4? Is that a realistic target?

Dinesh Gandhi: You can assume from Q1 FY '26.

Manav Gogia: Okay. So right when the pellet plant comes into the picture.

Dinesh Gandhi: Yes.

Manav Gogia: And how much of a benefit do we see on the landed cost per ton? Or should we expect it to

remain in the same trajectory of INR2,800 to INR2,900 a ton?

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Abhishek Agrawal: See, mining cost would be more like the same, probably in INR100, INR200 here and there. But actually, if you compare to the current market, we are buying about 20% from the market, which is about INR3,500. If you split that with iron ore mining, which is a substantial looking's.

Manav Gogia: Thank you so much for the answer, sir. All the very best.

Moderator: Thank you. The next question is from the line of Aditya Welekar from Axis Securities. Please go ahead.

Aditya Welekar: Yes, good afternoon. Thanks for the opportunity, sir. Just a clarification from Manav's question previously. So what I understand is that this pellet plant crushing and beneficiation and iron ore mining all will start in tandem from Q1 FY '26, right?

Management: Yes.

Aditya Welekar: Okay. And is there any ramp-up time for that mea

ns how much incremental volumes can we expect from FY '26?

Abhishek Agrawal: See, once we get the approval, we'll start ramping on the mining production and hopefully by, I think, end of Q1 or Q2, we should be able to mine the desire thing and done. That's the whole idea.

Aditya Welekar: Okay. Full 6 million.

Abhishek Agrawal: Yes.

Aditya Welekar: Okay. Sir, next question is on iron ore. I mean on one of the Slides, there is one of the mines in Africa is coming online in Guinea. And because of that iron ore prices may fall in future. So what will be its impact on our pellet prices or our pellet prices will remain largely stable, given the domestic situation. I want to understand what are the factors which decides pellet price volatility?

Abhishek Agrawal: To be honest, with the current increase in production in India for steel, the iron ore prices have been strong. And irrespective of how the international prices play, the pellet price should be in the same levels. So we don't expect any change in the domestic pricing when it comes to iron ore.

Aditya Welekar: Okay, thanks, that's all from my side.

Abhishek Agrawal: Thank you.

Moderator: Thank you. The next question is from the line of Akhilesh Kumar from Emkay Global Financial Services.

Akhilesh Kumar: Good afternoon everyone. Thanks for the opportunity. I have a couple of questions. So first, coming on the capex intensity. So sir, for solar plant generally, it takes 50 million to 55 million

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per megawatt to set up 1 megawatt of solar capacity. However, GPIL is targeting to achieve 70 megawatts of solar capacity with an investment of around 35 million to 36 million per megawatt. So could you please walk me through the difference why is it lower for GPIL?

Abhishek Agrawal: See the module prices have drastically reduced compared to previous years. Earlier, the module prices were about INR2 crores, INR2.5 crores per megawatt. But today, the prices are about INR1.5 crores per megawatt. So this is that we have already finalized the EPC connector. So for our 70 megawatt, we are confident about INR200 crores, INR225 crores should be enough -- for setting up 70 megawatts.

Akhilesh Kumar: Okay, thank you for that sir. And second question is on the guidance. So you have trimmed iron ore guidance for FY '25. So is there a possibility that there could be a scale back in the targeted capacity to reach 6 MTPA in FY '26?

Abhishek Agrawal: No. Hopefully, we should be able to get the approval. And once we get the approval, there should not be any issue in reaching the real capacity.

Akhilesh Kumar: Okay. And if I can pitch in one more question. So you have about INR1,000 crores capex -- of balance capex to be incurred apart from steel. So could you please guide us how much of it will be done in the FY '25 and in FY '26?

Abhishek Agrawal: See all of it will be done in FY '25 and '26 because the construction is set for the new pellet plant. And once we receive the mining approval, we will start the construction of the beneficiation plant. So all of it will be consumed and to be incurred in '25 and '26.

Akhilesh Kumar: So can we assume like 50-50 split between the 2 years?

Abhishek Agrawal: See, major is the pellet plant. Pellet plant will be -- is already consuming and once we get the mining approval, so remaining will be done in FY '26.

Akhilesh Kumar: Okay, make sense. Thank you so much.

Abhishek Agrawal: Thank you.

Moderator: Thank you. The next question is from the line of Jatin Damania from Swan Investments. Please go ahead.

Jatin Damania: Good afternoon, sir. Thank you for the opportunity. Sir, I just want to understand because last time when we indicated that there was a decline in the pellet prices compared to the first quarter. But now when we look at our realization, we have seen a sequential improvement. So can you help us and understand the total grade of

the product -- grade mix in the pellet that we have sold during the quarter?

Abhishek Agrawal: See, we have been maintaining -- so it's 50% of high-grade, which is 56% and 50% of normal commercial grade 63 and that will continue to happen.

Jatin Damania: So that will continue to remain at 50-50 only, right?

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Management: Yes. Until a new pellet plant is commissioned.

Jatin Damania: Yes. And that the new pellet plant has probably come in the first quarter of FY '26, if I'm not wrong?

Management: Correct. Very correct.

Dinesh Gandhi: Production will come in Q2.

Jatin Damania: Production will come in Q2, right?

Dinesh Gandhi: Q2, yes.

Management: Yes.

Jatin Damania: In the opening remarks that you indicated that there's a delay in getting an approval from the mining and the State Government for the expansion in the mining activities. So suppose if we don't get an approval in month since until December of Q4 FY '25, so is it safe to assume that the -- currently, what we are buying 20%, 25% iron ore from the market, that proportion will go to almost 30%, 35% since our pellet will come into operation?

Abhishek Agrawal: See, if you don't make approval that will surely happen. But we are confident that we will get the approval before we start the pellet plant.

Jatin Damania: And I mean is there anything which is an issue why we are -- why there's a delay in terms of getting an approval or sort of things?

Abhishek Agrawal: It's not an issue, but the facility is such, so it will really take times, but with the state government taking little more time, and we are confident we should get the approval before the new pellet plant starts.

Jatin Damania: Okay. And in terms of our beneficiation now since you've already started the activity on the ground, so what is the capex that you have already spent for the beneficiation?

Dinesh Gandhi: Those are given in the presentation, Jatin. The numbers are there.

Jatin Damania: Okay. And in terms of the numbers, definitely, we have seen the downward revision in the overall iron ore mining guidance. So now for the month of October, is our pellet plant fully operational?

Abhishek Agrawal: Yes, pellet plant is fully operational. There was a shutdown -- iron ore shutdown for the smaller one. But since September, both the pellet plants are fully operational and we are confident we'll achieve the guidance given by us at the start of the year.

Jatin Damania: Thank you Abhishek. Best wishes for the festive season.

Abhishek Agrawal: Thank you.

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Moderator: Thank you. The next question is from the line Rakesh Roy from Boring AMC Omkara Capital. Please go ahead.

Rakesh Roy: My first question is regarding some margin part. The margin has declined definitely from compared to last year in quarter from 28% to 20%. Any reason except from the rain or pellet?

Abhishek Agrawal: No, the major reason was the pellet plant, it was on a shutdown -- annual shutdown for almost 50 days because of which we lost the major volume. Apart from that, no other reason.

Rakesh Roy: Okay. So sir, this plant shutdown 50 days. So every year this was there -- this year is it

exceptional?

Abhishek Agrawal: No. Last time we did the annual shutdown was almost 10 years back. So that is how the plant works. So going forward, it doesn't happen every year.

Rakesh Roy: Okay. So this is impact on this one, margin front now. So we hopefully from Q3 margins will be normalized?

Abhishek Agrawal: From Q3 onwards, the production guidance will be normalized. And depending on the market, the margins will be remained intact.

Rakesh Roy: Okay. My next question, sir, if you look at your sponge iron realization, there's recently 1 company declared results. Their sponge realization is higher or is lower. Any reason behind that, sir?

Abhishek Agrawal: No.

Actually, in Q2, what has happened is we have produced sponge iron as per the capacity and there was surplus that we sold in the market. But going forward, we will only sell sponge iron based on our internal requirement. We only sell surplus -- command to our steel production.

Rakesh Roy: Okay. So in Q3 sponge iron ore realization will increase compared to Q2, if I remember?

Abhishek Agrawal: In Q3, the sponge iron sales will be less compared to Q2.

Rakesh Roy: Okay. Right, okay. Sir, and last question, sir, your coal cost, you are saying 12,000 per ton.

Abhishek Agrawal: Yes, for DRI. Yes. Correct.

Rakesh Roy: So sir, generally for DRI, we import the coal?

Abhishek Agrawal: We import coal for DRI.

Rakesh Roy: Okay, thank you, sir.

Abhishek Agrawal: Thank you.

Moderator: Thank you. The next question is from the line of Vikash Singh from PhillipCapital. Please go ahead.

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Vikash Singh: Good afternoon, sir, and thank you for the opportunity. Sir, I just wanted to understand one thing since the iron ore prices have again started to inch up. Have we given any thought about the restarting of the Boria Tibu Mine, because that low grade was previously not feasible at a low price?

Abhishek Agrawal: See, for Boria Tibu, we have started filing the papers for beneficiation. So Boria Tibu Mine will only start once we saw the beneficiation plant, because the grid is on the lower side, and it's only feasible in the long term once we start benefiting and then bring the high grade in the market -- to the plant. So Boria Tibu will come online only up to, say, 2 to 3 years, not before that.

Vikash Singh: Sir, just a follow-up, what is the average rate, what you think the Boria Tibu will give you right now? And post beneficiation, what is the grade you are looking at?

Abhishek Agrawal: See the average is about 50, 52 and post beneficiation in about 63, 65. So we have started working on the filing the EC for Boria Tibu and once we get the EC, desired approvals, we'll install the plant and we'll only shut the mines when the plant -- the beneficiation plant is started.

Vikash Singh: Understood. Sir, my second question pertains to our private exports market. Usually, we have seen in the past that the closure to October and on November, since China sintering starts gradually depleting, there's a lot of booking happens from India. So have you seen some inquiries and at current prices, is it feasible for us to export? So just wanted your views on that.

Abhishek Agrawal: See, the average we're exporting for almost last 10 months, and we don't think our exports will happen at least for Godawari because the domestic demand is quite strong, and the prices in the domestic are much better than the export prices. Though pellet plants in India, which are port-based in Odisha or say in Vizag, they are exporting some volumes. But apart from that, not much export is happening from India. Domestic demand is quite strong.

Vikash Singh: Understood. But even then that helps us, right, some domestic materials will go out in the export...

Abhishek Agrawal: Of course, of course, because in India, the pellet production is on the higher side competitive demand. So any volume will going India heads to balance the demand and supply.

Vikash Singh: Understood. And sir, just one last question. I'm sorry if this would have been asked previously because my call dropped. I see the average utilization for the pellet has improved even on sequential basis, sir, while the iron ore prices have been lower. So I just wanted to understand whether the larger part of this dip now we will experience in 3Q? Or on a blended basis, our 3Q would still be higher than the 2Q which is there.

Abhishek Agrawal: Yes, did you checked the prices? Yes, it should be better, correct.

Vikash Singh: Sorry, sir, I missed your comment.

Abhishek Agrawal: Q3 should be better than Q2

in terms of pellet realization.

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Vikash Singh: Okay. So somehow, this sharp fall has been managed into 2Q because we were expecting some fall in the 2Q realization as well.

Abhishek Agrawal: See, the volumes were lower. So we were able to maintain the pricing in Q2. But Q3, given the demand and supply, it should be better than -- Q3 should be better than Q2.

Vikash Singh: Sir, if I may ask how the spot prices in Q3 as of now?

Abhishek Agrawal: See, for the normal grade, it's about INR10,000 and for high grade, it's about INR11,500 at the moment.

Vikash Singh: Understood sir. That's all from my side and all the best for future and Happy Diwali to you.

Abhishek Agrawal: Happy Diwali, thank you.

Moderator: Thank you. The next question is from the line of Aman from Augmenta Asset Manager LLP. Please go ahead.

Aman: Hi Abhishek, thank you for the opportunity. I just had a basic question. So correct me if I'm wrong. So for time being for FY '25 as a whole, you'd be buying close to 60,000 tons of iron ore from outside, right, for our internal operations?

Abhishek Agrawal: Yes. We buy about 1,500 tons of iron ore from the market at the moment.

Aman: Okay. And also, can you highlight a bit on the iron ore because, for example, over the last 20 days, NMDC has increased prices by 2x by approximately INR1,000 per ton and then we listened to the management commentary on the same. So the company is expecting a robust iron ore market and is also going to be good. So what's your sense on the domestic iron ore market as a whole if you could highlight?

Abhishek Agrawal: See, domestic iron ore market is quite strong. Recently conducted from ONGC auction, the prices are up almost INR1,000. Basically, increase the prices. So going forward, with the global steel demand with the monsoon over, we expect iron ore prices should be at the elevated levels.

Aman: Okay. Okay. And also, if you could throw some sense on the ferro alloys market, what is happening currently?

Abhishek Agrawal: See, ferro alloys market is quite stagnant. The good thing is the raw material prices have come down in the national market. Whatever increase happened in Q2 because of certain production being out in the national market and the China's big demand. The manganese price has come down. And the current silico manganese prices in the domestic market is more or less stable.

Aman: Okay. That's all. Thank you.

Abhishek Agrawal: Thank you.

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Moderator: Thank you. The next question is from the line of Tushar Chaudhari from Prabhudas Lilladher Private Limited. Please go ahead.

Tushar Chaudhari: Thanks a lot for the opportunity. Sir, I just wanted to understand regarding the current demand situation for Galvanized Fabricated products over the last 2 quarters, the run rate is falling. Is it -- I mean -- but we -- I think we plan to increase the capacity also over year over the period. So can you throw some light? Also, the margin is under pressure because of higher zinc prices? Or how is it going as of now?

Abhishek Agrawal: In Q2, the volumes were lower because zinc bath was under maintenance. There was a major repair happened in the zinc bath. That is where the volume is lower. But in terms of demand, the demand is quite strong. We have also commissioned a new rolling mill. So that will support the profitability. So in Q3 and Q4, we hope the demand remain intact, and you can see the better volumes in Q3 and Q4 going forward.

Tushar Chaudhari: Because 1Q also, that volumes were lower, actually?

Abhishek Agrawal: Q1 is still okay, but Q2, there was a major repair in the zinc bath. But Q3 and Q4 onwards, you can see a major uptick in the volumes.

Tushar Chaudhari: Okay. And margins?

Abhishek Agrawal: Margins will remain intact because this is more of a PSU work with transmission towers, railways, and all that. So demand is quite robust, and we are quite confident once we achieve

the desired volumes, the profitability will remain intact.

Tushar Chaudhari: Okay. Thanks a lot and Happy Diwali.

Abhishek Agrawal: Thank you and Happy Diwali.

Moderator: Thank you. The next question is from the line of Pradeep Rawat from Yogya Capital. Please go ahead.

Pradeep Rawat: Yes. Good afternoon and thank you for the opportunity. So my first question is regarding the buyback of Alok Ferro Alloys. What was the consideration at which we bought back the share from our promoters?

Dinesh Gandhi: See, buyback was done at about INR10 per share.

Pradeep Rawat: Yes. And both of our ferro alloy subsidiary are doing quite badly. So can you throw some light on that? Why are they doing so badly in operations?

Dinesh Gandhi: So you see the numbers for Q2, and they are doing much better than the same quarter last year.

Pradeep Rawat: Yes. So I was much more asking about yearly performance.

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Dinesh Gandhi: No, last year, performance was slightly subdued because there was a modification in one of the plants. There was a shutdown in the power plant in Alok Ferro Alloys. Both these plants are operating fully and volumes have considerably increased during the current financial year and operating metrics have increased. This is expected to sustain over the period of time.

Pradeep Rawat: Yes. So what kind of EBITDA margins are we expecting from ferro alloy division?

Dinesh Gandhi: See, it is about INR8,000 to INR10,000 a ton on an average. Consolidated EBITDA, I think for ferro alloys business is closer to about INR40 crores, INR45 crores.

Pradeep Rawat: Okay. And my last question is regarding the cost per ton for converting mined iron ore into iron ore pellets.

Dinesh Gandhi: It is about INR1,800 per ton.

Pradeep Rawat: Sorry what was the number?

Dinesh Gandhi: INR1,800 per ton.

Pradeep Rawat: So cost of mining iron ore is close INR3,000 per ton and from mining to pellet, it's INR1,800.

Dinesh Gandhi: Yes.

Moderator: Thank you. The next question is from the line of Wayne D'Mello from Badrinath Holding.

Wayne D'Mello: Hi, thanks for taking my question. So I recently saw Abhishek your interview with Nikhil on CNBC. So I don't want to get these numbers confirm. So of the 2 million tons in new pellet capacity in FY '26. Am I right in understanding that in the first year, that is FY '26, we'll be doing like a 50%. So 1 million tons will be added to our current production in FY '26.

Abhishek Agrawal: Correct.

Wayne D'Mello: And then the other 1 million ton -- we can expect like the whole 2 million tons, we can expect in FY '27?

Abhishek Agrawal: Right?

Wayne D'Mello: And our captive consumption of our pellets will remain at 0.9%. So in FY '27, when our sales volumes will go up directly by the whole 2 million tons, right?

Abhishek Agrawal: So again, FY '26, the volume should go up by 1 million and FY '27, over volume of 2 million should go up. Yes.

Wayne D'Mello: Yes. But our captive consumption of the pellets will remain the same throughout?

Abhishek Agrawal: Exactly. So right now, it's also 0.9 million tons. And going forward, as we start increasing production, the sales volume will go up.

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Wayne D'Mello: Okay. Great. And last -- and the iron ore, we don't plan on selling it even once the mining -- because of the additional royalties that we have to pay, even once the mining ramps up, there'll be no situation where we'll be selling our iron ore to the market, right?

Abhishek Agrawal: No. We have no intention selling that on the market. So whatever we mine will be consumed in the trade plant.

Wayne D'Mello: Okay. And the last question is, where do you see the high-grade mix for our pellets between Fe 63 and 66 in FY '27? Will it be

1/3 of low grade and 2/3 of high grade?

Abhishek Agrawal: See, currently 50:50 and once we start the new pellet plant, they'll also be producing high grade. So yes, you are very correct. Once we start the new pellet production, hybrid will be 2/3 and the normal grade will be 1/3.

Wayne D'Mello: Okay, thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Vaibhav Dubey from BigMint Technologies Private Limited. Please go ahead.

Vaibhav Dubey: Good afternoon everyone. I wanted to ask how has been the share of domestic versus exports in last quarter? And what is your outlook for quarter 3?

Abhishek Agrawal: See, we haven't been exporting any pellet from last 10 months. We have been selling everything domestically. And looking at the current domestic demand and the prices, we will continue to serve in domestic, export will be in view. Even for Q3 and with current prices, hopefully, Q4 should also be 0. So we will keep selling everything domestically.

Vaibhav Dubey: Okay. Noted, sir. Sir, my second question is on CCU unit, which you have mentioned in your press release, investor presentation. What are your plans on achieving this net zero emissions if you can share more details?

Abhishek Agrawal: See, we have gained a target of 2050. We are working with IIT Bombay on the CCU, they have developed a pilot scale in the lab and a bigger version will be installed in Godawari. And once everything is successful in terms of operational and in terms of capturing carbon, we'll go to bigger model. It's a very R&D stage. And hopefully, everything works out, we can start investing on a bigger model. That's the whole idea.

Vaibhav Dubey: Okay sir. Thank you so much and Happy Diwali sir.

Abhishek Agrawal: Happy Diwali.

Moderator: Thank you. The next question is from the Sahil Rohit Sanghvi from Monarch Network Capital. Please go ahead.

Sahil Rohit Sanghvi: Sir, I just wanted to understand, so there is this gap between the net cash number that you calculate in what is directly available on face of the balance sheet. I think you account for the

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loans and the net cash number -- so just wanted to understand the loans are to whom and at what interest rate?

Dinesh Gandhi: Sorry, Sahil come again, please?.

Sahil Rohit Sanghvi: Sir, I mean you have a net cash number of roughly INR970 crores, INR990 crores in your presentation. So there is, roughly, I think, INR170 crores, INR180 crores of loans that you're probably accounting as cash and cash equivalent. So just if you can explain -- who are these loans given to and what interest rate? And if you can give some details on that.

Dinesh Gandhi: Bothra ji, you will take this question?

Sanjay Bothra Yes. The interest is largely between 12% to 16% and these loans are repayable on demand. That's why it is taken as cash and cash equivalent.

Abhishek Agrawal: But whom are this given to?

Sanjay Bothra The GMR is 1 party and there are some other corporates also.

Abhishek Agrawal: GMR.

Sanjay Bothra GMR Enterprises.

Moderator: Thank you. The next question is from the line of Manav Gogia from YES Securities India Limited. Please go ahead.

Manav Gogia: Thank you sir again for the opportunity. So in the last call, we had guided that the capex for this particular year would be in the range of about INR800 crores and next year should be about INR1,000 crores. Are the numbers still intact?

Abhishek Agrawal: Yes, it is intact.

Manav Gogia: And could you give me the total capex spend up till the first half of this financial year?

Dinesh Gandhi: The numbers are there in the presentation.

Manav Gogia: Okay. Okay. I might have missed it. Sir, second question coming up on the other expenses, which have jumped roughly 14% on the quarter-on-quarter basis. Could you just underline the factors that contributed to the sales.

Dinesh Gandhi: No. As I sai

d in my opening remarks, INR25 crores is a onetime cost, especially for the shutdown of the pellet plant and the cost incurred for debt. So that INR25 crores is additional costs incurred in this quarter. It will not be repeated.

Manav Gogia: Sure, sure, sure. Thank you so much for the clarification sir. That's all from my side. Wish you all a very Happy Diwali. Thank you.

Dinesh Gandhi: Happy Diwali.

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Moderator: Thank you. The next question is from the line of Jinesh Shah from HNI Investments. Please go ahead.

Jinesh Shah: Thank you for the opportunity. My question is in last Q1 PPT, you mentioned that the iron ore beneficiation plant will take 15 months from the date of environment clearance or environment approval. In this Q2 presentation, we are mentioning 6 months from the environmental grants.

So what has happened in the last 3 months that the timeline has been changed.

Abhishek Agrawal: We've already got approval for 0.6 million tons. So majority of work has been completed. And once we get the mining approval for 6 million tons, we will spend and create additional volume and start beneficiation -- that's about 15 months and we have come up to 6 months, but major work has already happened. Once we get the mining approval for the 6 million tons, we will expend additional amount on the beneficiation and we start the beneficiation. That's the whole idea.

Jinesh Shah: Okay. And the -- our mining application with environment clearance is continuously getting delayed. I mean while we have initiated this project in terms of iron ore expansion -- mining expansion as well as the pellet production. The idea was the mining capacity will be available well in advance. But now since we are talking in this call that if environment clearance is getting delayed, then we may have to procure the iron ore from outside to maintain our pellet plant capacity, which we are commissioning in Q1 next year. So why the management and our environment team is not putting adequate effort to ensure that the environment clearance should not get delayed further.

Abhishek Agrawal: No, no. So I would say the environment team is putting the required effort. It would be wrong to say they're not doing any effort -- process is taking much more time than we expected. But we are confidently by end of the financial year, we should be able to get the mining permission.

Jinesh Shah: Okay. And you also mentioned that some state government approval is pending other than these environmental clearance for this new iron ore -- for the expansion of iron ore plant. So which are those states government approval is still pending other than the environment clearance for this?

Abhishek Agrawal: No, see, for the current mining expansion as per the law and MMDR Act we are supposed to get approval from state government. So whatever approvals required, it's with the state government, not with the central government so it's taking time. We do understand, but then things are in place and hopefully by the end of financial year, we should get the approval.

Jinesh Shah: So what I understood from the PPT, we have mentioned the revised ToR right? So when we are going to submit the response against the ToR?

Abhishek Agrawal: We have already submitted response against the ToR and now public hearing has to happen and further will so. So things are in process but that is taking little time but we are confident by end of this year, we should get the approval.

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Jinesh Shah: So the public hearing is applicable for our iron ore expansion project?

Abhishek Agrawal: Yes, it is applicable, but it actually happens with state government level, not with the central government level.

Jinesh Shah: And by when this public hearing is going to happen because if the public hearing is still pending, then

I'm really -- I'm not sure how we will be getting all the approval in the next 6 months' time?

Abhishek Agrawal: We are at the last stage of getting the approval and in the permission of route. So once that stage is achieved, public hearing will happen. So fully by November end, we should get the approval and then in December, we are confident that the public hearing will happen.

Moderator: As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Dinesh Gandhi: We, once again sincerely thank you all for your participation and unwavering support. We are confident that we have adequately addressed all your queries. Wishing you all seasons greeting and Happy Diwali to you and all your families. Should you have any further questions or need any additional information, please do let get in touch with our Investor Relations team at Go India Advisors. Thank you very much. Thank you all.

Abhishek Agrawal: Thank you.

Moderator: Thank you, sir. On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Dec 2024

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REF: GPILINSE&BSE/2024/5712

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BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai-400001.

Scrip Code: BSE: 532734 Date: 24.12.2024

TO,

National Stock Exchange of India Limited

Exchange Plaza, C/I , Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai-400051 .

Scrip Code: GPIL

Dear Sirs,

Sub: Submission of Transcript of Conference Call held on 19th December, 2024

exclusively discussing the acquisition of Jammu Pigments Limited, a metals

recycling company ("JPL").

This has reference to conference call held on 19th December, 2024 to exclusively discuss the

Acquisition of Jammu Pigments limited, a metals recycling company ("JPL") for

Analysis Institutional Investors fund House Investors etc.

Please find attached herewith the Transcript of conference Call held on 19th December, 2024.

The aforesaid information is also being hosted on the website of the company viz.,

www.godawaripowerispat.com.

Thanking you,

Yours faithfully,

1 For Godawari Power And Ispat Limited

c/- Y.C. Rao

Company Secretary

Encl : As Above

Godawari power & Ispat Limited

An ISO 9001 :2015, ISO 14001 :2015 & ISO 45001 :2018 certified company

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"Godawari Power and Ispat Limited

Conference Call"

December 19, 2024

MANAGEMENT : MR. B. L. AGRAWAL – CHAIRMAN AND MANAGING
DIRECTOR – GODAWARI POWER AND ISPAT LIMITED

M R. VINAY AGRAWAL – EXECUTIVE DIRECTOR –
GODAWARI POWER AND ISPAT LIMITED

M R. DINESH GANDHI – EXECUTIVE DIRECTOR –
GODAWARI POWER AND ISPAT LIMITED

M R. RAMESH AGARWAL – MANAGING DIRECTOR –
JAMMU PIGMENTS LIMITED

MODERATOR : MR. AMIT LAHOTI – EMKAY GLOBAL

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Moderator: Ladies and gentlemen, good day and welcome to Godawari Power Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Amit Lahoti from Emkay Global. Thank you and over to you, sir.

Amit Lahoti: Thanks, Sagar. Good afternoon, everyone, and welcome to Godawari Power Conference Call to discuss the acquisition of Jammu Pigments, which is a metals recycling company. We have with us today Mr. B. L. Agrawal, Chairman and MD of Godawari Power, Vinay Agrawal, Dinesh Gandhi, Executive Director of Godawari Power, and they are joined by Ramesh Agarwal, who is Managing Director of Jammu Pigments. I would also highlight that a presentation was uploaded on the exchanges on 7th of December, which could be used as reference material for this call. I would like to now hand over to the management for opening remarks.

Management: Thank you, Amit. Good afternoon, ladies and gentlemen. Thank you for joining the call to discuss the acquisition of Jammu Pigments Limited.

The presentation on acquisition as well as investor presentation has already been uploaded on the Stock Exchange website, as well as on the website of Godawari Power and Ispat Limited. I believe that you had a chance to review the same. I'll first give you brief details about the acquisition, post which we will have question and answer session.

As you're all aware, JPL is a fully integrated steel company that operates across the entire steel value chain, beginning from R&R mining to from two captive R&R mines to production of R&R pellet and value-added steel products. As a part of diversification into non-ferrous metal, JPL has recently ventured into a business of recycling of non-ferrous metals by signing a definitive agreement to acquire 51% stake in Jammu Pigments Limited at a cost of INR255 crores on post-money valuation of INR500 crores approximately on a fully diluted basis. GPIL has already completed acquisition of 49% stake in JPL and balance is to be acquired on compliance of certain conditions precedent to the transaction. Out of INR255 crores of the acquisition cost, GPIL has infused INR175 crores for acquiring 35% stake in JPL by way of issue of compulsory convertible preferentials of INR297 each. One CCPS is convertible into one equity share of INR10 each at a premium of INR287 per share.

Further, GPIL has acquired 14% stake from JPL promoters for a cost of INR79.52 crores and balance 2% shall be acquired by JPL after compliance of condition precedence. Accordingly, GPIL will have 51% stake in the company and balance will continue to be held by the existing promoters.

Out of INR175 crores of funds infused into JPL, INR75 crores is used for acquiring remaining stake of promoters held in various group companies, associate companies, partnership firms and proprietorship firms. The balance amount is being used for working capital and future Godawari Power and Ispat Limited

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growth plans of the company. The business in proprietorship and partnership firm is transferred to JPL and its subsidiaries on location and synergy basis. JPL will hold 100% stake in all subsidiary companies either directly or indirectly through any of its subsidiary companies.

Coming on the business of JPL, JPL is a partner in non-ferrous metal recycling business refining and transforming waste to wealth. It has plants spread across Kathua in Jammu and Kashmir and Kota in Rajasthan. It is renowned for its impeccable quality standards in the field of processing and recycling and refining

of non-ferrous metals.

JPL is engaged in recycling of non-ferrous metal business with operations covering lead-acid batteries, other secondary lead-based materials and hazardous industrial waste of non-ferrous metals. The company and its subsidiaries are also equipped to process complex mixture of hazardous industrial waste to recover lead, zinc, silver, tin, copper, cadmium, cobalt, antimony, etc. JPL's advanced technical expertise enables it to efficiently extract waste material from waste material, ensuring highly cost-effective operations.

It has demonstrated strong financial performance in the past with last three years CAGR revenue of 28%, EBITDA growth of 38% and PAT growth of 48%. It has a flexible and integrated business model with multiple industrial waste and scrap being sourced across the globe and it has adopted innovative process, hydro, pyro and other metallurgical processes to recover the materials. It has diversified revenue stream as it recycles various metals like lead, copper, zinc, etc.

JPL has also its own fleet of 90 vehicles which is IBA and hazardous waste approved for

transportation of raw material and finished products. JPL also enjoys certain tax benefits under J&K industrial policy of state government as well as central government and also engaged in commodity hedging on AMA to mitigate the price fluctuation risk. The rationale for acquiring JPL is diversification into non-ferrous metal through recycling of metals which is low capex, high asset turn business.

Recycling is a futuristic and emerging business. India being not importer of non-ferrous metals, we believe that green and sustainable metal is future which will give boost to the recycling of non-ferrous metals in coming years. There will be also synergy benefits in the form of recycling of zinc residue waste left over in the process of galvanizing done undertaken by GPIL at its plant in Raipur.

With introduction of BWMR 2022 and this recycling industry is expected to see significant boost with reduction in informal sector recycling. JPL has a capacity of almost about 196,000 tons. As per environmental approval, the actual production capacity of plant depends on the input material and therefore present volumes are lower.

The company is working to optimize and improve the capacity utilization of plant over the period of time. JPL is also in process of expanding the existing recycling capacity and real mark capex of INR200 crores for the same. In conclusion, I want to highlight the fact that

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GPIL strategic acquisition of majority stake in JPL is aligned with its objective reinforcing commitments to portfolio diversification and environmental sustainability.

This steps analysis GPIL asset base reduces risk, offers new market opportunities, reflecting companies focus on responsible growth. We are confident this acquisition will foster sustained growth and generate substantial value for all stakeholders. With this, I conclude my opening remarks and we can now open the floor for question and answer.

Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question comes from Vikas Singh from PhillipCapital. Please go ahead.

Vikas Singh: Hi, sir. I just wanted to understand, we already have a well-defined capex program for next three, four years in the ferrous side. Still, we went into an uncharted territory. So, what was the thought process behind it and how big we would like to make this non-ferrous business in future?

Dinesh Gandhi: See, as I said in my opening remarks, recycling is a future. We are already into the metal business. We are doing ferrous metal. We are also mining. Now non-ferrous metal, you are aware that it is very difficult to get the mine and venture into that kind of production. So if recycling in the future, there is a limited amount of material available on th

at and recycling of

non-ferrous metal is to go a long way. Even a lot of industrial waste is available globally, which can be processed. And therefore, we thought that this is a lucrative opportunity to enter into and diversify the business of the company.

So far as the expansion plan of GPIL is concerned, those expansion plans are substantially higher. What we are doing presently, out of this acquisition is we have invested INR255 crores. And that is hardly about 7%, 8% of my total net worth and about 25% of my annual profit. So there is -- investment is a smaller investment as compared to th size of the balance sheet, the cash flow of the company and future cash flow requirement.

We thought it's proper that it is better to diversify the revenue stream of the company and venture into this business. This is already a profit-making company for the last couple of years, the company already has a turnover of more than INR1,000 crores, EBITDA of INR80 crores, INR90 crores. So this fits within the overall objective of GPIL. And we believe that this investment and the acquisition will go in a long way in creating shareholders value.

Vikas Singh: Understood. Sir, given we don't have much experience in this business, though we have the 51% economic interest, would we will be running the business or the existing management will continue to run the business and gradually, we will be taking control? So how that thing goes ahead?

Dinesh Gandhi: Yes, you are right. The business will continue to be run by Ramesh Agrawalji, present MD of the company, who is also present in this call. It will be a joint management here on. And most of us will continue to expand and grow the business of the company. Ramesh Agrawalji has huge experience in this industry. They have been processing the kind of material which nobody else is doing in India and maybe globally, I don't know. And he has a lot of experience.

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We have an understanding with him. He will continue as Managing Director for a period of five years. Support and grow the business of the company, and our team will also be there and

we have already joined hands with them in running the day-to-day operations of the company.

And despite this, we have right of first refusal for 49% stake he is having in the company.

Vikas Singh: Yes, I was coming to that, that do we have the option to purchase that the remaining...

Dinesh Gandhi: Yes, yes, we have the first refusal...

Vikas Singh: Is there any milestone or the valuation would be defined whenever you decided to purchase the remaining 49%?

Dinesh Gandhi: No, timeline is not decided. Valuation is not decided. It will be valued at the particular point of time as and when we decide to offer the share.

Vikas Singh: Understood. And sir, this INR200 crores capex in JPL, so the money which we are investing, some part would go into this capex or this would be entirely funded through the debt taken by the JPL and the internal accruals? So how that goes ahead?

Dinesh Gandhi: See, as I said in my opening remarks, out of INR255 crores we have paid for acquisition of 51%, INR175 crores we have infused in the company. So out of this INR175 crores, INR75 crores JPL is paying to the promoters for acquiring the remaining stake in all subsidiary companies as well as proprietary and partnership firms. So that whatever business which was there under the part of Mittal Group is under the one umbrella of JPL, and INR100 crores will be used for working capital and gross funds of JPL, plus internal accrual of JPL will use for expansion plan. And whatever is debt required, we'll raise the appropriate amount of debt in due course of time.

Vikas Singh: Understood. And sir, just one last question on the hedging part since we are dealing with the high-value items like zinc and lead. Basically, while extracting from the basically scrap, you probably would not know

the exact quantum of the lead and zinc which probably would be extractable. So how did you hedge basically in a forward context in the LME so that you actually fixes up the margin and don't run into a risk of losing money?

Dinesh Gandhi: Rameshji, can you answer this question?

Ramesh Agarwal:

Moderator: Sorry to interrupt, sir. We are not able to hear you clearly.

Ramesh Agarwal: See, we are the physical hedger. And whatever -- whenever we purchase any material, we do know how much is the lead content, how much is the content of the metal in the purchase. So immediately, we hedge it. And nothing we keep unhedged on our account. 100% hedging we are doing, keeping our margin intact.

Vikas Singh: Understood. So that answers most of my questions. I'll come back to the queue if I have further questions. Thank you, sir, and all the best.

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Moderator: Thank you. The next question comes from Manav Gogia from Yes Securities India Limited.

Please go ahead.

Manav Gogia: Dineshji, I wanted to know, like you mentioned that currently the utilization rates are quite less in terms of output. So also the JPL is going for capital expansion. So can you just give me a brief about what are the reasons behind the lower production volumes and what bottlenecks are the company - is the company currently facing?

Dinesh Gandhi: See Manav it is like this. The capacities which we have given in our presentation is based on the whatever approvals they have. Now we are doing a detailed diligence on that and trying to find out the bottlenecks that wherever there are bottlenecks to improve the capacity utilization, the capex will be done in that. And number two the production in this plant.

Management: Basically, we are the recycler and the machine capacity is based on the input, not on the output. And the output depends on the metal available in the input. So sometimes, PCs is remaining the same, how we are buying sometimes final into LME minus treatment done So we are getting a treatment as is fully and rather in a low procured we are getting a higher treatment done.

So it depends on the input towards we are using out. So our capacity, we are running all the plants at full capacity, not at a lower capacity. The thing is production is not right because the input is containing lower content of the metal. And volume of the recycling is going increase every day because as Mr. Gandhi mentioned in the opening remarks that next generation is only by recycling. And recycling generation is too high that...

Manav Gogia: Sir could you repeat the last part? I mean, your voice broke down quite a bit over there. I couldn't get you.

Management: I mentioned that the output depends always on the input quality material means how much content in the input. Suppose we purchase higher input material, then production capacity will be full because capacity is based on the highest possible input and our treatment charges, how we are buying that content into LME minus treatment charges. So treatment charges are always intact with us. And availability is ample because the generation is increasing day by day. Conjunction is increasing, that's why recycling is increasing.

Dinesh Gandhi: See Manav as Rameshji has explained, the output depends on the quality of input material. Suppose, input material you are putting in 100 tons into a kiln furnace and say lead is or the zinc is 20%, then the production will be 20%, but your input capacity is 100. So therefore, the utilization it looks like lower utilization, but all plants are operating at full capacity.

Manav Gogia: Sure. That was very interesting. Thank you so much, sir. Sir just one more thing, any debottlenecking capex taken will be up and above the INR200 crores or is it already accounted for in the INR200 crores?

Dinesh Gandhi: We are currently earmarked INR200 crores. We are studying it, the entire operations of the company and wherever we feel that there is a debottlenecking required this much of capex will be done.

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Manav Gogia: Okay, so any idea on what that number could be or are we still in the early stages?

Dinesh Gandhi: We are in the early stage. We are in this early stage.

Moderator: Manav sir you have any other follow-up questions?

Manav Gogia: Are we still in the early stages?

Dinesh Gandhi: Sorry, Manav, come again.

Moderator: Manav sir we are not able to hear you.

Manav Gogia: Yes, I wanted to know for the debottleneck activities, the capex that you're going to be incurring, are we still in early stages of determining what the capex amount is going to be or is there any ballpark figure that the company has in mind?

Dinesh Gandhi: No, Manav, as I said, we have earmarked INR200 crores for the capex. We are trying to find out wherever there is a debottlenecking, the decision will be taken and if some amount is to be tweaked plus minus, then we'll do it as required in the business, but the amount is not yet determined.

Manav Gogia: Okay, sure. Thank you so much, sir.

Moderator: Thank you. The next question comes from Amit Lahoti from Emkay Global. Please go ahead, sir.

Amit Lahoti: Thanks for the opportunity. So, scrap procurement is a critical process in the recycling business. So, if you can give a break-up in terms of how much scrap you procure from OEMs, how much you import and how much from the unorganized players in the market? If any percentage break-up that you could give will be helpful?

Management: Yes, our most of the raw materials, 95% is from metals and the primary features of the metals. Because they expect only zinc, lead, silver, but in the ore there is a small quantity of helium, antimony, cobalt, nickel, cobalt, many metals. So, that left out things we are buying and we are processing. And the first time we have done it for Hindustan Zinc in 2013.

And we were processing almost 80,000 tons of them to buy and sell. And similarly, other metals are also doing the same thing. We can add in cobalt metals is also doing the same thing. So, every metal generates this type of waste. So, they only expect primary metals. The rest of the metals, either they leave it or get it exchanged.

Amit Lahoti: Okay. And my second question is how much EBITDA per kg the business is generating?

Management: Normally, this is the company like Hindustan Zinc they have a fixed EBITDA of 10%

Amit Lahoti: I'm sorry, but I couldn't hear clearly. If you can say it again.

Management: We have a fixed formula to determine the profit around 10% of the EBITDA.

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Amit Lahoti: Okay, 10% of the EBITDA. And if I could squeeze in one more question like could you talk about GST incentives available to the business?

Management: GST incentives are available in the Jammu and Kashmir. In Jammu and Kashmir yes it is available, any amount paid by cash in the GST form are getting refund. And the GST is paid immediately.

Moderator: Really sorry to interrupt. Ramesh sir, your voice is coming very feeble. If you're using the speaker mode, may I request you to use the handset mode, please?

Management: Normally, whatever GST we are paying in the cash we are getting a refund from the government and interest subvention of 5% on the working capital. And electricity is very cheap, INR3.80 per unit in the Jammu and Kashmir. Like that, many benefits are available in Jammu and Kashmir.

Amit Lahoti: So can you give some quantification in terms of amount in crores, how much GST credit you got, for example, in FY '24, if you can give that number?

Ramesh Agarwal: In FY '24 in Jammu and Kashmir, we have almost 50% turnover in Jammu and Kashmir. So quantum is around INR35 crores.

Moderator: Thank you. The next question comes from Jash, from Dalal & Broacha. PI

ease go ahead.

Jash: Hi, sir. So, somebody mentioned that the INR200 crores will be the capex. So any further capex requirements for any of the plants at Jammu and Kashmir?

Management: No, as of now, we have not worked out whatever we have planned, we have given in our presentation. And we are in the process of identifying what could be the bottlenecks in terms of increasing the capacity utilization. To that extent, we will make some changes in the capex plan going forward.

Jash: Okay. And this investment does not hinder any of our organic capex plants, right?

Management: Yes, it doesn't hinder our organic growth plan.

Jash: And on the organic front, so where are we on the mining approval and the seal approval?

Management: We will take those questions separately. This call is exclusively to discuss Jammu and Kashmir.

Moderator: The next question comes from Aditya Welekar from Axis Securities. Please go ahead, sir.

Aditya Welekar: Yes, thanks, sir. Just one question from my side. If you can quantify the synergy by acquisition of these Jammu pigments to GPIL?

Management: No, you know, in terms of what quantification?

Aditya Welekar: Is there any synergy by this acquisition of?

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Management: You know, there may not be more than INR150 crores of the turnover of Jammu pigments.

Moderator: The next question comes from Nilesh Gandhi from Meta Design. Please go ahead.

Nilesh Gandhi: It is a good congratulations on identifying a very rosy and sunrise sector of recyclability. As an architect and as an architectural architect, I think it is the best thing to be done. And recycling is the gold of the future.

Coming to that, I just wanted to understand how did we arrive at the valuation of INR500 crores? And if you could just read, I heard INR1000 crores is turnover for the pigments with an EBITDA of 90. Is that correct? Or if you could just throw aside as to how did you arrive at this INR500 crores valuation?

Management: No. INR500 crores valuation, there is no formula. This is with mutual discussion and negotiation.

Nilesh Gandhi: Okay. But there would be some guidelines as to how many times EBITDA or how many times turnover. What is the turnover of pigments?

Management: Jammu pigments is close to INR1000 crores.

Nilesh Gandhi: INR1,000 crores turnover. But if the turnover is INR1,000 crores and EBITDA is INR90 crores, it is 10% EBITDA?

Management: Yes. 8%-9% EBITDA margin.

Nilesh Gandhi: And that would add so to our like...

Management: So if you want to work out on the PE basis, it is closer to 14x to 15x times PE.

Nilesh Gandhi: Okay. So on our top line, it adds say around, will it add INR500 crores to GPIL's top line?

Management: No. Once it becomes 51%, the entire turnover will be added to GPIL turnover. EBITDA will be added to GPIL EBITDA. And after profit, there will be a minority interest calculation. So that's how the consolidation is done as per Ind AS accounting norms.

Nilesh Gandhi: Okay. And the second question was, sir, in this business, the entry barriers, is it how easy it is for competition-wise, it is good that we have entered now. But from the environmental norms, permissions, how are we placed? How is pigments placed? And how difficult it is for competition to enter into this business?

Management: Ramesh would you like to answer this?

Ramesh Agarwal: Yes. All the permissions and approvals are in place. And as far as the entrance of coming to other people is very difficult because we need to process all the matters, not one matter. And in such a huge capacity, huge approval, it is not one year, two years, eight, five, six years. It took almost seven years to reach 80,000 tons. They started 5,000 tons. And at our level, we started building every farm, every facility. It took eight years to build.

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Moderator: Sorry t

o interrupt, sir. We were losing your audio once again.

Ramesh Agarwal: Hello. Yes, it's a long journey because we started in 2013 for 5,000 tons capacity in Hindustan Zinc. And we all were at the war level. It took eight years to build 80,000 tons capacity. So like that, and not only one metal, it's seven, eight metals to be accepted separately. And we need to use hydro, pyro, leaching, solvent extraction, influences. Many, many processes are

involved. Technology is also a bottleneck, big bottleneck, because all the processes are developed by us. Some are non-art, some are built as per requirement.

Nilesh Gandhi: Yes. Are you a first generation entrepreneur, sir?

Ramesh Agarwal: Yes, sir. Yes.

Nilesh Gandhi: Very good. Do you have any patents? Are there any patents possibility?

Ramesh Agarwal: Yes, we have five to three patents, and we are likely to get approval very soon.

Moderator: Thank you. The next question comes from Sunil Jain from Nirmal Bang Securities Private Limited. Please go ahead.

Sunil Jain: Yes. Thank you for taking my question. Sir, my question relates to source of raw material.

Where from you are sourcing domestic, international, and even if domestic, then who are all suppliers? Means, you collect it from traders, or how you collect it?

Dinesh Gandhi: We are sourcing the material mostly from the smelter of the metals, all smelters, domestically as well as international also.

Sunil Jain: Smelter in the...

Dinesh Gandhi: Like Hindustan -- yes, lead, zinc, copper, all the smelters.

Sunil Jain: So the supplier will be Hindustan Zinc for you?

Dinesh Gandhi: Hindustan Zinc and like other smelters, yes.

Sunil Jain: What is the composition domestic and international?

Dinesh Gandhi: Composition right now, it is almost 50-50.

Sunil Jain: So when it is coming from Hindustan Zinc, then the raw material will be of a standard quality, not very far from any particular quality?

Management: It is a residue. So normally, always the raw material is fixed, means ore is fixed for every smelter. So that composition continues the same almost. But they differ from smelter to smelter.

Sunil Jain: And second question, Dinesh Ji, for you, whether we will be consolidating it as a JV or it will be a line-by-line consolidation?

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Dinesh Gandhi: It will be consolidated as JV, JV in the sense subsidiary company.

Sunil Jain: JV in the sense you will be consolidating just a profit or?

Management: No, no. We will be consolidating line-by-line item and subsidiary company. Because this will be subsidiary of GPIL, not in December quarter, but from March quarter onward, this will be consolidated line-to-line as a subsidiary company.

Moderator: Thank you. The next question comes from Jinesh Shah, an Individual Investor.

Jinesh Shah: Sir, I could see from the presentation that EBITDA is close to around 7%. So is there any range we have set to increase the EBITDA from 7% to let's say 10% to 12%? And what are those process improvements we are planning for?

Management: Sir, process improvement will happen in this. We can't give you more guidance right now but after next quarter's results, after March quarter we will give you full guidance. But what we know sir, the discussion between Ramesh Ji and us, there will be a 15%-20% turnover, EBITDA growth will come year-to-year.

Jinesh Shah: Secondly the question is on the capacity addition. Although we have mentioned from category wise what is the capacity we are going to add but in this we set some priority that first we will do work of copper or zinc or what will be first? And then the capacity of the other will increase. And why this timeline is for two years? This is also I want to understand. Why we cannot complete the expansion in 12-14 months from now?

Management: Sir we have to do land acquisition in this. We have to put up a new plant. And for new plant we will need new land a

nd new approvals. So, some time will go into land acquisition and approvals etcetera. So, due to this, it will take some time.

Jinesh Shah: So, all these expansions that you have shown are not brown field expansions, they are all green field expansions, whatever you have shown?

Management: No, no, some are brown fields, it will take time. We have given target timeline, so FY27. So, it will continue to run in between, the units that will start, we will announce it.

Jinesh Shah: Sir, have you set any priority? Which one will you do first and which one later?

Management: No sir, we have not set any priority. We will do it according to the timeline.

Jinesh Shah: Okay. And if you are, although the management has said that the current capacity utilization is full, but what we can achieve the maximum revenue from the current...

Management: Because the number is difficult to give. Ramesh Ji can you give us the current capacity of the number? Plus the revenue of JPL 2.

Management: Sir, at present Jammu Pigment turnover is INR1200 crores. And we are adding one more unit in next 2-3 months. After that our volume or per annum will increase around INR400 crores.

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So we are sure that it will certainly go by INR1700 crores. And bottom line will also be around INR125 crores EBITDA.

Jinesh Shah: Okay.

Management: And as you mentioned the priority wise, in the priority wise it's not like copper zinc lead plant, it's like hydro, pyro and electrolysis like this plant. So initially we will be proposing pyro because pyro is short now. After that we will be going for hydro plant and like that. So it's like a sweet making machine. So like a sweet making machine, we can make sweet in a sweet shop. We can make rasgulla and we can make sweets in that all. That's the chemical process.

Moderator: The next question comes from Sri Krishna Agarwal, an Individual Investor.

Sri Krishna Agarwal: I just wanted to know this INR200-crores capacity, the capex you are making only in Jammu and Kashmir or to your Rajasthan unit also. Because you have mentioned in the Page 8 of your presentation that you will be getting the incentives from the Jammu Kashmir government. So is this INR200 crores fully eligible for all the incentives? This is my first question.

Next question is regarding the capacity utilization, you have mentioned that the bottleneck is at the capacity is as per the input, not as per the output. So my question is then when we are getting the raw material from the standard suppliers like Hindustan Zinc's and all these things. So others must be getting from that source also.

So why our revenue is much lesser than other our competition whereas their capacity is lesser than us. Like only they have won like 59,000 tons and the revenue is 1616. Whereas our capacity is won like 1,96,572 and the revenue is 1174 only. So that is my question.

Dinesh Gandhi: I will reply that we are planning for Rajasthan investment also. In Rajasthan also certain subsidies are available like interest submission and GST refund. And as regards to Pondy and our competition, they are totally different line. Although one common line is the lead recycling, apart from that we are recycling all the metals and whereas Pondy is recycling only lead.

And that too from only batteries, 90%. And our battery raw material is hardly 5%. 95% is the industrial residual waste. So we can compare apple-to-apple, not by this.

Sri Krishna Agarwal: Okay. That was mentioned in the presentation, that's why I have asked it.

Dinesh Gandhi: Okay. Not an issue.

Sri Krishna Agarwal: So I have one suggestion for the company that Gravita is coming up with the QIP of 2,200 and the Pondy is coming from 980. So they have a good plan to raise the fund. So my suggestion is that GPIL is a good banner under which we can raise further funds for the further expansion of the company, and it will go because

GPIL is a net debt free company and that I hope that they will maintain that status.

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Dinesh Gandhi: So you're right. But we will elevate -- we will take your suggestion and we will deliberate on this whether to fund raise, fund it because we can't raise funds from the market at JPL level.

We have to raise funds and we have to raise this GPIL level. So we'll deliberate on this issue.

Moderator: Thank you. The next follow-up question comes from Manav Gogia from Yes Securities India Limited. Please go ahead.

Manav Gogia: Sir, one question is on the ESG front. Usually, lead acid battery recycling is a dangerous process, exposing the employees health to several diseases. I just wanted to know what precautions are taken on that front for the employees? And second, that are there any additional approvals, which the company requires when it comes to processing lead as a scrap material? So can you just give me a brief on that?

Dinesh Gandhi: There is a SOP, standard operating procedure let down by Central Pollution Control Board. So accordingly, we have to provide everything to the employee, then only they give the clearance on renewal and import permission for raw material and run the unit. So all these are in place. And every three months, we need to test blood test, lead content test, everything.

Manav Gogia: And sir, like these tests take place on a regular basis? Or is it like...

Dinesh Gandhi: They are on a regular basis. Every quarter there is a -- it's prescribed already in the operating procedure, there is a standard procedure; every six months, what to do, every three months, what to do. Who are exposure to the lead, they are every few months, who are in office they are once a year like that.

Manav Gogia: Okay, sir. Sir, just one question. I think I just was already asked earlier. This was on the EBITDA margin front, right? Currently, we are doing roughly 7%. And as per your comments, you are targeting a 10 and then step by step growth towards doubling from out over here. Is that a fair assumption?

Dinesh Gandhi: Doubling is not fair, I think, 7%, 8% to 10% is a correct. We are focusing on 10% EBITDA, that is correct, by improving the process, by improving the our knowledge.

Manav Gogia: And so barring the scrap procurement, what would be the major cost centers which this business model would incur?

Dinesh Gandhi: Basic cost is the fuel and electricity.

Manav Gogia: Certain chemicals.

Dinesh Gandhi: Certain chemicals, yes.

Manav Gogia: Okay. And the chemical requirement is done like domestically, right?

Dinesh Gandhi: Yes, yes, domestically.

Moderator: Thank you. The next question comes from Nilesh Gandhi from Meta Design.

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Nilesh Gandhi: Just one follow-up I wanted to have, which was -- like I was just looking at -- I understand that we are still into the recycling business. So the other recyclers, they are working at 50% to 80% margins. So is there a possibility that we graduate because ultimately, it's the recycling business. So by mixing our product, is there a chance that we reach to the levels of higher margins? Because the standard manufacturing process has been done, 10% EBITDA, is there a possibility there?

Dinesh Gandhi: How much margin are you talking about?

Nilesh Gandhi: Sir, more than 50%-60% margin, like Ecoreco, they trade in the business of computer parts, computer peripherals. So their margin is substantial because the probable expenditure is less or I don't know what it is. But in the recycling business, should there be more margins or not? Or does capex first eat it up or...?

Dinesh Gandhi: Eventually, it comes. No, it's not that much in metals. It may be in the computer and other items you are telling the name of the company. But it may not be in the metals in recycling.

Nilesh Gandhi: Okay. Thank you.

Moderator: A

s there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Dinesh Gandhi: Ladies and gentlemen, thank you for joining this call. We hope that we have been to answer all your questions. If you still have some further questions, you can reach out to our Investor Relations team, and we'll be happy to answer the same. Thank you very much, and with this we conclude this call. Thank you very much. Thank you, everyone.

Management: Thank you, everyone.

Moderator: On behalf of Godawari Power, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2025

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REF: GPILINSE&BSE/2025/5788

To'

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai-400001.

Scrip Code: BSE: 532734 Date: 17.02.2025

To'

National Stock Exchange of India Limited

Exchange Plaza, C/I , Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai-400051.

Scrip Code: GPIL

Dear Sirs,

Sub: Submission of Transcript of Conference Call held on 13'h February, 2025

regarding Q3 FY25 Results.

This has reference to conference call held on 13th February, 2025 to discuss the results and performance of Q3 FY25 for Analysts Institutional Investors Fund House/Investors etc.

Please find attached herewith the Transcript of conference Call held on 13'h February, 2025.

The aforesaid information is also being hosted on the website of the company viz..

www.godawaripowerispat.com.

Thanking you,

Yours faithfully,

For Godawari Power And Ispat Limited

c-ue.JY.C. Rao

Company Secretary

Encl : As Above

Godawari Power & Ispat Limited

An ISO 9001 :2015, ISO 14001 :2015 & ISO 45001 :2018 certified company

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"Godawari Power & Ispat Limited

Q3 & 9M FY25 Earnings Conference Call"

February 13, 2025

MANAGEMENT : MR. ABHISHEK AGARWAL -- EXECUTIVE DIRECTOR --

GODAWARI POWER AND ISPAT LIMITED

M R. SANJAY BOTHRA -- CHIEF FINANCIAL OFFICER --

GODAWARI POWER AND ISPAT LIMITED

MODERATOR : MR. AKHILESH KUMAR -- EMKAY GLOBAL FINANCIAL SERVICES

Godawari Power & Ispat Limited

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Moderator: Ladies and gentlemen, good day, and welcome to Godawari Power & Ispat Limited Q3 and 9

Months FY '25 Earnings Conference Call, hosted by Emkay Global Financial Services Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Akhilesh Kumar from Emkay Global Financial Services. Thank you, and over to you, Mr. Akhilesh.

Akhilesh Kumar: Good morning, everyone. Welcome to Godawari Power Q3 FY '25 Earnings Conference Call.

I would like to take a moment to thank the management for giving us opportunity to host this call. We have with us today Abhishek Agarwal, Executive Director; and Sanjay Bothra, CFO.

I now hand over the call to management for the opening remarks. Over to you, Mr. Bothra.

Sanjay Bothra: Thank you, Akhilesh. Good afternoon, everyone. Thank you for joining us today for the Q3 and 9 months FY '25 earnings con call of Godawari Power & Ispat Limited. Our financial results, press release and earnings presentation are now available on our website and on stock exchanges. I believe you have had a chance to review the same. I will briefly take you through the results, post which we will have question-and-answer session.

GPL has maintained a stable performance over the past 9 months, despite facing challenges from lower realizations. Now coming to key strategic updates for this quarter. The approval for mining capacity expansion of Ari Dongri's mines from 2.35 million to 6 million ton is expected to be in place by Q1 FY '26.

GPL has also restarted mining operation at Boria Tibu iron ore captive mines having a capacity of 0.7 million ton per annum. 0.6 million ton iron ore benefaction plan for B&Q out of proposed 6 million ton capacity situated at Ari Dongri mines has also started. The increase in pellet plant capacity from 2.7 million to 4.7 million ton is expected to be commissioned by Q2 FY '26.

The plan to set up a greenfield integrated steel plant with a capacity of 2 million ton has been dropped. Company is evaluating different alternative projects with lower capacity and lower capex for which announcement will be made once the project is finalized. In addition to 70MW solar power plant that is planned to be set up for additional capacity of pellet plant, an additional 25MW solar power plant is also decided to be set up for additional power requirement of new verification plant at Ari Dongri mines. The plan to venture into OPVC pipe manufacturing has been dropped due to changed market scenario.

GPL has completed acquisition of 49% stake in share capital of Jammu Pigments Limited on a fully diluted basis as on 31st December '24. The company has entered into an agreement with GAIL for supply of electrified natural gas for GPLI's upcoming pellet plant for a period of 7 years. The company is eligible to supply steel blades to all manufacturers of galvanized steel structures for the transmission projects of Power Grid Corporation of India Limited. CARE has Godawari Power & Ispat Limited

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assigned CareEdge ESG III rating with a rating score of 51. This is the first ESG rating assigned to the company.

Now coming to operational performance, of the production guidance set for FY '25 for iron ore mining, iron ore pellets, sponge iron and ferro alloys, the company has already achieved 69%, 73%, 84% and 96%, respectively. Iron ore mining and pellet production dropped slightly, whereas production volume of sponge iron, HB wires, ferro alloys and power increased on both quarterly and 9-month basis.

In Q3 FY '25, sal

es of iron ore pellet decreased on Y-o-Y basis due to shifting of export consignment from Q3 to Q4 FY '25. Sponge iron steel billets and MS round decreased on Y-o-Y basis due to increase in production of HB wires. Sales of HB wires and ferro alloys increased significantly on both quarterly and 9-month basis. Pellet realization increased by 2% on a 9-month basis to INR10,387 a ton, whereas realization for other products were down in the range of 3% to 8%.

Now coming to consolidated financial performance. On a quarterly basis, our revenue, EBITDA and PAT dropped due to lower production of iron ore pellets and drop in realization of almost all the products, except ferro alloys. On a 9-month basis, the company achieved flat revenue of Rs 3,908 crores.

EBITDA and PAT was down on account of lower realization of finished products. Despite the challenges, EBITDA margin and PAT margin stood strong at 22% and 15%, respectively. The company has a healthy balance sheet with net cash balance of INR725 crores.

Now coming to the market outlook. First international iron ore scenario. As of February 25, the global iron ore market is experiencing notable shifts influenced by various economic factors. Recent trade policies, including tariffs imposed by U.S. and China counter measures have introduced uncertainties in the global iron ore market. These developments could

indirectly affect major exporters like Australia.

The global iron ore market in 2025 is characterized by an anticipated decline in prices, increased production and evolving demand patterns, particularly in China. Stakeholders should monitor these developments closely to navigate the changing landscape effectively.

Domestic steel demand scenario. India's steel industry is navigating a complex landscape characterized by robust domestic demand, increased imports and evolving global trade dynamics. India's steel demand is projected to grow by 8% to 9% in 2025, driven by increased construction in housing and infrastructure sector.

While India's steel demand is on upward trajectory, the industry faces challenges from increased imports and global trade policies. Proactive measures, including potential safeguard duties and strategic investment are being considered to support the domestic production and maintain market stability.

To conclude, I would want to say that as we approach the end of FY '25, we remain hopeful about restoring our pellet production and sales to previous levels. Our robust net cash position, Godawari Power & Ispat Limited

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combined with a well-planned capex strategy focused on substantially expanding our iron ore mining and pellet production capacities provides a solid foundation for future growth.

Improved operational efficiencies and cost savings from solar energy will further strengthen our performance. Moreover, the benefit of having captive iron ore mines and producing high-grade pellets, coupled with steadfast support from our stakeholders, position us for remarkable success in the years ahead.

I would like now to open the floor for question and answers.

Moderator: We have our first question from the line of Vikash Singh from Phillip Capital.

Vikash Singh: Sir, just wanted to understand that you find that this steel probably you have taken a call that now is not the right time. But for the plastic pipes, why we have -- what are the difficulties we have faced for which we have to drop the project? And now since both the large-scale projects has been dropped, what is the plan to -- for the cash which we are holding?

Abhishek Agrawal: So just to correct, the pipe project was not a very large scale. It was a small capex of about INR125 crores. The reason we have dropped the OPVC project is so when we had entered into an agreement with the equipment supplier, that time, hardly there were any manufacturer in India who were firstly aware and other they ordered any machines.

What has happened is suddenly Chinese technology came into India, which we are not aware of. And now there is a flurry of orders given by different companies who are already into the pipe segment, be it local, say, Bajarang, Sambhav, be it big guys like, Apollo. So I would say the USP though get advantage of, say, at least 1 to 2 years where we will be the first mover, the advantage has totally gone away. We were totally blind by Chinese technology. And that's the reason we decided we want to drop this project because the first move advantage will not be there and everybody is putting a pipeline now.

So again, as in India, we thought since we are not very strong in the pipe business right now, let's enter into a segment where we have to start working from scratch. So the whole idea has been dropped. The capex was about INR125 crores out of which we have only spent INR14 crores on the order of equipment, where we have already spoken with the supplier and he has agreed to return the money in due course of time. So there will be no financial loss to the company, and that is why we have dropped the pipe project OPVC for ever. That's the whole reason behind it.

Vikash Singh: And now the plans for the cash because our cash generation.

Abhishek Agrawal: Just to add -- yes. So see, the idea of dropping the 2 million steel plant was, as a management, I want to be very honest. The capex we envisage initially, we got it wrong. So usually what happens, we thought 60% is equipment cost and 40% will be the intra cost. But what has happened is it is opposite. So 40% is your equipment cost 60% is your intra cost, so the entire capex which is about INR5,000 crores to INR6,000 crores 2 million plant will probably cross INR8,000 crores.

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So, with so much of capital investment where we would have gone to the bank on a long-term basis to keep the project running on time, we don't want to go back into the same debt cycle, which we had entered last 10 years back. So it's hard to drop the project.

But the entire project is not dropped. We are re-allotting on a smaller capacity, say, from 0.8 million to 1 million tons, and that will be announced in due course of time because we want to invest in steel value-added steel, but with a smaller capex so that we don't have to take a long-

term loan from the bank. That's the whole idea.

Just to add to it, there is the delay to acquire the land and the EC has been very long now. And unfortunately, luckily, I would say, during this course, the market also reversed quite a bit.

There were a lot of additional capacity by the big players in the coil flag segment. So I thought it is the right opportunity that we actually take a call. So we went to the Board, we discussed on this, and that's why the communication to the shareholders.

Vikash Singh: Sir, how much we have already spent for this steel plant, any money?

Abhishek Agrawal: Nothing very peanut. We have done some license, some approvals and certain plantation and all as per government the value is hardly below INR1 crore. So nothing is spent on the new steel plant, certain consulting fees and all, which is very minimum.

Vikash Singh: Sir, second question is regards to pellet pricing. So last 1, 1.5 months, we've seen that the international iron ore prices have been continuously increasing. So just wanted to understand over 3Q versus current pellet prices and how is the mix between export or domestic, if at all, any exports you are doing right now?

Abhishek Agrawal: See, we did export a shipment last quarter. December, we started exports. Primarily, what has happened is post Diwali, the steel market usually the demand picks up. But this time, the demand was quite sluggish. So what has happened is the demand of pellet was quite weak in the domestic market because new pellet plants, emerging pellet plants also were commissioned in Chhattisga

ra and around Chhattisgarh. So that is the reason the pellet sales in domestic market was quite weak, and we had to export shipment, which got loaded in month of January. Right now, we are not exporting anything because the domestic -- so what has happened is with the news of duty being put on steel before the budget, the domestic market picked up slightly, and there was a good demand of pellet. So we have booked in domestic market, and we are not exporting pellets anymore.

Vikash Singh: And sir, spot prices versus export price, what would be the difference, positive or negative?

Abhishek Agrawal: Okay. So if you export right now, the realization will be about INR1,000 less compared to domestic market.

Vikash Singh: On net level, you are talking about?

Abhishek Agrawal: Yes, net level, of course. Yes.

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Vikash Singh: Sir, just one more question on the Boria Tibu. Have we completed the beneficiation plant basically there and this capacity has been started?

Abhishek Agrawal: See, again, the whole logic behind starting the Boria Tibu was -- there is no beneficiation plant in Boria Tibu right now. And we have plans to put up one, but that will take about 3, 4 years down the line, as we have declared earlier as well. So what we've done is we have created the circuit in Godawari to benefit the Boria Tibu ore because the Boria Tibu ore is low grade. It's about 55 average.

So earlier, we couldn't benefit that ore and we have to blend it in our charge mix. But now we are benefiting that ore and raising it to 65 concentrate. So that is why we have restarted the mines again and bringing the ore to Godawari and benefiting along with other iron ores.

Vikash Singh: And sir, just one last question. Given that the domestic prices of iron ore has been a weaker trend, while the international is improving. So what's your take on the domestic prices, whether do you see a scope of domestic prices going up or the demand is still too weak for any such thought process?

Abhishek Agrawal: You see national market, the prices have not moved up much. It's hardly 5%, 7%. The low was about 97%. China was on holiday, right, it's about 106%. So it's hardly 7% to 8%. So I wouldn't see a substantial increase in the national market.

Domestic market, there is a shortage of iron ore and it will continue to remain till the supply starts improving. There's still a big gap between demand and supply. The domestic iron ore pricing is still very strong compared to international market. That in turn will keep the pellet price on the higher side.

Moderator: The next question is from the line of Manav Gogia from YES Securities Limited.

Manav Gogia: Just building up on Vikash's question on the steel plant. You mentioned that your -- according to your competition, it came out to be around INR8,000 crores. So did this include the coke oven as well? Because as I recall, we were not setting up a coke oven trial.

Abhishek Agrawal: If you are aware, about a month back, Government of India has restricted the import of coke into India to merchant cokeries in India, right? So merchant cokeries have been -- to help them support them by imposing certain duties. So what Indian government has done is they have limited the quota of imports from respective countries for a period of 6 months.

So based on such policies, we were forced to put up a coke oven because if the decision continues for longer-term, we can't import coke and then you have to buy coke from the local cokeries, which will increase the operating cost by substantially. So unfortunately, we had to

envisage the capex for coke oven during the final discussion which happened because of the government change in government policy. And the capex almost close to INR50,000 crores.
Manav Gogia: Sure, sir. And sir, as I recall from the one of our past calls, we had stated that the minimum requirement that the comp

any needed to set up an HRC plant was for 2 MTPA. So now how
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with the new -- how currently the discussions are going for the new plant, what sort of route are we going to go for? Will we still go for an HRC plant? Or are we evaluating to expand?
Abhishek Agrawal: No, no. So to be honest, the way primary producers have been increasing capacity, for example, NMDC just started the 3 million plant. JSPL started their 5 million plant and about 20 million further capacity is going to be online in the next couple of years by the big guys. So we have completely dropped the HRC project because it's no point going for a narrow section with flat. It has to be a complete range of products from 1,250 to say, 2 meters. So we have dropped the HRC product.
We are exploring other products in flat segment like heavy structures, beams and at the same time, also the long products because we go into long market. So we know how long market works. So we are evaluating on both sides. And once we decide, we'll probably inform all the shareholders.

HRC is definitely out of picture now. We're not going to go with HCR now.

Manav Gogia: That is very helpful. The other question comes on the pellet plant, which we are about to commission. I think about majority of the capex is still about INR432 crores is balance which has to be incurred probably over the next couple of quarters, I assume. So I wanted to know like are we going to do it? What's going to be the split between Q4 and Q1, if that is something that you have in mind right now?

Abhishek Agrawal: See, in terms of capex, the capex is ongoing. We have already started the election of the equipment. So China shipments have started receiving from all the suppliers. So we envisage the pellet plant will start trial production by early Q2. And by the end of Q1 of FY '26, the entire capex will be done. So between Q4, which is already going halfway. So next 4 months, the entire remaining INR432 crores will be spent. And we are confident we can start the trial production of the new pellet plant in FY '26, Q2.

Manav Gogia: Sure. And sir, how much time do we expect from the ramping up to full utilization levels for the pellet plant?

Abhishek Agrawal: See, 3 to 6 months maximum. So end of probably Q3 or mid of Q3, we can expect full production.

Manav Gogia: Got it. So from FY '27 onwards, we can expect the full flow of volumes to kick in?

Abhishek Agrawal: No, I think in the worst-case scenario, I think Q4 FY '26.

Manav Gogia: Okay. Sure, sir. So just following up on the capex earlier guided about the capex expectation for FY '26. Now are we looking to cut that number down considering the steel plant is off the charts? So what sort of capex can we expect for FY '25?

Abhishek Agrawal: See, so the mining, the beneficiation in the mines along with about 95 megawatts of solar for mining as well as pellet and the remaining capex for the pellet plant. So all these will be incurred in the next 3 quarters, which is Q4 FY '25, and the remaining will be probably for FY
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'26. So solar will take about INR5 crores and mining, which is about INR150 crores balance to be incurred and about INR400 crores. So about INR80 crores to INR100 crores of capex will be incurred in this quarter and next financial year. Everything will be good because we still have a healthy balance sheet, and we are generating enough free cash flows every quarter.

Moderator: We have our next question from the line of Sahil Sanghvi from Monarch Network Capital.

Sahil Sanghvi: My first question is, sir, we are seeing a drop in the realization of the pellet in Q3. Now if I check the steel at Raipur prices, I don't see that kind of Q-on-Q drop, and Y-o-Y, it's quite flat. So if you can help us understand because the drop in prices really hits our margins. So what was t

he reason for the low price for the pellet?

Abhishek Agrawal: So I'll tell you what happened in Q3, especially what happened post-Diwali. We were expecting the steel demand to go up, which rather it happened the vice versa side. And a couple of new pellet plants, merchant pellet plants got commissioned in the Raipur area, right? So there was an oversupply of pellets. And because of sluggish finished demand, the uptake of pellets was not very high. So we had to export a vessel.
We were carrying an inventory of more than about 53,000 tons, which never happened

happens. So on the inventory, we've exported a vessel. And the end of December, the market picked up, and we have a healthy order books. So it was a one-off situation where prices were a little corrected, plus we had a higher inventory than we maintained. So all these factors impacted the EBITDA for Q3. But I'm confident going forward, in Q4, you will see much better results compared to Q3.

Sahil Sanghvi: Right, sir. And would you be able to give us a quantum of the dispatches or the export shipment we were expecting the production to be somewhere around 40,000, 420,000 for pellets, which we have done around 3 lakh?

Abhishek Agrawal: No, no. 3 lakh is the sale. It's not the production. Production is very much within the range. Sales were down because the inventory was almost about 1 lakh tons. So finally, we exported a vessel. And now the inventory is down to below 20,000 tons. So all the carrying for inventory from Q3 will be sold in Q4.

We have no intention to export further because domestic demand has again picked up, and we have a healthy order book till March end. So all the inventory will be cleared and the carryforward EBITDA will be seen in Q4 going forward.

Sahil Sanghvi: We are sticking to the 2.4 million tons.

Abhishek Agrawal: 100%. So whatever guidance we give in terms of production volume and sales, we are sticking to that. And we will achieve that for sure.

Sahil Sanghvi: Got it, sir. And like the kind of say, the supply surplus kind of situation you faced in pellet for Q3, do you think that could come again because we'll be unleashing a big supply of pellet once our new pellet plant comes in? So do you find that difficulty...

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Abhishek Agrawal: That is quite possible because eventually, the pellet is a part of the supply chain. So we are very well prepared because the new pellet plant will be producing high grade. So we have a bigger market in India, people, and bigger players like JSPL, and Coastal movement. And of course, export is always open. So we are prepared, given the situation, we have to send something out of Raipur, we will do it.

There may be some certain probably impact on the pricing. But in the longer term, we don't see any challenge because our mines should be fully operational by then. So our input cost and our operating costs will be very healthy. So we will always keep making money. See, INR1,000 here and there is not a big difference. But with such a volume, things can happen. Sometimes the demand is good, sometimes the demand is bad. So we have to be prepared for all the situations.

Sahil Sanghvi: Right, sir. And sir, if at all things go by our plan Q1 is when we get the EC from mining. We don't intend to start -- I mean the pellet plant will start only in Q2 after we get the EC, right? I mean we don't intend to use the Boria Tibu for the pellet.

Abhishek Agrawal: See, I'll tell you. Once the mining EC is received, we will need a few months to ramp the capacity. So pellet plant once gets operational, right, usually takes 3 to 6 months to get stabilized. So in any situation, we are on a shortfall of iron ore for the trials and we will buy from the market. So then we get a very temporary phase, hardly probably say 3 to 4 months. So I don't see a challenge because the pellet plant will take some time gradually to reach

the

production capacity. If you take some iron ore from the market for the trial and we'll buy it, no big deal.

Sahil Sanghvi: Got it, sir. And lastly, sir, what gives you this surety or security that we will receive the EC for mining by Q1 FY '26?

Abhishek Agrawal: Okay. So there was there was approval desire by the state government where eventually they referred case to the mining ministry and eventually the law ministry. So that took almost 6 months for that desired approval or recommendation from the mining ministry in our favor. So that approval has been received by the center, by the state government now.

So now everything has started at a very rapid pace. IBM has already approved our new mining application. So we are very confident by Q1, we will get the EC. The major hiccup was that approval from the center. That approval has already come 2 months back. So now we're confident we will get the EC by Q1. Because we do understand the entire business of right now, Godawari is been on the mine side. So it straightaway impacts our EBITDA levels.

Moderator: We have our next question from the line of Siddharth Gadekar from Equirus Securities.

Siddharth Gadekar: The first question is on the public hearing. Have we received any date for the public hearing or that still 1 or 2 months away?

Abhishek Agrawal: Okay. So last week only, IBM accepted the proposal. So now the State Pollution Board will issue the final guidelines along with the public hearing. So expecting the public hearing to be announced probably in the next couple of weeks. So we expect the public hearing to happen

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somewhere in post Holi end of March. And once that is done, so in a couple of months, we'll get the EC. So as I said, everything is now moving at a very rapid pace.

Siddharth Gadekar: Okay. Got it. Sir, secondly, our crushing and beneficiation come online 6 months after the EC approval. So how should we think about the ramp-up of the new pellet capacity? Will be buying iron ore from outside then? Or how should we think about our operations?

Abhishek Agrawal: Just to give you a very clear picture. So the new beneficiation plant, there are 2 parts. One is 1.5 million beneficiation of BMQ, which is the low iron ore of 35. It's called banded magnet cost, out of which 0.6 million has already been commissioned and the plant is already running in full flow, right? The remaining 0.9 million of BMQ will take about 6 months after getting the EC to commission the plant, right?

Parallelly, there's a 4.5 million beneficiation for the iron ore lumps. So till the beneficiation gets completed, which about 6 months, we'll keep sending the iron ore, which is about 60 to 61 to the plant where we already have the capacity to beneficiate. So once the plant is commissioned in mines, so we'll stop beneficiating in Godawari, we'll start benefiting in mines. That will help in reducing the cost. So that's the whole idea.

Siddharth Gadekar: So there will not be any impact in terms of our -- because of the delay in beneficiation that our mining.

Abhishek Agrawal: No, no, no. There will not be because we already have a capacity in plant premises to beneficiate the raw materials. The beneficiating mines will help us in reducing cost. So we have invested in mines, that's the reason.

Siddharth Gadekar: Sir, secondly, in terms of beneficiation cost, can you give us some sense what is our beneficiation cost going from INR35 to INR65?

Abhishek Agrawal: So my delivered cost to my plant currently, which we are beneficiating is about INR2,200 after beneficiation.

Siddharth Gadekar: And the royalty in this would be around INR50?

Abhishek Agrawal: No. See, the royalty is payable on the dispatch. So we are beneficiating from INR35 to INR65 in the mines. So we are paying royalty of INR65 concentrate, which is about INR750 as per IBM. Because you're not paying INR35 to plant.

We are beneficiating INR35 in the mines itself and dispatching only the concentrate of 65 grade.

Siddharth Gadekar: Okay. Got it. Secondly, just one more question around this that if we transport the low-grade iron ore to the plant, our royalty rate will reduce drastically, right?

Abhishek Agrawal: Royalty will reduce drastically. What will happen is if you beneficiate the low grade at the plant site, you are incurring a cost of INR1,000 on the transportation. So transportation cost will go up 2.2x. So saving the royalty of INR500, but you will lose INR150 on the transportation.

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Siddharth Gadekar: Okay. Sir, secondly, now given that we are reworking on our steel plant capex, how should we think about the capex number over '26 and '27?

Abhishek Agrawal: See, for FY '26, the mining, the beneficiation, the pellet plant, the solar for both mining and pellet plant and a few other capex, which we envisage that all be done in FY '26. So roughly capex of about, say, INR1,000 crores to INR100 crores will be spent in FY '26. And FY '27, hopefully, we are able to come up with a concrete plan for the revised steel capacity. And if we are able to get the EC, so that expansion will happen in FY '26. But major expansion will start from '27. So depending on the revised steel capacity, we will come with the revised capex plan.

Siddharth Gadekar: But sir, any ballpark numbers?

Abhishek Agrawal: For example, if we do a 0.8 million capacity or 1 million capacity, the figure be somewhere about INR300 crores to INR400 crores. If you even consider INR400 crores to INR 450 crores per 1 lakh ton of steel. So 0.8 million, INR3,500 crores for 1 million, probably INR4,000 crores. That's a ballpark figure.

Moderator: The next question is from the line of Mohammed Sheikh Sahil from IDBI Capital Markets.

Mohammed Sahil: Can you please provide the guidance for FY '26 in terms of revenue and EBITDA margins?

Abhishek Agrawal: The mining will start in FY '26 and the pellet plant. And unfortunately, the mining will not start until at least Q2. So in terms of revenue, you can consider probably additional production of say, about 0.5 million to 0.6 million of pellet for the new pellet plant. So probably we produce about 3 million pellets. So that additional revenue will be added.

And EBITDA, we expect the current market scenario to be somewhere probably you can add the additional volume which will come from pellet additional EBITDA you can add. So not much improvement compared to FY '25. But FY '27, there will be a substantial jump because the mining will be at full capacity and the new pellet plant will get full capacity.

Mohammed Sahil: Okay. And what are we targeting for FY '27 EBITDA?

Abhishek Agrawal: To be honest, 4.5 million capacity of pellet and plus addition everything bare minimum is about INR50 crores to INR800 crores of EBITDA FY '27. But of course, it's a very -- I would say, it's a very assumption-based because you don't know where the market is going to be in next 15 months being a commodity market. But yes, for current market scenario, you can easily assume an additional EBITDA of close to INR600 crores from any pellet plant.

Mohammed Sahil: Okay. And sir, second question is regard with the Jammu Pigments. Sir, what was the contribution to the top-line for that subsidiary?

Abhishek Agrawal: Sorry, can you please come again?

Mohammed Sahil: Sir, in regards to Jammu Pigments, sir, what was the contribution to the top line in terms of percentage?

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Sanjay Bothra: What happened in this quarter in Jammu Pigments, we have acquired only 21.46% till December '24. So the top line is not added line by line. It is considered as a joint venture company. The share of profit is only considered in our numbers. And this acquisition was made on 20th November '24. So for a

limited period of 40 days, around INR50 lakhs profit is considered as a share of profit from joint venture company.

Moderator: The next question is from the line of from Jash from Dalal & Broacha.

Jash: My question is on the steel plant. So earlier, so there was a lot of back and forth on the steel front and now we have finally decided to drop it. So was there any concern from the environment clearance perspective because we were expecting -- we had a lot of delays on the environment front. So was that the case and that's why we are dropping? Or is that because of the higher capex?

Abhishek Agrawal: See there are 2 things. One is, if you have got the environment clearance last year, we have definitely started the 2 million project. And of course, we would have -- but in the meantime, what has happened in the last 12 to 15 months when we have done the detailed capex planning, we revised our envisaged number was not correct, right?

So from INR6,000 crores, the minimum is about INR8,000 crores. So that is one probably mistake I would admit, it was done from our side in charging the initial capex. Plus with the current market scenario with so much of steel capacity in flat segment only added by primary, which is coming already in line and coming in future, we decided it's better to probably look at some other products rather than competing with the big guys. So these 2 situations, there was a reason for us to scrap the 2 million project.

Jash: Right. And sir, because the Boria mines will be coming on board in FY '27. And so because of that itself, we are venturing into this steel capex. So are we confident that we will be on -- this 1 million ton that we are envisaging will be on that frame so that the earnings don't take a hit?

Abhishek Agrawal: No. See, definitely, we want to invest into steel because eventually, so much pellet capacity is also not right, right? You put everything in one basket with so much of pellet as a merchant sale. So you want to convert a pellet into steel with a lower capex. So the idea is not to borrow from land, convert a pellet into value-added steel and go with a lower capacity. So the steel plant will definitely come up. Does that mean we are -- probably we will need some more time to come at a complete plan and a concrete capex.

Moderator: We have our next question from the line of Aditya Welekar from Axis Securities.

Aditya Welekar: Sir, my question is with regard to this drop in the realization of the pellet. So you alluded to that the pellet capacity coming in the vicinity of Raipur and in Chhattisgarh. So in the medium to long term, structurally, do you see any risk from these pellet plants coming up and putting pressure on the pellet prices structurally going in future?

And how easy for someone is to put the pellet plants? Do these pellet plants have the iron ore as a backward integration or people can set up the pellet plant and it can put risk to our pellet price realizations in the future?

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Abhishek Agrawal: See, firstly, buying fines in the market and investing in pellet plant, I don't see a business proposition there. I don't see -- it's always going to be a struggle to buy fines in the market and make money in the pellet business. In our case, because we have captive iron ore mines, so 100% iron ore from captive, so we'll always be making the money, right?

In terms of competition, there will be competition because see even Lloyd is coming out a 4 million plant in Maharashtra, right, which is very close to Raipur, right? So even he'll be targeting the areas around Chandipur and Chhattisgarh. So there will be competition. So that is the reason in the longer term, we want to hedge our pellet beds and use those additional pellets

into captive steelmaking in the longer term.

Moderator: The next question is from the line of Chirag Singhal from First Water Fund.

Chirag Sin

ghal: Just 2 questions from my end. The first is on the industry. So can you please share what was the pellet capacity that was commissioned over the last 1 year? And how much capacity are you expecting to come up, excluding our expansion in the near term?

Abhishek Agrawal: So the capacity which has come up in last 12 months is close to about 2 million tons, and which is -- I'll tell you there's another difference also. What has happened is now -- so for Orissa people, the merchant pellet plant, Bengal was a big market for them in terms of the pellet sale. What has happened is in Bengal, every steelmaker has invested in a pellet plant and now rather than buying from Orissa, rather they are selling into the market. So a buyer has become a seller.

So what has happened is all the Orissa pellet plants are now focusing towards Chhattisgarh because that is the closest to them. So there is additional volume which are coming to Chhattisgarh from Orissa pellet makers. That is one reason.

Secondly, in terms of additional capacity, which is added, so there's another Lloyds is 4 million tons, which will come up in again Q1 of FY '26. And in Raipur itself, additional capacity of 2.5 million tons is also coming up. So put together, Lloyds plus commissioned 2 million and an additional of 2.5 million. So apart from Godawari, about 8 million tons of pellet plant is being commissioned in the next 6 to 8 months, which is a good capacity.

Chirag Singhal: 8 million tons of additional capacity, excluding Godawari?

Abhishek Agrawal: Excluding Godawari commissioned and to be commissioned.

Chirag Singhal: Okay. So this includes 2 million tons, which has already been commissioned?

Abhishek Agrawal: Yes. Yes, 2 million already commissioned and another 6 million will be commissioned in the next 6 to 8 months.

Chirag Singhal: And what is the total capacity in India and how much of that is exported?

Abhishek Agrawal: So currently, the pellet capacity in India installed capacity is close to about 150 million tons with an average utilization of 80%. So I think in FY '25, India probably will produce about 110, 150 million tons of pellets.

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Export is hardly because only port-based players like BRPL or say, Mandovi Goa or say, Asit Mittal, only these players are exporting certain volumes because for them being at the port, the logistics cost to transport the material from inland to port is very minimum. So those plants become commercially viable for export. But apart from that, right now, there are no exports of pellets happening from India.

Chirag Singhal: And my second question is on the price trend. So you mentioned that the prices were lower during Q3 because you have to export more because of the overcapacity. Now if I look at, let's say, we are now going to have the normal realizations because of higher domestic sales. If I look at the steel mill data, prices are almost flat for this quarter versus the previous quarter. So is it fair to assume that our realisation will be at least higher by INR1,000 over the reported quarter, which is Q3?

Abhishek Agrawal: See, the pricing, we only exported 50,000 tons of pellets against the volume of 3 lakh tons, which is hardly about 18%. So for the evangelization of Godawari in Q4, the impact will be bare minimum. But what has happened is the volumes which are accumulated in the plant as an inventory in Q3, all those volumes sold in Q4. So the Q4 volumes plus additional Q3 inventory volumes will be sold in Q4. So that will add to substantial EBITDA for Q4 in Godawari.

Chirag Singhal: So you are saying that in Q4, we should not expect a lot of improvement in the pricing versus Q3?

Abhishek Agrawal: Yes. Pricing will not be a substantial difference, but the volumes of sales in Q4 will be much higher compared to Q3. Substantial difference will be there.

Moderator: The next question is from the line of

Suraj Khan from SKP Securities.

Suraj Khan: My first question was for the pellet plant. So we actually sell high-quality SE content pellets. So it uses less of coking coal. Now that prices of coking coal has gone down, how do you see this thing because the coal prices are -- high-quality pellets are more in demand as it saves cost on coal. So was that the reason why our pellet sales have gone down apart from the new plants that have been set up?

Abhishek Agrawal: So, I'll tell you, for Godawari, the pellet sale has been in the domestic market, where 90%, 95% buyers are of coal-based GRI. We hardly sell pellets to any blast furnace. We do get orders here and there, probably once in a couple of months by a blast furnace. For example, currently, we are giving order for JSPL, for the blast furnace.

So the pellet pricing for Godawari is totally based on the domestic market, which is coal-based GRI, and there is substantial demand because our pellets are low alumina and low force for which we continue to drive the same premium as before. The only reason the sales were down, so you can see an impact on the numbers. When the sales are up, you'll see -- you won't see a difference in the numbers.

Suraj Khan: Sir, my second question is regarding the expected capacity utilization after the new plant is set up. So what is the guidance for FY '26 and FY '27 for this pellet plant?

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Abhishek Agrawal: See, for FY '26, we'll continue to produce about 2.4 million, 2.5 million from the current capacity, and you can see additional 0.5 million or 0.6 million from the new plant. So about 3 million, 3.2 million of pellets we can assume in FY '26. By FY '27, we will produce a full capacity of, say, 4 million, 4.5 million tons of pellets.

Suraj Khan: And sir, my follow-up question will be regarding the margins of each product. We are selling 5 products. So how much margins are we realizing from each product, like, for example, pellets, HB wires and its kinds?

Abhishek Agrawal: See pellet everything in market where everything is stable, we do about roughly -- so our pellet cost is about INR6,000 per ton and the average selling price is about INR10,000. So we make a margin of about INR4,000 on pellets on ex plant basis. And we sell finished, which is wire rod and HB wire. So if you see from sponge because sponge is captive. So from sponge to a finished sale and with all the infra and the power cost, we make about INR5 to INR7 there. So INR4 from pellets plus additional INR5 to INR7 from the steel capacity.

Suraj Khan: And one more question was regarding who are the top 3 players whom GPL sell pellets? And what is their percentage?

Abhishek Agrawal: The top 3 buyers for GPL. So Prakash Industry, which is in has been a big buyer, plus there are a couple of local guys. One is a group called Real Ispat Group is a big buyer and another group called Kanukripa. So all the domestic players which are the major buyers of Godawari pellets on a long-term basis.

Moderator: We have our next question from the line of Rakesh Roy from Boring AMC.

Rakesh Roy: Sir, my first question to check the new pellet plant is we are increasing from 2.7 to 4.7?

Abhishek Agrawal: Right, correct.

Rakesh Roy: And you are saying for FY '26, you will do for 2.7, 2.4, 2.5...

Abhishek Agrawal: What I told you was -- so current guidance, if you see from last 2 years, about 2.5 million tons of pellet we are doing, right? 2.5 million plus additional, say, about 0.7 million to 0.8 million tons from the new plant because the plant will get commissioned in Q2. It will take about 6 months for stabilization. So you can consider 40% capacity. So FY '26, we'll do about 3 million to 3.25 million tons of pellet. But FY '27, we should do about 4.5 million tons of pellets.

Rakesh Roy: So for new pellet ton we have tied with GAIL. It is totally gas operating now?

Abhishek Agrawal: So ye

s, we have done an MOU with GAIL. So currently, we use producer gas as a fuel for pellet plant. For the new pellet plant, we will switch to natural gas. And depending on the commercials and how the plant performs, given the situation, we might convert the entire on the 3 pellet plants to natural gas. It depends on the scenario going forward.

Rakesh Roy: Sir. If we use gas, definitely, our margin will improve. How much margin we are looking for improvement in margins?

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Abhishek Agrawal: No. See, to be honest, natural gas for India, especially for where our plant is, will never be cheap because natural gas is imported in India, then there is logistics cost. So commercially, there will not be any benefit by switching from coal gas to natural gas.

The only reason is going forward with so much of capacity, if we have to export. So we're looking at -- if you look at the Europe market, the CBAM will be in place from January '26, right? In all those scenarios, we want to start natural gas. And in longer term, probably we'll see if there is saving or there is no saving. We want to keep options open.

Moderator: We have our next participant from the -- we have next question from the line of Yogansh Jeswani from Mittal Analytics.

Yogansh Jeswani: So Abhishek, sir, can you also share how much was our contribution from the high-value export that we used to do? And how will that shape up given the entire scenario that you have discussed so far in terms of new capacity coming in and we're also coming up with the beneficiation plant and bigger pellet capacity?

Abhishek Agrawal: See, currently, our high-grade production is about 65%, 35% is the high grade, right? And the

new capacity, which will be coming up will be totally high grade. So going forward, our high grade will be close to about 80% and 20% will be the commercial grade, which is in the domestic market.

We are open with options of selling high grade in the domestic market if there is a demand -- if there's no demand, we're also open to doing exports, probably supplying to big players like the blast furnace like JSPL, Tata if there is a demand in the market. So the options are open. The quality is there. We deserve a certain premium. So depending on the situation, we will keep selling it there.

To be honest -- we really can be fixed about we have to export and we don't have to export. Depending on the focus of the companies to realize the maximum value of every ton of pellet we sell.

Moderator: We have our next question from the line of Manav Gogia from Yes Securities Limited.

Manav Gogia: So one question I wanted to ask was on the maintenance shutdown that we did for Q2 for the pellet plant. Were there more days during Q3 as well where we did some shutdowns were in place?

Abhishek Agrawal: See I'll tell you what happens. So there is a big annual shutdown, which we usually take during the monsoon. And then there might be small shutdowns of 3 days, 4 days for certain maintenance. So that's a part and parcel of the business. But eventually, it doesn't impact the year volume. So if you see our guidance for this year, and we are on track, and we will be able to achieve that.

Manav Gogia: Sure. Got it. And the annual shutdown...

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Abhishek Agrawal: You need to get one big shutdown, annual shutdown and then there are probably a couple of small shutdowns of 4 to 5 days only, just to keep the plant running at full capacity.

Manav Gogia: Got it. And sir, what would be the duration of the full shutdown that like the big one that you take on an annual basis?

Abhishek Agrawal: See, it's about 30 days, 25 to 30 days.

Moderator: We have our next question from the line of Siddharth Gadekar from Equirus Securities.

Siddharth Gadekar: Sir, just one question on the external pellet purchases. How much have we

purchased this year

in 9 months? And what would be the full year's purchases?

Abhishek Agrawal: You mean fines because you mentioned pellets.

Siddharth Gadekar: Yes.

Abhishek Agrawal: Okay. So see, roughly, our current mines capacity gives us about 70%, 75% of the requirement. So we purchased about 50,000 tons of iron ore from the market, 50,000. So about 6 lakh tons annually we purchase from the market currently.

Siddharth Gadekar: Sir, and going ahead into FY '26 from the mine start, this will go to 0, right?

Abhishek Agrawal: Sorry?

Siddharth Gadekar: Once our mines start the expansion comes in, this will go to 0, right?

Abhishek Agrawal: 100%, yes. So once the mining capacity is full capacity, so our current requirement, which is buying from the market plus the additional requirement, everything will become captive.

Moderator: We have our next question from the line of Divya Agarwal from Ficom Family Office.

Divya Agarwal: So just wanted to know what's the yield rate that you get on the beneficiation plant?

Abhishek Agrawal: Okay. So on the BMQ side because it's low grade, we do about 50%. And on the plant side, so the yield is about 80%, 85% on an annual basis.

Divya Agarwal: You mean BHQ, you do BHQ as well?

Abhishek Agrawal: So BMQ is about 50% and iron ore, which is about high grade, 60-61. From that, we get about 80%, 85% on an annual basis. To maintain the pellet quality.

Moderator: We have our next question from the line of Chirag, an individual investor.

Chirag: Sir, can you provide a brief overview of the entire production process at GPIL starting from iron ore to pellet production, moving downstream to sponge iron and pellet. How does the integrated operation function?

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Abhishek Agrawal: So basically, it's mining, then pellets, pellets affect to the DRI for making sponge iron, sponge iron now effect to the steel making, which is in furnaces along with a little bit of scrap. And then billets are being hot charged to the rolling mill for making wire rods and structures, which we recently commissioned and wire rods are further rolled into cold rolled into HB wires. So basically, we sell wire rod and we sell HB as a finished product. And pellet because we have additional capacity. So that is the entire process. That, of course, the captive power.

Chirag: Yes. Regarding the 0.5 million ton integrated steel plant, what specific products are produced

within this capacity? If you consider the combined production of MS round, iron HB wire, the total exceeds 1 million tons.

Abhishek Agrawal: No. So see, currently, our steel capacity is about 0.5 million tons of crude steel, which is billets. So 0.5 million, about 0.2 million- 0.25 million is wire rods and about 0.2 million- 0.25 million will be structures. The new mill which is commissioned in RR ISPAT, right? So going forward, once the RR ISPAT mill gets fully operational to at full capacity, so billets, so 50% will be structured and 50% will be wire rods as finished products.

Moderator: Ladies and gentlemen, due to time constraint, that would be the last question for today. And I now hand the conference over to the management for closing comments. Over to you, sir.

Sanjay Bothra: Thank you. We would like to express our heartfelt appreciation for joining us on this conference call, and we are confident that we have adequately addressed all your inquiries.

Should you have any further questions or need additional information, please feel free to reach out to our Investor Relations team at Go India Advisors. Once again, we sincerely thank you all for your active participation and unyielding support. Thank you. Thank you very much.

Abhishek Agrawal: Thank you.

Moderator: Thank you. On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

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REF : GPILINSE&B SE/2025/5 869

To,

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai-400001.

Scrip Code: BSE: 532734

Dear Sirs, Date: 23.05.2025

To,

National Stock Exchange of India Limited

Exchange Plaza, C/1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai-400051.

Scrip Code: GPIL

Sub: Submission of Transcript of Conference Call held on 21st May, 2025 regarding Q4 and FY25 Results.

This has reference to conference call held on 21st May, 2025 to discuss the results and performance of Q4 and FY25 for Analysis of Institutional Investors/Fund House/Investor setc.

Please find attached herewith the Transcript of Conference Call held on 21st May, 2025.

The aforesaid information is also being hosted on the website of the company viz.,

www.godawaripowerispat.com at Investors Information > Shareholders > Notices.

Thanking you,

Yours faithfully,

For Godawari Power And Ispat Limited

-Le. Y.C. Rao

Company Secretary

Encl : As Above

Godawari Power & Ispat Limited

An ISO 9001 :2015, ISO 14001 :2015 & ISO 45001:2018 certified company

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"Godawari Power and Ispat Limited
Q4 FY '25 Earnings Conference Call"
May 21, 2025

MANAGEMENT : MR. ABHISHEK AGRAWAL – EXECUTIVE DIRECTOR –
GODAWARI POWER AND ISPAT LIMITED
MR. DINESH GANDHI – EXECUTIVE DIRECTOR –
GODAWARI POWER AND ISPAT LIMITED
MR. SANJAY BOTHRA – CHIEF FINANCIAL OFFICER –
GODAWARI POWER AND ISPAT LIMITED
GO INDIA ADVISORS – INVESTOR RELATION

MODERATOR : MR. AMIT LAHOTI – EMKAY GLOBAL FINANCIAL
SERVICES

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '25 Earnings Conference Call of Godawari Power and Ispat Limited, hosted by Emkay Global Financial Services Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Lahoti from Emkay Global Financial Services.

Thank you, and over to you, sir.

Amit Lahoti: Thanks, Pooja. Good morning, everyone. Welcome to Q4 FY '25 Earnings Call of Godawari Power. We have with us today Mr. Abhishek Agrawal, Mr. Dinesh Gandhi and Mr. Sanjay Bothra. I thank the management for giving us the opportunity to host this call.

I now hand over the call to Mr. Gandhi. Over to you.

Dinesh Gandhi: Thank you, Amit. Good afternoon, ladies and gentlemen. Thank you for joining us today for Q4 and FY '25 Earnings Conference Call of Godawari Power and Ispat Limited. Our financial results press release and earnings presentation have been uploaded on our website as well as on the Stock Exchanges website. I believe you have had a chance to review that. I'll briefly take you through the operating performance and financial results, after which we will have question and answer session.

At the outset, I would like to mention that over the last 5 years, GPIL has shown consistent financial strength with compounded annual growth of 10% in revenue, 14% in EBITDA and 36% in PAT. Coming on the operational performance for Q4 FY '25 and full year FY '25. I'm happy to share that GPIL has achieved highest ever production in sponge iron, steel billets, ferro alloys and power in FY '25.

The company has fully met its FY '25 production guidance for iron ore mining, pellet, sponge iron while surpassing the target in ferro alloys and rolled products with 126% and 106% achievement. FY '25 production of iron ore mining, steel billet, HB wire, ferro alloys, galvanized products shown an increase whereas pellet and sponge iron were almost flat. On a quarterly basis, iron ore mining pellet and galvanized product shown consistent increasing trend both on Q-o-Q and Y-o-Y basis.

The iron ore mining was also helped by the commencement of production in Boria Tibu mine. For FY '25, shallow pellet, sponge iron, HB wire, ferro alloys shown a growth. On a quarterly basis, iron ore pellet, galvanized product shown an increasing trend both on quarter and Y-o-Y basis. As you would have observed in our result publication, FY '25 realization for almost all products, excluding ferros was in the downturn, they are ranging between 1% to 8%. There was a fall in realization.

On a quarterly basis, realization of pellets declined, while rest of the steel products were largely flat, except for ferro alloys, which saw an increase of 9% Y-o-Y and 5% quarter-on-Godawari Power and Ispat Limited

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quarter basis. Our Ferro Alloys division has also performed remarkably during the year with Hira Ferro achieving an EBITDA of INR80 crores. During the quarter, the company has resumed production in Boria Tibu mine, which has helped improve iron ore mining production.

The company has also started commercial production of rolled products in the form of structural steel in our newly commissioned rolling mill in our galvanizing division, which has reduced the dependence on market for structural steel for galvanizing division. The company is further awaiting approval of GPIL steel billets for HT grade that is grade E350 and once the PGCIL approval is received, GPIL will be able to offer full range of galvanized products for PGCIL transmission projects.

Coming to the volume

guidance for FY '26, company expects iron ore mining and pellet production of 3 million tons each in FY '26, sponge iron production of 5.94 lakh tons, steel billets 500,000 tons, rolled products 375,000 tons and ferro alloys around 90,000 tons. Coming on the consolidated financial performance. In Q4, revenue increased to INR1,464 crores on quarter-on-quarter basis while decreased slightly on Y-o-Y basis due to drop in realization. EBITDA and PAT increased 44% and 53% respectively to INR318 crores and INR221 crores on quarter-on-quarter basis due to increase in production and sales volume of pellets, galvanized products and rolled products. On a yearly basis, the revenue remained flat almost as compared to FY '24 level.

The increased production and sales volume were offset by drop in realization. Fall in consolidated EBITDA and PAT was mainly due to decrease in realization. Despite challenges, EBITDA margin and PAT margin stood strong at 22% and 15%, respectively. The company

has a net cash of INR863 crores as on March 31, 2025, with healthy balance sheet. The Board has recommended a dividend of INR1 per share, that is 100% on the paid-up share capital of the company.

I would now like to take you through the certain updates on the growth plan of the company.

On the capacity front, approval for expansion in iron ore mining capacity in the Ari Dongri mine from 2.35 to 6 million tons. The same is expected by Q3 FY '26. The approval is further delayed owing to compliance of an additional condition by mining department; however, company is confident of getting the final approval by Q3 FY '26.

The 2 million ton mining pellet expansion is progressing as per plan and is expected to be commissioned in Q2 FY '26. Additionally, company plans to increase capacity of steel melting shop by another 50,000 tons, bringing the total capacity to 575,000 metric tons. This expansion is expected to be commissioned by Q4 FY '26. To support the power requirement of additional steel melting capacity, the company has decided to set up an additional 30 megawatts of solar power plant.

Hence, the total capacity of under construction solar project increased to 125 megawatt which is for the -- meeting requirement in additional pellet capacity beneficiation plant at Ari Dongri mines and steel melting expansion. The company has already acquired the land for the solar

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project and has finalized the contracts for execution of project. Following this expansion, the overall solar power capacity will rise to 290 megawatts entirely for captive use.

On decarbonization front, GPIL has signed an MOU with Siemens Energy to implement waste heat recovery project, which is currently underway and targeted completion by March '26.

Furthermore, a letter of intent has been issued to IIT Mumbai for technology transfer for technology transfer for 5 ton per day carbon capture unit also expected to be completed by March '26. These initiatives along with replacing diesel and petrol vehicles with electric ones for internal transportation mark important steps in our journey towards becoming net carbon zero emission by 2050.

Our CO2 emission per ton of steel has shown significant reduction in the last 3 years. The company has got approval of PGCIL for supply of steel billet for the structural steel manufacture of galvanized product for transmission project. This is further expected to improve our operating margins once the HC grade of billets are approved by the PGCIL for which an inspection has already been done, and we are awaiting the approval shortly.

I would also like to mention that during the current financial -- during the financial year '25, the company has acquired 43.96% stake in Jammu Pigments on a fully diluted basis. The company is engaged in recycling of nonferrous metals and JPL has expertise in processing complex mixture of industrial waste of non-fer

rous metals.

Although the company had acquired 51% stake in this company, however, this stake has gone down to 43.96% on account of allotment of an additional shares to the promoter of the company to repay their outstanding loans. The loans -- the company was having certain loans from the promoter, which has been converted into the equity by raising additional capital.

In FY '25 company has achieved a net sales of INR860 crores, EBITDA of INR79 crores and PAT of INR37 crore. And in Q4 FY '25 net sales was INR237 crores, EBITDA of INR34 crores and PAT of INR14 crores. The company is confident of growing volume is Jammu Pigments Limited and is actively engaged with the promoters and the company management to increase the productivity across the various units.

GPIL has also identified the land for purchase of -- for capacity expansion and consolidation of operations to a single large location. The management believes that JPL will create substantial value for GPIL shareholders. The company has received final approval from -- consent to operate for enhanced capacity of 495,000 tons to 594,000 tons. It will be mentioned that earlier the approval was given on provisional basis and now the company has received the final approval.

The company has also initiated ESG rating by appointing CARE to rate the company-owned ESG score. It is -- we were given an ESG rating of 3 with a score of 51. The company is working towards improving the ESG score in consultation with the rating agencies. CRISIL has reaffirmed credit rating of AA minus Stable and CRISIL A1 plus for long-term and short-term credit facilities of the company.

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Coming on the market outlook. On international front, global iron ore prices have remained within the range of \$95 to \$105 so far this year. Currently, hovering at about \$100. The first

half of the year was supported by weather-related production losses. The second half will see increased supply and might put pressure on the iron ore pricing.

The recent geographical tension continues to weigh on global demand supply dynamics. There is a hope that China will continue to provide stimulus to support the economy. At the same time, post 4, 5 years of decline in China's housing sector is also expected to stabilize. This, along with rising cost curve will support the iron ore prices on decline. For FY '25, we expect the iron ore prices to range between \$90, \$105 or maybe around closer to average of \$100. On domestic front, iron ore prices, NMDC – Fines 64Fe have been on upward trend year-to-date, currently trading at approximately INR5,500 a ton. This increase is driven by rising steel demand in domestic market supported by implementation of strategy. Iron ore pellet prices have traded around INR9,000 to INR10,000 a ton with current level of about INR9,500. Going forward, prices are expected to fluctuate with INR9,000 to INR11,000 range. Government in its recent budget has earmarked INR11.2 trillion capital expenditure for '25-'26, reflecting 10% rise from previous year. This major investment in infrastructure, including road, railway, urban development support from the government in terms of Safeguard Duty is set to significantly boost steel demand.

With our 4 decades of experience in iron and steel industry, business leadership is committed seeing GPIL stays on a strong foundation of expertise and resilience, our solid cash position combined with the advantage of captive iron ore mined, highlight pellet production provides competitive edge in the market.

The company's forward-looking capital expenditure plan under consideration and strategic diversification into recycling business reflect our commitment to innovation and sustainability. In addition, our cost-saving initiative investment in solar power plants and many other environment-friendly steps to reduce carbon emission demonstrate our dedication to

responsible growth. Supported by all stakeholders, GPIL is confident towards moving a future of sustainable and enduring success.

We can now open the floor for question and answers. Thank you.

Moderator: The first question is from the line of Manav Gogia from Yes Securities.

Manav Gogia: First of all, congratulations on the good set of numbers for the quarter. So my first question comes on the mining ECs for Ari Dongri. I just wanted to know that looking at the FY '26 guidance for iron ore mining, are we building in any part of the ore to start flowing through from Q4 onwards?

Abhishek Agrawal: Manav, so just to update on the mining part. So the current set of numbers, which we have proposed for the FY '26 we have partly considered a very small quantity from iron ore mining.

So against last year's -- so this year, we have considered iron ore mining at 2.7 million, 2.8

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million tons against 2.4 last year. So partly, we expect in Q4 January onwards, we should be able to ramp up the mining capacity, so that's why a very part quantity has been considered. Plus our second mine Boria Tibu, which has also started operations a couple of months back, some quantity will be consumed there as well. So put together, this year's mine target is about 2.7 million, 2.8 million tons by FY '26.

Dinesh Gandhi: No, no. 3 million tons.

Abhishek Agrawal: Sorry, 3 million tons, sorry. Yes, Boria plus the expansion and, of course, the old capacity is 3 million tons.

Manav Gogia: Got it, sir. Sir, additionally, I know, I mean, you guys are quite confident on getting the ECs.

My question is, just in case the company faces any challenges where the ECs are not received, what would be our plan to...

Abhishek Agrawal: Just to interrupt, just to -- I do understand that it's a very important question because there has been delays from past few quarters. So unfortunately, the LOI has been issued by the state government, which is part of the document, but there was a condition which we were not aware of, where we have to do some more testing and finally give them a composite report done by a third party.

So now they want to report from a third party. Earlier, we had given them reports, but now they want a third-party report. So that is still another 6 to 8 weeks. So that is why it is delayed. Otherwise, the process is on. We should be able to get this report by first half June. And basis that, we will start filing for the public hearing and filing the mining plan. So there's just a delay. We are very confident, and there is no need for plan B. I can assure you that.

Manav Gogia: Sure. That was really, really helpful, sir. Sir, one more question I have on the mine is -- so early in April, we had received an update that the Boria Tibu mine had went out of operations, suspended, I think, temporarily. So we are back in production at that mine, right? We don't...

Abhishek Agrawal: No. So finally -- okay, so there were some lapses in the renewal of Boria Tibu as per IBM. So we have completed all the formalities now. We are waiting for the clearance from IBM, so that clearance we should get this week. So from end of May, the Boria Tibu mine will be back in

operation at full flow.

Manav Gogia: Sir, my second question is on the operational front. The sponge iron production volume saw a 39% fall on a quarter-on-quarter basis. So can you just highlight the factors behind the same?

And wanted to know that did we meet the needs for billet production captively? Or did we have to source the material through the market for this quarter?

Abhishek Agrawal: Okay. So a couple of things. Firstly, so currently, the capacity of sponge iron we have is 5.94 lakhs, so we had achieved that same capacity by mid of February. So we had purposely planned a modification in a couple of our kilns along with the turbine. So we have changed with a more efficient turbine. So the entire

shutdown period was planned because we had

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already achieved the capacity of 5.94 sponge iron, which we make. So there was no sudden breakdown.

The sales -- the volume growth is less because we have already achieved 5.94 in past 11.5 months. That is why, because we can only produce 5.94. But you see this quarter also, my both kilns after modification have started in first week of May. So again, the volume in Q1 will be less. But eventually, for the entire year, we'll be able to achieve 5.94. So that's how we have planned it.

Manav Gogia: Sure, sir. Sure, sir. And just following up on the same thing. For pellets, I think this quarter, we have seen a massive jump on the sales side of the things. So I wanted to know that usually we sell around 400,000 in the market and the rest is used for the captive need. So what were the reasons behind this jump? And were...

Abhishek Agrawal: Yes. So if you remember, in end of Q3, there was a pile of inventory of pellets because of the subdued market conditions, plus my 2 bigger kilns, so almost for 45 days in this quarter, my captive consumption was only 40% for pellets. So that additional 60% of pellet volume for Q4 as well as the inventory in Q3, both were sold and cleared in this quarter. That's why you can see a big jump in the pellet sale volume. Otherwise, no specific reason. This is the only reason. It's a onetime thing.

Manav Gogia: Got it. Got it. And did we export any of the volumes during the quarter? Or was it...

Abhishek Agrawal: We did. We did export one vessel during January month. Apart from that, everything is going domestic. And right now, everything is going domestic.

Moderator: The next question is from the line of Rakesh Roy from Boring AMC.

Rakesh Roy: Sir, my first question regarding, sir, after government of India just recently put the Safeguard Duty. So can we see any price increase from your side in pellets in Q1 or you have taken any price increase in Q1?

Abhishek Agrawal: See, of course, so we know government has imposed a duty for 6 months with a minimum pricing mark. But we all need to understand the duty has been imposed on basically the HR coil or value-added products, which are usually catered by the primary steel market, right? Because of sentiment, there was a slight increase in the pricing for 2 months, you can say between 15th of March until, say, end of April, early May.

But since second half of May, the market has again reversed. The market has again touched the same levels, which was in Q4. So there was a slight jump in the pricing owing to sentiment, but now since monsoon is approaching, so demand is quite weak right now. So market has reversed. So not much of a difference, I would say, in the last 2 months. It went up about a 10%. It came down a 10%. So it's at the same levels now.

Rakesh Roy: So we have not taken any price increase? And for Q1, we can say for Q4 price or Q1 price is same for pellets?

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Abhishek Agrawal: So see, there will be a slight price difference, but what happened, so usually, we have an order book of almost 45 days. So early Q1, there was a price jump, but end of Q1, there'll be again a price low. So you can consider Q4 and Q1 prices on the same level for pellets, more or less. More or less.

Rakesh Roy: And sir, my next question, sir, how much margin you are targeting for FY '26 after this, lot of prices in the global market is changing daily on daily for iron ore coke, how much margin you are expecting for FY '26?

Abhishek Agrawal: See, as per our current guidance volume for FY '26, we are confident we should be able to achieve what we have achieved in FY '25, which is about 20%, 20% plus. But of course, subject to how market remains. But if you take today's market conditions, we are confident we can achieve what we have achieved last year on a sim

ilar level.

Rakesh Roy: And for revenue side, sir, how much top line we are expecting?

Abhishek Agrawal: Sorry, come again?

Rakesh Roy: For revenue side, how much top line we are expecting for FY '26?

Abhishek Agrawal: See, so there will be 2 couple of things in this year. One is my new pellet plant will be commissioned by end of Q2 as we have informed everybody. So the additional volume of pellets will start giving us additional revenue. And secondly, my new subset rolling mill, which has just got commissioned last quarter, so that will be -- that will give us an additional volume of about 1 lakh tons. So we can say roughly about 5 to 7 additional -- or probably 5%, 7% of additional volume we can see this year in terms of profit top line, 5% to 7%.

Moderator: The next question is from the line of Sahil Sanghvi from Monarch Network Capital.

Sahil Sanghvi: I appreciate the volumes that you have done in pellet in just 1 quarter, and warm welcome to Dinesh sir also. My first question is, I see that the ore mining target is 3 million tons, and we are also targeting a 3 million ton pellet production. So I believe we will require more than 3 million tons of ore. So just if you can break down your ore requirements with respect to Ari Dongri, Boria Tibu and some external buying for the pellets.

Abhishek Agrawal: Yes. So this year, we have given a guidance volume of about 3 million of pellets with additional 0.5 million, 0.6 million coming from my new plant. So basis that and 3 million of mining out of which 2.4 million will be from Ari Dongri, about 0.4 million, 0.35 million will be from Boria Tibu, and about 0.2 million, 0.25 million will be from expansion of the EC, which is from the Q4 onwards. So that's how the breakup of 3 million of iron ore, which we've envisaged in this financial year.

The remaining Fines, roughly, say, about 0.7 million to 0.8 million, including my new plant capacity, we will be sourcing from the market. So right now we do about 0.5 million annually. So plus the additional requirement for my new pellet plant will be met initially. So on the year whole, you can consider about 0.7 million to 0.8 million of iron ore will be bought from the market for FY '26.

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Sahil Sanghvi: Got it. Got it. And roughly, just wanted to understand the demand scenario. So monsoon right now will be a little weak. But otherwise, any kind of -- I mean, any kind of slowdown are you seeing from the ground level?

Abhishek Agrawal: See, so market has reversed compared to probably in the month of April. The demand has gone down definitely at least for the secondary market, which has impacted the entire supply chain, right from sponge iron, domestic coal and even the pellet prices. So pellet prices have softened compared to a high of INR10,000 in last quarter to about, say, INR9,400, INR9,500 this quarter at the moment currently.

So we have seen a little bit of downside about 5% to 7%. Monsoons are still away. I would say we're still only in second half of May. Usually, monsoon arrives in July. So let's see how the market plays. Difficult to really envisage right now.

Sahil Sanghvi: Right. And assuming that we have our approvals in place, as you have guided with respect to the EC, are we targeting a 4 million ton kind of mining, ore mining from Ari Dongri for FY '27?

Abhishek Agrawal: 100%. So -- no, so FY '27, we are targeting the entire capacity. So right from 2.35 million, so we're targeting about 4 million of iron ore and 1.5 million of BMQ for my beneficiation plant from FY '27. Plus FY '27 will also give us the entire volume of the new pellet plant.

Sahil Sanghvi: Right. 4 million tons of iron ore and how much of BMQ?

Abhishek Agrawal: 1.5 million of BMQ.

Sahil Sanghvi: Okay. Okay. This is both from Ari Dongri or some...

Abhishek Agrawal: No, no, both from Ari Dongri. So if I see our current EC expansion of Ari Dongri, we are

saying 6 million iron ore, out of which 4.5 million is iron ore and 1.5 million is BMQ.

Sahil Sanghvi: Right. And do you also expect some contribution from Boria Tibu in FY '27?

Abhishek Agrawal: 100%. So this year, Boria Tibu should do about 0.4 million, 0.35 million, 0.4 million. Next, Boria Tibu will ramp up to 0.5 million. That's how we have planned it. And eventually, third year onwards, we will want to get entire 0.7 million from Boria Tibu as well. So next year, you can say 0.5 million Boria Tibu, 4 million from Ari Dongri and 1.5 million BMQ from Ari Dongri itself. That's how we have planned it.

Sahil Sanghvi: 6 million tons is what -- okay, okay.

Abhishek Agrawal: Yes, yes.

Sahil Sanghvi: And lastly, sir, I mean, we had some approvals awaited for the structural steel side of the -- what we are doing at the plant. So any developments on that front? We were trying to...

Abhishek Agrawal: So you're talking about the new steel project at Tilda, you're talking about the structure mill we've just commissioned?

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Sahil Sanghvi: Yes, yes. Just currently on the developments over there and any kind of further approvals we've got over there?

Abhishek Agrawal: Yes. So on the Tilda front, we have progressed well for the land allotment. Finally, the file has started moving. So we are confident we should be able to get the land by next 4 to 6 weeks.

And once the land is there, we should get the EC by a couple of months. So as of now, we expect the EC -- we should get the EC by Q2 of this financial year.

Sahil Sanghvi: Right, right. And any further approvals on the customer level for the structural steel that we were trying to push?

Abhishek Agrawal: No. So basically, so there are 2 grades of transmission line tower. One is the MS grade for which we have already got the PGCIL approval, where we have already started supplying to our end consumers. And for the second lot, which is the HT, high tension grade quality, the inspection has been done by the PGCIL team in last week. We hope to get their approval by end of this quarter, which is June. And from July onwards, we will offer the entire range of PGCIL-approved products in the market to our end consumers.

Sahil Sanghvi: Got it. Got it. And my last question is on Jammu Pigments. If I have to see your numbers in Q4, they were really extraordinary as to the margins also and the revenue also. So any kind of internal targets do we have for the growth on revenue and the margin that we're targeting on Jammu for FY '26? Jammu Pigment?

Abhishek Agrawal: Dinesh ji?

Dinesh Gandhi: No, Sahil, we'll not be able to give you the guidance on Jammu Pigment. But I can only tell you that we are actively engaged with the company. And a lot of improvements have been done over a period of last 3 months and more improvements are on the way in terms of productivity improvement. And as the productivity improves, the margins and the volumes will definitely increase. That is what our confidence is based on our working so far in the company.

And JPL really is on the right track as of now. And you will see the improvements over a period of time, but I will not be able to give you any kind of guidance on that company because we are still -- a lot of things we are trying to get hold on it before we can give any guidance.

Sahil Sanghvi: Sure, sir. Sure, sir. But just are the Q4 margins sustainable? Or should we assume that's more of a quarterly phenomenon?

Dinesh Gandhi: Quarterly volatility will continue to be there depending on the product mix, etcetera, because there are various products other than lead like tin, cadmium, zinc, these kind of value-added products, we are focusing on those products and certain assets have also been commissioned.

So those products will give a substantially higher margin than what we are getting on the lead.

So yes, but the margins will depend on the product mix

and final output.

Moderator: The next question is from the line of Aditya Welekar from Axis Securities.

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Aditya Welekar: My question is on the ferro alloys realization. So it has bucked the trend. So basically, we have seen in this quarter, steel price realizations have fallen, but ferro alloy realizations have improved on a quarter-on-quarter basis. So any outlook on the prices on ferro alloys? And the kind of guidance we have for ferro alloys is slightly less than what we have achieved for FY '25. So we have achieved 1 lakh tons and the guidance is slightly lower at 0.9. So any color on that?

Abhishek Agrawal: See, for the ferro alloys, yes, the margins have slightly improved compared to Q3 because Q3 was quite subdued in terms of entire steel market and ferro alloys is definitely a part of supply chain. Q4, the market improved. And Q1, the market remained stable compared to Q1. So we can see the license on the similar levels as Q4 for Q1. On the volume side, yes, we did cost 1 lakh tons. This year, the guidance is slightly less because we are planning some energy-efficient systems to be modifying the system regarding the new polishing equipment and new polishing norms.

That's why the guidance is slightly on the lower side. If we're able to achieve the modification, then in time, we are sure we can produce as per last year's volume. So that's why we have given a little conservative volume depending on our modification work, nothing else.

Aditya Welekar: Sure. And sir, the drop in the sponge iron production in this quarter, so have we sold our pellets externally, means directly to the third-party market?

Abhishek Agrawal: Yes. That's why the sale base of pellet in Q4 is much higher compared to Q3 because of the shutdown in sponge iron.

Moderator: The next question is from the line of Divya Agrawal from Ficom Family Office.

Divya Agrawal: Sir, I just wanted to know the iron ore pellet realizations have declined by 4% quarter-on-quarter and 6% year-on-year. So do you expect the realizations to improve from here on? And what was the reason for that? And how are the realizations in the international markets? Was it above -- were it more as compared to domestic market or like it was in the similar lines?

Abhishek Agrawal: See, currently, so last year, I would say most of the year, the export market was quite subdued compared to domestic market. The domestic prices were much, much higher. So if you see the entire pellet volume going out of India last year was much lower compared to a year before that. And right now also, the export market of pellet is quite subdued.

To give you a delta, so currently, the delta is almost at \$15, \$20. So domestic is much -- realization of domestic is about \$15, \$20 more compared to the international market. And looking at the current trend, it seems to be on a similar lines. So that's why the export volumes from our company was close to nil last year. That is one. Secondly, on the pricing side, see, 4%, 6% is not a big number because eventually, it's a commodity.

And steel demand does play a big factor in terms of deciding the pricing as well. So 4%, 5% is, I think, much acceptable. And this year as well, so if you say April was good, again, May is still better, but June onwards, you can see the demand and the pricing is on the lower side. So

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our guidance of 5% plus/minus is, I think it's quite acceptable. No major change for that, I would believe.

Divya Agrawal: Fair enough, sir. Fair enough. And in terms of domestic market, what kind of traction are you seeing? Like are there new capacities oversupply? How is the demand-supply situation in pellets in the domestic market?

Abhishek Agrawal: See, you have to consider region-wise, if you see the Eastern market, which is Bengal and Odisha, there is oversupply of pellets because

of additional capacity being installed, plus limited sources of fines available, which is mainly the Odisha market. But for Raipur market, the demand is much more because of the DRI capacity, which has been added in last 2, 3 years since COVID.

So abnormal capacities of DRI has been added in the Raipur market in the last 2, 3 years, because of which, for us, the pressure of selling is very seldom. Probably once in 4, 5 months, we will feel the pressure of selling the pellets. Otherwise, it's a cakewalk for us.

Moderator: The next question is from the line of Hitesh Popat, who is an Investor.

Hitesh Popat: Many congratulations to the management. The way GPIL is shaping up as a responsible ESG company with green initiatives not only benefiting stakeholders on cost saving, but also being environmentally sustainable.

Abhishek Agrawal: Thank you so much.

Hitesh Popat: Sir, I would like to know details on the loans we have extended, which is reflected in our balance sheet. And along with that, if we do have any intercorporate loans, whether taken or extended?

Abhishek Agrawal: Dinesh ji, Bothra ji. Dinesh ji, can you please...

Dinesh Gandhi: Yes. The loans, which includes on the long-term side, there are 2 parties, INR118 crores. On the short-term basis, we normally -- it is a part of the treasury management and short-term period, we get substantially higher rate of interest as compared to the rate offered by the banks. And as a part of treasury management, some loans have been given, which is to the external parties in the form of intercorporate deposits. So total exposure will be in the range of INR200 crores to INR250 crores, including long-term loans. So it will be a mix of long-term and short-term loans.

Hitesh Popat: Yes. If I am able to understand correctly, we are planning a fresh borrowing for the expansion we are pursuing. Am I correct?

Dinesh Gandhi: Yes. This INR300 crore borrowing, which we have proposed and took the approval of the Board is in order to manage the cash flow. In that, our actual requirement may not be there to the extent. We may draw some amount, we may not draw. But in order to maintain the cash flow and have some cash balance with the company because otherwise, our cash balances are

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tyed up with the current expansions in the plant. So just took an approval for INR300 crores from the Board, and we will take the sanction also. We'll draw as and when it is required.

Moderator: The next follow-up question is from the line of Rakesh Roy from Boring AMC.

Rakesh Roy: Sir, my first question regarding just -- sir, new pellet plant for FY '26, we are expecting 0.5 million tons for FY '26?

Abhishek Agrawal: Right. Correct, correct.

Rakesh Roy: And for rolling mill, we are expecting 0.5 lakh, 50,000?

Abhishek Agrawal: No, no. So there are 2 expansions. One is the new pellet plant. Second is we have taken an additional rule from the Board to expand the steel capacity from 5.25 lakh to 5.75 lakhs. So that is the 50,000 tons. And from the new structural rolling mill, which we have commissioned. So this year, we envisage production of 1.5 lakh tons.

Rakesh Roy: 1.5 lakh tons?

Abhishek Agrawal: So total put together, the rolling capacity will be 3.75 lakhs, out of which 2.25 lakh, 2.3 lakh will be wire rod and 1.5, 1.75 lakh tons will be the structured, which we just commissioned in last quarter. Yes. So put together about 3.7 lakh to 4 lakh tons of rolling, yes.

Rakesh Roy: So totally is 3.75 lakh?

Abhishek Agrawal: Yes, yes, put together both the products, both the mills.

Rakesh Roy: Okay. Right, sir. And sir, one more question regarding, sir. Sir, suddenly, sir, we see some -- every North or Western part, we are seeing some unexpected raining happening. So do you see also any problem in Raipur or unexpected rain or you have faced any problem in operation?

Abhishek Agrawal: No, no. See, we have s

pent well in the infrastructure catering because the monsoon in Raipur usually is quite good. It's from July till mid of October. So basis that, we have spent well in infrastructure. So even if there is a untimely monsoon, we are very well prepared and doesn't harm our operations at all. And our achievement of production guidance year-on-year clearly shows that.

Rakesh Roy: Okay. And sir, last question, sir, as you say, you get the EC by Q3 FY '26 for mining business?

Abhishek Agrawal: Very much, very much.

Rakesh Roy: And the mining operation from next year, FY '27?

Abhishek Agrawal: No. So you can see a slight ramp-up from Q4 onwards. But yes, majorly, you can see an incremental volume happening from FY '27. But you can see a slight increment from Q4 onwards.

Moderator: The next follow-up question is from the line of Manav Gogia from Yes Securities.

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Manav Gogia: Sir, one question I wanted to ask on the high-grade pellet premiums. Considering the drop in the pricing of pellets, are the premiums getting impacted as well?

Abhishek Agrawal: No, no. So we ensure that the premiums are always basis the commercial pellets. So premiums remain the same, plus INR500 is not a big number. But majorly, our premium remains quite constant for the entire year. We -- basis it are the commercial pellets. That's how we are marketing the product because of the quality and other parameters.

But -- so for example -- today, for example, the pricing is INR9,500. So pellet will be at INR10,000, INR11,000. If the pricing becomes INR9,000, our pellet will be INR10,500. So the delta between both the grades is constant.

Manav Gogia: Got it. Got it. Yes, sure, sir. So one question. Can you just let me know what was the landed cost of coal for us during Q4? And how do you see it shaping up during Q1?

Abhishek Agrawal: See, for Q4, the landed cost of coal was close to about INR11,750, the imported coal. And for Q1, the pricing will be somewhere about INR11,500, a slight reduction. But from Q2 onwards, we can see a sharp drop of almost 10% because even the international market has corrected quite a bit.

Manav Gogia: Got it. That was helpful. Sir, one more question is going to be on the CapEx expectation, right? What would be a number that we can see for both FY '26 and FY '27 going ahead?

Abhishek Agrawal: See, FY '26 with the current pellet project mines beneficiation, mines expansion and a few other energy incentive initiatives, we envisage the total outflow will be about, say, INR850 crores for this year. And next year, hopefully, we are able to start work on a new steel plant. So if that happens, then of course, the numbers has to change. But still it will be difficult to give you a right number right now. This year, it will be about INR800 crores to INR900 crores.

Dinesh Gandhi: No. We have given the number on the capex plan for the current year in our presentation that is capex sheet. So more or less all these expansion projects are likely to get commissioned in the current year and that is in the range of about INR1,000 crores remaining capex. So there is a pending beneficiation plant capex of INR150 crores, pellet plant is INR334 crores yet to be spent. All these numbers are based on March '25. Solar power project, there is a INR380 crore requirement. Energy efficiency project, INR56 crores. Altogether, INR950 crores to INR1,000 crores approximately.

Manav Gogia: Sure. Perfect. That was very, very helpful. And sir, on the new steel plant that is right now under discussion. So we are going -- like any idea on that we can get, whether it's going to be a greenfield expansion or probably a brownfield expansion at the current capacity?

Abhishek Agrawal: No. So the steel plant at the new complex will be definitely a greenfield expansion. There won't be brownfield. As I said, we are waiting for the land approval and hence, the EC. We should be

able to get it in the next 3 to 4 months. And our plan is more or less ready. But once -- until the time Board doesn't approve it, we really can't come into the market. So we're waiting for the EC to get approved. Once we have the approvals, we will definitely share with you. But it's going to be a greenfield complex.

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Manav Gogia: Okay. Okay. And will it be for flat for long?

Abhishek Agrawal: No, so it won't be flat. So, you can -- so structure is -- so it will be more on the section mill side, the section side. So, the whole idea is what we're commissioning is a light to medium structured mill and the remaining products, which is medium to heavy structured mill, we want to establish in this complex so that Godawari can offer full range right from light to heavy in the longer term. That's the whole idea.

Moderator: We'll take our last question from the line of Aditya Welekar from Axis Securities.

Aditya Welekar: My question is on the macro front. So currently, what is the kind of differential between CFR China iron ore prices versus our domestic iron ore prices? And at what level of differential, does it impact our pellet prices? Means, if the iron ore prices decline in future, then what will be -- at what level it will start pinching us? So, I want to understand from that perspective?

Abhishek Agrawal: See, to be honest, the impact of national iron ore market compared to previous years, there is a lot of dilution because earlier we were doing a lot of export volumes, so there was a direct impact. But in the last couple of years, the entire dynamics have changed because additional DRI capacities have been added in Chhattisgarh region, for which the pellet demand has gone up exponentially.

So that's why if you see from the last 18 months, we have hardly exported any vessels. So I don't see in the longer term, any major change in iron ore will have a big impact on the pellet pricing. And as for this year's guidance by all the big agencies like Goldman Sachs and all, iron ore should be at between 90 to 100 level this year as well. So we don't see much change unless there is a drastic change in the economics. So yes.

Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Dinesh Gandhi: Yes. Thank you. We would like to express our heartfelt appreciation for joining this conference call, and we are confident that we have adequately answered all your queries.

Should you have any further questions or need additional information, please feel free to reach out to us or our Investor Relations agency, Go India Advisors. Once again, we sincerely thank you for your participation and your unwavering support. Thank you very much.

Abhishek Agrawal: Thank you.

Moderator: Thank you. On behalf of Emkay Global Financial Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

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To,
BSE Limited
Phiroze Jeejeebhoy Towers,
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Scrip Code: BSE: 532734 To,
National Stock Exchange of India Limited
Exchange Plaza, C/1, Block G,
Bandra Kurla Complex, Bandra (East),
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Scrip Code: GPIL

Dear Sirs,

Sub: Submission of Transcript of Conference Call held on 06th August, 2025 regarding Q1FY26 Results.

This has reference to conference call held on 6th August, 2025 to discuss the results and performance of Q 1FY26 for Analyst/Institutional Investors/Fund House/Investors etc.

Please find attached herewith the Transcript of Conference Call held on 6th August, 2025 .

The aforesaid information is also being hosted on the website of the company v iz., www.godawaripowerispat.com at Investors Information > Shareholders Report > Notices .

Thanking you,

Yours faithfully,

For Godawari Power And Ispat Limited

Y.C. Rao
Company Secretary

Encl : As Above

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“Godawari Power & Ispat Limited
Q1 FY '26 Conference Call ”
August 06 , 202 5

MANAGEMENT : MR. ABHISHEK AGRAWAL – WHOLE -TIME DIRECTOR
– GODAWARI POWER AND ISPAT LIMITED
MR. DINESH GANDHI – WHOLE -TIME DIRECTOR –
GODAWARI POWER AND ISPAT LIMITED
MR. SANJAY BOTHRA – CHIEF FINANCIAL OFFICER –
GODAWARI POWER AND ISPAT LIMITED

MODERATOR : MR. AMIT LAHOTI – EMKAY GLOBAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Godawari Power & Ispat Limited Q1 FY '26 Conference Call hosted by Emkay Global Financial Services. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amit Lahoti. Thank you, and over to you, sir.

Amit Lahoti: Thanks, Nidhi. Good afternoon, everyone. Welcome to Q1 FY '26 Earnings Call of Godawari Power. We have with us today Mr. Abhishek Agrawal, Mr. Dinesh Gandhi and Mr. Sanjay Bothra. I thank the management for giving us the opportunity to host this call. I shall now hand over to the management for opening remarks. Over to you, Mr. Gandhi.

Dinesh Gandhi: Thank you very much, Amit. Good day, ladies and gentlemen. I welcome you all to the conference call to discuss Q1 FY '26 earnings result of Godawari Power & Ispat Limited. Our financial results, press release and earnings presentation are available on our website as well as on the -- uploaded on Stock Exchanges . I believe you had a chance to review the same.

I'll quickly take you through the results, after which we'll have question -and-answer session.

We have had a steady start to the year with a strong EBITDA and PAT margin of 24% and 15%, respectively. Our operational performance, GPIL has already achieved on an average 20% to 25% of FY '26 volume guidance. We are confident that the volume guidance given by us at the beginning of the year will be achieved on full year basis. Production volume of pellet and value added products largely remained flat quarter -on-quarter.

Ferro alloys production and sales volume increased by about 15% and 13% Y -o-Y and Q -o-Q. Realization of almost all products were flat except galvanized products. And therefore, you can see the profitability and sales turnover more or less on the flat side. Coming on the financial results. On Q -o-Q basis, consolidated revenue, EBITDA and PAT remained largely stable despite fall in iron ore mining production due to delay in mining plan approval for Boria Tibu mines.

On Y -o-Y basis, performance was lower primarily due to decline in sales realization. The EBITDA and PAT margin stood at 24% and 16%, respectively. The performance of Jammu Pigments, the zinc recycling unit of GPIL, was stable during the quarter. JPL achieved consolidated revenue from operations at INR230 crores and EBITDA of INR20 crores.

I would like to now give you a few strategic updates and operational development. I'm pleased to announce that in line with our growth strategy and diversification strategy, the Board has approved total capex of INR1,600 crores for two new projects.

The first being a INR900 crore investment in setting up a 0.7 million ton cold rolling mill complex, which will enable the company to convert HRC into CRC and manufacture the other value -added products like color -coated steel, zinc -aluminum -magnesium steel, that is called ZIM, galvalume products.

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These are all value -added, margin accretive product, which will get added to our portfolio. The project cost includes the pre operative expenditure, margin for working capital. The project will be funded through a debt of INR600 crores and equity of INR300 crores through the internal accrual. The estimated time line for commissioning of this project is Q1 FY '28.

That is March 20 -- sorry, March '27, not Q1 FY '28, March '27. Additionally, a 10 -gigawatt battery energy storage system project is proposed at a cost of INR700 crores to manufacture

battery pack and container manufacturing line. The project will be set up in Maharashtra at Bidkin near Chhatrapati Sambhaji Nagar in a 100% subsidiary called Godawari New Energy

Private Limited.

The company has applied to the Government of Maharashtra for allotment of land for the said project under the Package Scheme of Incentives policy 2019, which will entitle the company for various incentives like instant GST, capital investment subsidy, power subsidy at concessional rate and subject to compliance of certain terms and conditions.

The technology for manufacture of container and pack with lithium ion cell required for the project will be imported from China. Company is in discussion with a few Chinese manufacturers for supply of technology and cell for the project. Part of raw material required for manufacturer of container will be supplied from our CRM -- proposed CRM project, which will supply the raw material required for the container, that is steel required for the container. The project will be funded by an equity investment of 40% from GPIL and balance will be raised by the debt in the SPV. The expected time line for commissioning this project is also March '27.

Further to update you on ongoing capex plan, we expect to receive all necessary approval for Ari Dongri mining capacity expansion from 2.35 million to 6 million tons by Q 3 FY '26 and it start operation in Q4. Pellet expansion of 2 million tons is going on schedule and we expect to commission the same in the month of October.

The operations at Boria Tibu mines have resumed after getting the approval for updated mining plan from Indian Bureau of Mines. I would also like to mention that GPIL has received an approval from PGCIL to supply steel billets to the manufacturers of galvanized steel structure for transmission project. This is a significant milestone that reflects the superior quality of our product comparable to those of India's leading steel producer.

Previously, dependence on the high -cost market source product that is steel billets and rolled product restricted our offering in this segment. With integrated steel production now in place, GPIL can deliver comprehensive and cost -effective product portfolio, driving both volume and margin expansion.

Notably, GPIL is the only company in India producing galvanized steel structure end to end from iron ore. GPIL has also received approval of MoEF during the quarter for setting up 2 million ton greenfield integrated steel project. Coming on the market outlook, on the international front, global iron ore prices remained within a range of \$95 to \$105 per ton so far this year, currently, hovering at about \$100.

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The first half of the year was supported by weather -related production losses. Second half will see increased supply and might put some pressure on the iron ore prices. The recent geopolitical tension continues to weigh on the global demand and supply dynamics. In response, China has been providing stimulus to boost household consumption, and for the first time, resorted to direct transfer of cash to promote population growth. This augurs well for supporting demand.

On domestic front, iron ore prices NMDC have largely been remained range -bound between INR4,500 to INR5,500. Rising domestic rising steel prices and stronger demand supported by implementation of safeguard duties continues to support prices. Iron ore pellet prices have followed the same trend and has traded in a narrow band of INR8,500 to INR10,000 a ton during the quarter with current level at around INR9,500 to INR10,000 a ton. India's steel output rose 9.2% Y -o-Y in January to December -- June '25, making it stand out in a weak global environment.

Amid sluggish demand steel landscape, India stands out as a rare bright spot, driven by robust growth in infrastructure and construction, and t

his growth momentum is expected to continue in coming quarters.

With this, I rest my opening remarks. We can now open the floor for question and answers.

Moderator: The first question is from the line of Vikash Singh from ICICI Securities.

Vikash Singh: Sir, my first question pertains to your BESS business basically. I was surprised, in the past, we have entered into solar thermal business as well and later on exited. So what actually prompted this and what kind of the returns this business can generate us over a longer period of time?

Management: Okay. So the idea to diversify into this BESS project is, so just to give you a history, I don't know how much you know about the BESS project, so the idea is all the solar generating states in India, especially states like Maharashtra, Gujarat, Rajasthan, where the solar capacity is quite high, during the daytime, there is peak generation. And by the evening 5:00, the generation becomes zero.

So what is happening is the grid is getting very, very unstable for these states, and it's becoming a challenge at the national level as in terms of managing the grid. So if you see all the tenders which are coming on in the market now by the SECI or even the state DISCOMs of these states, all tenders are now with so much megawatt capacity of solar, for example, 100

megawatt solar and 200 megawatt hours of battery storage.

It basically means for 2 hours, 200 megawatts of solar power can be generated from the battery stored, right? And that the government or DISCOMs will use to inject in the grid during peak hour, which is from evening 6:00 to, say, 10:00, 11:00 as per their convenience and requirement.

So the way this entire field is coming up to India is in such a rapid pace because this is something which is a necessity now. All DISCOMs needs to go ahead with all these qualifications to generate solar power. In month of August only, 8 gigawatts of tender is going Godawari Power & Ispat Limited

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to be out by SECI and state DISCOMs. So what is happening right now is the entire container, which basically is a 5 -megawatt container is being imported into India from China at a 10%, 11% duty and the tenders, the people who have been winning the tenders, these people are importing and supplying and fulfilling the norms. The idea is to generate the domestic capacity.

We want to enter into this. First phase is we won't be getting into cells, which basically requires 70% of the capex of the entire industry. We will import cells, which is at 5% duty, and we will do battery packs and then fit the battery packs in new containers with all automation and delivered to the consumer. This is the whole idea. To tap this market, we definitely feel, to give you a number, today, the market rate for import is about INR3.2 crores for a 5 -megawatt container.

So if you consider a minimum, even a 5% EBITDA level for our operations, which is about INR20 lakhs, INR15 lakhs per megawatt, and when you apply with the capacity we are installing, 10 gigawatts, so the ROI is very handsome. The ROI is hardly 18 to 24 months.

So we do feel new energy is the way to go ahead in India, and that is why we want to enter this project. Steel will remain the core part of Godawari, and we will expand into steel as we have been discussing on the same platform earlier as well, till the whole idea to enter the belt . You are very right, we did enter into that solar thing 10 years, 15 years back. Unfortunately, that didn't pay a lot of dividends. We do realize that.

But this is a very well thought, well explored decision we have taken, because I think it's time where Godawari does enter the next phase of growth. It's been 3 years, I always have been very constant. Finally, approvals are getting in place. We found this opportunity, we know we'll be the first movers. If you don't do it now, then probably if we think of do

ing it 5 years

later, 4 years later, we might be late.

The whole idea is to keep the balance sheet healthy and diversify when there's opportunity given. So that's the whole idea behind this. No other rationale.

Vikash Singh: Noted, sir. Sir, in solar thermal also, we were the first mover, but fine. Sir, in terms of our steel plant capex , basically, we got the environmental clearance, I believe. So if you could just give us some insight that if the composition or the total tonnage which we are looking has been changed with respect to the capex plan? If you could give us some more insight how that is panning out?

Management: See, we have received the EC for 2 million. But as discussed earlier also, shared with all of you, we will be going with the 1 million steel plant at the moment. That's the whole plan is.

We are still working on the final optics. And hopefully, we should be able to go for the approval in next Board meeting.

The idea, to be honest is, we want to announce the steel capex along with capacity is when we get the mining EC, which we hope we will get by end of October, early November. The whole idea is entire Godawari's profit now hinges on the new mining capacity. The pellet plant will also get commissioned.

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So we want to make sure once we have the mining EC, then only we moved ahead with any kind of investment in the steel, because the capex will be on the higher side because it's 1 million steel. So the idea is to wait for the mining EC and then probably go ahead investing into steel further.

Vikash Singh: Noted, sir. Sir, just lastly, one small question. We have been waiting for a public hearing for our mining expansion quite some time. So what are actually delaying this...

Management: No. So just to update you, nothing is being delayed. So this week, we will get the IBM approval for the revised mining plan. It takes about 6 to 8 weeks. So this week, we'll get IBM approval plan basis which the state government now will take out a notice for public hearing. It's a 30 -day notice. So public hearing should happen in the month of September, post 15th

September. So once public hearing happen in September, public meeting record will be submitted to the state pollution board and a final decision happen. So if everything goes well , we are confident post Diwali, early November, we should get the EC. So there's no delay.

Just that the process is so long, it takes time. Mining plan has been approved by the IBM -- will be approved, this revised mining plan for 6 million. So it is on track. I do understand there has been a lot of delays, but sometimes things are not in the control, the process is such.

Moderator: The next question is from the line of Vivek Ramakrishnan from DSP Mutual Funds.

Vivek Ramakrishnan: I had three questions. One, in terms of peak leverage, as you do your capex plans, you've been a debt-free company lately. So what would be the peak leverage? Two, when you set up the CRM complex, you'll be buying, I imagine, the hot-rolled coils from the market. Isn't that a very low-margin business?

Or is it linked to your integrated steel plant plans? And three, on the battery storage, which in prior questions also came, is the technology flat? Or are you going to have any technological collaboration? These are my three questions, sir.

Management: Okay. Just to answer you the first question. See, for the current capex which we've announced, it's a 40-60 ratio, and with the current balance sheet and cash reserve, the leverage will be very minimum, hardly -- below 0.5 at the moment with the current capex amount.

Once going forward, once we get the mining EC and if we go ahead with the steel project, we announce that, then probably that might change depending on the situation. So at the moment, with the current capex amount, we will be taking a small debt

of, say, INR800 crores, INR700

crores. So it's very well within the 1:1 ratio. Second question was under your BESS project side. Can you come again with the question? I just missed it.

Vivek Ramakrishnan: Sorry, it was on the cold-rolled mill, whether the fact that...

Management: Yes, yes, got it. So yes, see, if you do understand, we worked back and forth in the last 3 years where we wanted to put a 2 million hot strip mill basically for producing HR coil, right? But the new model in India, which has become a standard by the bigger players, is a 5 million Godawari Power & Ispat Limited

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single mill with a 6 million billet capacity. So with so much of HR coil coming into India plus imports also happening, right, in spite of the safeguard duty, we see the HR -- the premium which sellers were getting per HR coil earlier is not same anymore. HR coil has become more of a commodity.

So the idea is to further integrate, buy HR coil from the market, do value addition in the form of the CRM complex where we'll be doing the color-coated lines, the printing line and also the ZAM. ZAM is basically a combination of zinc, aluminum and magnesium, right? This is quite hot -- like a hot cake in China. In India, it has just started coming in. So the idea is to make value-added steel.

And in a worst case scenario, even if I'm being very conservative, with all our product portfolio, I think INR4 to INR5 a ton is what we're looking at in the longer-term basis for 0.7 million capacity. So the idea is get that into value added steel and tap that market. And the third question is regarding the BESS. So the idea is we are right now open for collaborations in terms of technology, we are open for collaboration in terms of supply and we're also open in terms of where in the first phase, we pick and choose the best suppliers, start with the first phase and as technology -- because see, this is a very technology-driven industry. Technology will keep evolving, keep changing.

So we have to move with everyone. So going forward, we are also open. If the technology changes, if there is a collaboration happening with a good reputable supplier, we can always go ahead. Nothing is fixed at the moment, but we are very much open in terms of any kind of collaboration going forward.

Moderator: The next question is from the line of Siddharth Gadekar from Equirus.

Siddharth Gadekar: Sir, first on the cold-rolling mill. Sir, can you help us understand the configuration that we are looking at? And what kind of CRC that we would be producing from this asset?

Management: See, so basically, we'll be buying the full 250 meters, we're going to be doing tickling, then the cold-rolling mill, there are two, three different products. One is the color-coated. One is the printing line. And one is the color-coated with ZAM line, which gives you a better strength and more life. So Basically the entire 0.7 million of input will be distributed into three different products of different thicknesses.

So we are targeting from a 0.15 thickness to as high as 3.5 meter thickness -- 3.5mm thickness.

So this way we want to cater all different segments so that our volume is not concentrated in only one product. We want to distribute into different products. So color-coated, color-coated lines, ZAM, galvanium, then also HRPO, which is pickled and sell HR coils. So that's the whole idea.

Plus the container, the box, basically which is being made out of steel, that particular container

steel will also be produced in the CRM complex. So it's indirect backward integration of one of our important suppliers. Containers raw material is HR coil only, HR coil pickle and then cold roll.

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Siddharth Gadekar: Sir, now in terms of sourcing the HR coil, where are we targeting to source the HR coil from, one? An

d secondly, in terms of selling the cold C RC, what are the markets we are targeting?

Management: See, for sourcing, right, being the location we are sitting in right now, Raipur. So there is Bhushan -- so basically there is JSW, Jharsuguda, then there is Tata, Angul; JSPL, Angul. So we have multiple options, Tata, Jamshedpur or Kalinganagar. So in terms of sourcing, there are a lot of options. It all depends -- and NMDC is there in Chhattisgarh has started making HR coil.

So we have a lot of -- plus, of course, imports. So sourcing is not an issue. Everybody is seller of HR coils because the volumes they've created for themselves is so huge. And they haven't put up lines to convert everything, every HR to CR. So there'll always be a seller of HR coil in the market.

So that's the sourcing part. In terms of finished product, see, we are not very restricted to we want to sell in this only area. Depending on demand and supply, because we are not the only producer in this market. There are other players, established players from before on. So it all depends how you brand it in terms of quality and which market you want to target.

So once we start making it, that's it. Depending on demand and supply, we will -- so idea is to focus entire India. We're not thinking about focusing around XYZs and all of that. So that's the whole idea.

Siddharth Gadekar: And sir, the technology for the CRC mill, will this be a...

Management: So technology it's -- so the main mill is from John Cockerill, which is a Belgium-based company, then SMS, which is again a German company. So it's a mix and match. So depending on the critical side of the operations, we have gone with the best supplier. So some are European, some are domestically supplying, some thing is from China as well. So it's a mix and match, but we ensure there is no compromise in the quality so that best things are procured from the best suppliers. We've ensured that.

Siddharth Gadekar: Sir, lastly, when would we be doing the ordering for various equipment?

Management: See, now we've got the Board approval. So now we will move ahead with the fine-tuning the entire proposal. And probably, I think by end of this quarter, we should be in a position to place the orders. And post Diwali, once monsoon gets over, but the idea is to start the civil work in November for both the projects.

Siddharth Gadekar: And sir, where will we be putting up this plant? It will be the same location where the steel plant was supposed to come up?

Management: Yes. So CR complex is already the part of EC for the new, which we have received for 2 million. So it will be on the new -- it will be in the new location along with the steel complex.

Siddharth Gadekar: Sir, secondly, on the battery storage, there also we have done any ordering or will we looking to ordering...

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Management: No, no, we haven't because we had to take the Board approval, so -- which we received yesterday only. Now since we have a go ahead from the Board, so now we have done our working, we have done our homework. Now we need to finalize things with the suppliers and fine-tune things. So as I said, that might take a couple of months. And the idea to eventually start the groundwork in November for that project as well, the battery project.

Siddharth Gadekar: Sir, last question on the steel plants, when are we looking to target the 1 million in steel plant and or that is some time way as of now?

Management: No, it's not away, to be honest. We are very close to finalizing our capex, last bit of remaining things. But the idea is because the steel plant capex will be on substantially higher side compared to the these two ones.

So we want to move ahead only when we get the approval of mining EC because today, Godawari's entire profit going forward, which is to be deployed depends on the mining

g EC

because our new pellet plant will also be commissioned in a couple of months. So we are waiting for the mining EC to be received. Once that is received, we will take appropriate approval from the Board and then declare to stock exchange. That's the whole idea.

Siddharth Gadekar: And lastly, we will be targeting long steel in this or flat steel now?

Management: No, we're not looking to flat. Basically we're looking into long steel. Basically, we're looking into value-added steel, which is structured primarily that we're working on. So basically, we want to produce, if you see right now, we just got approval from PGCIL supply. So the idea is to have an entire basket of products where we can cater from transmission lines, railways, infrastructure.

We want to produce higher category beams, 600, 800, 1,000 size beams, which are primarily used for infrastructure projects. So the idea is to enter into value-added steel now and move away from commercial steel.

Moderator: The next question is from the line of Manav Gogia from YES Securities Limited.

Manav Gogia: So one question I had, we are probably also nearing the greenfield steel plant coming up and along with the INR1,600 crores of capex that you have announced. Can you give me the capex outline for the next couple of years? And how do you see the debt part going up, especially if the steel plant kicks in, do we intend to take on more debt for the greenfield steel plant?

Management: See, the idea is -- see, for this year, for FY '26, which is running, we have certain ongoing projects, which will be completed in this year as well. For the next step, which we have already announced, we need to do a capex of INR1,600 crores, out of which about INR900 crores will be taken on the books and the remaining will be invested. So we are doing about INR800 crores, INR1,000 crores of free cash every year. So you can assume whatever we generate next year, that will be utilized in the two projects which we already declared to all of you.

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For the steel capex, as I've mentioned again, it will be only moving ahead after the mining approval. So if you see once the mining approval is received and the new pellet plant getting commissioned, so our free cash drastically goes up from FY '27 because of additional volumes coming in from pellet and as well as.

So if you take that into consideration for FY '27, FY '28, we should do about a free cash of minimum INR3,000 crores basis the mining approval. So if we are able to do that and assuming a steel plant capex of, say, INR4,500 crores, INR5,000 crores. So we will be much below 1:1 debt equity ratio. So the numbers are very well worked out. We have defined the time line, which capex, how the money has to be deployed. And basis that, we will be going ahead.

Manav Gogia: Sure, sir. And sir, the steel capex, do I assume that it should be peaking out more during FY '28 rather than FY '27? Is that the logic?

Management: So if you see, if you want to break it up, so probably you can say 20% in FY '27 and probably say 60% in FY '28 and then probably last 20% in FY '29 because ordering requires only 10% advance. But then as the project progresses, right, supply starts, that is where the major deployment of cash will happen. So FY '27 will be, say, 15%, 20%. Maximum will happen in FY '28 when the supply starts, yes.

Manav Gogia: Got it. So my other question is on the company's diversification policy, which we are currently into with the battery storage plant. How do we basically study these projects going ahead? And do we see more such projects on the diversification side from steel coming up in the next couple of years apart from the...

Management: No. See, to be honest, if you talk about the diversification strategy, so we are of the opinion, today, with all this Make in India concept, right?

So we were -- we have been looking for different business opportunities from last 2 years, where either it's a lot of imports happening into India, so you can create a domestic capacity, which the government also wants, or you enter into new energy and renewable energy because energy is something which is here to stay, be it on the solar side, on the renewable side, and now of course, the BESS is the latest addition to that basket, I would say.

So the idea is we feel energy is going to be a cash cow for all the Indian businesses because the way India's demand is going up, accordingly, the challenge is also heating up in the market, right? For example, grid stability is happening.

A few states are running short of power. So we always wanted to focus on energy side. We found this very lucrative. We have done our homework from the last 6 months, and that is why we are going ahead with it. So we not say we want to keep diversifying.

But if there's an opportunity present going forward also, we won't mind taking that route. But has to ensure -- we will ensure, somebody also mentioned in the first call, what we have done earlier, we do understand that, and we have realized that. And accordingly, we'll make sure we are never over-leveraged, and we don't run tight on -- when the market turns around, so we're not running tight on cash. We will ensure that. That is the whole idea.

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Manav Gogia: Got it, got it, sir. And sir, just an add-on with the subsidiary that we have for new energy now. Do we intend to remain only an assembler or probably evolve into a full stack energy storage company down the line 5, 6 years, if that is a focal point going forward as well?

Management: The whole idea, how we picked up this was, if you see the solar industry in India, right, 10 years back, it was hardly seen, there were hardly few players. But post COVID, there has been a, I would say, a rush when it comes to investment into solar modules capacity, right? India is adding about 30 gigawatts of renewable every year, with the target to go up to 50, 70, 100 megawatts every year, right -- 100 gigawatts.

So the way solar industry evolved into India was at a very slow pace. So initially, they put a 40% tax on solar modules. That's how a lot of people invested into making solar modules in India. Now the government has come up with ALMM for solar cells, which is a key component for solar modules. So from 1st July 2026, Indian manufacturers cannot import cells, they have to manufacture into India.

So now all companies are investing heavily into solar cells because solar cells requires a huge capex, right? Similar way we feel BESS has just picked up in India. Right now, lot of imports are happening. Slowly and slowly the way we are getting to manufacturing, others would also do.

Once capacity comes into India, government policy will come such a way that they will put duties, they will restrict imports into India and make this business more lucrative. So we are taking a cue from the solar module space. And we feel the way it's progressing right now, similar things should happen in this category as well. That's the whole idea. So the idea is to put 10 gigawatts first phase, then ramp up to few more gigawatts.

And when we feel there is support of policies, we will also enter into solar cell manufacture -- sorry, this battery cell manufacturing. And we are also open for collaboration for tech transfer.

So the idea is this is a long-term idea, it's not a short-term idea, 5 years, 7 years down the line idea.

Manav Gogia: Got it, got it. Sir, just one last question, that the battery storage unit is going to be somewhere in Maharashtra whereas...

Management: Right, Aurangabad. Sambhajinagar Industrial Area, it's called AURIC. Yes.

Manav Gogia: Okay. Got it, got it. So the battery storage unit is going to be in M

aharashtra whereas the CRM

unit is going to be in the state of Chhattisgarh in Raipur.

Management: Right, right.

Manav Gogia: How do we look at the logistics of supplying the CRM towards container manufacturing in Maharashtra?

Management: No, no. So if you can see, distance wise Aurangabad to Raipur is hardly Approx. 700 kilometers. So by road, by rail -- rail is available, we can sell the -- we'll be selling the raw Godawari Power & Ispat Limited

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materials, purchase raw material. Eventually -- finally, assembly of containers will happen in that Maharashtra factory only. So only the coils in different shapes we'll be sending from Raipur.

So we don't say selling them for logistics. And we only accounted that in terms of the raw material price for making containers.

Manav Gogia: Got it, got it. And what would be the captive requirement, I mean, I'm assuming you'll be making around about 2,000 units of these containers, right, if we assume a 5-megawatt capacity per container?

Management: See, we'll be doing about 6 containers every day. So you can easily consider 6 into 325 -- 320 days of working, so around about, yes. So 2,000 containers is right, what you estimated, perfectly fine. The idea is 6 containers every day to achieve a capacity of 10 gigawatts.

Moderator: The next question is from the line of Sahil Sanghvi from Monarch Network Capital.

Sahil Sanghvi: My first question is roughly any understanding as to how much of the current demand for this vessel imported?

Management: See, right now, if you see just for information, in August month only, there are 8 gigawatts of tenders out in the market by the state DISCOMs and in EPC and other respectively. So if you say 8 gigawatt, which is 8,000 divided by 5. So roughly about 1,600 containers is required -- is up for bidding in month of August only. And this figure will keep going up every month-on-month.

If you can -- follow subscription like Renewable Watch, you'll find every day, there are 10 tenders, 3 tenders being upload in system for bidding, and everything is info. Right now, one facility of 1 gigawatt is being commissioned in Pune and 2 gigawatt has been commissioned in near Bombay, right? Other companies like, for example, Tata has done a 100-megawatt battery

storage in Chhattisgarh, Rajnandgaon but they have tied up with a company called Gotion, which is again in China. So they supply the container to Tata and they have won the tender and installed 100 -megawatt hour battery storage.

So now close to more than 99% is being imported into India with a certain duty. Duty on cells is 50% of that. So if you consider everything put 0, whatever you manufacture and the way you sell it, saving 5% on duty itself will give you a margin of INR15 lakh, INR20 lakh per megawatt. That is the whole idea. We are being so conservative.

So the demand is going to keep going up month -month.

Sahil Sanghvi: So you're saying roughly 80%, 90% of the demand has been imported for this product?

Management: More than 95%, more than rather 98% right now. Now India, people have finally -- somebody is in a tie -up, somebody started doing retrofit, somebody is doing pick and choose, I buy from here, I buy from there and now they're entering into investment into battery. So probably Godawari Power & Ispat Limited

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somebody will do containers, somebody will do only battery packs but nobody is entering into cell right now. The cell is where your 80%, 70% capex is required for the entire supply chain.

Sahil Sanghvi: Right, right. And roughly, what kind of margins do you expect to make over your margins and ROCEs?

Management: So see today, the roughly value of one container being imported into India is about INR3.2 crores, INR3.25 crores, so which is about 3.25 divided by 5 comes to about INR65 lakhs per megawatt hour. So a

ssuming we do a minimum margin of -- bare minimum margin of 5%

only, right, on a INR3.25 crores, so it comes to about INR15 lakh, INR20 lakh. So when you multiply that with 10 gigawatt, which is almost 1,000 megawatts, the numbers are as good as INR350 crores, INR400 crores at 10 gigawatt capacity.

So we're looking at ROI more than 40%, 50% at investment of INR700 crores, which includes the onetime land cost, one infra cost also including our working capital. So the machine investment is only about INR250 crores of machine and shelves. Remaining is the working capital because cells have to be imported.

So working capital is going to be on the higher side, plus onetime cost of the land, which will be given to us, onetime cost of the infra fulfilling their conditions of land, power connection and all those other things. When you do a 20 gigawatt, probably say, we do another 10. So the capex will be less than 50% of what we're doing right now.

Sahil Sanghvi: Right, right. So I just wanted to -- I mean, I understand the whole story and the whole the attraction about the whole demand scenario. But then profitability -wise, we are getting into low profitable businesses. So don't you think that's something that's not the right...

Management: It is low profitable, but then the volumes can be very high. So for us, the idea is if 10 gigawatt -- 10 gigawatt, the whole idea is if everything goes well, we want to take it to 40 gigawatt.

That's what the plan, we have submitted to Maharashtra government for the policy. So the idea is to scale it up. It's more of a volume game.

If you do a 5% EBITDA, by the moment you materialize the volume, you get the numbers against investment. And in steel we are very clear. We want to go ahead, but then we're not looking at a volume game. We want to do value -added steel, which requires a certain higher capex compared to probably a commercial steel, but then we want to do a volume game. So if there's opportunity, if we felt right and that's why we have diversified.

Sahil Sanghvi: Got it. Got it. And lastly, whatever tech -- you will require a tech collaboration over here, right? And that will entail some royalties or some fees over there. How do you think about that -- margins after considering those?

Management: Yes, it is. So right now, we are very much open to do pick and choose these machines from the best suppliers. In the long -term basis, when we want to further backward integrate, say we want to scale. So we have also had discussions with a few companies on tech tie -up. The structure can be in form of equity or a royalty.

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It depends on the Chinese and Indian government law as well. So we are very much open. But for the 10 gigawatt, we are also okay doing pick and choose with the best suppliers. So -- but it's a long, long story. It's a very long, long story. So it's not a short -term thing we're thinking of.

Moderator: The next question is from the line of Aditya Welekar from Axis Securities.

Aditya Welekar: Again, on the battery electric storage front. So I just wanted to understand, we will be just in the EPC part of it, right? We will not be...

Management: No. No, no, no. We on the EPC part of it. Basically, we will be suppliers of the containers. So

people who are bidding for tenders and they won the tenders. So people who are -- so they have been right now importing from China. So instead of importing from China, we can be one of the potential suppliers. So the container they are importing from China for 5 megawatt, Godawari Green Energy will be one of the suppliers for the 5 -megawatt containers for the end use.

Aditya Welekar: Understood. So, see the context is means we have seen the capacity fees for battery electric storage coming down from INR10 lakh per megawatt per month in August '22 to currently, it is almost INR4 lakh per mega

watt per month.

Management: Very correct.

Aditya Welekar: So there is a steep fall because of the fall in the lithium battery prices. So there might be some pressure on the utility generators that they want to bid. So currently also the bids are very competitive. So in that context, our margins will be secured, right, because we are just supplying parts.

Management: Exactly. We are not entering into where we want to bid tenders. Basically, at whatever price, if somebody is winning the tender at, eventually, either he will import from China or he'll buy from India or he'll make his own containers. So we'll be one of the suppliers of containers. I mean nothing to do with what price the tenders are going at. Nothing to do with that.

Aditya Welekar: Understood. Understood. And then from that perspective, is there any possibility that we have seen for solar cells that government has put that approved list of solar cells domestic...

Management: Exactly. It's called ALMM, yes.

Aditya Welekar: So there is a DCR, basically Domestic Content Requirement for cells.

Management: Exactly. Very correct. Very correct, yes.

Aditya Welekar: So is there any possibility that for battery storage also that the imports will be restricted from China and we have to manufacture the cells domestically?

Management: See, as I said earlier, we have picked up this from the solar space as well. We do -- we also have this in mind. Moment India is able to manufacture the desired capacity, where the demand is coming from the all these tenders, I'm sure government policies will be framed in Godawari Power & Ispat Limited

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such a way that they will protect the domestic industry. The way they have done in case of solar cells -- like solar modules and then cell. So we are hoping government will take a few from this policy, and the same kind of policy will be implemented.

But of course, provided enough capacity happens -- capacity expansion happens in India in terms of manufacturing of these containers, then only government will come with such policies. So we feel we are one of the first movers. And in the long run, we will be one of the beneficiaries of such policies.

Aditya Welekar: Right. So means what I understand is that our margin will be protected irrespective of...

Management: 100%...

Aditya Welekar: And then from a unit economics perspective, means you said that solar definitely that the cells will be the major cost. So balance of plant, what will be the -- means if you can just throw some light on capex and how much will be you will require for -- in terms of working capital means how much will be battery and then how much will be the steel? So apart from the benefits...

Management: See, I get you. So cell is roughly -- so if you do a breakup of the entire container, so consider cost of \$65, so out of this \$65, \$35 is about the cell, which will be imported. \$20 is about the battery -- the BMS, which is basically the battery management system, which is like the USP of technological suppliers. And remaining \$10 includes everything else, your container, steel, your fire protection and other accessories. So the breakup is \$35 cell, \$20 for the BMS and then remaining \$10 is for your other accessories to make entire container. This is a rough breakup.

Aditya Welekar: Understood. And our ballpark margin per container or in percentage...

Management: See, worst case scenario today, price of container is at INR3.25 crores. So if you even consider a minimum margin of 5%, it gives you about INR70 lakhs, INR80 lakhs. So when you multiply that with 10 gigawatts, it comes to close to INR350 crores, INR370 crores. So with an investment of what we're doing right now, we can see an ROI of more than 40%, 50%.

Aditya Welekar: Understood. Understood. And this margin will be mostly fixed, right? If the raw material prices change, we will be able

to pass on that.

Management: Of course, of course, whatever we imported does go up, same domestic price can also go up. If demand is much more than the supply, the selling price will also go up. So it will keep happening. It's part of the business.

Moderator: The next question is from the line of Vinit Thakur from Plus91 AMC.

Vinit Thakur: I would like to know why is there a jump in the galvanized fabrication product on a year -on-year basis. As we see last year, we did around 13,000 tons and this year, we're doing around 24,000 tons. What would be the guidance regarding this?

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Management: See, as you are aware, Mr. Gandhi also mentioned, we have received the part approval to supply into PGCIL almost 3 months back, and now we have received the second part. So now R.R.Ispat galvanized product we have complete approval to supply into PGCIL, because of which the volumes will further go on.

You've seen -- you're comparing to 13,000 to 23,000. I think from this quarter and next quarter onwards, you can see thus volumes crossing 30,000 tons every quarter -on-quarter because since we have received approval, so now we are eligible to supply to all the big EPC companies like Kalpataru, KEC, Tata, Adani.

So because of that and the demand keeps going up because the way the transmission lines have been laid into country. So the volumes will keep going up, and you can also see more healthy margins coming out of the galvanized products business now after the approval we have received.

Vinit Thakur: So are we looking to increase the capacity for galvanized fabrication products because right now...

Management: To be honest, last month only we received the final approval. So once we get established in the market, we are able to run the entire plant at full operation say for 6 months, 8 months. And then only probably we will think of investing the new capex. The idea is to first get the money back, whatever you invested in last 2, 3 years and then probably think of investing into further.

Moderator: The next question is from the line of Vedant Sarda from Nirmal Bang PMS.

Vedant Sarda: I want to know the CRM complex project, we are targeting a capacity of 0.7 million tons. So what kind of margin we can expect from that?

Management: We'll be looking at a margin of, say, INR4 to INR4.5 -- INR4 to INR5 per ton of the finished product. So we will not be shifted to one single product out of the CRM complex. We won't be -- we'll be making 3, 4 different products. So one is color coated line, one is printing line, then there is ZAM, which is basically a part of improved version of galvanized coating, thickness from 0.15 to 3.5. So we want to enter into all kind of products of value addition where the application is different.

Some is in automotive, some is in household. So depending on the application. The idea is to have the entire cluster in the basket. And depending on demand and supply, we can always change the configuration of the output like steel. The input remains 0.7 million tons, and we are targeting a EBITDA of say INR4 to INR5 a ton.

Moderator: The next question is from the line of Kunal Sukhwani from Indvest Group.

Kunal Sukhwani: My question was regarding the Boria Tibu mine. Basically, what is the current HC grade, what we are getting from that mine? And what is the beneficiation yield and what will be the cost of beneficiation?

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Management: Okay. So Boria Tibu, the current mining capacity we have is 0.7 million tons. The average grade in Boria is right now about 48 to 50, which is again a part of Magnetite family. And so right now, since we don't have a plant in Boria mines, we're getting the entire ore in the plant and beneficiating. So here, the yield is about 50% to 55% because the HC is on the low

er side

to maintain the quality of concentrate and pellet.

And the cost is hardly INR200 to INR250. Managing cost is not very high. It's very, very, very bare minimal. And so in Boria mines, we are further increasing the capacity. We have started working on filing the revised EC to the state government.

So from 0.7 million, we'll be taking it to 3 million tons and also putting up a plant inside the mines to beneficiate so that we do not pay extra transportation costs, which we are currently doing.

So the idea is to beneficiate in the mine, make a high-grade concentrate and directly bring it for use in the steel making. But that will take about 3 years. So the idea is to club the commissioning of Boria beneficiation along with the new steel plant, which is about 3 years from now on.

Kunal Sukhwani: Yes. And sir, similar for BMQ, BMQ what would be the yield and what will be the beneficiation cost?

Management: See the cost -- the overall cost remain the same. Presently in BMQ, because the HC on the lower side, say 30%, 35%, so the yield goes down to 40%. So if you calculate the input,

basically the Boria mine, you can say cost different about 20% because their yield is 50%, here the yield is 40%. So 20% yield loss will increase your operating cost by 20%. That's it. Not a major difference.

Moderator: The next question is from the line of Dibyansu Kumar from Carving Alpha Wealth Fund
Dibyansu Kumar : My question is related to the EPS, which has been dropped from -- dropped to INR3.5 from INR4.5 last year Q1. Could you explain what led to the drop in profit? Was it due to lower prices, higher cost or something else? And also what will be the estimate for the year?

Management: Dineshji?

Dinesh Gandhi: The drop in profitability, I had mentioned in my opening remarks is primarily because of the reduction in selling prices, fall in selling prices. Our volumes are more or less consistent, maybe 1 quarter here and there, but overall, the fall in profitability in Q1 is mainly because of the fall in sales realization.

Dibyansu Kumar: What's the estimate for the year?

Dinesh Gandhi: Estimate for the year is very difficult to guide in the sense that since we are giving the volume guidance, it all depends on the -- how the selling prices rule. But we believe that we are expected to enter into the busy season and prices have already started moving up. So this is Godawari Power & Ispat Limited

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what we believe that it should be the benchmark. It should be better from here on. This is how our understanding is, but it's very difficult to predict on the pricing side.

Moderator: The next question is from the line of Ashish Soni from Family Office.

Ashish Soni : Sir, regarding this BESS, the tech transfer, are you open for like -- is it like Japanese or Chinese because we have seen...

Management: No, no, no, no. To be honest, no, no, no, I think no one beats China in terms of technology policy is best. We have visited. We have visited a lot of companies. And our tech transfer, of course, we will ensure whatever the Indian laws permit, how the tech transfer can happen, we will explore that.

But whatever is going to come at the moment for best is going to come from China. According to us, nobody can be cheaper than China in terms of this technology. We are very sure of that.

Ashish Soni: But we have seen challenges with existing player where they tied up with Chinese and they are not able to scale up. So will there be some learnings or you are hopeful that it will go through smoothly?

Management: See because what we have understood as an industry is, there is a major tech goes into the cell making, which is probably you can say the heart of the entire business, right? So right now, we will be importing cells from major suppliers for which we'll be doing some kind of tie-up.

Once that is sorted, remaining battery pack

and containers is more like an assembly.

It's not a very tech savvy, I would say, supply chain where things can go wrong if the tech transfer company is not performing as per the commitment. So the challenge is probably making cell for which we have to do a tech transfer or tech tie-up. But when it comes to assembly, we don't see -- it's a very technical tech savvy thing to do.

Ashish Soni: But this cell manufacturing, when do you plan to start? And how much investment per megawatt or per gigawatt require...

Management: See, to be honest, we haven't worked out because cell can only happen once the policy by the Indian government restricts import of cells into India because today, even if you want to make cells, you will never be able to make money because the prices of Chinese are way lower in terms of volumes.

For example, I saw a single location of Chinese manufacturing where they were doing 20 gigawatt of cell manufacturing only for the batteries, 20 gigawatt single location. So when you compare with that scale, it doesn't make sense at all to enter into making cells right now, better to import cells at a 5% duty and then do the remaining part. But we have the idea. We want to, provided we have to keep making money.

The way it happened in solar. So earlier, 40% duty on solar modules, then government came no duty, you can't import. It's banned now. Then people started manufacturing in India. Now they have come up with same for cells now. Today, cells are being imported from China.

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But from July '26, you can't even import cells for solar modules. So now people are starting investing into solar cells. So as industry progresses, technology keeps changing, we will also evolve so that we don't get left in the race.

Ashish Soni: Is it like safe to assume like 3, 4 years or -- away from cell manufacturing approximately?

Management: 100% at least -- we don't see at least for the next 2 or 3 years, for sure, at least bare minimum 2

to 3 years, unless the Indian government really comes up with very, very, probably they come with a policy very soon, which we don't see happening because industry just started going in India. Now people are trying to understand what is BESS. So I think it's a long way to go, yes, to be honest.

Moderator: The next question is from the line of Aditya Agarwal from Fin Avenue

Aditya Agarwal : Sir, I just wanted to know about the pellet pricing that we are forecasting for next 12 to 18 months with the kind of pellet capacity that is coming on in the market, like Lloyd is also planning a major capex over there. We are increasing our capacity. So what pricing do we forecast because...

Management: Yes, I do understand. Yes, firstly, the price band for a commercial pellet of INR6,200, INR6,300 at Raipur, I feel it will be hovering, I would say, INR9,500 plus/minus 10% . So a range of say, INR8,700 INR8,800 to INR10,000. That has been the trend in the last 18 months as well. So I don't see any change.

For example, last month, the pellet prices were as low as INR8,600 INR8,700 at Raipur. And with steel price going up by 10% today, pellet is about INR9,800 INR9,900 at Raipur. So the price band remains intact, which is about, say, INR8,500 to INR10,000 in longer term. For Lloyd, they have already commissioned their pellet plant, for your information, but they haven't started targeting the Raipur market. What we understand is they're also a big supplier of iron ore pellet into the Raipur market to different pellet players.

So if they do flood the Raipur market with pellets, eventually the pellet prices will take a hit, and that might inform them to keep away from the Raipur market. So our capacity being added into the Raipur market of 2 million. But you need to understand our capacity is being added with backup of iron ores.

Today, if you tell me you w

ant to put up a merchant pellet plant where you have to buy fines in the market, I will not make a single penny. Today, pellets, you cannot make money by buying fines in the market. The whole idea is to supply own iron ore from your own mines and then make money.

So I don't see a challenge in terms of pricing because of oversupply because Lloyd is still away from the Chhattisgarh market, and we will be the only addition. And there is -- right now, there is a shortage of pellets in Raipur because the DRI capacity in Raipur has gone up at least 2x. So everybody who is also into steelmaking has went into additional capacity of DRI.

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So right now today, the pellets are in shortage in Raipur market. Now the people are waiting when will our plant commissioned so that the demand and supply can be -- come to same level. For me a long-term basis, INR9,000, INR10,000 ex-Raipur is very much achievable.

Aditya Agarwal: Yes, sir. Sir, and any plans on further blast furnace in our plants on the new integrated steel plant or it will be...

Management: We have received the EC. We have plans, as I said earlier. But we're still working on the fine-tuning the capex but -- it will be put up to Board eventually once we get the mining EC. We are not going ahead with the steel plant unless we receive the mining EC. That is very clear as a management.

Moderator: The next question is from the line of Bharat Pathak an Individual Investor .

Bharat Pathak : My question is like on the container side of things. So you said there's going to be some kind of technology tie-up. So this battery typically requires cooling, so is the tie-up on the side like you need to take care of the cooling aspects by designing the container or it's something else?

Management: No, it is. So depending on your container weight, your container design because the batteries can -- the cells can be in series, can be in parallel. So cooling is one of the part, fire protection is second part. The heart is, of course, the BMS, which is the entire battery management system for charge and discharge. And the last is the PCS.

So basically, which will convert your AC to DC and DC to AC. That's how you generate power in solar, right? You have to convert. So there are other components like PCS, like the cooling system, the fire system and also the BMS.

So apart from containers, these are also one of the critical components to make the entire container work apart from cells. So as I said, right now, we are okay, pick and choose model. This is company supply, which is BESS, battery storage is BESS. At the same time, we're also exploring tie-up for different things.

With regard to PCS, in India, there are 3 companies they are already to PCS. So we are already talking with them to supply PCS to us on a long-term basis. So we are working with different companies for different supplies.

Bharat Pathak: Subsequent question is like this BESS will be our long-term strategy or I like how is this?

Management: It is a long-term strategy. It is a long-term strategy. We're not looking at 1 year, 2 years. We're looking at how the solar module industry has evolved in the last 10 years. So we want to keep

depending on how industry evolves , we will ramp up our capacity as well.
And if required, going forward, probably we also enter into solar -- with the cell manufacturing if the policies of government tells to do that. So we are very open and it's a long -term strategy. It's not a short -term strategy.

Moderator: The next question is from the line of Manav Gogia from Yes Securities Limited.

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Manav Gogia: So my first question is on the operational front. Can you give me what was the landed cost of imported coal for the particular quarter, Q1?

Management: It's about INR11,5

00. INR11,500.

Manav Gogia: Okay. And how is it shaping up in the next quarter? Do we see some benefits of the pricing falling down?

Management: Prices have come down by not much, I would say 5%. But if you see dollar was INR84 dollar, INR85. Now dollar is INR87, INR88. So that 5% down in the incoming prices taken by the dollar. So I would say INR11,500 for the Q2 as well as Q3 is a very practical number, INR11,000, INR11,500.

Manav Gogia: Sure, sir. And sir, how the realizations shaping up for the long products across the board? Do we see a flattish trend or a little uptick?

Management: No. So see, to be honest, last month, the demand was also very lull. So that -- and the price is also downside. But second half of July, the demand has come back. And we are able to pump funds from sponge to probably say, we are still able to do a margin of a healthy margin depending on the demand because our volumes are not big. We hardly do 0.4 million tons of steel, 0.5 million of pellets. So the volumes are quite intact as well as the price

Moderator: Ladies and gentlemen, we'll take this as the last question for today. I would now like to hand the conference over to the management for closing comments.

Dinesh Gandhi: Yes. Thank you very much for joining us on this conference call and appreciate the same. We are confident that we have adequately addressed all your queries. Should you have any further questions or need additional information, please feel free to reach out to our Investor Relations team at Go India Advisors. Once again, we sincerely thank you for all the active participation and the unwavering support of the investors. Thank you very much. With this, we end this call.

Moderator: Thank you. On behalf of Emkay Global Financial Services, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2025

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REF: GPILINSE&BSE/2025/6I 17

To,

BSH Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai-400001.

Scrip Code: BSE: 532734Date: 19.11.2025

To'

National Stock Exchange of India Limited

Exchange Plaza, C/1, Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai-400051.

Scrip Code: GPIL

Dear Sirs,

Sub: Submission of Transcript of Conference Call held on 17th November, 2025

regarding Q2 & HI FY26 Results.

This has reference to conference call held on 17th November, 2025 to discuss the results and performance of q2&H I FY26 for Analyst/Institutional Investorsfund House/Investors etc.

Please find attached herewith the Transcript of conference Call held on 17th November, 2025.

The aforesaid information is also being hosted on the website of the company viz.,

www.godawaripowerispat.com at Investors Information > Shareholders > Notices.

Thanking you,

Yours faithfully,

For Godawari Power And Ispat Limited

c-fui``Y.C. Rao

Company Secretary

Encl : As Above

Godowari Power & Ispal Limited

An Iso ?001 :2015, Iso 14001 :2015, Iso 45001 :2018, 50001 :2018 & 27001 :2022 certified company

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"Godawari Power and Ispat Limited
Q2 FY26 Earnings Conference Call"
November 17, 2025

MANAGEMENT : MR. ABHISHEK AGRAWAL – EXECUTIVE DIRECTOR –
GODAWARI POWER AND ISPAT LIMITED
M R. DINESH GANDHI –EXECUTIVE DIRECTOR –GODAWARI
POWER AND ISPAT LIMITED
M R. SANJAY BOTHRA – CHIEF FINANCIAL OFFICER –
GODAWARI POWER AND ISPAT LIMITED

MODERATOR : MS. SANA KAPOOR – GO INDIA ADVISORS

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November 17, 2025
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Moderator: Ladies and gentlemen, good day, and welcome to Godawari Power and Ispat Limited Q2 FY '26 Earnings Conference Call hosted by Go India Advisors LLP. As a reminder, all participant lines will

be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Ms. Sana Kapoor from Go India Advisors. Thank you, and over to you, ma'am.

Sana Kapoor: Thank you. Good afternoon, everyone, and welcome to Godawari Power and Ispat Limited's Earnings call to discuss Q2 and H1 FY26 financial performance. We have on the call Mr. Abhishek Agrawal, Executive Director; Mr. Dinesh Gandhi, Executive Director; and Mr. Sanjay Bothra, Chief Financial Officer.

We must remind you that the discussion on today's call may include certain forward-looking statements and must be, therefore, viewed in conjunction with the risks that the company faces. May I now request Mr. Dinesh Gandhi to take us through the company's business outlook and financial highlights, subsequent to which we will open the floor for Q&A. Thank you, and over to you, sir.

Dinesh Gandhi: Thank you. Good afternoon, everyone. Thank you for joining us on this call today. Our financial results, press release and earnings presentation are available on our website and on the stock exchanges. I believe you have had a chance to review the same. At the outset, we are deeply mourned and grieved by the unfortunate and unforeseen incident, which took place on 26th September '25 in one of our pellet plants in which six of our colleagues lost their lives and six others were injured. Our heartfelt condolences to the families of the deceased colleagues. May the departed souls rest in peace. The company has provided financial assistance to the families of the deceased. While no amount can ever compensate for the loss of life, our support goes far beyond the financial aid. We remain committed to ensuring the long-term security of the families of the deceased employees through employment opportunities for eligible dependents, pension benefits for non-employable members in the family and uninterrupted education for children through reimbursement of school and education expenses. Safeguarding their future is our highest responsibility, and we stand fully committed by the same.

Now coming to the GPIL performance, I'm pleased to state that H1 FY '26 has been a period of consistent performance with strong operational progress. Revenue remained stable, supported by higher pellet and galvanized product volumes, while EBITDA and PAT margins stood healthy at 22% and 14%, respectively, despite soft realization across the product range.

On the operational performance front, GPIL is well on track to meet its FY '26 production target despite the loss of production of pellet for about 40 days due to the incident that took place on 26th September. While the plant was closed, we took the opportunity to prepone the maintenance shutdown, which was in any case due in Q3 FY '26.

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In H1 FY '26, production volume of iron ore mining, pellet, value-added steel products grew by 18% and 16%, respectively, despite the loss of production of 5 days in September. Pellet sales rose 30%, while value-added steel products declined due to realization softness across the product, except ferro alloys and galvanized fabricated products.

In Q2 FY '26, production increased further by 23% -- 29% for the mining, 31% for the pellet and 5% for value-added products. Pellet sales surged by 71%, whereas value-added steel products saw a decline. The trend in realization remained s

imilar, with only ferro alloys and galvanized products maintaining Y-o-Y stability.

Coming to the consolidated financial performance, in H1, sales turnover remained largely stable, supported by higher production and sale of pellet and galvanized products. However, EBITDA and PAT were lower due to softer realization, even so, PAT and -- EBITDA and PAT margins remained robust at 22% and 14%, respectively.

In Q2 FY '26, revenue, EBITDA and PAT Y-o-Y declined, driven by higher sales volume of pellet and rolled products. On a Q-o-Q basis, however, these metrics were lower owing to reduced realization and seasonal necklace for iron ore pellet and finished steel. EBITDA and PAT margin continued to hold firm at 20% and 12%, respectively. Overall, the financial performance of the company remains healthy and stable.

Let me now update you on other strategic growth plans of the company. I'm pleased to inform you that we have been able to move forward on getting much-awaited regulatory approvals for expanding the capacity of Ari Dongri iron ore mines from 2.35 million tons to 6 million tons per annum, and we have successfully completed the public hearing for environmental approval.

The environmental approval is in the final stage now and expected by the end of December '25. The 2 million ton pellet capacity expansion is progressing as planned. The pre-commissioning trials are underway and commissioning is targeted by the end of November '25, which is awaiting consent to operate from the State Pollution Control Board. The entire work for the commissioning of the project has been completed.

The land acquisition for the expansion of iron and steel capacity has been completed with 452 acres of

land secured for the integrated steel plant and CRM complex. The 0.7 million tons cold rolling mill complex project is progressing well with land acquisition completed and major equipment orders placed.

The total cost of project for CRM project is INR900 crores, of which INR600 crores is financed through debt and the balance remainder funded by internal accrual. The company proposes to take up a 1 million ton integrated steel plant post iron ore mining capacity announcement. The proposal for the same will be put up to the Board after the production on expanded mining capacity is started.

Godawari New Energy Private Limited, a wholly-owned subsidiary of GPIL, has planned to set up a 10 gigawatt battery energy storage system project in Maharashtra, for which land acquisition of 112 acres has already been completed. The cost of the project is INR700 crores, which is proposed to be funded by a debt of 60% and balance from internal accrual out of equity contribution from GPIL.

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GPIL has already infused equity contribution to the extent of INR175 crores, which has been utilized for land acquisition and other project-related expenses. The Board in its last Board meeting has approved setting up an additional 250-megawatt solar power capacity in addition to the earlier announced capacity of 125 megawatts for captive use in the CRM project and integrated steel plant. The project is expected to be commissioned by Q4 FY '27, coinciding with the commissioning of the CRM project. The surplus power pending use in Boria Tibu and integrated steel plant, the company proposes to use power from the 250-megawatt solar for existing iron and steel operations by temporarily suspending thermal power generation.

Operations at Boria Tibu mine resumed in May '25 following approval of the updated mining plan.

Additionally, GPIL received PGCIL approval for the supply of steel billets for transmission-grade galvanized steel structures, recognition the high quality of GPIL billets now comparable to those of India's leading steel producers.

Notably, GPIL remains the only company in India to provide a fully integrated end-to-end solution for galvanized steel structure

from iron ore to finished product. Coming to the market outlook, global iron ore prices have largely moved within the \$95 to \$110 band this year and are currently at around \$102, \$103 a ton.

Weather-related supply disruption supported the prices in the first half, while higher supply in the second half may take further upside. Geopolitical tensions continue to infuse global demand through China's recent stimulus measures, including direct cash transfer to boost consumption, should offer some support.

For calendar '25, iron ore prices in China are expected to remain in the range of \$90 to \$105. The World Steel Association, however, projects China steel demand to decline by 2% in calendar '25 and 1% in '26 as the housing market stabilizes. On the domestic front, iron ore prices, NMDC 64 AC fines have remained range-bound between INR4,500 to INR5,500 tons.

Pellet prices have also been stable around INR8,500 to INR10,000 band, currently at around INR9,750 a ton, and likely to follow a similar trend in H2. Indian steel demand remains strong with the World Steel Association forecasting 9% growth both in FY '25 and '26, driven by sustained expansion across infrastructure and construction, supported by initiatives such as the National Infrastructure Pipeline, Pradhan Mantri Awas Yojana.

By '26, India's steel demand is expected to be nearly 75 million tons higher than as compared to 2020. Taken together, our operational consistency, disciplined project execution and forward-looking investment highlight GPIL's readiness for the next phase of growth. Backed by over four decades of industry experience, strong leadership and a committed workforce, the company stands on the foundation of strength and resilience going forward.

As we scale our mining and pellet capacities, strengthen downstream capabilities and deepen our renewable energy integration, we continue to build on a strong competitive position. Our solid net cash position, strategic capex pipeline and strong ESG focus further support our long-term value creation efforts. With efficiency gains and cost savings from the solar project, benefits of captive iron ore

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resources, GPIL is well-positioned to capture emerging opportunities and deliver sustainable value to all stakeholders. I would now like to open the floor for questions and answers.

Moderator: The first question comes from the line of Vikash Singh from ICICI Securities.

Vikash Singh: Sir, first question regarding the pricing scenario. So if you could give us some idea of what the spot prices versus the 1Q averages? And we have heard some price increase happening recently. So could you just confirm the same? And lastly, anything you have heard on the safeguard duty, which has -- provisional has been lapsed?

Management: The prices -- are you talking about our sales prices, right, pellets, sponge iron, et cetera, and so on?

Vikash Singh: Yes.

Management: Yes. Okay. So the pellet H1 has been close to INR9,000 on average. Looking at the current demand and supply, we feel H2 will also be on the same similar level because pellet demand in the domestic market is still quite strong. Of course, there will be plus/minus 8%, 10% on account of demand. But more or less, it is stable. So DRI is about INR22,000 to INR23,000 on the lower side.

Billets were about INR34,000 on the lowest. Right now, it's about INR35,000. And finish is around INR38,000 to INR39,000. So prices in the last, I would say, 6 weeks or so have been close to the bottom for this financial year at least. Demand looks to be picking up as monsoons got over and everything is -- festivals are over. So hopefully, in H2, we can see a better realization compared to H1.

Vikash Singh: Okay. Was there any INR1,000, INR1,500 kind of price hike in the last one week in the long product?

Management: As I said, right, slowly the demand is picking up. What ha

ppens now is people try to increase the

prices in haste. But if the demand is there, it sustains. If it doesn't sustain, then it rolls back. That has been a trend from the last couple of weeks where the prices start going up and then come down a little bit again. But I'm very sure things should improve from here on.

Vikash Singh: Okay. Any words on the safeguard duty, which you have heard because the provision has been lapsed, and we are not sure by when the final notification would come?

Management: No, not -- because since I'm not dealing with the product of HRC, right? So I don't follow it very closely. But yes, I think at the moment, everyone is hoping it should come soon to support the industry.

Vikash Singh: Noted. Sir, my second question is your strategy towards using solar power to use in the future projects as well. Sir, that 250-megawatt solar power, which you intend to use in the CRM, how should we look at what kind of cost savings it will give? And does it really make sense because that money could go for the new product or increase your overall volumes? So just wanted to understand what kind of internal IRR on that project we are expecting at this point of time, especially when there's no premium on the green steel?

Management: I'll tell you. If we don't install any power and import power from the grid, my grid tariff will be close to about INR8, INR7.70 to INR8 annually on a per-unit basis. When I calculate that because the CRM, it's a volume business, there's a lot of competition, but it's high value addition, but the margins are thin. We operate between 8% to 10%.

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So every penny matters, right? If I import INR8 grid power and give it to my CRM complex, so my operating cost will be on the higher side. Rather, when I have land available for me, which I can use and I've been doing solar power since so many years, so I think this is the right way to invest in solar power so that my operating cost goes down from day 1. If not today, by next.

Plus, just to tell you, that solar power plant will not only go for my CRM complex, in the long run, it will also be feeding to my second mine, Boria Tibu mine, where we will be installing power there as well because the mine tariff is close to INR12. So it's better to put a solar plant there as well. So this new 250 megawatt will feed to my CRM as well as my mine in the longer run.

Vikash Singh: Noted, sir. Actually, I was coming from the fact that a thermal power plant of much lower capacity and cost -- price you are...

Management: No, I'll tell you in that way. Firstly, today, a thermal power plant is not cheap. It's INR7 crores minimum per megawatt, right? Plus, as a company, we have decided we will not be going to any fossil fuel thermal plant. We have no intention of going back into that. We are very much happy in moving forward because sooner or later, I'm very sure with new government norms, new carbon tax mechanisms which India has proposed, things will get beneficial for us in the longer run. We will start getting the results of whatever investment we're doing right now. I'm very sure about it. So we have no intention of going back into fossil fuel.

Vikash Singh: Noted. And sir, until your own HRC capacity comes in, you would be buying HRC from the market. What kind of margins do you think you would be making in CRM?

Management: No, just to correct, we are not entering into the HRC market. Our new steel plant, when it goes ahead, it will not be making HRC. So we will be a long-term buyer of hot-rolled coil from the market to feed to my CRM complex.

Vikash Singh: What kind of conversion margin do you see at the current spot basis? I know that the future can be different. But at the current level, what kind of conversion margin do you see in the CRM context?

Management: That's what I'm saying. As we said by the industry trend, I think between 10%. That's 10%

is a very

good number. I would say 7% to 8% is an average number. So even we have considered the same margin when we did our entire business planning. We will be a buyer of HRC from the market on a longer basis, and we will be feeding and converting to value-added products. That is the whole area.

Vikash Singh: Noted, sir. Just one last question. Once the Ari Dongri mining capacity goes to 6 million tons, do we have the need to run Boria Tibu simultaneously, or will we save that project for the future? Just wanted to understand the...

Management: Yes. See, Boria Tibu is a low-grade mine, specifically where the average grade is about 48, 47, 50, right? The idea is we want to start investing in Boria Tibu because increasing the mining capacity will take a lot of time because currently, that mine is not with a lot of infrastructure. So that needs to be developed, and it will take its own sweet time. So the idea is in 3 to 4 years, we start ramping up Boria Tibu to a decent level.

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As and when we feel the bigger mines are not able to feed or there is a shortage, we can always ramp up the capacity. Today also, if I start working on Boria Tibu, the next expansion can only happen a minimum of 3 to 4 years from now on. I'm looking at April '29 minimum from here to increase some kind of capacity in Boria Tibu. So it's a long-term plan.

Vikash Singh: Very well noted.

Dinesh Gandhi: Let me add one more point in this solar thing. This 250-megawatt solar, if you compare with the rate of INR7 and net cost to the steel plant at about INR5.50, the internal rate of return is about 24%. So it is a healthy investment. Number two, if you want to do solar under group captive, then the point is that the land on which this project is proposed cannot be done under group captive because it has been allotted to Godawari Power, and it cannot be subleased to any other company. So these are the two other factors for considering this 250-megawatt project on the balance sheet of GPIL.

Moderator: The next question is from the line of Siddharth from Equirus Capital.

Siddharth: My first question is on the mining capacity. Now with Ari Dongri going to 6 million tons, when do we expect the entire crushing beneficiation to come online, and we should be at that 6 million ton run rate on an annual basis?

Management: See, hopefully, we should get the final clearance from the State Pollution Board by the end of this quarter. And from there on -- so January, probably -- we need a couple of months to get things back in order because we have been trying to manage till now because there has been a delay for 2 years. We see a ramping up capacity happening from April '26. And next year, 6 million looks difficult, to be very honest with you. Our idea is to reach 4.5 million to 5 million tons next year and then full throttle 6 million tons from January '27. That is the whole idea to go ahead.

Siddharth: So broadly, so we're targeting the -- sorry, go ahead.

Management: And Boria Tibu mines will mine about 5 lakh tons annually, out of which I'll get about 3 lakh tons of concentrate. So that will give me a decent cushion to operating my plant from my own captive mines, all the pellet plants.

Siddharth: Sir, broadly, so we are suggesting that the beneficiation and crushing facility also should come online by calendar year '26 end, and we should be in place to ramp up the...

Management: No, we are already running a 0.6 million beneficiation plant. The further expansion is just an extension of it. We are completely ready. Once we get the permission, we'll take about 4 to 6 months to get the line up and running. We're expecting by June, July, the full beneficiation will be in place, right? Since it is going to be monsoon, you can expect from Q3 onwards the entire beneficiation and mining will be at full capacity.

Siddharth: Sir, at peak, given where our current capa

cities are on the expanded pellet capacities, what would be our peak iron ore requirement in '27 then?

Management: You mean FY '27?

Siddharth: From calendar year '27 onwards?

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Management: We will be producing -- at the current pellet levels, we should be producing anything above 4.2 million tons, and assuming a 15% to 20% yield loss on beneficiation. So we need about 5.7 million, 5.8 million tons. That is the whole idea. We mine about 5 million tons in the first phase, take it to 6 million tons in the second phase so that we are always 100% captive.

Siddharth: So we will broadly not use any iron ore for manufacturing sponge. We will still use pellets to manufacture sponge, or we might transfer something there also?

Management: No, no, we cannot because our mine is magnetite, and magnetite is not suitable to directly feed into sponge iron. The only way you can consume magnetite is through the iron ore pellet route. So our DRI capacity will always run on 100% pellet.

Siddharth: So broadly, we should look at it that way that at peak also, we would be mining somewhere between 5.5 million, 5.7 million tons?

Management: I mean, see, 6 million tons and you -- so 6 million is the idea is. So 5.5 million, 5.75 million depending on how the monsoon will play. But the idea is whatever requirement we have for a captive pellet plant, it has to come from our mines. There is no intention of selling any surplus in the market.

Siddharth: Sir, secondly, in terms of the CRM complex, any timelines for both the CRM complex and the BESS plant?

Management: As we have informed earlier to everyone, we're looking at the commercial production of April '27, which is FY '28 for both, for BESS as well as for the CRM.

Siddharth: And in 2 years, we should reach full utilization of that?

Management: Sorry, come again?

Siddharth: For the utilization, we should reach near full utilization in 2 years of operation?

Management: Because both things -- for us, it's the firsthand experience. We are assuming a 50% to 60% PLF on the first year. From the second year onwards, we will be at 80% plus in both the plants for sure. That is the whole idea.

Siddharth: Okay. Sir, and given that now we will start work on even Boria Tibu mine, so broadly 2 to 3 years down the line, again, we will look at expanding our pellet capacities or how should one think about?

Management: No. The idea is the Boria billet capacity so that it can support our additional capacity requirement in this new steel complex. We might require 1 million tons because we're putting -- we might put a plant there. So the idea is to benefit Boria inside the mine, reduce our wastages and then straightaway send it for usage in my new steel complex. So that is -- with my new steel plant.

Siddharth: So we will time the Boria Tibu capex with the steel plant only, that is that how one should think about it?

Management: The capex is not very big. The idea is because there are a lot of approvals required, and new EC has to be obtained. Today, it's anywhere between 18 to 24. Then in 12 months, we need to get the plant up

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and running. That's why we started working on the Boria Tibu approval, preparing a new EC and other documents. capex will only happen probably 2 years down the line, nothing before that.

Siddharth: Sir, last question on my side. On the steel plant, any timeline for the capex, or are we still how many quarters away?

Management: See, as we had said earlier, for us to have comfort, for everyone has to have comfort, we are very clear. Once we receive the final approval of mining EC, then only we'll take it to the Board for approval.

Parallely, we are very close to fine-tuning the capex, last discussion with all the key suppliers. For that as well, we need about a couple of months. We are hoping probably in the next Board

meeting, we

should be able to take up the steel plant for approval. Everything goes well.

Moderator: The next question is from the line of Manav from Yes Securities Limited.

Manav: So first question is on the iron ore expansion at Ari Dongri. Since you have already completed the public hearing and are expecting approvals by December, what sort of volume can we expect? I mean, is there going to be any lag in the production once the ECs are in place?

Management: No, there won't be any lag in the production because -- from quite before only we were always calculating the additional volumes to come up in FY '27, which is April '26 Q1 quarter. There has been a couple of months delay to obtain the EC, which we thought we could get the EC by Diwali. This will not impact any kind of production lag this year. There might be a little bit of overlapping because the monsoons are going to arrive by June, and we will need some time to start the capacities.

Manav: Got it. And on the pellet front, when do we see the commercial production start for the new pellet plant, the 2 million ton expansion?

Management: I think in a couple of weeks. I think by the end of this month, we should be able to announce it on the stock exchange. We're just waiting for the final approval to go ahead. We have started doing the cold trials, which is very much permissible. I think in a couple of weeks, the new pellet plant should be up and about. From Q4 onwards, we're expecting close to 80% to 85% of the capacity for the new pellet plant.

Manav: Okay. So the ramp-up time wouldn't be that long?

Management: No, probably a month or so, probably 4 to 6 weeks.

Manav: Got it. That is helpful. Additionally, with the incident which happened at the pellet plant, what impact on volumes can we expect? Could you quantify it, inclusive of the maintenance shutdown?

Management: We did lose about 1.5 tons of volume. Some of it was at the end of Q2 and the entire October. so it will affect -- but the good thing is out of 35 to 40 days shutdown, 20, 25 days were already planned at the end of Q3, early Q4 as an annual shutdown. So that we did the maintenance job this time only. Plus, with my new pellet plant coming in, I'm hoping to ramp up by Q4, the volume we had declared initially about 3 million tons, we are confident we can achieve that.

Manav: Okay. So on average, we can expect like 820 kilotons per quarter. Is that how the run rate is to be looked at for the next couple of quarters?

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Management: Yes. I think January Q4, we should be doing about 0.9 million tons itself. Whatever production has happened, we are very confident we can be able to cover it from our new plant.

Manav: Okay. Got it. And since the mining is going to be a little delayed and the pellet plant would already be

up and running, so can we expect some merchant purchases of iron ore as well during Q3 and Q4?

Management: Yes, of course. We have been a buyer in the market for about 50,000 tons every month. And with the new pellet capacity, there will be additional mine, till mining capacity ramps up. The good thing is, firstly, in today's market also, because there are other merchants' pellet supply in the market who are buying 100% iron ore from the market, and speaking to the sponge iron guys, there is still money to make. That will also help us in the bottom line with the additional EBITDA coming from additional volumes of pellet.

Manav: Got it. So you had mentioned in your opening remarks that the H2 prices for pellets are expected to remain in the INR9,700 per ton range. How are the premiums on iron ore pellets looking currently?

Have we seen some fall over there as well or is it in the broadly range of INR1,000....

Management: There are no premiums as such. Specifically in the Raipur market, there has been a lot of addition of DRI capacities, and the addition is still going on. Every month abo

ut 20, 25 additional capacity

requirements are coming up. At the moment, Raipur is not able to feed the DRI guys. There is a shortage of pellets in Raipur. Going forward, once the new plant comes to production, the demand-supply gap will be quite balanced, and we can see the prices to be at a similar level. We don't see many going up and down too much.

Manav: Okay. Got it. Just one last question. Could you provide me what was the landed cost of imported coal for the quarter?

Management: It was about -- so Q2, it was about INR11,000 landed to my plant, RB1 coal, 6000 GCV coal.

Manav: Okay. And how is it shaping up in Q3? Any impact...

Management: Initially, the market was on the lower side. The index had gone down below 80. There's been a little bit of current, but not much. We can see Q3 should be between INR10,500 and INR11,000 because the dollar rate has again gone up from INR86 to INR89 level. That also needs to be considered. So yes, plus/minus INR500. It's quite stable only, I would say, the imported coal as well.

Moderator: The next question is from the line of Sahil Sanghvi from Monarch Network Capital.

Sahil Sanghvi: My question is more on the BESS side. I think we've heard announcements from Ola and Adani to enter this particular part of the project. They will be doing something similar on this line. How similar is what we are doing and what they are doing? Would that be a lot of competition to handle for us?

Management: Firstly, whether it's Adani, Ola, or JSW, there will be stiff competition in this, and we are very well prepared for that. We don't want to be a capacity design such that we want to be probably one of the top 5 in India in terms of volumes. We are very clear about the competition. In terms of Adani, the announcement they had made, they also came back with a new announcement.

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The news is not totally 100% correct. So basically, 30 gigawatts, they are doing it for their own Gujarat project, where they're building up one of the biggest solar parks of 20,000 megawatts. So 30 to 35 gigawatts will go for their captive consumption. That beneficiation came from Adani in the Economic Times.

What Ola is doing, Ola is now trying to install a BESS for their battery charging solutions where the consumers can reduce their power cost, the electricity bill in the net metering concept. The idea is the same -- I mean, the logic is the same, but the applications are different for everybody individually. In our case, what we want to be doing is -- we're not a developer. We won't be bidding in tenders of SECI. We want to be supplying containers and directly competing with other guys in India as well as imports from China. And banking on government policies, the way it has supported the solar industry till now, those policies will also start coming in place as and when the volumes in India start going up of supply. There's a big mismatch of demand and supply.

Today, India can supply, I would say, 10%, 90% is import. When the demand-supply starts coming close, I'm sure the government will come up with policies and start supporting the domestic industry. That is the whole idea on the BESS side. Just for your information, so Reliance is coming up with 40 gigawatts.

But 30 gigawatts again is for their own towers, telecom towers. They'll be coming with only 10 gigawatts capacity in the market and competing with us. Eventually, we will be on a similar level. Our capacity is also very big. It's 10 gigawatts purchase only. That's how we visited at the moment, then this entire new this particular business.

Sahil Sanghvi: Got it. And secondly, just to understand the kind of iron ore that we'll be mining in FY '27, you said about 5 million to 5.5 million tons. Is that correct for FY '27?

Management: Yes. For FY '27, since there has been a slight delay and with the monsoon onset -- so this year, the monsoon was 5 mon

ths. Keeping all that in mind, we should be able to do somewhere about 4.7

million to 5 million tons in FY '27. And my new -- and the expanded beneficiation plant of 6 million tons from 0.6 million will be up and about by, say, June, July, which is the end of Q1 or early Q2.

Sahil Sanghvi: Right. So the balance requirement this year and next year will be fully dependent on the market or

would there be some supply from Boria Tibu also? I mean how is that...

Management: Boria Tibu supply are continuing. We intend to do constant mining of about 0.5 million from Boria Tibu, where we'll get about 0.3 million tons. There will be additional support of our own magnetite raw material. The rest, we will have to go into the market to keep running our plants. But I'm hoping this should continue max till probably, say, March because from April onwards, we will see additional volumes coming out of the mines.

Sahil Sanghvi: Okay. And roughly, the production target for FY '27 would be 4 million tons for pellet? Or would that be lower?

Management: No. Pellet for next year, 4 million will be the bare minimum. It might be on the higher side. Probably we will analyze during the planning of the next year, but 4 million will be the bare minimum for sure because we expect 80% capacity utilization from Q4 this year only for the new pellet plant from Godawari Power and Ispat Limited

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January onwards. So that happens 80%. For next year, it will be the bare minimum 4 million tons without a doubt.

Moderator: The next question is from the line of Vinit Thakur from Plus91 Asset Management.

Vinit Thakur: I had a couple of questions regarding our -- so there is a sponge iron decline in production. Are we utilizing it to make pellets and other stuff more? Have we increased the capacity to utilize sponge iron ore?

Management: See we are -- currently, our sponge iron is 0.6 million tons, in our steel capacity. We do about a production of 0.5 million. We are installing a new furnace of 30 tons, which will require an additional 1,500 tons of sponge iron. Once that is in operation, I think from next year onwards, our sponge sale will be totally zero.

Vinit Thakur: There is a spike in our galvanized fabricated production and sales. Could you shed some light on why the spike in that? We have done really well in that segment. So is there any market tailwind that you are expecting or are we exploring new avenues for relating sales for that product?

Management: We are. So additional capacity, we got all the approvals from PGCIL now. We are ramping up the capacity of our rolling mill. We have also started taking strips, which are used for the pipe segment because our quality of billets is like that. We are hopeful from Q4 onwards, we can see a substantial jump in the volume of RR for strips as well as for the billets itself.

Vinit Thakur: Sir, there is a decline in the sales of steel billets by 40% H1 over H1.

Management: I don't know, it was because in June, we had to -- we had taken a planned shutdown of one of our bigger turbines. There were modifications required to meet the new norms. Basically, the State Pollution Board has recommended to all industries to revise their pollution norms. To maintain that, to complete the timeline, we had to take a 2-month shutdown of one of our power plants. Due to less power, the production on the billet side is less. That is the reason.

Vinit Thakur: Could you shed some light on the iron ore capacity in India right now, would be a shortfall for steelmakers in India itself in recent years? So do you think there will be a good price rise in iron ore sales and fines?

Management: I think today, because of the mismatch, especially in the Eastern belt which covers Bengal, Odisha, Jharkhand and all, there is already a acute shortage of iron ore. That is the reason in spite of such weak steel prices, the pellet prices are still on the higher side. If you spe

ak to any DRI guys, they would say

pellet prices should be at least INR1,000 less from here on. But because of the shortage of iron ore in India and the production going up every year by 8% to 9%, the raw material prices in India are on the higher side and will remain elevated unless the supply starts improving from the iron ore side.

Vinit Thakur: Sir, lot of mines are coming up on...

Management: See, mines keep coming, but any virgin mines, any new mines auction, it takes a minimum of 3 to 4 years for operations and at least a couple of years to ramp up the capacity. Whatever is happening, I'm sure the mines which got auctioned in say '21, '22, they might be coming into production this year. But Godawari Power and Ispat Limited

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-- that's what I'm saying, the demand is much more than the supply, which is being held up into India.

So government is concerned about it, and they are hopefully working on it.

Vinit Thakur: Do you think the prices of iron ore and pellets and everything would be -- this would be the bottom you are looking at right now and this would go upwards from here onwards?

Management: See, to be honest, on a very long-term basis, I think INR9,000 for us as a realization ex plant, on a longer-term basis is very, very practical. I don't want to be very optimistic or very pessimist. I think INR9,000, if at a longer term, I think is a good pricing for the pellet people for sure.

Vinit Thakur: Okay, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Ashish Soni from Family Office. Please go ahead.

Ashish Soni: Regarding BESS, you'll be supplying to utility grade, if I understand. So have you already started

partnership discussions with the developers who might be using this or bidding for this?

Management: No. To be honest, not yet because we are still about 12 months, 13 months away from when we starting supplies. But as we come close to the date of commencing operations, we will think of having discussions with 3 or 4 big developers who are going very aggressive in terms of the volumes. So we have that in mind. But at the moment, because it's too far away from our supplies, it doesn't make sense to talk to somebody right now because competition is big, imports are still happening. I don't think even the other players would be quite keen on taking discussions very seriously at the moment. Once we are closer to the commissioning operations, then probably we'll start discussing. We have that in mind.

Ashish Soni: Okay. Your cells will be imported from China, but BESS typically, the systems are for longer projects, whatever I understand, 5 to 10 years. How will the warranty work in that case? Because you'll be putting in the container or assembling, whatever you will do with that...

Management: Exactly. We will be importing cells. So whatever warranty we're getting on cells, we will pass on to our buyers back to back. That is the whole idea. Apart from cells, everything will be done in India. If you study the government policies, PCS is already compulsory from India, EMS is already compulsory from India. The government is very proactive in supporting domestic manufacturing. Only the cells will be imported, rest everything else will be from India only going forward.

Ashish Soni: So you basically see any issues come in wherever you're buying from China, they will be helping out with that warranty. Typically, what will be the warranty period, if at all you're importing from China?

Management: For cells, if you know the technicality, it's basically 8,000 cycles for 2-hour charging. Basically, roughly it's about 8 years, 10 years down the line, depending on the cell category. And for cells, because we do realize it's a very critical part of our operations, we are only discussing with top clients in China and trying to enter long-term supply with them. That's how we're going to be procuring cells on a long-term

basis with top A category suppliers only, like CATL, EV, lithium. These three or four we have identified and we are at a very advanced stage of negotiation with them.

Moderator: The next question is from the line of Siddharth from Equirus Capital.

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Siddharth: One more question on the fundraise, the preference issue that we had done recently, any rationale behind that, that why did we do a preference issue?

Management: Dinesh ji?

Dinesh Gandhi: Siddharth, there is no major rationale. But if I have done a preferential issue, it shows that 50% or more than 50% of this is taken by the promoters. Who else knows the business better than the promoters? The promoters wanted additional liquidity in the company, and therefore, we have gone ahead with the preferential issue. This money in case will be partially utilized for our upcoming projects. This helps funding the project also without raising additional debt.

Siddharth: Anything that are we getting ready for the steel plant capex, and that is why we have done this capex in advance -- preferential issue...

Dinesh Gandhi: The steel plant capex will be much larger. This INR100 crores of preferential issue does not fund my entire steel plant project. But definitely, this will help meeting requirements for BESS and CRM projects.

Siddharth: Incrementally, when we go ahead with the steel plant, will we require incremental fundraising, or should we be able to do it from the internal cash accruals now?

Dinesh Gandhi: We will need to raise some debt definitely for the steel plant. We will definitely raise the debt. We'll see what is the equity availability we have and what is additionally required.

Siddharth: Sir, lastly, coming to our pellet volumes for 2H, given that NMDC has also taken a price cut, do we still believe that we should be able to maintain this range of pellet realizations going ahead?

Management: 100% because there is a shortage of -- see, you need to understand, although NMDC has taken a price cut, but the supply from NMDC is limited to a certain extent. They follow certain systems, they process, they have to apply for linkages. There is an additional requirement getting generated every month in this area because of additional capacity of DRI. Right now, there is a shortage of pellets in the market. Meeting the volumes and the pricing, I don't see a challenge at all, at least for this financial year -- the remaining part of this financial year.

Siddharth: And second thing, majorly in the first half, we have sold mainly in the Raipur area, or we have looked at other markets also?

Management: No, we sell close to about say a periphery of say about -- maximum is about 100 kilometers in and around Raipur, that's it.

Siddharth: Going ahead on the expanded capacity, how do we see that changing?

Management: That won't change because right now, there is pellet coming from outside Chhattisgarh. For example, Odisha is there. That will stop. Whatever is a little bit coming from outside, that will stop first. Again, it's a commodity at the end of the day. So there is some price plus/minus, so we shouldn't be surprised. But at the moment of it, I can see, I can visualize there is a demand-supply gap. With the new pellet capacity, that gap will close down.

Siddharth: Yes. Have you put any number in terms of how much DRI capacity has been added in India over the last 12 to -- 1 to 3 years?

Management: No, I don't have the data. Let me get back to you on that. Let me get back to you on that. Let me check and get back to you on that. I don't have the data right now.

Siddharth: But we are very confident that of the incremental offtake also, we should not see any challenges given there would...

Management: No, I know the capacity in Chhattisgarh at least because being a small town, we keep talking to each

other at the promoter level. So I know which guy is joining how much capacity, how much is still in the pipeline. That idea we have. But just to give you a data, exact number, I need to go back and come back to you on that. I need to check.

Siddharth: Got it. Lastly, just on the secondary steel, given that we have seen a significant weakness in billet and sponge iron pricing, do you expect this trend to continue in the third quarter as well and some pickup in the fourth quarter?

Management: Hopefully not. I really don't know when demand comes and demand goes. I still wonder currently what happens. But I hope demand comes back because the period has been extended now for almost 5 to 6 months. I hope as an industry, the demand comes back and the prices do go up. Otherwise, it will be a tough time for -- as an industry it will be tough time to survive this phase.

Moderator: The next question is from the line of Manav from Yes Securities.

Manav: Just building on Siddharth ji's question regarding 2 million ton pellets also coming into the market. Are we looking at exports as a strategy sometime down the line just in case there's an overflow of pellets?

Management: Yes, 100%, of course. I always have my eye on exports. I do track the market. If you see even Lloyds is exporting a little bit of pellets because of its current supplies. Exports are always open, and the export market is, I would say, moderately strong at the moment. If you see iron ore is well above 100, there is demand for pellets in the market. We are very much open for exports as well if there is a challenge selling in the domestic market.

Manav: Got it. Have we -- I think a couple of quarters back, we did have one shipment for the exports. But have we done anything during the first half?

Management: No. At the moment, export only happens when there is actually a necessity. There is no demand in the local market, just to sell additional volumes for the time being. But with new capacity added up, there might be a situation where we probably have to sell every -- one cargo every month. So never knows how it plays. But we are very much open.

Manav: Got it. Sir, second question is for the CRM and the battery energy storage. I think for the CRM, we have already done with the order placements in the second quarter. What's the status on the battery energy storage systems right now?

Management: As Dinesh ji mentioned during the start of the call, so we have acquired the land in Aurangabad industrial area, it's called AURIC. We signed an industrial policy MoU with the Maharashtra

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government. We should be starting the demarcation work and other infrastructure work during the next month.

From January onwards, we should be able to start work at the site in full throttle. Machine orders have started being placed with respective buyers, be it in India, be in China. That should complete in the next 6 months, and a line should be up and about, say, anything between January '27 to March '27.

There is a big trial commissioning and all that.

Manav: Got it. So FY '27 end is where we expect...

Management: Yes. For both -- for BESS as well as CRM, we have given the commissioning date to be April '27, which is FY '28. And we should be able to meet that.

Moderator: Ladies and gentlemen, that was the last question of today. We have reached the end of the question-and-answer session. I now hand the conference over to the management for the closing comments.

Over to you.

Dinesh Gandhi: We would like to express our deep sense of appreciation for joining us on this call. We are confident that we have been adequately able to answer all your queries. Should you have any other further questions or need additional information, please feel free to reach out to our Investor Relations team at Go India Advisors. Once again, we sincerely thank you for all your active participation and sup

port.

Thank you very much. With this, we conclude this call.

Moderator: Thank you. On behalf of Go India Advisors, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

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REF: GPILINSE&BSE/2026/6220

To'

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai-400001 .

Scrip Code: BSE: 532734Date: 11.02.2026

To'

National Stock Exchange of India Limited

Exchange Plaza, C/I , Block G,

Bandra Kurla Complex, Bandra (East),

Mumbai-400051.

Scrip Code: GPIL

Dear Sirs,

Sub: Submission of Transcript of conference Call held on 9th February, 2026 regarding Q3 & 9M FY26 Results.

This has reference to conference call held on 9th February, 2026 to discuss the results and performance of Q3 & 9M FY26 for Analyst/Institutional Investors/Fund House/Investors etc.

Please find attached herewith the Transcript of conference Call held on 9th February, 2026

The aforesaid information is also being hosted on the website of the company viz.,

www.godawaripowerispat.com at Investors Information > Shareholders > Notices.

Thanking you,

Yours faithfully,

For Godawari Power And Ispat Limited

-te.-Y.C. Rao

Company Secretary

Encl : As Above

Godawari Power & Ispat Limited

An Iso 9001 :2015, Iso 14001 :2015, Iso 45001 :2018, 50001 :2018 & 27001 :2022 certified company

CIN L27106CTI P99PLCO13756

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"Godawari Power & Ispat Limited

Q3 FY '26 Earnings Conference Call"

February 09, 2026

MANAGEMENT : MR. ABHISHEK AGRAWAL – EXECUTIVE DIRECTOR –

GODAWARI POWER & ISPAT LIMITED

MR. SANJAY BOTHRA – CHIEF FINANCIAL OFFICER –

GODAWARI POWER & ISPAT LIMITED

MR. DINESH GANDHI – EXECUTIVE DIRECTOR –

GODAWARI POWER & ISPAT LIMITED

MODERATOR : MS. SANA KAPOOR – GO INDIA ADVISORS LLP

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Moderator: Ladies and gentlemen, good day, and welcome to Godawari Power & Ispat Limited Q3 FY '26 Earnings Conference Call hosted by Go India Advisors LLP. As a reminder, all participants' lines will be in listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference to Ms. Sana Kapoor from Go India Advisors. Thank you, and over to you, ma'am.

Sana Kapoor: Thank you, Pari. Good afternoon, everyone. It's my pleasure to welcome you on behalf of Godawari Power & Ispat Limited. Thank you for joining us today for the Q3 and 9 month FY '26 Earnings Call. Please note that today's discussion may include certain forward-looking statements and must be, therefore, viewed in conjunction with the risks that the company faces. We are joined today by Mr. Abhishek Agrawal, Executive Director; Mr. Dinesh Gandhi, Executive Director; and Mr. Sanjay Bothra, Chief Financial Officer.

May I now invite Mr. Dinesh Gandhi to present the company's business outlook and performance, after which we will open the floor for Q&A. Thank you, and over to you, sir.

Dinesh Gandhi: Thank you, Sana. Good afternoon, everyone. Thank you for joining us today on this call. Our financial results and earnings presentations are available on our website as well as on the stock exchange. I believe that you had a chance to review them. I will take you through the results, post which we can have a question-and-answer session.

I'm pleased to share that 9 months FY '26 marked a steady performance with a slight decline in revenue. Across operational and financial front, revenue remained stable with slight decline. EBITDA and PAT margin stood strong at 22% and 14%, respectively, despite softer realization. Operating momentum remained strong in Q3 FY '26 on Y-o-Y basis, with iron ore mining production increasing 46%, while iron ore pellet and value-added product remained steady growth.

Pellet sales temporarily declined during Q3 FY '26 on account of accident in the pellet plant in end of September '25, which impacted production and sales volume during Q3 whereas value-added steel products sales grew 15% Y-o-Y. Realization for Y-o-Y 9 months and quarter softened across almost all product categories, except ferro alloys and galvanized products.

In Q3, on year on base year basis, EBITDA margin expanded to 20% from 17% in Q3 FY '25, despite a marginal decline in realization and pellet volumes. On a quarter-on-quarter basis, sales, EBITDA and PAT moderated, largely due to lower pellet sales volume and softer realization for intermediate and finished product.

Notwithstanding these challenges, margins remained resilient with EBITDA and PAT margin sustained at 20% and 13%, respectively, reflecting company's strong operational efficiency and margin stability.

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Q3 -- during 9 months, production volume showed healthy growth with iron ore mining and pellet increasing by 27% and 10%, respectively, while value-added product remained largely stable with modest 4% growth. On sales front, pellets had increase of 17%, whereas it was slight dip of 3% on value-added product.

Coming on consolidated financial performance for 9 months, revenue dipped slightly on account of softer realization, which were, to some extent, offset by higher production and sales of pellet, galvanized fabricated product and the rolled structural product. EBITDA and PAT were lower primarily due to decline in sales realization. Still EBITDA and PAT margins remained strong at 22% and 14%, respectively.

Now coming on company's growth plan and the u

pdates during 9 months of the current financial

year, I'm happy to announce that GPIL has received much awaited environment clearance from Ministry of Environment for risk and climate change for more than doubling the iron ore mining capacity of Ari Dongri mine from 2.35 million to 6 million tons.

The consent to operate is expected to be received in a few days, following which commercial operations of the iron ore mining and ramp up of capacity will start hopefully during the current month itself. This marks a significant milestone in strengthening GPIL raw material security, backward integration, while reinforcing its long-term visibility and competitive positioning.

Environment clearance and consent to establish for 5.4 million ton crushing and beneficiation plant has also been received and we expect to complete the work for beneficiation plant by end of Q2 FY '27.

I'm pleased to highlight that additional 2 million ton iron ore pellet plant has commissioned and

operations commenced in December '25, with commissioning of GPIL total pellet manufacturing capacity to more than 1.7x from 2.7 million to 4.7 million tons, strengthening its integrated operation and supporting future growth.

These achievements will drive volume and profitability growth in FY '27. Progress on 0.7 million tons CRM complex remain on track with land acquisition completed, major equipment order finalized and bank funding secured. Construction will begin in April 2026. Commissioning targeted for March '27.

GPIL is also expanding its solar -- captive solar capacity by over 3x from 165 megawatt current to 540 megawatt to support captive consumption across iron ore mine, integrated steel plants and CRM operations. Land acquisition for solar expansion has been completed. Execution is currently underway, and these projects are expected to be completed in phased manner, beginning from March '26 to March '27.

In order to operate these projects in more efficient manner and save on the cost of banking, the company has recently decided to set up a battery energy storage capacity of 45 megawatt hour in one of the solar projects to meet the power requirement of captive iron ore mine where grid tariff is highest at about INR11 per unit. These equipments, which are being ordered will be the

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same composition which our BESS manufacturing facility will commence over a period of next 1 year.

Additionally, as you are aware, company has decided to venture into manufacturing of battery energy storage system with an initial capacity of 20 gigawatt with a capex of INR1,025 crores during 2026, '27 and commissioning of BESS project is targeted for Q4 FY '27.

The decision to take up BESS project with a capacity of 20 gigawatts is driven by availability of single-line 20 gigawatt manufacturing line, which enables better land utilization, lower structural and operating costs, improved manufacturing efficiencies and supporting higher operating margins.

As a part of the company's ongoing efforts to simplify and streamline group structure, the Board has approved disinvestment of its entire 37.85% stake in Ardent Steel, which operates a merchant iron ore pallet plant. This stake is being divested for an approximate value of INR91 crores. This transaction is expected to be completed by March '26.

Coming on the ESG front, the company has completed major initiative under its energy efficiency decarbonation project, resulting in higher average DRI production, increased daily stream generation.

The company achieved a score of 76.6 from CARE Edge ESG Rating Agency, reflecting its recognition as an industry leader with a strong ESG risk management and performance. The company continues to make steady progress towards its long-term goal of achieving net zero carbon emission by 2050.

Coming on the market outlook, on international front, global iron ore pri

ces remain range bound

during FY -- during calendar '26 at USD 95 to USD 110 range and currently stood at about \$102, supported in H1 by weather-related production losses.

However, rising supply is likely to cap the prices going forward. China's steel consumption has officially peaked and is expected to gradually decline, although recently stimulus measures, including direct cash transfer, should provide near-term demand support.

Global iron ore market is at an inflection point with a supply addition such as Guinea's Simandou Project commencing operation in November '25 and expected to export 5 million to 10 million tons in calendar '26. Full ramp-up will start -- is expected to take longer. Iron ore prices in 2026 are expected to be range bound, averaging around \$100.

On domestic front, NMDC iron ore prices have remained largely range-bound at INR4,500 to INR5,500. Excluding seasonal fluctuation, current prices at INR3,900 reflects the revised structure with statutory levies excluded from January 2026. Pellet prices have tracked a similar trend, trading at about INR8,500 to INR10,000 during calendar '26 with current prices at around INR10,000 a ton, which is expected to remain stable during FY '26.

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India's steel demand is expected to grow steady through the calendar '26 supported by infrastructure-led growth with budget '26 allocating INR12.2 lakh crores towards infrastructure

capex, providing strong demand visibility.

We believe that iron ore demand in India is expected to remain strong in view of demand growth from newly commissioned and ongoing projects. With imposition of safeguard duty, the prices of finished and intermediate products across value chain have risen by 5% to 10%, which is expected to support profitability in 2026 and onwards.

In conclusion, leveraging competitive strength of captive iron ore, strong cash position and ongoing capacity expansion, company is strongly positioned to deliver sustained growth, value creation underpinned by efficiency gains, solar-led cost optimization and firm commitment to ESG.

With this, we can open the floor for Q&A. Thank you all.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Siddharth from Equirus.

Siddharth: So first question is on the capex. So how should one think about the capex over the next 3 years? What would be the cash outflow over '26, '27 and '28 ?

Dinesh Gandhi: See, Siddharth, our capex till now is finalized till end of FY '27. Like the capex in solar to reach a capacity of close to about 500 megawatts, that's BESS and CRM. All these projects, we are expecting to commission by March '27, and beyond which we have not yet announced any further capex.

So our capex in the next financial year, of course, is heavy capex, but with our strong balance sheet of around 10,000 -- INR1,000 crores of cash reserve and debt tie up for the upcoming project, except BESS, we are fully tied up with requirement of our cash flow for FY '27.

Siddharth: Sorry, what would be the total capex for FY '27?

Dinesh Gandhi: Our FY '27 capex will be close to about INR2,000 crores plus/minus INR200 crores.

Siddharth: And so for this year, how much have we spent till now and how much we will spend in the fourth quarter?

Dinesh Gandhi: This year, I don't have the exact number right now, but we would have spent close to about INR600 crores to INR700 crores in the current financial year.

Siddharth: Sir, second is on the iron ore mine. Now given that we are expecting the CTO also coming in, in this month itself, how should we think about the mining volumes for FY 27?

Abhishek Agrawal: Okay. So Siddharth, just to answer that. So the CTO, the setting -- we are very much hopeful that CTO should receive very soon, maybe this week or maybe next week. So yes, once that is

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received, so there will be a very slight increment in the production for this year, probably because only one month will be left for this financial year to get over.

For next year, from 2.35 million, we're looking at a capacity of 5 million and then the next year, which is FY -- so April '27 onwards, we're looking capacity of 6 million tons. So that is how we plan to ramp up our mining capacity.

Siddharth: Okay. So next year, we should reach by -- to around 5 million ton irrespective of when the beneficiation facility comes online?

Abhishek Agrawal: Yes. So I'll tell you what will happen is, so by October, November of FY -- sorry, October '26, we should be able to start producing at a run rate of 6 million tons. Because of the delay, so we'll get only 3 months of dry season in this next financial year, then monsoons will come. So eventually, by monsoons, the idea is to get the plant up and running. And from October onwards, we want to run the beneficiation at full capacity along with the mining. That is the entire planning going forward.

Siddharth: Okay. Sir, last question on the pellet capacity. So even FY '27, we should reach somewhere around 75% utilization?

Abhishek Agrawal: No. See, before the new plant was commissioned, we were operating close to at 90% capacity, and our plant has been running well from last 2 months. And for next year -- next financial year, we will operate at more than 90% capacity.

Siddharth: The entire capacity?

Abhishek Agrawal: Yes. So we should be able to produce more than 4 million, 4.2 million tons from next year onwards.

Siddharth: Okay. Sir, lastly, on the steel plant. Any thoughts on the steel plant or we will take it up somewhere next year only now?

Abhishek Agrawal: No, See, so as we had said earlier as well, we were waiting for the mining EC to get received because we didn't want to overcommit on the capex side. Now since mining has been received the EC, so the team is working on the last minute details. And hopefully, if -- we will discuss internally, I mean, if we want to go ahead with the steel plant, I think the proposal would be taken in the next Board meeting.

Siddharth: Okay, sir. Got it. But this will be 1 million ton steel plant only that we will be...

Abhishek Agrawal: Yes, yes. It will be a new location, 1 million blast furnace steel plant.

Moderator: The next question is from the line of Vikas Singh from ICICI Securities.

Vikas Singh: Sir, my first question pertains to Dinesh ji remark on the iron ore supply scenario. So one of our competitors like Lloyds has also came up with a large supply. So are we going to see some

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excess supply in the iron ore space in the domestic market as well for the next 6 to 12 months perspective? And is that our assumptions? And would that impact our overall performance?

Abhishek Agrawal: See, so I would like to take this question in two parts. In terms of volume supply from Lloyds, definitely, there will be a supply -- additional supply coming in from Lloyds. Apart from our new pellet plant, then there's one more person who's commissioned a pellet plant in this area. But at the same time, the domestic demand has gone up because people are still commissioning the new DRI kilns.

So volumes will definitely go up in terms of supply from the market depending -- NMDC also coming with 2 million pellet plant, which will start in Q1. So there might be some volume pressure. But because of our quality, because of our mining capacity and the beneficiation going up, the quality we make, we have a different end buyer. Our target audience is totally different. So we don't see a challenge in terms of our performance.

In terms of volume, there might be pressure. Over 12 months, there might be some lean period. But on the overall performance of the company, I don't see a c

hallenge because of the quality

we make because we'll be producing two -- we'll be producing high-grade in two plants and a commercial grade in one of the plants.

So because of higher grade, we will always demand a higher premium that will keep our margin intact and our customer audience will be totally different than other players in the market.

Vikas Singh: Noted. And sir, after recent INR depreciation, has the exports been now profitable? Or it is still not -- and what is the difference at which we would start exports?

Abhishek Agrawal: Today -- see, today, we are selling everything domestically. We have no intentions of entering the export market at the moment because the difference is almost -- the delta is very huge. The delta is more than \$15, \$17 at the moment.

Domestic demand is quite strong because in the last few weeks, the entire supply chain of domestic has gone up right from DRI to billets to steelmaking. There has been upsurge in the finished demand from the market. So at the moment, we have no plans of exporting any pellets. We have very strong demand. And sitting in February, we are almost booked till end of this quarter.

Vikas Singh: Noted. Sir, my second question pertains to our capital allocation. Since now our cash inflow is going to go up significantly, we have invested in Jammu Pigments. Then we are doing batteries and at same time, steel. So going forward, would -- how should we look at our capital allocation in terms of -- because Jammu Pigments hasn't done anything yet?

So after batteries, our whole and sole focus would be on the steel only and/or we will still take up those small pockets of capex because we are kind of a little bit reluctant to do a large capex on a single segment. So how should...

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Abhishek Agrawal: See, Jammu Pigments, whatever money we've invested, we always have the option of increasing our stake. That we can do any time. But at the moment, we have no plans to invest any more money in Jammu Pigments. Jammu Pigments will run independently. Whatever cash generation happens from the operations, basis that only, they will look to expand further.

We have no intention of investing any further money in Jammu Pigments, just to make it very clear, on the allocation side, and Mr. Dinesh ji mentioned, so our CRM, our solar and our BESS, so the outflow in this, this year should be close to about INR2,000 crores, INR2,500 crores.

With a strong cash reserve with the mining capacity coming up and EBITDA going -- our cash reserve going plus from the current financial year, I think we are well versed to meet all the capital allocation requirements. We don't see a challenge.

Vikas Singh: And sir, I've just seen in our presentation, our carbon intensity remains very high despite we using some of the solar -- so after assimilating all the solar power projects, basically, what is the final carbon...

Abhishek Agrawal: See, we're currently at 2.4 levels -- 2.45 levels. So to reduce the carbon intensity, a new pellet plant, we have switched from coal gas to natural gas. That is one of the initiatives. With solar capacity adding from a capital consumption, that will further reduce my intensity. But -- and we are also working in one of the carbon capture projects with IIT Bombay. It's an R&D project for 5 ton capture per day. If that is successful, I think then we have a clear path to move forward. But you need to understand, for the entire steel cycle, today, the major crux where carbon emission is happening is the DRI. Out of 2.4, 2.45, 1.8, 1.85 is the contribution only from DRI. So that is the area where we're getting to attack if you want to bring down our carbon level. On the power front, we have taken care. On the pellet side, we have taken care. Now the main challenge remains the DRI, where we have tied up with IIT Bombay. We are working on an R&D project of

5 tons per day. That project should be up and about by coming Diwali, which is 10 months from now on. And the results are good, then we have a clear path how to move forward to reduce our carbon intensity.

Vikas Singh: And sir, just one last question, if I may squeeze in. Sir, coal, cost-wise, next quarter, what are our expectations? I believe we import most of the coal. So INR depreciation has hit them and as well as there are talks about Indonesian supply getting hampered. So your thoughts on...

Abhishek Agrawal: See, Indonesian coals are mainly used for power plants. They're not used for DRI. But definitely, it will have a certain impact on the South African price as well because there will be a glut in the system. So there will be some transfer of a new buyer and new market seller, right? Our current cost in the Q4 quarter, absolute value is about INR11,000 of import.

Our DRI per ton contribution is INR8,000 in Q1 because we have -- we do forward buying. So Q1, the cost will vary maximum is about 5%, 7%. We've ensured that. So any substantial impact, it has to happen, it'll probably happen from Q2 onwards, which is almost 6 months from now on. So no point commenting about that.

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Moderator: The next question is from the line of Manav from YES Securities.

Manav: Sir, first question is, in the presentation, we have mentioned that roughly 452 acres of land acquisition has been done for the integrated steel plant and for the CRM complex. So what would be the capex outlay of the 452 acres, if you could give me the number?

Abhishek Agrawal: To acquire the land?

Manav: Yes.

Abhishek Agrawal: I think it's about INR32 crores. Am I correct, Bothra ji?

Sanjay Bothra: Yes, sir.

Abhishek Agrawal: Yes. So it's about INR32 crores. So we have signed a 99-year lease agreement with the state industry department and the total outflow has been about INR32 crores to acquire the land.

Manav: Okay. Got it. And sir, for the capex that you mentioned for INR2,000 crores to an earlier question by Siddharth-ji, just wanted to know, it doesn't include any steel capex, which are probably going to...

Abhishek Agrawal: No, no, no. Steel -- so steel capex is not involved. For steel, we will first have to internally discuss, get it approved by the Board. So whatever capex we'll be doing right now, it has nothing to do with the new steel plant. It's CRM about INR800 crores, the battery storage and the additional solar capacity. These are the three major capex, which will happen in FY '27.

Manav: Got it, got it, sir. Sir, just on the pricing front, can you give us some sense on how Q4 is shaping up versus Q3?

Abhishek Agrawal: See, on the mining side? Sorry, can you come again? On the mining...

Manav: On the market side?

Abhishek Agrawal: Market side, okay, sorry. Yes. So see, on the market side, fortunately, there has been quite an upsurge in terms of prices. Pellet is up almost 10%, 12%, DRI is up by 20%, semifinished and finished are almost up by 12%, 13%. The demand is quite strong. And so the change we have realized in last couple of years is, you should think Q4 and Q1 are the best quarters for steel. But what -- sorry, earlier was Q1 and Q2 were best quarters for steel.

But now we have realized is there is a change in terms of demand and supply. Now Q4 and Q1 are supposed to be the best quarters before the monsoon arrives. So if you see Q2 was dull, Q3 was also very dull, and this was a trend last year as well. So Q4, the demand is very good, and we're expecting the demand to continue for at least for Q1 as well before the monsoon arrives.

Manav: Got it, sir. That was quite helpful. So on the imported coal, would it be possible to give what the current mix is for us right now, imported versus the domestic coal usage?

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Abhishek Agrawal: See, f

or our DRI, 100% we completely import RB1 coal. So that's about 0.5 million, 0.6 million tons annually. And for our coal gas operation for pellet plant and for our power plant, we do about 0.4 million tons of domestic coal. So the ratio is about 55% or 60-40, 60% is imported and 40% is domestic. We need about 1 million tons annually to run entire operation.

Manav: Okay. That is quite helpful. Sir, just if I'll squeeze in one more question. Just wanted to know the company has acquired four wagons basically for logistics purposes. So what sort of cost savings are we expecting from this acquisition versus what the current mode is?

Abhishek Agrawal: So see, there are two -- basically two purpose to buy four wagons under the railway scheme. One is with our new pellet capacity, we do realize we want to also sell pellets outside the Raipur market for which the railway is the cheapest mode. So to ensure the rack availability and timely movement of our racks, we have acquired this acquisition where one rack -- one entire rack will cost us about, I think, about INR24 crores, INR25 crores.

Secondly, the scheme under which we have acquired, so there is flat 10% discount on freight for a period of 15 years. That is the scheme railway has designed. So a 10% saving will be there on the railway freight for 15 years, plus the most important point is the timely evacuation of our pellet volumes via rack mode.

Manav: Okay. And we can leave this out as well, right, during the load...

Abhishek Agrawal: So if we feel our racks are not getting fully utilized, we can always lease out on rental basis to other companies and earn extra income from that.

Manav: Okay, okay. Sure. But it wouldn't be a separate business line operations that you're...

Abhishek Agrawal: No, no, no. This is just a part of infrastructure where we want to move for a timely movement of our pellet volumes outside Raipur market. And given the situation, if the racks are not being fully utilized, we can always rent it out to the other buyers -- other players who wants it for better movement.

Dinesh Gandhi: In fact, in our disclosure, we have clearly mentioned that we don't want to enter into the logistics business. It is for the captive requirement in idle case only it will be leased out. Yes, we have clearly mentioned in our disclosure results.

Manav: Got it. Sir, just one last question. I wanted to get a fair bit of understanding on the other expenses going down by roughly 11% Q-on-Q. So could you give the reasons behind the same, please?

Abhishek Agrawal: Can you please come again? Other expenses?

Manav: Going down on a quarterly basis. So...

Abhishek Agrawal: No. See, one was because our pellet volumes are quite low, our pellet plant, due to that unfortunate accident, was almost shut for a span of 40 days. So entire October, our pellet plant was not running. So there might be some contribution basis that as well because there was no fuel burn, there was no other items purchased. So that can be one of the reasons.

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Plus, what has happened is the domestic coal for power plant is towards almost rock bottom due to better availability post monsoon. So that can also contribute on the operating costs going down.

Manav: Got it, got it. So primarily because of the lower pellet volumes.

Abhishek Agrawal: Yes. Exactly, exactly. Yes, mainly pellet volumes, yes.

Moderator: The next question is from the line of Sahil Sanghvi from Monarch Network Capital.

Sahil Sanghvi: My first question is despite 6 lakh ton of pellet production, the sales that we've done seems to be pretty low. I mean, I understand some part of the pellet goes into forward integration, but still, I believe, as compared to the previous few quarters, we've not sold enough. So any particular reason you want to flag off on this?

Abhishek Agrawal: Yes, there are two primary reasons. One was there was a

additional capacity of -- so our pellet

plant, there was a couple of people who also commissioned their pellet plant in the same period. So suddenly, there was an oversupply of pellet in the domestic market. The steel market was very lull. There was absolutely very less demand. The sponge prices were towards rock bottom since COVID about INR20,000.

So there was a phase up in December where the demand of pellet was quite low. That is why the inventory has gone up. But since then, all inventory will be cleared in Q4 because of demand being back on the higher side. So it's just a quarter-on-quarter analysis. At today's position, our entire inventory which is piled up in December has been already cleared out.

Sahil Sanghvi: Right. Good to hear that. So we're still targeting a 3 million ton of production this year?
Abhishek Agrawal: Yes, yes. We might not be able to reach probably exactly, but plus, minus 5%, we should be there. Our production volume guidance starting of the year, we are very much on track to achieve that.

Sahil Sanghvi: Got it, got it. Secondly, just the first year of operations for BESS, would it be safe to assume a 40%, 45% utilization or should we assume a little lower?

Abhishek Agrawal: No. So just to be on a very -- because it's a new vertical, totally a new field, even we have considered a 40% to 50% plant load for the first year. So April '27 to December -- March '28, we consider a production capacity of say 8 to 10 gigawatts only against 20 gigawatt line.

Sahil Sanghvi: Right. And margins could be around 6%?

Abhishek Agrawal: Yes. So for our modeling, we have considered a margin of about 7%. The reason I'll tell you why is because considered slightly higher margin compared to our peers is because we have chosen a new technology cell, which is a 620Ah cell against a 314Ah cell, which others are doing. So because of that, our operating costs will be slightly on the lower side, and that is why the hence improved margin. So our first line will be 100% basis 628Ah cell.

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Moderator: The next question is from the line of Vinit Thakur from Plus91 AMC.

Vinit Thakur: I would like to know what is our revenue and EBITDA guidance once the entire capex is done.

What is the level of debt that we are expecting to have in the books for the capex?

Abhishek Agrawal: So you're talking about next year or once all the new capacities are running at full production?

Vinit Thakur: For the next year and once the capacities are all done -- are live?

Abhishek Agrawal: See, so from current operations, once -- so next year, once our mining will be at full capacity, our operations pellet will be at full capacity, we're looking at a revenue of close to about INR6,500 crores, INR7,000 crores from the steel complex.

On the battery storage side, if you can see a capacity of 8 gigawatts, so you can consider revenue of INR5,000 crores and from the CRM, again, you consider 50% capacity, which is a 3 lakh, 3.5 lakh ton, so you can consider a volume of close to about INR2,000 crores. So put together, anything between INR12,000 crores to INR15,000 crores will be the turnover from FY '28.

Vinit Thakur: Okay, sir. And sir, what is the level of debt that we are expecting to have in the books for the capex?

Abhishek Agrawal: Dinesh ji?

Dinesh Gandhi: Debt will be close to about say -- peak debt at FY '27 as of the capex which have been announced till date will be in the range of net debt will be lower but on the gross side, it will be in the range of about INR1,500 crores with the minus cash balance will be the net debt that depends on the cash flow generation in the next financial year. What we have done is we have tied up a debt of INR1,500 crores for all this capex to keep the cash on the balance sheet for our future expansions.

Abhishek Agrawal: And the way we have negotiated with the bank is, depending on our cash flows

for the next
year...

Dinesh Gandhi: We already have a clause to prepay.

Abhishek Agrawal: Exactly. We've a option to prepay and also we will only draw when there is a requirement. So we also -- we've kept both options open of prepayment and draw the money as and when required.

Vinit Thakur: Okay, sir. And sir, I would like to know what was the impact of the new labour laws on GPIL.

So our employee expenses or anything has increased drastically because of that?

Abhishek Agrawal: See, there will be -- there will be, of course, there will be because now with the new employee code coming in effectively, so earlier -- so now you have to treat your contract labours as the same category of your employees. So there will be a very marginal impact, probably, I think, hardly about INR7 crore, INR8 crores on an annual basis. So not a huge impact.

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Does that now -- the law says even your third-party employees or contractor employees has to be treated in the same way as you treat your own company employees. That's the major difference. So there are change of law, there's change of salary structure, which will be complied from next financial year. The impact is very minimal, yes. You can say about INR70 lakhs, INR80 lakhs a month, that's it, not very major.

Vinit Thakur: And sir, how much free cash flow are you expecting 3 years down the line?

Abhishek Agrawal: Very difficult because see, if you don't go ahead with the steel plant, then probably from FY '28 once all our capex are done and the new production capacity comes up, there will be close to about INR2,500 crores or INR2,000 crores of free cash every year. But if the steel plant is shaping up, and we do decide to go ahead, then for the next 3 years, all our free money will be invested in the new steel plant. So it's difficult to comment at the moment. All depends what capex we plan going forward.

Vinit Thakur: Sir, since you've mentioned the steel plant, is there any clarity on when will we have -- when will we take a decision if we want to do it or not to do it?

Abhishek Agrawal: In best possible -- worst possible scenario, I think by end of -- so which will be the annual Board meeting, which will happen in April and May, we will have full clarity on that. So either we are going ahead or we're not going, we'll drop it. That's very clear. Because we were waiting for the mining EC to come. Now since that has come, we are working on the last fine-tune details. And I think by next Board meeting, either we'll take it up or we'll drop it. That's for sure.

Vinit Thakur: Sir, what's the expected capex for the steel plant if we do want to go ahead? And what will be the capacity for it, your thinking?

Abhishek Agrawal: Capacity will be 1 million, and the capex we envisage should be somewhere about INR5,000 crores.

Moderator: The next question is from the line of Aryan Bhatia from InVed Research.

Aryan Bhatia: Sir, my question is on the incremental sales volume. So please correct me if I'm wrong. So the incremental sales volume, once both iron ore mining and pellet comes, will be 2.7 million from the pellet plant and 0.5 million from the beneficiation plant? Is my understanding correct?

Abhishek Agrawal: No. So firstly, we will not be selling anything out of our beneficiation plant. Beneficiation plant is being put up to enhance the quality of concentrate, which will feed to our pellet plant. So there will be nothing sold out of beneficiation plant. It's part of our internal process. On the pellet side, which if you do a volume of, say, 4 million, so out of which, about 1 million will be for captive consumption and 3 million will be for merchant sale.

Aryan Bhatia: Okay. So out of the 4 million, 1 million for captive consumption and 3 million...

Abhishek Agrawal: Yes, whatever. So we produce 4 million, we produce 4.2 million, 4.5 million, whatever we produce over ab

ove 1 million, that will be for completely merchant sale.

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Aryan Bhatia: Okay, okay. And sir, my second question is regarding our margin on the CRM complex. So what is the EBITDA margin you are expecting because like we will be buying HR coil from outside and...

Abhishek Agrawal: Yes. See, so it's more of -- exactly, it's more of a convergent business to make value-added steel. We've also filed for two PLI schemes under the new scheme by Steel Ministry. So on a year-on basis, I see EBITDA -- operating margin level at about 8% to 10% on the maximum side, 8% to 10%.

Aryan Bhatia: I just wanted a clarity on this margin because if I look at the HR coil prices, it's around INR51,000, INR52,000 and CR coil is around INR57,000. So shouldn't the gross margin be 10% as compared to EBITDA margin?

Abhishek Agrawal: See, on papers, you are very correct. But we are getting into value added steel. A lot of branding, a lot of marketing will be required. We have to educate our customers because we will be competing against all established players like the JSW, Tata and all that.

So that's why, to be very conservative, for initial couple of years, to establish ourselves as one of the leading players with the desired quality, we have considered the margin on the slower side. Once we establish, we can definitely consider 8%, 10% on the gross profit margin side definitely.

Aryan Bhatia: Okay, got it. And sir, last question is on our BESS projects. Like can you give the unit economics on the BESS like per gigawatt of revenue we can get, sir?

Abhishek Agrawal: See, today, if you see today per megawatt hour of the entire setup to deliver at site for usage by a buyer is about INR80 lakh per megawatt hour. So it makes 1 container at about INR4 crore.

So at a first year of 8 gigawatt, you can easily multiply 8 gigawatt into INR80 lakhs. So it becomes close to about INR6,500 crores of revenue, with an operating margin of about 7% to 8%. So on INR6,000 crores, it comes to about INR450 crores to INR500 crores.

Moderator: The next question is from the line of Siddharth from Equirus.

Dinesh Gandhi: You can take the next question. I think he is not there in the call.

Moderator: The next question is from the line of Abhi Shah from Siddhi Technologies.

Abhi Shah: So yes, I have one question. What is the difference between BF pellets and DR pellets? And what is the mix? Yes...

Abhishek Agrawal: Yes, please complete your question, so sorry.

Abhi Shah: So what is your mix in producing BF pellets and DR pellets? As you said in one of your remarks that you have higher quality of iron ore. So does it mean that you have higher DR pellets mix in your production?

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Abhishek Agrawal: Okay. So to clarify technically first, basically, there are two DR pellets. One is the coal-based DRI sponge, which we operate, and one is the gas-based DRI, which is being operated by mostly Middle East and a few European countries. Even Essar Hazira, ArcelorMittal is utilizing the same thing. So to make a DR gas-based pellet, the major difference comes in the physical parameters, which is one is the sizing.

So for a BF pellet or a coal-based DRI pellet, the size we produce is 5 to 18, where for DR pellet, you need a size of 9 to 18. That is a major change. Secondly, the strength of BF pellet, there's a parameter called CCS, which is a coal crushing strength. So for BF, 220 plus is more than enough. But for gas-based DR pellets, you need a minimum of 270, 280. So that is where the challenge comes to maintain that physical parameters.

And that's the reason you get a substantially higher premium in the export market compared to a BF pellet. So for example, today, a BF pellet premium for a 65% Fe pellet is hardly about \$13 whereas for a DR pellet, the premium is as high as about \$28.

So that is where the difference is technically between a BF pellet and DR pellet.

In our case, since there is a strong demand from the domestic market, so we have no intentions of making the DR pellets and exporting to Middle East. We always have the option to doing that. But at the moment, looking at the current domestic demand, we will keep making BF pellets which are equally suitable for DRI sponge iron.

Moderator: The next question is from the line of Manav from YES Securities Limited.

Manav: Sir, my question is pertaining to the BESS. So you just mentioned that for the first year, we would be running at a 45% to 50% utilization level. I wanted to talk about in the second phase of BESS, will we take the expansion post the first year of running and seeing how things are going on? Or will it be being done simultaneously?

Abhishek Agrawal: No, no, no. We've got to be a little cautious because it's totally a different scene. There will be huge competition. So we will only invest into the second phase once we are able to stabilize the line for the first phase.

Manav: Got it. And what would be the time line that I think for the brownfield expansion? Now it would be a lesser period, right, which would be taken up?

Abhishek Agrawal: Yes. So probably just to commission the second phase will take about maximum about 8 to 10 months. That's it.

Manav: Got it, got it. And sir, second question is, could you just give me how the ferro alloy market is shaping up in terms of pricing. I think the prices have been quite steady over the last 6 months. How do we see it going ahead?

Abhishek Agrawal: Yes, so ferro alloy prices has been hovering INR70,000 plus minus 5% benchmark. On the lower side, it went to INR68,000 when the market was lull in Q3. And today, when the market is good, the prices have moved up to about INR74,000. So ferro alloy for the entire year has been

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operating at INR70,000 plus minus 5% range. And I feel this will continue. So since the market is good right now, I feel the prices should be about INR74,000, INR75,000 for a few months going forward.

Manav: Okay. That is quite helpful. Sir, one last question. I wanted to know there has been discussions about expanding the Boria Tibbu mine. So what's the management's view on how...

Abhishek Agrawal: No, we have full plans to expand the Boria Tibbu mines. As I've -- we have commented earlier as well, the mines being low grade, so we have to put up a beneficiation plant inside the mines for which essential area will be required. So we've already started the process of preparing the TOR to file for the new EC along with the beneficiation plant. So we see that plant up and running in say FY '30, which is 3 years from now on, bare minimum.

Manav: Got it. And have you applied for this already?

Abhishek Agrawal: No, the documents are under preparation. We have finalized how we want to run that mine along with beneficiation. So the TOR will be filed in Q1 of next financial year for the new EC. So you can consider about 12, 15 months of EC period and another 15 to 18 months of plant erection.

So 3 years from now on.

Manav: Okay. Got it. And this would come regardless whether we proceed ahead with the steel plant or no, right?

Abhishek Agrawal: Yes, definitely, because today, my pellet requirement from a pellet to feed my pellet plant, I need about 5 million tons of concentrate. So it's always nice to have a backup of 1 million ton of same grade from a different mine. So if you don't put up the steel plant, this will be an alternative source. So if there are some challenges because of probably extended monsoon or something, they can always feed the mines to the pellet plant.

Manav: Okay. And what capacity expansion are you planning from 0.7 to what...

Abhishek Agrawal: So 4 million, 100%, 4 million beneficiation. So the output concentrate will be close to a bout 1.5 million tons at 40% recovery.

Moderator: The next question is from the line of Shikhar Mundra from Vivog Commercial Limited.

Shikhar Mundra: So for the expanded pellet capacity of 4.7 million tons, what is the corresponding iron ore which you require?

Abhishek Agrawal: Sorry, come again? You were not clear.

Shikhar Mundra: For the expanded capacity of 4.7 million tons of pellet, what is the iron ore which is required to make that?

Abhishek Agrawal: Okay. So on apple-to-apple basis, we need about 5 million tons of iron ore. But to make that 5 million tons, we will have to beneficiate that 6 million, sort of 6 million, we -- about 15% to

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20%, there will be yield losses to upgrade the quality of iron ore. So from 6 million, we'll do about 4.75 tons of concentrate, which will be sufficient enough to feed my entire pellet plant.

Shikhar Mundra: Okay. So the entire 6 million tons of iron ore capacity will be used. I mean, we won't have extra to sell?

Abhishek Agrawal: No, we have -- no, no, no, we rather than selling, rather we would like to probably extend our mining life. We have no intention of because -- I'll tell you another reason because if we happen to sell it in the market, as per the new MMDR Act, because our mines was allotted in the captive category, we are allowed to sell 50% apart from consumption, but then you have to pay additional royalty.

So the royalty amount will be INR1,000 plus. So it doesn't make sense to sell addition but better to reserve and extend your mining life or have a buffer stock if something goes haywire in the mine because of extended monsoon or it can be anything.

Shikhar Mundra: Got it, got it. And post this expansion, on 4.7 million tons, what will be the split between high-grade pellets and low-grade pellets?

Abhishek Agrawal: So the split will be, so about -- about 70% will be high grade, 30% will be low grade.

Shikhar Mundra: And what is the current split?

Abhishek Agrawal: Current split is, again, it's same. So current split is about 65% is high grade, 35% is low grade. So one plant will continue to remain like that. The two bigger plants will keep producing -- sorry, the ratio will change to 80%. So 80% will be high grade, 20% will be low grade. My apologies.

Shikhar Mundra: Okay. So our margins, we are expecting our margins to slightly improve?

Abhishek Agrawal: Exactly. So whatever challenges we're going to face from the pressure, the supply side because of Lloyds and other competitors, we will very much negate that with our quality and higher premiums.

Moderator: The next question is from the line of Devesh Shah from Shree Polymers. As there is no response, sir, can we move to the next question?

Dinesh Gandhi: Yes.

Moderator: The next question is from the line of Siddharth from Equirus.

Siddharth Gadekar: First, on the mining side, now with the expanded capacity and ramping of the mines, will there be some change in the cost structure given the operating leverage that would be coming in? How should we see the mining cost moving over the next 2 years?

Abhishek Agrawal: See, the mining cost should remain on the similar level, primarily there are two reasons. One is because of additional mining, our mining costs will slightly go up because the way our mines is, it's not a very open cast, flat land. We are going well below the sea level. So currently, we're

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mining at about 100 meters, and to reach 6 million, we have to probably reach about 140, 150

meters.

So our mining costs will go up. That will be compensated by the volume, the solar plant we have established, the new battery storage as well as the beneficiation. So we still expect the mining cost to be at 3,000 level in the longer term, which is currently right now.

Siddharth Gadekar: Okay. Sir, secondly, with all

the power projects coming online in the next 2 years, what kind of cost savings would we have on the energy side?

Abhishek Agrawal: See, on mining side, today, the grid tariff is about INR11, which will be replaced by a power of say INR3. So on the plant side, the grid tariff is about INR7, which will be raised by INR3. So on total put together, our annual cost -- average cost of generation, which is currently about INR3.75, should be well below INR3.

Siddharth Gadekar: So the payback should be less than 2 years for the entire product, sir?

Abhishek Agrawal: No. So mining, the payback is about 3 years. But from a plant side, the payback is about 4 -- 4.5, 5 years because the tariff is on the lower side.

Moderator: The next question is from the line of Devesh Shah from Shree Polymers.

Devesh Shah: After all expenses, what could be total turnover of the company in 2020 -- 2030?

Abhishek Agrawal: 2030, sir?

Dinesh Gandhi: 2030?

Devesh Shah: Yes, 2030.

Abhishek Agrawal: Total turnover of the company, right?

Devesh Shah: Yes, expect a guidance.

Abhishek Agrawal: Yes, of course, of course, I do understand that. So the total turnover of the company, So I'll tell you, roughly at about INR25,000 crores.

Moderator: Ladies and gentlemen, that was the last question for today. I now hand over the conference to management for closing comments. Over to you, sir.

Dinesh Gandhi: Thank you, ladies and gentlemen, for joining us on this call. We hope we have been able to answer all your queries. In case you have any further questions, please get in touch with us or to our Investor Relations team. Thank you very much. Thank you. And with this, we can conclude the call. Thank you very much.

Abhishek Agrawal: Thank you.

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Moderator: Thank you. On behalf of Go India Advisors LLP, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Scrip Code: BSE: 532734

Dear Sirs,

Sub: Submission of Transcript of conference Call held on 20th May, 2026 regarding Q4 & FY26 Results.

This has reference to conference call held on 20th May, 2026 to discuss the results and performance of Q4 & FY26 for Analyst/Institutional Investors/fund House/Investors etc.

Please find attached herewith the Transcript of conference Call held on 20th May, 2026

The aforesaid information is also being hosted on the website of the company viz.,

www.godawaripowerispat.com at Investors Information > Shareholders > Notices.

Thanking you,

Yours faithfully,

For Godawari Power And Ispat Limited

c-ue``Y.C. Rao

Company Secretary

Encl : As Above

Godawari Power & Ispat Limited

An ISO 9001 :2015, ISO 14001 :2015 & ISO 45001:2018 certified company

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"Godawari Power & Ispat Limited Q4 FY '26 Earnings
Conference Call"

May 20, 2026

MANAGEMENT : MR. ABHISHEK AGRAWAL – EXECUTIVE DIRECTOR,

GODAWARI POWER & ISPAT LIMITED

MR. SANJAY BOTHRA – CHIEF FINANCIAL OFFICER,

GODAWARI POWER & ISPAT LIMITED

MR. DINESH GANDHI – EXECUTIVE DIRECTOR,

GODAWARI POWER & ISPAT LIMITED

MODERATOR : MR. SAHIL SANGHVI – MONARCH NETWORK

CAPITAL LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Godawari Power & Ispat Limited Q4 and FY '26 Earnings Conferences Call hosted by Monarch Network Capital Limited.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand over the conference to Sahil Sanghvi from Monarch Network Capital Limited.

Thank you and over to you, Sahil.

Sahil Sanghvi: Thank you, Danish. Good afternoon, everyone. It is a pleasure to welcome you on behalf of Godawari Power & Ispat Limited.

Please note that today's discussion may include certain forward-looking statements and therefore, this must be viewed in conjunction with the risks that the company faces.

We are joined today by Mr. Abhishek Agrawal – Executive Director; Mr. Dinesh Gandhi – Executive Director; and Mr. Sanjay Bothra – Chief Financial Officer.

May I now invite Mr. Sanjay Bothra to present the Company's Business Outlook and Performance, after which we will open the floor for Q&A. Thank you, and over to you, sir.

Sanjay Bothra: Thank you, Sahil. Good afternoon, everyone and thank you for joining us on today's call. Our financial results and earning presentation have been uploaded to our website as well as the stock exchanges and I trust you have had an opportunity to review them.

I will now briefly walk you through the key highlights of the Results following which we will open the floor for a question-and-answer session.

We are pleased to share that FY '26 has been a year marked by several significant milestones and strategic achievements. Despite softer realization, GPIL delivered good set of numbers with revenues remaining steady and EBITDA and PAT margin strong at 23% and 15% respectively.

On the operational front:

GPIL delivered a strong performance in FY '26, successfully achieving its production targets across key segments. Sponge iron, structural rolled products and ferroalloys surpassed their targets with production exceeding 100% of planned levels. Meanwhile, mining, pellets and billets achieved 92%, 95% and 96% of their targeted production level respectively.

In FY '26, healthy production ramp-up was seen across iron ore mining, pellet production and structural rolled products. Q4 witnessed robust Y-o-Y growth in pellets, sponge iron and

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structural rolled products supported by capacity ramp-up and healthy demand. The sales volume in FY '26 showed an increasing trend in pellets, sponge iron, galvanized fabricated products and structural rolled products.

In Q4, the growth momentum of sales volume remained strong led by pellets and structural rolled products. Q4 witnessed sequential improvement in the realization driven by better pricing momentum across the steel value chain while FY '26 realization remains softer across key products.

Coming to the consolidated financial performance:

FY '26 revenue remained stable while Q4 FY '26 revenue recorded a strong 41% quarter-on-quarter growth supported by a healthy production ramp-up, higher sales volume and improved realizations.

FY '26 EBITDA stood stable at INR 1,253 crores whereas Q4 FY '26 EBITDA increased by 38% Y-o-Y basis and 91% Q-o-Q basis to INR 439 crores.

FY '26 PAT also remained stable at INR 802 crores with Q4 FY '26 PAT rising to INR 280 crores.

Cash flow from operating activities improved by 29% to INR 1,157 crores, driven by a strong operational performance and efficient working capital management. GPIL continues to maintain a healthy balance sheet with a cash position of INR 837 crores.

The standalone

performance during FY '26 also remained stable and healthy. The standalone PAT growth of 19% represents dividend income from Ardent Steel and exceptional income on sale of stake in Ardent Steel.

However, in the consolidated results, the stake held in Ardent Steel has been de-recognized upon disinvestment of stake held in Ardent Steel. Further, dividend income and profit on sale of stake of Ardent Steel does not form part of consolidated results and therefore consolidated PAT was lower as compared to the standalone PAT.

Coming to the key achievements and strategic updates:

I am pleased to share that GPIL received environment approval and consent to operate from the

CECB in February 26 for the capacity enhancement of the Ari Dongri Mines from 2.35 to 6 million tons. The ramping up of the capacities has already begun in a phased manner with full scale operation targeted from FY '28. The iron ore beneficiation plant capacity expansion at the Ari Dongri Mines increasing capacity 10-fold to 6 million tons is targeted for commissioning by Q3 FY '27.

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GPIL also received CTO from CECB for capacity expansion of the Sponge Iron Division from 0.59 million tons to 0.65 million tons, HB Wire from 0.1 million ton to 0.115 million ton and for additional 7-Megawatt waste heat recovery-based power plant taking the total waste heat recovery power plant capacity to 49 Megawatt.

GPIL commissioned its 2-million-ton iron ore pellet plant in December '25, taking total pellet capacity from 2.7 million to 4.7 million tons. The plant is India's first to use advanced natural gas-based grate-kiln technology, marking a shift from conventional carbon intensive processes. GPIL is progressing on its 0.7-million-ton CRM Complex project with on-site construction expected to commission by July FY '26. Order for key equipment lines have been placed and advance payments have been released for all major process lines. The project is targeted for commissioning by March FY '27.

GPIL is setting up a 20-Gigawatt BESS project for which soil testing has been completed and construction of the compound wall is currently underway. We have signed long-term agreements with EVE Power for Grade-1 628 Ah LFP cells and with Shanghai Shenyi Roche Energy Technology for BESS Balance of System supply securing the project supply chain. BESS project is expected to commission from March '27.

The Board has approved the setting up of a 1-million-ton integrated steel plant for manufacturing structural steel and wire rods. Land acquisition and environmental approval are in place while consent to establish is awaited. Discussion with equipment suppliers and project engineering are underway with construction expected to begin in October '26.

GPIL is also expanding its captive solar power capacity by over 3x, currently from 165 Megawatt to 540 Megawatt to support captive consumption across iron ore mines, additional 2-million-ton pellet plant, CRM and upcoming integrated steel plant operation. In addition to current 165 Megawatt, the company has commissioned solar power capacity of 25 Megawatt yesterday only and additional 100 Megawatt is expected to be commissioned by July '26.

On the ESG front, the company has completed most initiatives under its energy efficiency and decarbonization project, reinforcing its commitment towards achieving Net Zero Carbon Emission by 2050.

As part of its EV-led transition towards greener operation, GPIL invested in 10 EV dumpers, 24 EV loaders and 15 EV excavators during the year. The adoption of electric transportation has reduced operating costs by nearly 75% and lowered carbon emission by around 88% compared to conventional diesel vehicles. The company has plans to shift the existing transport fleet to EV fleet to reduce emission and cost saving which shall be announced in due course.

Now coming to the market outlook:

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Global iron ore prices remain relatively resilient during FY '26 supported by steady demand from China, supply-side disruption and healthy steel production in emerging economies such as India. Benchmark 62% Fe iron ore prices largely traded in the range of \$95 to \$110 per metric ton during recent months.

On the domestic front:

India witnessed a sharp rise in the iron ore imports and reached a seven year high of 12 million ton plus in FY '26 driven by strong steel demand and shortage of high-grade ore required by domestic mills.

Despite higher domestic production, imports increased significantly highlighting robust consumption trend in the Indian steel sector. Looking ahead, the medium-term outlook for iron ore prices remains costly, balanced, ensuring steel demand in China and expected ramp-up of new low-cost supply from Shandong project in Guyana. However, rising steel consumption in India and increasing preferences for high-grade iron ore are expected to provide structural support to demand going forward for pellets in high-grade iron ore.

On the pellet front:

Demand for premium-grade pellets continues to strengthen globally and decarbonization initiatives and the gradual shift towards gas-based DRI steelmaking. Industry reports project the global iron pellet market to grow at a CAGR of around 5% to 6% over the next decade.

Supported by increasing adoption of cleaner steelmaking technologies, looking ahead, India's pellet demand outlook also remains positive, supported by ongoing steel capacity expansion and the industry's growth focus on low-carbon and high-grade raw materials.

In conclusion:

Backed by the competitive advantage of captive iron ore mines, a strong net cash position, ongoing capacity expansion, and a straightforward ESG focus, GPIL remains well positioned to drive sustainable value creation through operational excellence, solar net cost optimization, and the continued support of all stakeholders. I would now like to open the floor for questions and answers.

Moderator: Thank you so much, sir. Ladies and gentlemen, we will now begin with the question-and-answer session. Our first question comes from the line of Manav Gogia from Yes Securities Limited.

Please go ahead.

Manav Gogia: So, first of all, a lot of congratulations on a good set of numbers for the quarter. My first question is on the iron ore mining guidance. I might have missed in the opening remarks, but for FY '27, if we go to Slide #17, we have a guidance of 3.4 million tons for FY '27. So now, I think last call we were guiding that we would be doing somewhere around 4.5 million to 5 million tons. So, Godawari Power & Ispat Limited

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what's changed? Is there some delays in the ore production? Can you please just help me with that?

Abhishek Agrawal: Yes, so a couple of things. Firstly, so the guidance is given is the net usable iron ore, which will be sent to the pellet complex for using it because we will be beneficiating the iron ore in the mines itself, once our 6 million beneficiation plant is commissioned.

So, the actual mining will be close to about 4 million to 4.25 million tons this year, because 1.5 million will be BMQ, where the recovery will be less than 50%. So, about 0.8, 0.75 million tons of iron ore will be wasted as fillings.

So, the actual iron ore mining production will be about 4 million to 4.25 million tons. But the guidance we have given is the net usable iron ore coming to the plant for making pellets, which is about 3.4 million tons.

So, this year, we will be doing about 4 million to 4.25 million tons of iron ore production. And end of Q3, early Q4, we should be able to hit the rated capacity target of 6 million tons. And from FY '28, we should be able to mine 6 million and the actual output concentrated usable for pellet plant will be about 4.5 million tons. That is how you want

to see it.

Manav Gogia: Thank you for that. And this 3.4 also includes ore from Boria Tibu, or is it purely Ari Dongri?

Abhishek Agrawal: No, see, Boria Tibu, last year, mining was hardly about 0.3 million tons. This year, we will be doing about 0.5 million tons, because again, Boria Tibu is a very low-grade ore. So, currently, we are bringing it to the plant and beneficiating where the recovery is hardly about 40%.

So, even if you do upon 0.5 million tons this year, the usable iron ore will be about 0.25 million, which is very not substantial. So, 3.4 will be the net usable iron ore this financial year, which will be going to the pellet plant.

Manav Gogia: So, to get it in a nutshell, we would be buying roughly 1, 1.5 million tons of iron ore for our pellet.

Abhishek Agrawal: About, yes, close to about a million tons. But that will drastically come down post-Diwali, which is November, once we are able to achieve the rated capacity post-monsoon. As a year whole, we can see a total mining to be about 4.5 million tons, including Boria Tibu, net usable iron ore about 3.4 million to 3.5 million tons for this financial year.

Manav Gogia: And the new mine now putting in the ore from this year onwards, how do we see the landed cost of ore changing? Do we expect it in the INR 2,900, INR 3,000 per ton range?

Abhishek Agrawal: No, this year, unfortunately, so if you see now, so because of the diesel escalation and the shortage all over because of the war, so our transportation cost is already up by 200-250 bucks. But for the full year, we see the value to be at the same similar level of INR 3,000.

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And Mr. Bothra has mentioned, we have started talking to the transporters. We want to complete the entire fleet to EV trucks to have a substantial saving on the diesel side. So this year, the guidance will be in the similar level, which is about INR 3,000-3,200 levels. But Q3-Q4 onwards, we can see a substantial reduction in the pricing of mining.

Manav Gogia: My second question is, how do you feel the pricing in Q1 as compared to Q4?

Abhishek Agrawal: Q1, the pricing was pretty much at the same levels of Q4 for the first half of Q1. But the second half of Q1, say, end of April, early May, the prices have softened a bit almost by 10% across the supply chain. It might be a war effect, it might be the summer season or the heat wave, which is

across the India right now. So, Q1, the prices have softened by almost 10% across the supply chain, post end of April onwards.

Manav Gogia: That's helpful. So, just one last question. I was looking at Slide #25 where we have a vision for 2031. And we have given how top-line and EBITDA growing substantially from the current levels. So, just want to get a sense of what all are you looking at from a company's long-term strategy point of view? Is it the current projects is what the estimate is? Or there are certain projects which haven't been announced or I mean the company...

Abhishek Agrawal: No. So, it is basically the top line coming from all the projects we have announced. So, if you see the BESS battery storage, which is about 20 Gigawatts, so if you consider about 16 Gigawatts, from there, we see a top line of about INR 15,000 crores. Our new steel plant, we see a top line of over INR 6,000 crores. The CRM, we see a top line of about 3 to 4000 crores. And with the pellet capacity crossing 4 million this year, so put together the current complex and the projects we have already announced, we see a top line reaching close to about INR 3,000 crores in the next four to five years.

Manav Gogia: That is helpful. I will join back the queue for more.

Moderator: Our next question comes from the line of Sunil Jain from Nirmal Bang Securities Private Limited. Please go ahead.

Sunil Jain: My question relates to more of an EBITDA growth, what we had seen quarter-on-quarter. So, if we

see the prices has remained more or less same for pellets, though we had seen increase in other commodities. But the delta seems quite high in the EBITDA growth as compared to what we had seen in the prices increase of the pellet.

Abhishek Agrawal: Yes, there are two reasons. There are two reasons. One is, there was a carryover inventory of iron ore pellets of about 89,000 tons in Q3, which got sold in Q4. So, the additional EBITDA has come from there. Plus, our new pellet plant started production end of Q3, which is December, and we were able to reach to a 70% capacity. So, the additional volume of pellets came in from there.

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And lastly was our mining production, which was about 2.4, 2.35 till last year. We got the EC approval at the third week of February. So, March, we could do that extra mining of almost about 2 to 2.5 lakh tons. So, majorly these three factors contributed to the additional EBITDA compared to Q3.

Sunil Jain: And, sir, second question related to this. So, 20 million overall, you will be doing 20 Gigawatt overall you will be doing. And can you give the timeline how it will be starting means first, you will be starting 5 Gigawatt, and thereafter, how you will see?

Abhishek Agrawal: Sure. So, see, with the current development, we should be able to commission the first line by end of Q4, which is March '27. So, first year, FY '28, we expect to do a 5 to 6 Gigawatt of output, which is hardly at about 30%-40%. Second year, we want to scale it to about 70%, which is at about 12, 13 Gigawatts, 14 Gigawatts. And from third year onwards, we expect to do about 17, 18 Gigawatts. So, next two to three years, we should be able to reach to a 90% capacity. That is how we have planned it for the Phase-1 of 20-Gigawatt line.

Sunil Jain: And if you could talk about the margin in this BESS business?

Abhishek Agrawal: See, when we started the project, when we conceived, we were expecting a margin of roughly about 7% to 8%. So today, if you see, today, the price of one container is close to about INR 80 lakh per Megawatt hour, which is about INR 4 crore per container. So, when we conceived this project, it was supposed to be about 7%, 8%, so about INR 3.5-4 lakh margin.

But with current demand coming from Indian sector, with the grid stability and all those things, the margins have gone up almost to 12%, 13% at the moment. But still, if you consider a very conservative figure of 7% to 8% on a 80 lakh per Megawatt, we do about INR 4 lakh of net margin. And basis that you can multiply to a 16, 18-Gigawatt line.

That is how we have conceived the project. So, at a INR 4-4.5 lakh per Megawatt hour into a 16 Gigawatt line, comes to about INR 7-8crores, if everything goes well.

Sunil Jain: Yes, great. Sir, anything, something related to this only, like how we are related to anything increasing lithium prices, your lithium sales prices, if that happens, then how we are safeguarded?

Abhishek Agrawal: See, so as Mr. Bothra announced, we have done a long-term tie-up with a tier one Chinese company called EVE. So, the way we have priced the entire supply of the cells, it is index based, where we have captured few important components, which contributes to the manufacturing of lithium cells. So, if the market goes up, the supplier will pass on the price to us. If the market goes down, it will be vice versa.

So, for example, if you see, six months back, the prices of lithium cells were about \$37, \$38 per watt, which is now at about \$55 per watt. In the same way, if you see, six months back, the price

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quoting in India was about INR 70 lakh per Megawatt hour, and today price quoted for the same container is about INR 85 lakh per Megawatt hour.

So, eventually, any increase, substantial increase in the cell price will be eventually passed on to the buyers

in the Indian market to maintain the margins. So, the pricing we have done with the supplier is on index base so that it is fair to both the parties.

Moderator: Our next question comes from the line of Aman Kothari from Aequitas Investments. Please go ahead.

Aman Kothari: Sir, I wanted to get a current understanding on the iron ore environment that we are seeing. Recently, we have seen that it has been hovering around 105, 110, currently around 107. So, do you think these prices will be stable for the next of the year and with them being at these prices, our spread will eventually increase?

Abhishek Agrawal: See, if you see about 15 days back, the prices also touched about 110, 112 levels as well. With this war situation and the currency fluctuation, the prices have softened a bit. But as you see the national reports, I feel this year the prices should remain above 100 levels for the entire year. That is what the national report says. And there is demand from China. Importing to India is also happening because of availability of iron ore in India is not up to the mark. So, I feel \$100 plus should be the target for the entire year on iron ore side.

Aman Kothari: And for the pellet plant, I think you mentioned, sir, it is a gas-based pellet plant that we have set up.

Abhishek Agrawal: Yes. So, earlier we were using coal gas. Basically, we can do gasification. So, now from coal gas, we have shifted to natural gas. We have done a 7-year MoU with GAIL for supply of natural gas. So, a new pellet plant is running 100%. The fuel is natural gas.

Aman Kothari: So, sir, with that, I think you clearly explained in the last call the difference between a coal-based DRI pellet and a gas-based DRI pellet. So, you clearly stated we would not want to look into, let's say, a DRI that is gas-based. But with this, are we looking at that kind of an export market?

Abhishek Agrawal: We are. See, definitely with CBAM coming into picture, with demand from export market, and with the capacity of pellet being added to India, the whole idea was we want to be export-ready. So, whenever we see domestic demand is on the, for example, today the domestic demand is on the weak side, you might hear where Godawari start exporting pellets from the next quarter. So, we want to be future-ready, and that was the whole idea. Plus, we also saved close to about INR 100 crores of CAPEX on the coal gasification side to generate the same kind of fuel. So, INR 100 crores CAPEX was saved on the CAPEX side, plus we are future ready whenever export opportunity is there. That was the whole idea.

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Aman Kothari: And, sir, for the coal, I think you had mentioned last time that South African coal prices had increased because of the supply gut. So, can you just give us an idea on how the prices are hovering for this quarter?

Abhishek Agrawal: See, this quarter, we are very well covered within the limits. So, our average pricing should be somewhere about INR 12,000, INR 13,000. But Q2 onwards, because of the war impact, the sea freight has gone up substantially from \$15-\$16, it is almost crossed \$22. Dollar is up from 93-94 levels to 97 levels. So, there is a substantial impact on the imported coal price from Q2 onwards, at least by 15%-20%.

Aman Kothari: 20%, okay.

Abhishek Agrawal: Yes, at the moment, it is.

Aman Kothari: And domestically, we wouldn't have a problem for the 40% mix that we have?

Abhishek Agrawal: No, see, domestically, so at the moment, we are close to about 100% using imported coal. We have been using imported coal to maximize the production levels in the DRI. But any given point of time, we can always switch to domestic coal, and the availability of domestic coal is abundant.

There is no supply or gut in supply of domestic coal sourcing. So, we can switch whenever we want to. So, we are carefully monitoring this war situation. And i

f we feel the situation is not

dying down, so going forward, we might shift to some part of domestic coal for DRI.

Aman Kothari: And just a last question before I join back in line. I think we have established some really good tie-ups in terms of our BESS setup, how we are progressing with EVE, with Roche and other players.

Sir, can you just give us a sense on how do you think this market is going to play out in India?

Because we have seen a lot of players announcing the CAPEX or announcing the expansion into BESS projects that they would do. Can you just give us a bit light on how our talks with potential customers or early pipeline talks are progressing?

Abhishek Agrawal: See, at the moment, we haven't gone to the market yet. We want to get into the market once we know we can deliver after a certain time period. So, we intend to go into the market end of Q2, which is say about September, August.

But see, it is an open market. People do feel the initial CAPEX in the lower side, but it is actually not. And the challenge will be a continuous supply from Tier 1 components across the globe.

So, that is the reason we feel that the market is going to be competitive. But eventually, what quality components and how you make the container eventually will play out. So, once you

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deliver in the market, then only probably you can see who is able to deliver and not able to deliver.

Aman Kothari: Because I think in terms of capabilities, sir, we have seen China is the number one player in battery energy storage. And since we are sorting components from most of those tie-ups, I think we should be in a very good capability.

Abhishek Agrawal: Yes, so we also recently, just to inform all the stakeholders, we recently also have tied up with FIMER, which is an Italian-based company. They have a plant in India for PCS. And we have tied up with a Gujarat-based developer for EMS, which is compulsory as a part of battery storage by the Indian government. So, we are continuously doing long-term tie-ups with key component suppliers so that we have a continuous supply for all the components on regular basis.

Aman Kothari: I will just join back in line.

Moderator: Our next question comes from the line of Vinit Thakur from Plus91 AMC. Please go ahead.

Vinit Thakur: So, I would like you to throw some line on the EBITDA margins and what would be our conversion ratios? How do the conversion ratios work right now from mining to pellets, pellets to sponge iron? That would be great, sir.

Abhishek Agrawal: See, the conversion from mining to pellet is close to about INR 2,000 and from pellet to DRI, including thermal coal, of course, so the conversion cost, operating cost is about INR 15 from pellet to DRI and remaining is your coal and iron ore cost. So, iron ore is about 40%, coal is about 35% and remaining is your operating cost.

So today, if you see a breakup of, say, my production cost is INR 20,000, so out of that pellet will be about INR 10, coal will be about INR 8.5 and remaining INR 15 will be operating cost.

That is a breakup for the DRI.

Vinit Thakur: And, sir, could you give us a sense on rolled structural products because there has been a quite incremental Q-o-Q and Y-o-Y growth on those products?

Abhishek Agrawal: Yes. So, a couple of things. So, we took the RR Ispat Rolling Mill, which we had designed. There was some modification required to improve the quality and upgrade the production. So that modification was over in end of Q3. So, that is why you are seeing a substantial increase in the rolled product production from Q4 onwards.

And now you can see this production happening on a continuous basis quarter-on-quarter, because the mill is now quite stable and there is activity of the product in the market. So, we have a healthy order book of almost six months on RR Ispat. So, now you can see these volumes on quarter-o

n-quarter basis.

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Vinit Thakur: So, sir, what would be your capacity and what would be the utilization for this year you are expecting for FY '27?

Abhishek Agrawal: See, so total rolled product, including Godawari, we should do somewhere about 3.75 lakh tons for the entire year.

Vinit Thakur: I will join back the question queue again for asking another question.

Moderator: Our next question comes from the line of Stuti Agarwal from Chhattisgarh Investment Limited. Please go ahead.

Stuti Agarwal: Sir, regarding the exceptional line item in P&L, you had mentioned in your opening remarks that the difference between a positive, like from a positive INR 36.69 crores at standalone level to a negative INR 18.29 crores at consol level is due to the non-inclusion of profit on sale of Ardent Steel. So, could you please give us the bifurcation between this profit and I guess the write-off of preoperative cost of thermal power plant?

Sanjay Bothra: Yes. See, in other income, there is a INR 91 crore item of dividends from Ardent Steel Limited, associate company, and there is around INR 73 crores profit on sale of stake of Ardent Steel, which is appearing in the exceptional item standalone results.

Stuti Agarwal: And balance is the write-off.

Sanjay Bothra: And this method is on cost-to-cost basis, but when the consolidation comes, so on equity method, the profit recognized in a standalone on cost basis is eliminated, and only INR 17 crore profit is there on the entire transaction of this Ardent Steel stake sale. INR 17 crore gain as exceptional item and around INR 37 crore or INR 36 crore write-off of the erstwhile Godawari Energy preoperative cost. So net-to-net, there is INR 17 crore loss in consolidated balance sheet as exceptional loss.

Stuti Agarwal: That is all from my side.

Moderator: Our next question comes from the line of Yogansh Jeswani from Mittal Analytics. Please go ahead. As there is no response, we will move forward to the next participant. Our next question comes from the line of Sinclair D'Souza from Lalkar Securities. Please go ahead.

Sinclair D'Souza: I wanted to ask what is the revenue guidance for FY '27 and the EBITDA margin guidance for FY '27?

Abhishek Agrawal: See, revenue, we should, top line should be 6,000 plus with our new pellet plant operating at close to 80%, 90% capacity. So, there will be the additional volume and additional revenue coming from there as other volumes remains almost constant. And FY '27 guidance, see at current market level, we should be able to do somewhere about 24%-25% at EBITDA levels, at current market levels.

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It is very difficult to comment. It is actually such an early stage of the financial year. But looking at the current market scenario, 25% we should be able to maintain EBITDA levels and top line should cross INR 6,000 crores with the additional volume of pellet coming in.

Moderator: Our next question comes from the line of Sahil Sanghvi from Monarch Capital. Please go ahead.

Sahil Sanghvi: My first question is on the pellet, if we have to see the quarter-on-quarter realizations, it's not moved at all versus the market pricing. So, what is happening over here, if you can help us understand the reasons and how can pellet prices look for FY '27?

Abhishek Agrawal: See, thanks, Sahil. So, on the Q4, the pellet pricing hasn't moved much as compared to market because there was a phase where we were not able to do mining at the full capacity because of the EC section. As EC got delayed right from October, November, then finally it came in end of Feb. So, we were not able to produce the same volumes of high-grade pellets where we draw premium for more than INR 1,000. We had to make the 63 commercial pellets. So, that is why you were not able to see a difference in the pellet pricing comp

ared to the market scenario. That

was a major reason. No other reason beyond that. And on the FY '27 guidance, so see, as the mining production goes up from Q3 onwards, once monsoons are over, the product mix of high-grade will start going up drastically and that will definitely show a difference between the pellet pricing for Godawari and the others in the market. But that will happen from Q3 onwards as the mining production starts going up post-monsoons.

Sahil Sanghvi: That is all from my side.

Moderator: Our next question comes from the line of Yogansh Jeswani from Mittal Analytics. Please go ahead.

Yogansh Jeswani: Sir, just wanted to understand on the new mining and the pellet plant scale-up that you were explaining before. So, earlier we used to mine 27-28 lakh tons of ore and simultaneously convert that into pellets. While this time, because of the beneficiation plant, you are saying that the mining would be of 4-4.5 million and pellet ready ore would be 3.5 million. So, why is there a change in that, if you could help me understand, sir?

Abhishek Agrawal: No, so there is a slight correction. So, earlier we used to mine about 2.4 million tons. If you see our last year's mining production, it was about 2.35-2.4 million tons. This year, we have done about 2.7-2.8 million because we were able to get the ECE in Feb and there was additional production in March. So, that was the initial increment.

Till last year, Boria Tibu was not in operation. We started Boria Tibu operations last year only, where we did a mining of hardly 0.2 lakh tons. So, if you compare basis that, against 2.4 million, we will be doing about 3.4 million tons. So, straight away, a jump of almost a million tons for this financial year.

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So, if you compare basis that, 3.4 is usable and actual mining will be 4 million plus. And from next year onwards at full capacity, the actual mining will be 6 million tons and usable will be about 4.5 million tons after beneficiation. Because earlier, there was no beneficial plant in the mines. The 0.6 million plant started last year. So, there was a little bit of beneficiation and further will go up once we commission the new plant of 6 million tons.

Yogansh Jeswani: So, sir, if you could broadly explain how does the economics and margins change once we do beneficiation? Because then ideally, we are extracting more ore and converting to lesser pellet, if that number works out that way. So, then how does the margin or the economics work in case of a beneficiation plant?

Abhishek Agrawal: So, ideally, so just to give you a very brief explanation, we beneficiate, so average grade in the mines is about 59-60 Fe. We want to beneficiate that, upgrade that to a 67 concentrate, basis which we will be making a higher grade 65 pellets. So, once you do that, about 15% of iron ore is wasted in the form of fillings.

So, if you do 100 tons of mining, about 85 tons of concentrate you will be getting to feed to the pellet plant. This is one scenario.

And the second scenario is, we will also be mining a BMQ, which is a low-grade magnetite, where a 35-38 Fe will be upgraded to again 65-67. In that, the recovery will be close to about only 40%. So, when you put together whole, the recovery basis the 6 million, will be close to about 70%-80%. So, about 20%-25% of the entire iron ore will be wasted as a filling.

So, on a 6 million, if you subtract 25%, you get about 4.5 million tons of iron ore, usable iron ore of a 65 plus concentrate. That is how it works. Because if I don't beneficiate, if I may use a 68 Fe iron ore, I will get more value, but my Fe in the pellet will be below 59, which is not sellable in the market. So, I will have to beneficiate to upgrade the Fe content. That is the whole idea.

Yogansh Jeswani: And sir, I think a couple of calls ago, you had mentioned that by beneficiating at the mine, you will

be saving some logistic cost as well.

Abhishek Agrawal: Exactly.

Yogansh Jeswani: Because otherwise you are spending more on the plant. So, what was the number if you could share or if there is any change in that number?

Abhishek Agrawal: See, so currently the freight is about INR 1,000. So, if you are able to remove 10%-15% of wastage inside the mine, so straight away, INR 150 of saving, you will be doing on the freight side. Earlier, we were doing beneficiation inside the pellet plant in the Raipur complex. So, we were losing on the freight. Now, from Q3 onwards, we will be beneficiating inside the mine. So straight away, there will be a saving of about INR 150 per ton on the final concentrate being sent to the plant for usage.

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Yogansh Jeswani: That is very helpful. I will get back in the queue.

Moderator: Our next question comes from the line of Vedant Sarda from Nirmal Bang Securities Private Limited. Please go ahead.

Vedant Sarda: So, just wanted to know, any of our plans to increase our mining capacity or pouring into new mining, like new any layer or anything or increasing our iron ore mining capacity?

Abhishek Agrawal: See, at current production levels, we already planned the expansion for Ari Dongri and that will take care of the next till results are. On Boria Tibu front, we have already announced earlier. We have plans to take the mining capacity from 0.7 million to 4 million tons, along with beneficiation inside the mines, because again, Boria Tibu is a low-grade ore, about 35 Fe content, 40 content.

That will take about another three years from now on. We have already started working on it.

So, Boria Tibu should be online by, I think, FY '30, including beneficiation. Once we are able to do that, so Boria Tibu, the usable output will be close to about 1.5 million tons. So, these are the current mines which we have planned for.

In future, if there is any new mines coming up in auction, which we feel is attractive, we are always going to explore that. But at the moment, we don't see any good mines coming up in the area. If there is an opportunity going forward, we will definitely explore it.

Moderator: Next question comes from the line of Vandana Rathie from Korman Capital Investment Advisor LLP. Please go ahead.

Vandana Rathie: Sir, one bookkeeping question. So, I would like to understand how much was the inventory gain in Q4?

Abhishek Agrawal: Can you come again, please? You are not audible.

Vandana Rathie: How much was the inventory gain in Q4?

Abhishek Agrawal: Inventory gain in Q4?

Vandana Rathie: Yes.

Abhishek Agrawal: No, I think, Bothraji, you have the figure for that? Inventory gain?

Sanjay Bothra: We have roughly gained INR 20 crores on account of unsold pellet stock carrying from last quarter and sold during the quarter. So, that is higher realization, INR 20 crores roughly on 90,000 tons.

Abhishek Agrawal: Yes.

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Vandana Rathi: Sir, my next question is, sorry, I was just going through the results. I was seeing INR 150 crores of loan giving to the education subsidiary company for some residential school project. Do you want to announce something on that?

Sanjay Bothra: We have taken an enabling resolution for the time being. The school will separately go for the loan from the other sources. In the meanwhile, for the time being arrangement, we have taken this enabling resolution.

Moderator: Our next question comes from the line of Divya Agarwal from FICOM family office. Please go ahead.

Divya Agarwal: Sir, only one question regarding the 2031 guidance. So basically, in the guidance, you have mentioned that you will be achieving INR 3,000 crore PAT. So, that is like a 10% PAT margin.

So, just wanted a clarification. Is it because the margins are coming down because of your BESS project?

Abhishek Agr

awal: BESS and the CRM. So, both BESS and CRM will be on the lower margin side. So, the top volume will go up heavily, but the margins, so BESS is at about a 7%-8% margin business. The CRM is about a 7%-10% margin business. So, that is the reason the overall margins are coming down, but the top line is going heavy. Exponentially, there is a top line growth.

Divya Agarwal: And secondly, sir, just wanted to know your outlook on the current pellet situation domestically. How is it? And in terms of the capacity as well, are you seeing any overcapacity coming in? Just wanted to get a sense of that.

Abhishek Agrawal: See, at the moment, we don't see an overcapacity coming in. But there will be a challenge to merchant pellet players who are solely dependent on market for purchase of iron ore. We can definitely see a squeeze in margins for them.

But for people like Lloyds, Godawari or other companies, which are the capital resources, I don't see a pressure margin there and also on the demand supply. So, at the moment, there is no overdemand supply. Plus, exports is always up.

You see today, export market is very much viable if you want to really explore. So, I don't see at the moment, going forward, all depends on how the market goes.

Moderator: Our next question comes from the line of Varun Mehta from Wealthing Investment. Please go ahead.

Varun Mehta: So, I just want to know about the steel plant cost, which we are looking at INR 7,000 crores. I think three, four years back, we spoke about 1 million ton to be a INR 4,000 crore cost. So, the cost has gone up in this project or we doing something else on this?

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Abhishek Agrawal: No. Yes. So, I had personally send an apology to all the stakeholders, because for us being in the first time in a blast primary route, we did a wrong calculation. There was a wrong estimation done by us on the CAPEX side. So, again, once again, sincere apologies. So, you can please omit that entire story from your mind.

We were wrong on the cost estimation. The current CAPEX given as INR 7,000 crores is very much on the practical side. We have done a thorough study with the equipment suppliers and basis that we have shared the details with the stakeholders.

Varun Mehta: And what is the return on capital that we are looking at for the steel plant?

Abhishek Agrawal: There are a couple of changes, which there is an increase in CAPEX. One is earlier we had said we had no intention of putting up a coke oven plant, because there was ample import of coke available from Indonesia and other countries. But last year, to support the local domestic coke industry, government of India had imposed restrictions on import of cokes, because of which now we are investing heavily in the coke oven plant, one.

And secondly, the product we are going to enter into is a value-added product. It is not a TMT or a regular wire rod product. So, the structure mill which we are proposing, it is a value-added steel and it has a substantial cost compared to a similar volume of a TMT or a rebar mill.

So, on these two accounts, the CAPEX is slightly higher compared to a standard 1 million steel plant. But apart from that, numbers are pretty much on the similar levels.

Varun Mehta: So, how much return we are looking at for this investment of steel plant? We would have calculated.

Abhishek Agrawal: We expect EBITDA of more than 20% once the plant is operating at full capacity, because we are into value-added steel and currently there is not much competition from the Indian market.

So, we should be able to do a EBITDA of more than 20% going forward once the plant is running at full capacity. But again, it is a commodity market, it is steel. Anybody is open to invest in such kind of CAPEX. It is just an estimation basis which we have thought of going ahead.

Varun Mehta: And can you just share what is our cost of product

ion for pellets, basically at Rs 5,000, Rs 5,500?

What is the basic cost for pellets?

Abhishek Agrawal: See, if you consider annual Rs 3,000 with beneficiation and everything, our current cost of pellets should be at about INR 55 to INR 58 after beneficiation.

Varun Mehta: And this last question is, this guidance what we have provided for 2031 on the sales part, this includes the steel revenue also?

Abhishek Agrawal: Yes, it includes the steel revenue, includes the first phase of battery storage and the CRM revenue, all three.

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Varun Mehta: So, the steel plant is not reckoned in that?

Abhishek Agrawal: No, no. So, 1 million steel plant, the battery storage and the CRM complex, all three.

Moderator: Our next question comes from the line of Aryan Bhatia from Inved Research. Please go ahead.

Aryan Bhatia: So, my question is, what is generally the conversion ratio from our mining to pellet? So, from the usable 4.5 million tons mined, what will be the pellet conversion? And what will we be buying from the market for our 4.7 million pellet market?

Abhishek Agrawal: So, you are not audible, but still, I could got your question. So, as I said earlier, we will be doing about 0.8 to 1 million tons of procurement of iron ore this year to run at full capacity. And that should drastically come down from Q3 onwards, once monsoons are over.

And the conversion from mining to pellet, as I mentioned, it is after beneficiation of all kinds of ore. So, if you mine 100 tons of iron ore, you will get about 75 tons of usable concentrate of high-grade to feed to the pellet plant. So, if you do a 4 million mining, you will get about 3.2 million tons of usable iron ore for the pellet plant.

Aryan Bhatia: And on the second, on the rolled products capacity, so can you provide the breakdown of our rolled products capacity? How much is the wire rod, how much is the M.S. Rounds, and how much is the galvanized product?

Abhishek Agrawal: So, for this financial year, so the wire rod will be close to about 2.2 lakh tons, which will be further drawn to, so wire rod will be 2.2, further rolled to 1.1 lakh tons of HB wire. And on the structural side, that will be about 1.2, 1.3. So, put together, we are doing about 3.7, 3.7 million tons of total rolled products this year.

Moderator: Our next question comes from the line of Ajit Sethi from Eiko Quantum Solutions. Please go ahead.

Ajit Sethi: Sir, my question is on the CRM complex. So, in the previous con call, we have guided for 50% utilization in CRM Complex in FY '28. So, are we on track to achieve that guidance?

Abhishek Agrawal: Yes. At the moment, with the current status being shared with all the stakeholders, a little earlier by the Bothraji, so at the moment, we are on track. We are hopeful to commission the first line by end of Q4, early Q1 in next financial year. And that is why we have taken a very conservative guidance of 50%, which is at about 3-3.5 lakh tons of CRM complex for FY '28.

Ajit Sethi: And sir, how can we expect the further ramp up of capacity going forward?

Abhishek Agrawal: So, from FY '29, we should be at about 90% capacity for sure.

Moderator: Our next question comes from the line of Rohan Mehta from Star TC. Please go ahead.

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Rohan Mehta: Just a couple of questions. So, currently, the Indian pellet prices seem to be around 10,000 bucks and the global prices around 11,500 bucks. What I wanted to understand was, what is the delta because of the higher freight cost that we are looking to export?

Abhishek Agrawal: Can you come again, please? You are not audible initially.

Rohan Mehta: Sorry. So, Indian pellet prices seem to be around INR 10,000 and export market is around INR 11,500, if I am not mistaken. But because of the higher freight cost, what is it that we are looking as delta to expo

rt?

Abhishek Agrawal: See, so currently, if you talk about from my plant to say, China, just for number, including the freight cost, it is somewhere about INR 3,000. So, if I am selling it INR 10,000 ex-plant, so my export price to be at the similar preliminary level has to be somewhere about INR 13,000 levels, which is not the case.

But today, the Indian prices are about INR 9,500. And with the dollar inflation, today, if you want to export, we can easily achieve more than INR 9,000 ex-plant. So, the delta is now hardly less than \$10 between domestic pricing and the export pricing.

Rohan Mehta: So, probably sometime in the next quarter or this quarter end, we should start exporting. That is what if I am looking at correctly.

Abhishek Agrawal: See, it all depends if the Indian market continues to remain on the lull side, which is at the moment because of XYZ reasons. And the export market remains at this level. So, we might see some volume going into export.

Rohan Mehta: And those reasons currently in the Indian market is the Lloyd extra capacity or just monsoon coming up.

Abhishek Agrawal: See, to be honest, Lloyd hasn't hit the Chhattisgarh market at the moment right now. 90% pellets are going into the Chhattisgarh market. So, Lloyd hasn't touched the Chhattisgarh market at the moment.

But there is an overall, there is a demand, there is a lull in the steel demand. There is no selling in the finish side. The prices corrected almost by 10% in last few weeks. So, the overall sentiment is weak. Basis that we have started exploring the export market. No other reason.

Rohan Mehta: And the second question is on the BESS front. Just like everything else, the 5-6 Gigawatt hour for the next year is a conservative guidance or that is what we are looking to achieve?

Abhishek Agrawal: No, it is a very conservative guidance.

Rohan Mehta: And in the 2031 explanation that we are assuming, we have not considered the Phase-2 of the BESS thing. Is there a reason for that?

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Abhishek Agrawal: No, there is no reason. Just that we thought whatever we have announced, whatever the projects have started taking shape, we want to give our estimation basis that. Phase-2, when it will come, how it will come, we don't know, because battery storage itself, it is huge. It is a heavy tech industry.

So, we haven't considered Phase-2. The only reason is because it is something which is very new for us. We want to establish the Phase-1. We want to run the plant at full capacity. And basis that we want to decide whether how we want to go ahead in the Phase-2, whether we want to get into expanding capacity in Phase-2, or whether we want to go into backward integration and enter into a steel manufacturing with the technology tie up.

It is a very nascent stage for us to decide for the Phase-2. So that's why we only give an estimation, basis the current projects taken up. No other reason.

Rohan Mehta: That's it from my side.

Moderator: Our next question comes from the line of Manav Gogia from YES Securities Limited. Please go ahead.

Manav Gogia: Sir, we just wanted to know one clarification. The new steel plant of 1 million tons that we have, this is a blast furnace or this is through the DRI route?

Abhishek Agrawal: No, this is a blast furnace route. See, we have no intention of getting into a coal-based DRI because it becomes very challenging to be cost effective in producing steel and compete with the big guys. So, it is a blast furnace route, which is a conventional route in India at the moment now.

We did ponder over the gas-based DRI route, but looking at the current supply discussion and dependency on import of natural gas, we thought it is better to go with the conventional blast furnace route, at least for the Phase-1.

Manav Gogia: So, this will include the 1 million ton blast furnace, 0.7 million ton of coke oven as well, right?

Abhishek Agrawal: No. So, the blast furnace capacity should be, the hot metal should be about 1.1, 1.2 million tons. There is a 0.5 million coke oven, non-recovery coke oven. There will be a 1 million sinter plant. So, our idea is to 50% pellet and 50% sinter because we want to also hedge our pellet bets. We don't want to keep selling pellets in the market. So, 50% pellet from the new plant will be going to the blast furnace and then the remaining steel complex, right, from converter to the finished site.

Manav Gogia: And secondly, what sort of land parcel? I mean, we have roughly 452 acres, right?

Abhishek Agrawal: Yes. So, we have 450 acres and that is more than sufficient for the entire complex.

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Manav Gogia: No, yes. I mean, my question was, what would be the scalability in the future if we had to go for a Brownfield expansion? So, would we have enough infrastructure from, if we plan to move on going ahead post 2030?

Abhishek Agrawal: So, see, we have left a certain space for a Brownfield expansion. Plus, we also identified nearby land, which is adjoining to the current land. So, if we think we want to go for a ground field expansion, we can always use that same parcel and buy a little bit of adjoining parcel to expand. But to be honest, at the moment, we are not thinking of Phase-2. We are just concentrating on Phase-1 at the moment right now.

Manav Gogia: And we continue to maintain that the focus will be long products, because I think we also have a CRM Complex. So, we could have had a fully-fledged flat product.

Abhishek Agrawal: See, the problem is, for a CRM Complex, right, for a HR mill, the minimum capacity, which is technically and commercially viable is a 2-million-ton mill, because the width has to be 50-50

plus. So, to feed a 2 million mill, we didn't have hot metal. The entire CAPEX would have crossed maybe INR 12-13,000 crores. So, we didn't want to go that high.

Secondly, with the steel capacity announced by the big players, we already feel today India's market is oversupplied by HR coil. Plus, imports is always open, right? So, we thought instead of doing a CRM, HR complex, let's just focus on the CRM, which is a value-added steel and enter into a long product where we enter into the structural and other segments. So, that is the whole idea behind not going to HR mill complex.

Manav Gogia: Understandable. Sir, second question is, could you please highlight how the next couple of years would look in terms of CAPEX? And what sort of debt numbers do we see coming up? Because it is INR 7,000 crores, I think one is to one would be the debt equity from the other project.

Abhishek Agrawal: Yes. See, the CRM, the battery storage, we have already invested more than almost 40%-50% in both the projects. So, this year the CAPEX on the steel side hardly will be about 10%, which will mainly go into account of ordering of equipments and an advance. The major CAPEX which we are going to incur in steel will happen from FY '28.

So, FY '28, FY '29 will be the major money flow into the steel plant. Apart from that, we are self-funded to afford everything from internal approval. So, whatever debt you have to take on will be happening from FY '28 only on account of steel CAPEX.

Manav Gogia: So, in a nutshell, if I have to assume for FY '27, we can take a INR 1,800 crore to INR 2,000 crore CAPEX number, right? Would that be the correct way to think of it?

Abhishek Agrawal: Yes, including the balance of CRM, balance of your battery storage and little bit of solar, you can consider CAPEX of close to about INR 1,500 crores to INR 2,000 crores for FY '27.

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Manav Gogia: And '28 onwards, it can probably go towards 2,500 and 3,000.

Abhishek Agrawal: Yes, about INR 3,000 crores. About INR 3,000 crores for FY '28 and INR 3,000 cro

res for FY

'29. Very correct.

Manav Gogia: That is helpful. Sir, one request I had. I think in our earlier presentations, we had split project-wise CAPEX and the timelines and whatever CAPEX we had incurred. If you could just bring back that from the next presentation would be very helpful.

Abhishek Agrawal: Sure. Very well noted. We will take care of that.

Moderator: Next question comes from the line of Aman Kothari from Aequitas Investments. Please go ahead.

Aman Kothari: Sir, I think in the last con call, we had guided that pellet capacity would be running at over 90% utilization and we will be targeting around 4.1, 4.2 million tons. So, I think what you guided that we would be looking at around 3 to 3.2 million tons. So, any reason why we are looking at a 3 to 3.2 million tons pellet quantity for this year?

Abhishek Agrawal: No, no, no, there is a confusion. So, pellet guidance for this year is 4 million tons. The iron ore volume, net usable iron ore for the pellet is at 3.4 million tons.

Aman Kothari: So, that will be the captive one you were stating earlier.

Abhishek Agrawal: Exactly. So, the pellet guidance is at 4 million tons this year and iron ore guidance, net usable is at 3.4 million tons.

Aman Kothari: And it would be the same mix, sir, three and one, sales and captive?

Abhishek Agrawal: See, captive remains the same. Captive capacity is about 0.9 to 1 million tons. There will be no increment in captive capacity. So, the pellet merchant will be about 3 million tons.

Aman Kothari: And as you had earlier rightly pointed out the increase in diesel cost that we have seen particularly, so can you just give an idea on the incremental cost it would accrue also in terms of mining cost?

Abhishek Agrawal: See, diesel, the good thing is, see, of course, we have also invested heavily into EVs in the mining as well, so loaders and excavators. So, currently our major concern is on the transportation side because our entire iron ore comes by road. So, the diesel pricing on the rising side and looks to be at the same levels for quite some time. We have started working on the EV and we want to replace that with EV truck ASAP.

So, currently that transportation is about INR 900. We foresee it can go up to INR 1,150, INR 1,200 if the diesel prices continue to rise in the near future.

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Aman Kothari: INR 1,150 to INR 1,200, okay.

Abhishek Agrawal: Yes, for short term definitely, yes.

Aman Kothari: Short term got it. And sir, as you rightly pointed out that we are looking to transition to an EV fleet. Is there an estimate on what would be the fleet size that we are targeting and the amount that we would be committing to the same?

Abhishek Agrawal: See, the amount of iron ore we need to move at the full capacity, we need to deploy more than about 300 trucks or about 350 trucks at the full capacity.

Aman Kothari: 300, okay.

Abhishek Agrawal: Yes, 350 trucks. So, at a full site CAPEX should be more than about INR 350 crores.

Aman Kothari: Okay, INR 350 crores.

Abhishek Agrawal: Yes. With the charging infra and other thing, it should be about INR 350 crores at full scale.

Moderator: Thank you. Participant left the queue. Ladies and gentlemen, that was the last question for today.

I would like to hand the conference over to the management for the closing remarks. Thank you

and over to you, team.

Sanjay Bothra: We would like to express our sincere appreciation for joining us on this conference call. And we are confident that we have adequately addressed all your queries. Should you have any further questions or need additional information, please feel free to reach out our IE team at GoIndia advisors. Once again, we sincerely thank all for your active participation and unwavering support. Thank you.

Moderator: Thank you so much, sir. Ladies and gentlemen, on behalf of Godawari Power & Ispat Limite

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also Monarch Network Capital Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.